



2025

Sustainability Report



contents

Message from Top Management	3
Summary and Scope of the Report	5

Ch1 Practice Sustainable Management 7

1.1 Stakeholder Organization and Identification	8
1.2 Communication and Analysis of Issues of Concern to Stakeholders and Process to Determine Material Topics	13
1.3 Sorting and Response after Identification of Material Topics	17
1.4 Influence of Sustainable Management	21
1.5 Fulfilling the Sustainable Development Goals	22

Ch2 Corporate Governance & Integrity Management 27

2.1 Company at A Glance	29
2.2 Corporate Governance	32
2.3 Integrity Management	38
2.4 Business Philosophy, Ethics and Compliance	40
2.5 Internal Audit and Management Verification System	43
2.6 Information Security	47
2.7 Risk Management System	53



Ch3 Operational Performance, Stakeholders' Rights, Customer Service and Product Quality

3.1 Operational Performance and Challenges	59
3.2 Tax Policy	63
3.3 Customer Relationship Management	63
3.4 Customer Privacy	65
3.5 Product Quality	66

Ch4 Sustainable Supply Chain Management

4.1 Supplier Management Policy and Commitment	74
4.2 Industrial Supply Chain	76
4.3 Supplier Composition and Categories	77
4.4 Ethical Procurement	85

Ch5 Green Production

5.1 Climate Action	87
5.2 Environmental Policies and Commitments	99
5.3 Greenhouse Gas Emissions and Energy Resource Management	102
5.4 Renewable Energy and Resource Conservation/ Efficiency	106
5.5 Water Resource Management	107
5.6 Waste Management	113
5.7 Air Pollution Prevention and Control	115
5.8 Promotion of Environmental Sustainability	116
5.9 Biodiversity, Environmental Greening and Beautification	120

Ch6 Friendly Workplace

6.1 Talent Policy and Commitment	127
6.2 Human Resource Structure	129
6.3 Talent Cultivation and Development	135
6.4 Compensation and Benefits	137
6.5 Human Rights Protection: Listen to Our Employees	143
6.6 Workplace Health and Safety	149
6.7 Comprehensive Health Care	173

Ch7 Shared Prosperity with Society

7.1 Social Engagement	185
7.2 Participation in External Organizations	186
7.3 Social Welfare Activities	187
7.4 Supporting Domestic Cultural Development	192

Ch8 Appendix

Appendix 1: ESG Performance Data	195
Appendix 2: GRI Standards (2021) Corresponding Index	206
Appendix 3: SASB Index	214
Appendix 4: ESG Disclosure Topics – Semiconductor Industry	216
Appendix 5: Climate-Related Disclosure	217
Appendix 6: Independent Assurance Statement	221



Message from Top Management

Sustainable development strategy

The year 2025 marks a pivotal intersection of global political and economic developments, industrial transformation, and technological advancement. Ongoing geopolitical conflicts, persistent inflationary pressures, prolonged high-interest-rate conditions, and challenges surrounding energy supply resilience continue to test corporate operations and risk governance capabilities. These challenges further underscore the importance of technological transformation, sustainable management, and resilient risk governance. As one of Taiwan's leading suppliers of semiconductor substrates, Kinsus continues to achieve steady growth amid industrial transformation through its strategic expansion into advanced AI applications and the development of a green value chain.

Macroeconomic Dynamics and Strategic Resilience: Transformation Opportunities Driven by the AI Wave

The year 2025 has been characterized by the continued rapid growth of generative AI and High-Performance Computing (HPC). The accelerated advancement of 2nm semiconductor process technologies since the previous year has further driven a paradigm shift in advanced packaging technologies. In response to evolving market demands, Kinsus has actively optimized its product portfolio and strategically focused its operational core on high-end FCBGA and SiP substrates. Over the past year, the Company achieved significant growth in revenue contribution from AI advanced packaging substrates. Supporting this achievement is our unwavering commitment to technological independence and innovation. The Kinsus team has made breakthrough progress in yield enhancement for ultra-thin substrates, fine-line circuitry, and large-area high-layer-count ABF substrates, ensuring the Company maintains an indispensable role within the advanced semiconductor packaging supply chain. In anticipation of the recovery of the ABF substrate market in 2026, Kinsus has completed strategic capacity deployment plans. Through technological upgrades at the Xing-Feng Factory and expansion initiatives at the Youth Factory, the Company has successfully obtained certification and recognition for new products from key customers. We are fully prepared to meet the rapid growth and explosive capacity demands driven by the AI era.

Green Intelligent Manufacturing: Integrating Business Models with Environmental Responsibility

Kinsus has fully integrated sustainability into its operational core by advancing a “dual transformation” strategy encompassing both digital transformation and green transformation. Recognizing the substrate manufacturing process' s high dependence on energy and water resources, the Company views “green intelligent manufacturing” not merely as a slogan, but as a core competitive advantage.

In 2025, Kinsus delivered outstanding carbon reduction performance and successfully exceeded its annual reduction targets. At the same time, the Company actively promoted energy transformation initiatives by increasing renewable energy procurement to 5.4 million kWh, with further expansion planned for 2026. In addition, the resource recycling rate exceeded 90.51%, demonstrating our continued commitment to strengthening the circular economy. Through continuous optimization of process water recycling and reuse, Kinsus strives to achieve the optimal balance between production expansion and environmental impact reduction, transforming potential environmental impacts into exemplary resource management practices.

People-oriented Values and Shared Prosperity Across the Value Chain: Building a Sustainable Ecosystem

Amid increasingly intense competition for semiconductor industry talent, people remain the Company' s most valuable asset. In 2025, Kinsus continued to optimize employee welfare programs and strengthen career development and training pathways, striving to create a friendly and fulfilling workplace environment. Kinsus' professional team possesses strong interdisciplinary expertise that supports continuous innovation and technological advancement. This represents not only the Company' s commitment to society, but also a critical foundation for maintaining long-term competitiveness.

At the same time, Kinsus has extended its sustainability influence throughout the supply chain. As an

industry leader, the Company has launched a Responsible Procurement Program and initiated carbon inventory guidance for suppliers. To date, 100% of suppliers have signed the Supplier Corporate Social Responsibility Code of Conduct. Through close collaboration with upstream and downstream partners, Kinsus jointly shares transformation risks and works to build a resilient supply chain with strong carbon reduction awareness and human rights protection principles.

Looking Ahead: Firm Commitments and a Long-term Vision

Kinsus continues to face significant challenges, including regulatory pressure arising from Taiwan's carbon fee policies, increasingly stringent customer requirements regarding net-zero pathways, material shortages caused by insufficient supply chain yield expansion, and supply chain restructuring and rising costs driven by geopolitical tensions. Nevertheless, challenges also create opportunities.

In the short term, the Company's priority is to ensure the scheduled commencement of operations for the Youth Factory expansion project to meet strong demand for AI substrates, while further enhancing disclosure transparency in accordance with Financial Supervisory Commission regulations and international standards, including IFRS S1 and IFRS S2. Over the medium term, Kinsus remains committed to achieving its 2030 carbon reduction targets. Our long-term vision is to become the most trusted green technology partner in the global semiconductor substrate industry.

Kinsus will continue to uphold a humble and steady approach while combining the wisdom of experienced industry leaders with the innovation capabilities of the new generation to create long-term value for shareholders, employees, customers, and society. We sincerely thank all stakeholders for their continued support and trust, and we look forward to jointly creating a sustainable new era for the semiconductor substrate industry.



Chairman 廖賜政

Summary and Scope of the Report

Summary

The content of this report is prepared in accordance with the guidance and framework of the Global Reporting Initiative (GRI) Standards. It provides a detailed introduction to Kinsus Interconnect Technology Corporation (referred to as “Kinsus Technology,” “Kinsus,” “the Company,” or “we”) and its active efforts in fulfilling corporate social responsibility and promoting sustainable development across various related aspects. This is the twelfth Corporate Social Responsibility and Sustainability Report issued by the Company. In disclosing information to the public, the Company follows the “Sustainable Development Best Practice Principles for TWSE/TPEX Listed Companies” of the Stock Exchange, taking into consideration topics of concern to investors and providing reliable and transparent information to stakeholders. Various information is simultaneously published on the Company’s website to facilitate two-way communication with internal and external stakeholders. Kinsus anticipates growing stakeholder expectations regarding the disclosure of non-financial information. Therefore, we strive to enhance the transparency and credibility of the Company’s sustainable development management policies and related data through comprehensive disclosure.

Report Period

For the year 2025 (from January 1 to December 31, 2025), consistent with the financial reporting period, this report discloses Kinsus Technology’s ESG sustainability management practices. It covers the identification and organization of stakeholders, communication and analysis of key topics, prioritization and response to material topics, evaluation of sustainability impacts and associated risks, alignment with the United Nations Sustainable Development Goals (UN SDGs), continuity planning, and the management approaches and performance metrics related to material ESG topics. Certain content has been enhanced to improve readers’ understanding of the disclosed information. The Company will continue to revise and publish the ESG Report on an annual basis.

Coverage

The scope of this report is based on the organizational coverage set by Kinsus Technology, including:

- ◆ Shih-Lei Factory (Headquarters) No. 1245, Zhonghua Rd., Xinwu Dist., Taoyuan City
- ◆ Tsing-Hua Factory: No. 810, Zhonghua Rd., Xinwu Dist., Taoyuan City
- ◆ Xing-Feng Factory: No. 526, Sec. 2, Jianxing Rd., Xinfeng Township, Hsinchu County
- ◆ Yu-Shih Factory: No. 580, Gaoshi Rd., Yangmei Dist., Taoyuan City

This report focuses on Kinsus Technology’s four domestic factories. (The Xing-Feng Factory consists of Factory1 and Factory2, collectively referred to as the Xing-Feng Factory. Only in the Environmental Health and Safety section are the data for Factory1 and Factory2 disclosed separately.) The report does not include performance data for other subsidiaries in Taiwan and China. The disclosure is made for Kinsus’s employees, external customers, suppliers, and investors. General language and numerical values are used throughout the report, while financial figures are presented in New Taiwan Dollars (NTD) or thousands of NTD.

Principles and Guidelines

The sustainability report adopts international common standards, including GRI, TCFD, SASB, as well as the Sustainable Development Best Practice Principles for TWSE/TPEX Listed Companies of Taiwan, to continuously strengthen the comparability of performance and the substance of the report. The abovementioned standards are as follows:

- ◆ Global Reporting Initiative (refer to GRI Standards: 2021)
- ◆ TCFD: Task Force on Climate-related Financial Disclosures

- ◆ SASB: Sustainability Accounting Standards Board: Resource Transformation Standards for hardware manufacturing industry's
- ◆ Rules Governing the Preparation and Filing of Sustainability Reports by listed and OTC Companies
- ◆ Corporate Social Responsibility practice principles for listed and OTC firms

Ensure the Accuracy of Public Information

Public ESG related information has a significant impact on stakeholders, so it is crucial for us to pay attention to every detail and ensure the correctness and completeness of public information

Internal Confirmation

Unless specifically noted, all currency units in this report are expressed in New Taiwan Dollars, and numbers are rounded to two decimal places.

Every information, data, review and verification information disclosed in this report has been documented and reviewed by the relevant departments. It has been confirmed and approved by supervisor and reviewed by top management.

External Confirmation

Financial Data: The financial data presented in this report are based on the consolidated financial statements (including subsidiaries. refer to pages 20–23 of the 2025 Consolidated Financial Report), audited and attested by Ernst & Young CPAs.

ESG Sustainability Report: This ESG Report has been independently verified by the British Standards Institution (BSI), an international third-party assurance provider, in accordance with Type I of the AA1000AS v3 assurance standard. The Report complies with the disclosure requirements of the GRI Sustainability Reporting Standards. An independent assurance statement issued by BSI is provided in Appendix 6. Internationally recognized metrics have been adopted, and any estimations are disclosed in the relevant sections.

Publication Frequency

The current edition (2025) is scheduled to be released by August 2026.

The report is generated on an annual basis.

Coverage

 Contact: Sustainability Office of KINSUS INTERCONNECT TECHNOLOGY CORP.

 Address: No. 1245, Zhonghua Rd., Xinwu Dist., Taoyuan City

 TEL: 03-4871919 #23501

 Fax: 03-4871920

 E-mail : chrischen@Kinsus.com.tw

01 Practice

1.1 Stakeholder Organization and Identification

1.2 Communication and Analysis of Issues of Concern to

1.3 Sorting and Response after Identification of Material Topics

1.4 Influence of Sustainable Management

1.5 Fulfilling the Sustainable Development Goals



1.1 Stakeholder Organization and Identification

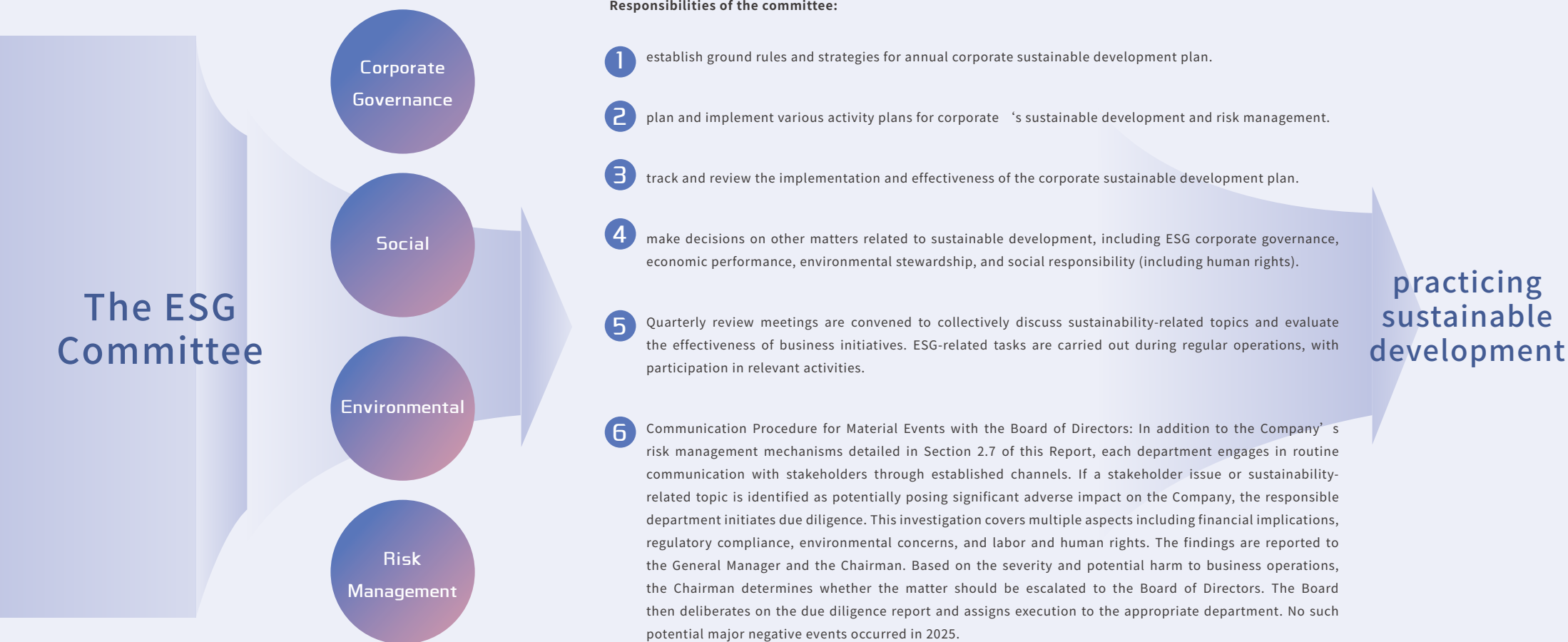
1.1.1 ESG Organization and Responsibilities

Kinsus Technology has established relevant regulations in accordance with the Corporate Governance Best Practice Principles, recognizing that sustainable business operations require long-term, in-depth, and comprehensive engagement with stakeholders. Therefore, the Company actively establishes communication channels with various stakeholder groups to understand their concerns and maintain an ongoing focus on addressing material issues. This approach enables Kinsus to continuously revise and adjust its strategies for achieving sustainability goals as needed. Moreover, the Company is committed to full transparency in disclosing its efforts and contributions across corporate governance, economic performance, environmental stewardship, and social responsibility—including the protection of human rights. Through these actions, Kinsus demonstrates its determination to promote corporate sustainability and fulfill its corporate social responsibilities, while proactively responding to public expectations and enhancing its positive societal impact.

The Company established the ESG Committee (hereinafter referred to as the ESG Committee) as the executive unit. The heads of relevant departments serve as members of the corporate governance group (including the economic group), the environmental group, and the social group (including the supply chain, employees, and communities). The Deputy Chief Sustainability Officer of the ESG Committee supervises and manages and reports to the Board of Directors on a quarterly basis. The Board of Directors reviews the implementation of the sustainable development strategy and action plan proposed by the sustainable management office and supervises adjustments when necessary. The Board of Directors considers its organizational structure as shown in the right figure.



The ESG Committee is a cross-departmental communication platform, responsible for planning, implementing and controlling various action plans, integrating and supervising the implementation progress and effectiveness of the three major aspects of corporate governance, society and the environment, ensuring the effectiveness of horizontal and vertical communication of the organization, and practicing sustainable development.



The organization of the aforementioned ESG committee, along with the key ESG work items and responsible units for each category, are shown in the table below:

	Categories		Key ESG Work Items	Responsible Unit
Corporate Governance	Corporate Governance		Corporate Governance-financial Integrity management	Heads of Financial Department and Corporate Governance
			Various management systems: financial/ISO/personnel management, etc.	
			Ethical Management System: Includes compliance with applicable laws and regulations, adherence to professional ethics, anti-corruption, and anti-bribery practices.	HR Department/Employees at all levels/ Labor Representative
			Information security	Information Technology Department
			Risk management	ESG COMMITTEE, Safety & Health Department
			Customer Privacy	Business Department
			Sustainable Development Management Mechanism and Objectives	ESG COMMITTEE
			Grievance Mechanism	Human Resources/ Business Department/ Audit Office/ Spokesperson
	Economy		Business performance	Business Department
Environment	Environmental Management// Energy conservation and Carbon Reduction		Greenhouse Gas Management (including carbon emissions)	Safety & Health Department
			Workplace Environmental Management/System Energy Management Wastewater / Emissions / Waste Management Water Resource Management	Safety & Health Department Facility Engineering Department
			Public area management system	Facility Engineering Department
Society	Product	Sustainable Supply Chain Management	Supply chain management (including contractors)	HR Department
		Product safety and customer relationship management	Product Safety Customer service and satisfaction Customer relationship management	Safety & Health Department
		Product quality Management and delivery	Product quality management system Key processes and control methods of quality management Yield rate and delivery date of product quality Hazardous Substance Management	Facility Engineering Department

	Categories		Key ESG Work Items	Responsible Unit
Society	Employee Management	Employee Management Mechanism/Labor management Relations/Health and Safety	Staff selection and retention management Salary and benefits and talent cultivation Labor and management relations	HR Department
			Occupational health and safety	Safety & Health Department
	Community and Charity Activities		Neighborhood in the local community	Facility Engineering Department
			Give back to the community and public welfare activities	

1.1.2 Identification of Major Stakeholders

- The major stakeholders of the Company are as follows:

Kinsus has identified seven key stakeholder groups based on six screening principles: Responsibility, Influence, Proximity, Dependency, Representation, and Policy/Strategic Intent. These stakeholders include investors (shareholders and banks), employees, customers, suppliers (including contractors), local community residents, government agencies, and NGOs / non-profit organizations / academic and research institutions. The Company actively listens to stakeholders through multiple communication channels, gathers stakeholder concerns, and responds to their expectations.



1.1.3 Communication Channels for Major Stakeholders

Kinsus has disclosed its corporate social responsibility information on the Company's official website, listing the communication channels and contact information for the seven key stakeholder groups. These are aligned with the respective material topics of concern. The relevant contact details are shown in the table below.

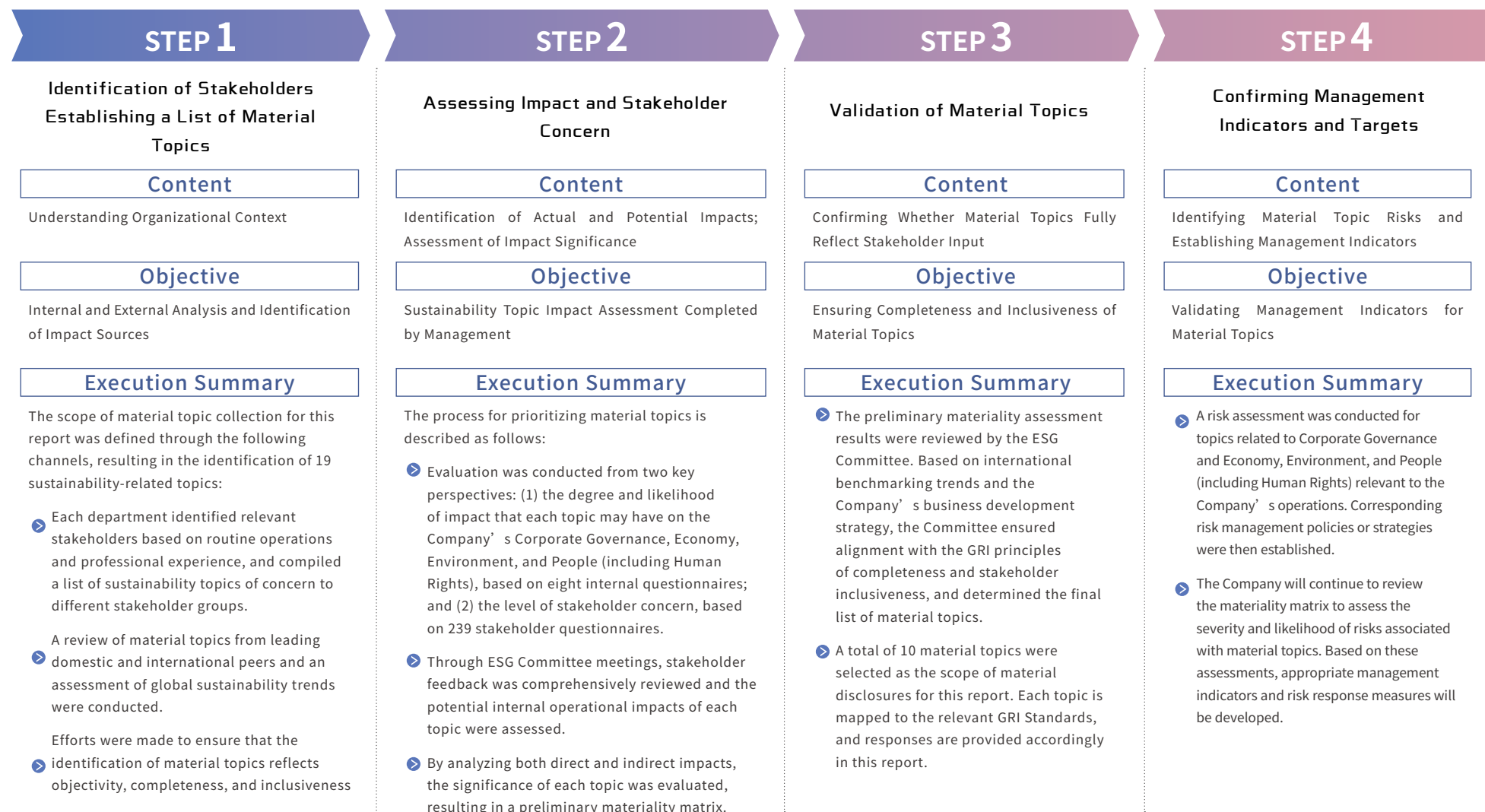
Category	Contact window and its concerned issues & complaint channels	Category	Contact window and its concerned issues & complaint channels
For Employees	Contact window: HR Department Email : polochen@Kinsus.com.tw Topics of concern: Salary and benefits, training and development, safety and health, promotion channels, etc. Complaint channels: TEL: +886-3-4871919 #22311 Mailbox: polochen@Kinsus.com.tw Complaint Hotline: +886-3-4871919 #27885 Email: hr@Kinsus.com.tw	For Investors	Contact window: Spokesperson Email : jackmu@Kinsus.com.tw Topics of concern: Operational performance, corporate governance, risk management, shareholder rights, information disclosure, etc.
For Customers	Contact window: Business Department Product Categories: ABF Email : henrylee@Kinsus.com.tw Product Categories: BT Email : mangoliu@Kinsus.com.tw Topics of concern: Product quality and delivery, customer privacy, customer service and satisfaction, etc.	For Government Institutions	Contact window: Safety & Health Department Email : jonathanfan@Kinsus.com.tw Topics of concern: Regulatory Compliance, Corporate Governance, Occupational Health and Safety, Environmental Protection, Labor Management Systems, etc.
For Suppliers	Contact window: Material Department Email : kellyher@Kinsus.com.tw Topics of concern: Procurement specifications, green procurement, supplier management, etc.	For Communities	Contact window: Facility Engineering Department Email : charleshshueh@Kinsus.com.tw Topics of concern: Environmental Protection, Community Relations, Public Welfare Activities (including Donations and Sponsorships), etc.
		For Non-Governmental Organizations	Industry-Academia Collaboration Contact window: HR Department Email : polochen@Kinsus.com.tw Non-Industry-Academia Collaboration Contact window: Sustainability Office Email : chrischen@Kinsus.com.tw

1.2 Communication and Analysis of Issues of Concern to Stakeholders and Process to Determine Material Topics

Kinsus collects sustainability-related issues based on sustainable development goals, industry norms and standards, and organizational annual objectives. Through various communication channels with stakeholders, represented by different departments, regular or ad hoc exchanges are conducted to assess the impact of the Company's operations and whether they will have an impact on the Company's operations. A total of 19 stakeholder concerns have been identified, with any duplicates counted as one. The detailed list is as follows:

Stakeholder	Issues of Concern	Main Communication Channel	Communication Frequency
Investors	Business Performance, Corporate Governance, Risk Management, Regulatory Compliance, Integrity Management and Business Ethics, Human Rights Policy and Diversity & Inclusion	Board of Directors	At least 4 sessions / year
		Shareholder's meeting / annual report	1 session / year
		Public Disclosure on Market Observation Post System	1 time / year
		Corporate website	Monthly / quarterly / yearly
		Investor Conferences	Timely
Employees	Labor Relations, Talent Recruitment, Retention and Development, Occupational Health and Safety, and Health Promotion	Two-way Communication Session	Irregular
		Labor-management Meeting	1 time per season
		Education and Training Courses	Irregular
		Internal website / email notification / official document announcement / complaint mailbox	Irregular
Customers	Product Quality, Customer Service and Satisfaction, Information Security, Regulatory Compliance, Energy Resource Management and Greenhouse Gas Emissions, Innovative Products and Services, and Green Manufacturing	Customer Complaint Handling and Response	Irregular
		Customer Satisfaction Survey	Annual
		Client Meeting	Irregular
		Phone / email / website	Irregular
Suppliers	Sustainable Supply Chain Management, Waste Management, Energy Resource Management and Greenhouse Gas Emissions	Written audit	Irregular
		Written / on-site evaluation	1 time / year
		On-site audit	1 time / year
Government Institutions	Regulatory Compliance, Corporate Governance, Occupational Health and Safety, Risk Management, Waste Management, Energy Resource Management and Greenhouse Gas Emissions, Labor Relations, Talent Recruitment, Retention and Development	Official letter/ telephone consultation	Irregular
		Attend advocacy meetings	Irregular
		Regulatory briefing	Irregular
		Competent authority visits	Regular / irregular
Communities	Environmental Protection, Social Engagement	Environmental protection advocacy meeting	Irregular
		Public welfare activities	Irregular
Non-Governmental Organizations	Energy Resource Management and Greenhouse Gas Emissions, Social Engagement, Information Security	Industry-Academia Collaboration Activities	Irregular
		Sustainability-themed Seminars	Irregular

Refer to the GRI Sustainability Reporting Standards (GRI Standards) to analyze the identified topics through the steps of identification, prioritization, validation, and review. Confirm the scope of material topics for disclosure and address the sustainability challenges faced internally and externally. Conduct a comprehensive review of sustainability performance. The process for generating material topics is as follows:



The summary of changes in material topics between the previous year and 2025 is as follows:

2024 & 2025 Material Topics List	2023 Material Topics List	Explanation of Changes in 2024
Business Performance and Shareholder Rights	Business performance	Merged into Business Performance and Shareholder Rights
	Shareholder Rights	Merged into Business Performance and Shareholder Rights
Integrity Management and Business Ethics	Integrity management	Merged into Integrity Management and Business Ethics
	Business Ethics	Renamed and merged into Integrity Management and Business EthicsManagement and Business Ethics
Risk management	Risk management	Retained as a continuing material topic from 2023
Labor Relations, Talent Recruitment, Retention, and Development	Labor Relations	Added: Labor Relations, Talent Recruitment, Retention, and Development
Regulatory Compliance	Regulatory Compliance	Retained as is
	Human Rights Protection	Removed from the list
Occupational Health and Safety, and Health Promotion	Occupational Health and Safety	Renamed and expanded to include Health Promotion
Information security	Customer Privacy	Added Information Security and integrated Customer Privacy ProtectionCustomer Privacy
	Environmental Protection	Removed from the list
Climate Change Adaptation	Energy conservation and Carbon Reduction	Renamed
Customer Relationship Management and Product Quality	Customer Service and Satisfaction	Renamed
	Product Quality	Merged into Customer Relationship Management and Product Quality
Sustainable Supply Chain Management		Newly added topic

1.2.1 Identification and Direct Impact Analysis of Stakeholders' Concerns

● Direct Impact ◎ Indirect Impact

The significant considerations of each relevant issue corresponding to stakeholders are identified in terms of corporate governance, economic aspects, environmental aspects, and social aspects (including human rights/people). The direct or indirect impacts on both internal and external areas of the enterprise are identified and analyzed for the level of concern among stakeholders. These are then prioritized. The 2025 ESG Committee determined the direct or indirect impacts of the concerns as follows:

Aspect of Concern		Issues of Concern Connotation Analysis		Internal Scope		External Scope				
				Organization	Employees	Shareholders	Customers	Suppliers	Government Institutions	Community Residents / Non-Governmental Organizations
Corporate Governance		Integrity management and Business Ethics		●	●	●	●	●	◎	
		Regulatory Compliance		●	●	●	◎	◎	●	
		Information security		●	●	●	●	◎	◎	
		Risk management		●	●	●	●	●	◎	
		Corporate Governance		●	●	◎			◎	
		Digital Transformation		●	◎	◎				◎
		Innovative Products and Services and Green Manufacturing		●	●		◎			
Economic Aspects		Business performance and Shareholder Rights		●	●	●	◎	◎	◎	
		Customer Relationship Management		●	●	●	●	◎		
		Product Quality		●	●	◎	●	●		
		Sustainable Supply Chain Management		●	●		●	●	◎	
Environment		Climate Change Adaptation		●	●	◎	●	●	●	◎
		Energy Resource Management and Greenhouse Gas Emissions		●	◎		◎		◎	
		Air Pollutant Control		●	●				◎	●
		Waste Management		●	●				◎	●
Social Aspects	Personnel Management	Labor Relations, Talent Recruitment, Retention, and Development		●	●	●	◎		●	◎
		Human Rights Policy and Diversity & Inclusion		●	●	●			◎	
		Occupational Health and Safety and Health Promotion		●	●		◎	●	◎	
	Community	Social Engagement		●	●					◎

Explanation The table above analyzes the level of importance assigned to 19 material topics by both internal (organization and employees) and external (shareholders, customers, suppliers, government agencies, communities, etc.) stakeholder groups. Topics marked with five levels of importance [●+◎] are identified as material topics, as indicated in light blue. A total of 10 material topics were selected, with Customer Relationship Management and Product Quality combined as one. Responses are provided for both material and secondary topics. Each material topic is also subject to risk assessment and management, including positive and negative impact analysis, as detailed in Section 1.4.2 Risk Management of Material Topics. For the full list and management approach, please refer to Appendix 2.

1.3 Sorting and Response after Identification of Material Topics

In response to the stakeholder identification results, the ESG Committee convened to discuss the 2025 ESG Sustainability Report. The meeting focused on reviewing the material topics of stakeholder concern, assessing both the level of stakeholder concern and the actual or potential impact of each topic on the economy, the environment, and people (including human rights). Following the discussion, 19 sustainability-related topics were selected and distributed via a questionnaire. Based on the statistical results, topics were evaluated using combined scores derived from the degree of concern and the formula $\text{impact} \times \text{likelihood}$. The top-ranking topics were identified. In 2025, the ESG Committee has reconvened to review and integrate these findings with the prior year's material topics to ensure a holistic view of sustainability priorities. The final list of material topics was documented in meeting minutes and submitted to the Deputy Chief Sustainability Officer for review and approval. A total of 10 material topics are disclosed as summarized in the table below:

Key Topics of ConcernMaterial Topic Matrix – Positive Impact

● Governance

● Environment

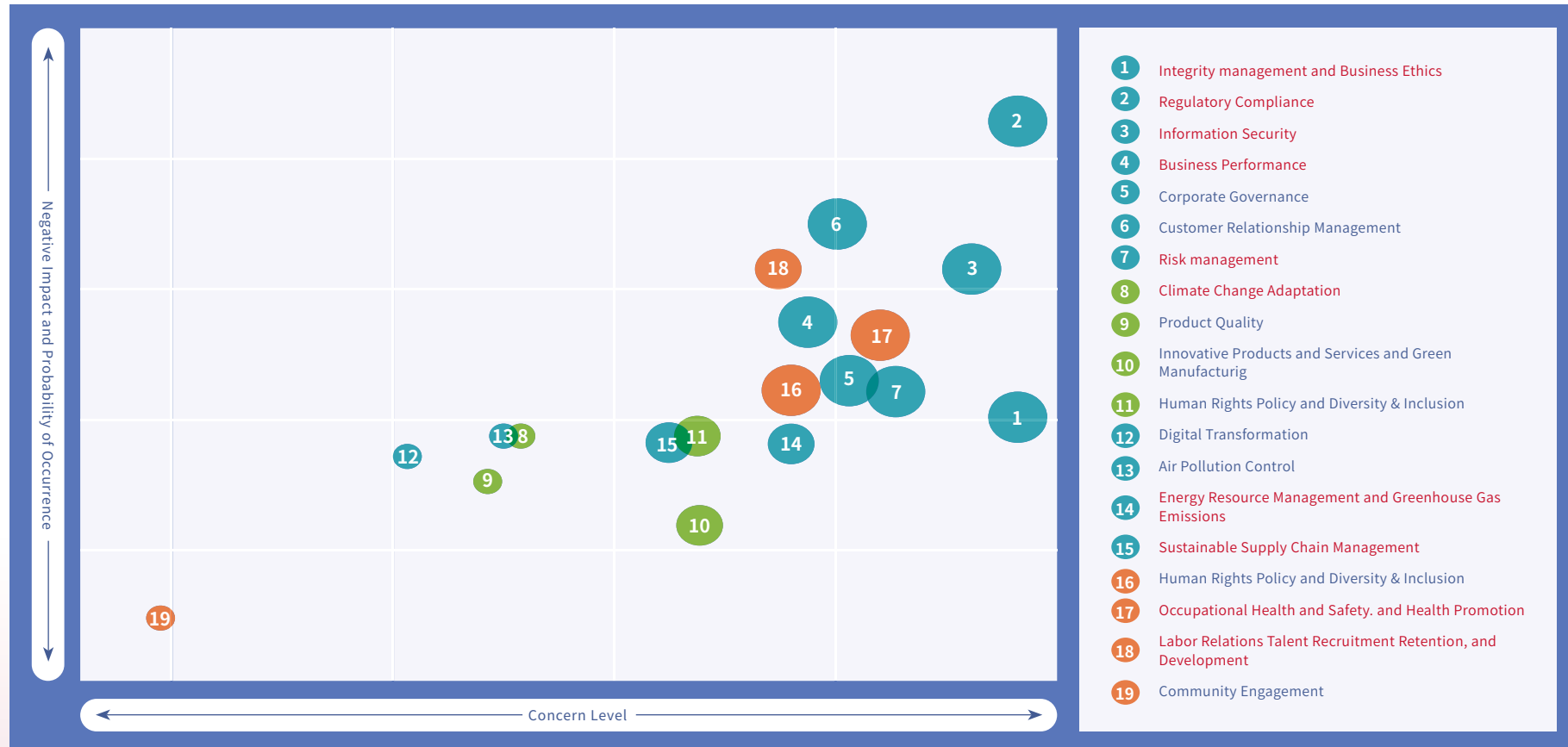
● Social Aspects

2025 Material Topic



Key Topics of ConcernMaterial Topic Matrix – Negative Impact

● Governance ● Environment ● Social Aspects 2025 Material Topic



The survey indicated that stakeholder concerns were concentrated on the following topics: “Regulatory Compliance,” “Customer Relationship Management,” “Occupational Health and Safety, and Health Promotion,” “Labor Relations, Talent Recruitment, Retention, and Development,” “Business Performance,” and “Information Security.” All of these topics received composite scores exceeding 30 points. These focus areas span the three major ESG dimensions: Corporate Governance, Social Responsibility, and Operational Management. The results reflect stakeholders’ high expectations regarding corporate compliance, employee well-being, financial stability, and information risk control. They also highlight the need for the Company to further strengthen both internal and external sustainability management efforts to uphold operational resilience and value chain accountability.

This year's assessment also consolidated several closely related material topics. Business Performance and Shareholder Rights were merged into a single topic. Integrity Management and Business Ethics (renamed from "Business Ethics") were integrated to improve classification consistency and management efficiency. Labor Relations and Labor Relations, Talent Recruitment, Retention, and Development were combined into a single unified topic to consolidate related sub-issues. Energy Conservation and Carbon Reduction was redefined as Climate Change Adaptation. Occupational Health and Safety was refined to Occupational Health and Safety, and Health Promotion to reflect an integrated approach. Customer Relationship Management and Product Quality were merged (with "Customer Service and Satisfaction" renamed to "Customer Relationship Management") to enhance representativeness and communication effectiveness.

Additionally, Sustainable Supply Chain Management and Information Security (which now includes the previously separate topic of Customer Privacy) were included as material topics for the first time. This reflects the increasing importance of supply chain management in strengthening operational resilience and ensuring sustainability accountability. It also underscores the need to enhance information security systems to protect both the Company's data assets and customer confidentiality.

1.3.1 Responses to Material Issues

In 2025, 10 material topics were identified, and the summary management actions and related measures are explained as follows:

Item	GRI Standards	Upstream	Kinsus's products			Downstream	Promote Measures
		Procurement Stage	IC Substrate SiP/PBGA	FCCSP/CSP	RF modules/FCBGA	Customer use	
Integrity Management and Business Ethics	206-1 Legal actions for anti-competitive behavior, anti-trust, and monopoly practices 205 Anti-corruptions		◎	◎	◎	◎	The Company has established Integrity Management Procedures.
Risk Management	3-3 Management of material topics	◎	◎	◎	◎	◎	According to the "Risk Analysis and Management Operating Procedures" and "Continuous Supply Plan" to control the operational impact and damage caused by risks, and implement.
Regulatory Compliance	3-3 Management of material topics		◎	◎	◎		Integrity operation needs to be practiced through compliance with laws and regulations, the formulation of Anti-Corruption and Bribery systems and Avoidance of Interest policies.
Business Performance and Shareholder Rights	201-1 Direct economic value generated and distributed	◎	◎	◎	◎	◎	The Company Charter specifies the procedures for shareholder dividend distribution. We continuously monitor global economic conditions to adjust capital expenditures accordingly. Efforts are made to expand customer base and increase market share. Cost and expense controls are actively implemented. Clear authorization mechanisms or policies have been established for receivables and payables with customers and suppliers.

1.1 Stakeholder Organization and Identification

1.2 Communication and Analysis of Issues of Concern to

1.3 Sorting and Response after Identification of Material Topics

1.4 Influence of Sustainable Management

1.5 Fulfilling the Sustainable Development Goals

Item	GRI Standards	Upstream	Kinsus's products			Downstream	Promote Measures
		Procurement Stage	IC Substrate SiP/PBGA	FCCSP/CSP	RF modules/FCBGA	Customer use	
Customer Relationship Management and Product Quality	416-1 Assessment of the health and safety impacts of product and service categories 416-2 Incidents of non-compliance concerning the health and safety impacts of products and services	◎	◎	◎	◎	◎	Customer satisfaction surveys are conducted annually. Responsible departments are required to implement corrective actions within a specified timeframe for any complaints raised by clients. The Company has obtained ISO 9001 Quality Management System certification and adheres to documented quality assurance procedures and operational standards.
Information Security	418 Customer Privacy	◎	◎	◎	◎	◎	Establish the "Personal Data Security Maintenance Operation Management Measures" and "Fair competition and information disclosure management procedures" for both parties to follow.
Sustainable Supply Chain Management	308-1 New suppliers that were screened using environmental criteria 308-2 Negative environmental impacts in the supply chain and actions taken 414-1 New suppliers that were screened using social criteria 414-2 Negative social impacts in the supply chain and actions taken	◎	◎	◎	◎	◎	Formulate Supplier Management Operating Procedures, establish mutual trust and stable partnerships with suppliers, grow together, and build a sustainable supply chain.
Climate Change Adaptation	201-2 Financial implications and other risks and opportunities due to climate change 305-1 Direct (Scope 1) GHG emissions 305-2 Energy indirect (Scope 2) GHG emissions 305-4 Intensity Reduction of GHG emissions 305-5 Reduction of GHG emissions	◎	◎	◎	◎	△	To enhance energy efficiency, the Company implements projects focused on Energy Conservation and Carbon Reduction by reducing fuel and electricity consumption. These efforts are part of our broader strategy for the Reduction of Greenhouse Gas (GHG) Emissions.
Employment, Labor Relations, Talent Recruitment, Retention, and Development	401 Employment 402-1 Minimum notice periods regarding operational changes 404-1 Average hours of training per year per employee 405 Diversity and Equal Opportunity		◎	◎	◎		To strengthen employee engagement and unity, Kinsus offers competitive total compensation and benefits, alongside a supportive and harmonious workplace environment. The following management systems have been established for consistent implementation by all levels of supervisors: The Compensation Management Guidelines, serving as the basis for salary planning and administration. The Employee Performance Evaluation Guidelines, to ensure fair and transparent assessments. The Employee Promotion Management Guidelines, under which supervisors annually nominate high-performing employees for promotion to managerial or higher-grade positions.
Occupational Health and Safety, and Health Promotion	403 Occupational Health and Safety		◎	◎	◎		Formulate the "Operation Instructions for Prevention and Management of Ergonomic Hazards" and establish a hazard identification and control mechanism.

1.4 Influence of Sustainable Management

1.4.1 Risk Management of Material topics (Impact Analysis)

Risk Considerations : ★ Potential Impact ◆ Actual Impact

In 2025, the seriousness and possibility of risk occurrence of 10 material topics were identified, and their risk considerations, risk assessment and management measures are analyzed and explained in the following table:

Material Topic		Impacts	
Business Performance and Shareholder Rights	◆	Positive Impact – Continuous optimization of financial structure and operational performance effectively enhances shareholder returns and market competitiveness. By implementing information disclosure mechanisms and robust shareholder communication, the Company ensures investors' right to know and participate, thereby strengthening capital market trust and the Company's long-term value.	CH3
	★	Negative Impact – Underperformance in business operations or lack of transparency in information disclosure may lead to stock price volatility, weakened investor confidence, and infringement on shareholder rights. Governance imbalance may result in internal control failures and market skepticism, ultimately affecting corporate reputation and future fundraising capabilities.	
Risk Management	★	Positive Impact – Strengthening early warning mechanisms and response capabilities can effectively reduce the impact of unforeseen events on business operations.	CH2.7
	★	Negative Impact – Operational disruptions, financial losses, or regulatory violations may occur. The absence of effective risk response measures could delay reactions to emergencies, diminishing the Company's market competitiveness and stakeholder trust.	
Regulatory Compliance	★	Positive Impact – The Company complies with all applicable regulations and treats Regulatory Compliance as a foundational policy across multiple material topics.	CH2.4
	◆	Negative Impact – Any breach of legal compliance or issues related to Integrity Management would significantly damage the Company's reputation and image, potentially affecting customer willingness to place orders.	
Customer Relationship Management and Product Quality	◆	Positive Impact – Kinsus is highly committed to Product Quality and safety. The Company rigorously controls hazardous substances in production to comply with international environmental regulations and customer green product requirements. These efforts enhance corporate credibility and market competitiveness. Through systematic Customer Relationship Management, the Company establishes stable, long-term relationships that improve customer satisfaction and order stability.	CH3.3 CH3.5
	★	Negative Impact – Complaints about products or services and low satisfaction levels may result in order cancellations, affecting business performance. Quality disputes, product returns, or regulatory violations could erode customer trust and damage business reputation.	
Climate Change Adaptation	◆	Positive Impact – Through greenhouse gas inventory and the implementation of energy-saving measures, the Company establishes a management approach aimed at achieving its greenhouse gas reduction targets.	CH5
	◆	Negative Impact – If carbon reduction measures are not adopted, future carbon taxes imposed by government agencies may increase operating costs.	
Information Security	◆	Positive Impact – Strengthening information security mechanisms improves the Company's ability to respond to internal and external threats, and builds trust among supply chain partners and customers.	CH2
	★	Negative Impact – Data breaches, system failures, or cyberattacks may result in business disruption, legal non-compliance, and serious damage to corporate reputation.	
Employment, Labor Relations, Talent Recruitment, Retention, and Development	◆	Positive Impact – The Company fosters harmonious Labor Relations, values employee rights, listens to employee feedback, and provides a Grievance Mechanism.	CH6
	★	Negative Impact – Challenges in talent recruitment, retention, and development may impair departmental collaboration and efficiency. In severe cases, they may hinder operations and damage corporate image.	
Occupational Health and Safety, and Health Promotion	◆	Positive Impact – Enhancing workplace safety and health promotion measures effectively reduces the risk of occupational injuries. These efforts also improve employee well-being and job satisfaction, which strengthens overall productivity and organizational cohesion.	CH6 CH6.6
	◆ ★	Negative Impact – Workplace accidents or health issues may lead to operational risks, regulatory penalties, or reputational damage. Insufficient health management could increase absenteeism and employee turnover, raising personnel costs and business pressure.	
Integrity management and Business Ethics	◆	Positive Impact – Institutionalized training and internal monitoring mechanisms reinforce employee alignment with Regulatory Compliance and a culture of integrity, helping to prevent fraud risks.	CH2
	★	Negative Impact – Lack of a sound integrity management system or incidents of corruption, fraud, or conflicts of interest may severely damage the Company's reputation and result in legal liabilities.	
Sustainable Supply Chain Management	◆	Positive Impact – Through supplier evaluation mechanisms and responsible procurement policies, Environmental Protection, labor rights, and Business Ethics are integrated into supply chain management. This ensures partners meet sustainability standards and reduces operational risks.	CH4
	★	Negative Impact – Ineffective supplier oversight or unmet sustainability requirements may undermine customer trust, affect order intake, and weaken market competitiveness.	

1.5 Fulfilling the Sustainable Development Goals

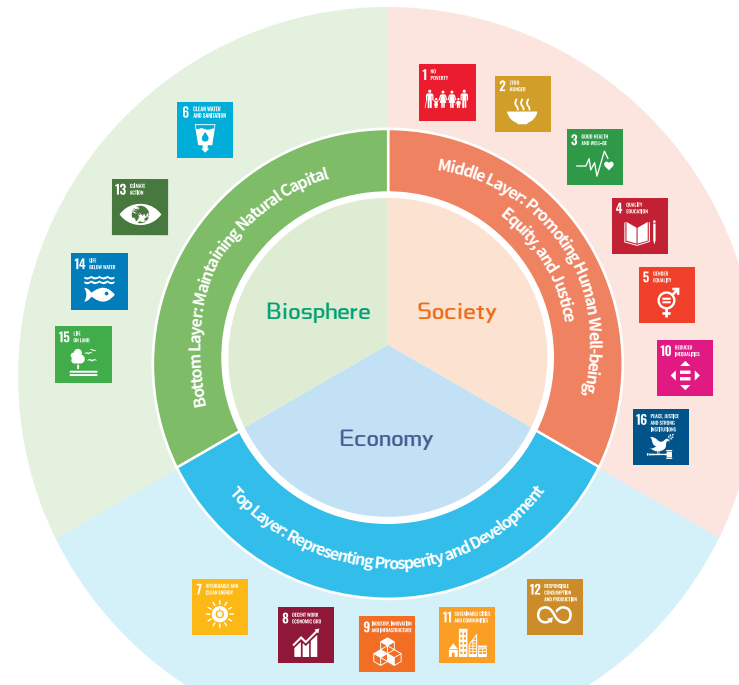
Kinsus's Sustainable Development Goals in the Direction and Actions of ESG Sustainability Report

① The five major ESG directions are as follows:

②The Company implements ESG actions



Kinsus Sustainability Policies and SDGs Mapping Table



Correspondence to SDGs	Kinsus Sustainability Development Aspects	Sustainability Policies / Initiatives	Kinsus 2025 Specific Actions and 2026 Plans
	Corporate Governance, Friendly Workplace, and Shared Prosperity with Society	Integrate employee care with community engagement to enhance social well-being. Actively participate in communication and maintain continuous engagement with stakeholders.	Physical and Mental Well-being: The Employee Welfare Committee has established recreational activity centers, encouraged employee participation in annual sports activities, and continuously organized club activities to promote employee health and well-being. Working Environment: The Company conducts operational environment monitoring, provides regular health examinations for new and current employees, and performs routine inspections of labor protection equipment. Family-friendly Workplace: Since the establishment of the Kinsus Preschool in 2012, the Company has continuously enhanced campus facilities and provided corporate subsidies. In addition, marriage and childbirth subsidies are offered, including a marriage gift subsidy of NT\$5,000 per employee and a childbirth allowance of NT\$5,000 for each newborn child. Public Welfare Activities: The Company annually sponsors volunteer firefighters, local environmental protection volunteers, and community activities, while also purchasing gift products from disadvantaged groups to support social welfare initiatives. - Based on the “ISO 45001 Occupational Health and Safety Management System” and relevant occupational safety laws and regulations, formulate occupational safety and health work rules, identify hazardous operations, establish independent inspection and safety operation standards, and prevent various potential hazardous accidents.

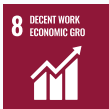
1.1 Stakeholder Organization and Identification

1.2 Communication and Analysis of Issues of Concern to

1.3 Sorting and Response after Identification of Material Topics

1.4 Influence of Sustainable Management

1.5 Fulfilling the Sustainable Development Goals

Correspondence to SDGs	Kinsus Sustainability Development Aspects	Sustainability Policies / Initiatives	Kinsus 2025 Specific Actions and 2026 Plans
	Friendly Workplace	Provide employees with comprehensive rights protection and training opportunities.	- Continuing Education Program for Employees with Occupational Safety Certifications. - The Company implements a workplace mentorship program and provides online learning courses. Various training programs and activities are continuously conducted each year, with employees receiving an average of 9.05 training hours per person in 2025. - Prior to onboarding, new employees are required to complete training programs covering the Company' s common regulations such as personnel regulations, safety and health regulations and other important management regulations. entering the working environment is handed over to the supervisor for training at work, until they are fully familiar with operational procedures and capable of working independently, thereby ensuring product and work quality.
 	Friendly Workplace	Establish a positive corporate image and pursue sustainable management goals, including human rights protection, public welfare participation, and stakeholder communication.	- Employment of persons with disabilities. - Implementation of public welfare activities for rural and disadvantaged communities. - Conduct human rights-related education and training programs, as well as labor regulation audits. - The Company' s "Work Rules" are submitted to the Labor Bureau of the county and city government for approval and record It clearly stipulates the prohibition of gender discrimination policies and systems.
	Corporate Governance, Friendly Workplace, and Shared Prosperity with Society	Operate in strict compliance with business ethics, while respecting intellectual property rights and privacy rights. Focus on performance management, compensation and benefits, and occupational health and safety.	- Implement risk management and crisis management to maintain transparent operations. - Encourage participation in sports activities and employee clubs each year to foster a healthy and active workplace environment. - Conduct operational environment monitoring and continuing education programs for occupational safety certifications.
 (SDG 6.3 Improve Water Quality, Wastewater Treatment, and Safe Reuse. SDG 6.4 Increase Water-use Efficiency)	Green Production	Comply with applicable regulations, reduce energy and resource consumption, and develop environmentally friendly products.	- Replace scrubber tower water usage with recycled water to reduce tap water consumption. - Increase process water recycling volume and establish clear targets (recycling rate $\geq 5.5\%$). - Kinsus is committed to environmental sustainability. Wastewater discharge complies with sewer discharge standards, and designated personnel are assigned for management. Regular water quality inspections and monitoring are conducted. To improve water-use efficiency, the Company has installed in-plant water recycling systems to enhance water reuse and reduce environmental impacts.

1.1 Stakeholder Organization and Identification

1.2 Communication and Analysis of Issues of Concern to

1.3 Sorting and Response after Identification of Material Topics

1.4 Influence of Sustainable Management

1.5 Fulfilling the Sustainable Development Goals

Correspondence to SDGs	Kinsus Sustainability Development Aspects	Sustainability Policies / Initiatives	Kinsus 2025 Specific Actions and 2026 Plans
	Green Production	Comply with applicable regulations, reduce energy and resource consumption, develop environmentally friendly products, and implement energy conservation and carbon reduction projects.	1 Replace outdated equipment with high-efficiency equipment. 2 Procure green electricity to optimize the energy structure. 3 Reduce the total electricity consumption of vacuum pumps and air compressors. 4 In response to the national 2050 Net-zero Emissions Policy, the Company has promoted the development of renewable energy. In 2025, the total procurement volume of renewable energy and renewable energy certificates reached 5,419 MWh. Kinsus continues to promote energy conservation and carbon reduction initiatives while improving energy efficiency to achieve the government's target of an average annual electricity savings rate of more than 1.5% for energy users.
 	Sustainable Supply Chain Management and Green Production	Establish green procurement mechanisms, promote local sourcing to reduce packaging, reduce transportation-related carbon emissions, prohibit the use of conflict minerals, and promote a green and sustainable value chain.	1 Green Products: Obtained ISO 14067 certification for products. 2 Supply Chain: Establish green procurement mechanisms and promote the prohibition of conflict minerals. 3 Packaging and Waste Reduction: Promote local procurement to reduce packaging usage. 4 Resource Reuse: Recycle and reuse chemical waste liquids and optimize production scheduling to reduce losses. 5 Information Transparency: Disclose relevant information and cooperate with the government in promoting the Corporate Governance Blueprint. Disclose the Company's non-financial information with reference to internationally recognized reporting standards.
	Corporate Governance and Green Production	Comply with applicable regulations, reduce energy and resource consumption, and develop environmentally friendly products.	1 Conduct regular greenhouse gas inventories (ISO 14064-1). 2 Obtain greenhouse gas verification statements. 3 Strengthen each department's ability to identify risks and opportunities, and enhance awareness of climate change risks. 4 Develop adaptation strategies and establish solutions in response to climate change transition risks and physical risks. Actively implement relevant response measures to ensure rapid operational recovery following disasters and minimize losses.

Kinsus Sustainability Goals — 2025 Performance Highlights



Climate Action

Implementation of 7 energy-saving initiatives

5.937 million kWh of electricity saved

Youth Factory Membrane Sludge Reduction Project

Average Membrane Sludge Reduction Rate Reached **50%**

GHG inventory and carbon footprint certification (ISO 14064-1 / ISO 14067)

Greenhouse gas emissions reduced by **2,938.8** metric tons CO₂e

Procurement of renewable energy and energy-efficient systems

Annual green power procurement: **5.4** million kWh



Information Security and Governance

Information security system upgraded (ISO/IEC 27001:2022)

System upgrade completed, enhancing operational resilience

Operation mechanism of the ESG Committee

Annual implementation progress reported to the Board of Directors



Social Responsibility

Occupational safety digitalization (Dashboard/RPA, fire compartmentalization, water systems, etc.)

Ongoing promotion and reinforcement of occupational safety protection

Educational subsidies for employees' children

250 recipients of employee children's education subsidies



International Ratings and Awards Received

CDP Climate Change Rating

B Grade

CDP Water Security Rating

B Grade

17th TCSA 2024 Corporate Sustainability Report – Bronze Award

Bronze Award



Sustainable Supply Chain

ESG audits and improvement actions in the supply chain

Supplier social responsibility assessment completion rate: **79.31%**

02 Corporate Governance & Integrity Management

2.1 Company at A Glance

2.2 Corporate Governance

2.3 Integrity Management

2.4 Business Philosophy, Ethics and Compliance

2.5 Internal Audit and Management Verification System

2.6 Information Security

2.7 Risk Management System

Kinsus regards corporate governance as the core foundation of sustainable management, focusing on key issues including integrity management, risk management, and regulatory compliance, while continuously strengthening its governance framework and institutional mechanisms. Upholding the principles of integrity and business ethics, the Company is committed to transparent information disclosure and strict compliance with applicable regulations at all operational sites in order to enhance overall operational performance and corporate reputation. At the same time, through comprehensive internal control systems, personnel management mechanisms, and ISO management system certifications, Kinsus ensures the effective implementation of operational activities and risk management practices, thereby fostering a high-quality and responsible corporate culture.

Section Highlights

The following summarizes the Company's major achievements and highlights in corporate governance and integrity management in 2025:

Corporate Governance and Shareholder Rights

From 2023 to 2025, the Company aims to rank within the top **21~35%** of all listed companies in the Corporate Governance Evaluation.

GRI Content Index

GRI 2-1、9-20、24、27、205-1~3、206-1

Status of achievement of key objectives in this chapter



Achieved



Unachieved

Material Topics	2025 Goal	In 2025 Execution Summary		2026 Goal	2027 Goal	Corresponding chapters
Corporate Governance and Shareholder Rights	top 35%	 Achieved.21%~35%	From 2025 to 2030, the Company aims to rank within the top 35% of all listed companies in the Corporate Governance Evaluation.	the top 35%	the top 35%	2.2 Corporate Governance
	No corrective actions were issued by the Taiwan Stock Exchange	 Achieved.	The Company ranked within the top 21%~35% of all listed companies in the Corporate Governance Evaluation	No corrective actions were issued by the Taiwan Stock Exchange	No corrective actions were issued by the Taiwan Stock Exchange	2.2 Corporate Governance
Ethical Business Practices and Regulatory	100%	 Achieved.100%	communication rate with new recruits	100%	100%	2.4.2 Ethics and Compliance
	No major disciplinary actions	 Achieved.	No major disciplinary actions	No major disciplinary actions	No major disciplinary actions	2.4.2 Ethics and Compliance
Information Security	Effective blocking rate reaches 99.99%	 Achieved.100%	Intrusion prevention systems (IPS) shall actively block external threats	Effective blocking rate reaches 99.99%	Effective blocking rate reaches 99.99%	2.6 Information Security
	100%	 Achieved.100%	PC/NB endpoint protection software installation rate	100%	100%	2.6 Information Security
	100%	 Achieved.100%	Information service server installation rate	100%	100%	2.6 Information Security
	Meets the goal	 Achieved.All results met expectations	Conducted disaster recovery drills for five critical service processes, including data center infrastructure services, identity management systems, customer service systems, email systems, and privileged account management systems	Meets the goal	Meets the goal	2.6 Information Security
	0 items	 Achieved.0 items	No data leakage incidents reported	0 items	0 items	2.6 Information Security
Prevention is more important than remedy to reduce losses	≥ 2 times	 Achieved.2 times	evacuation and fire drills are conducted at least twice annually.	≥ 2 times	≥ 2 times	2.7 Risk Management System

2.1 Company at A Glance (GRI 2-1, 2-9, 2-11)

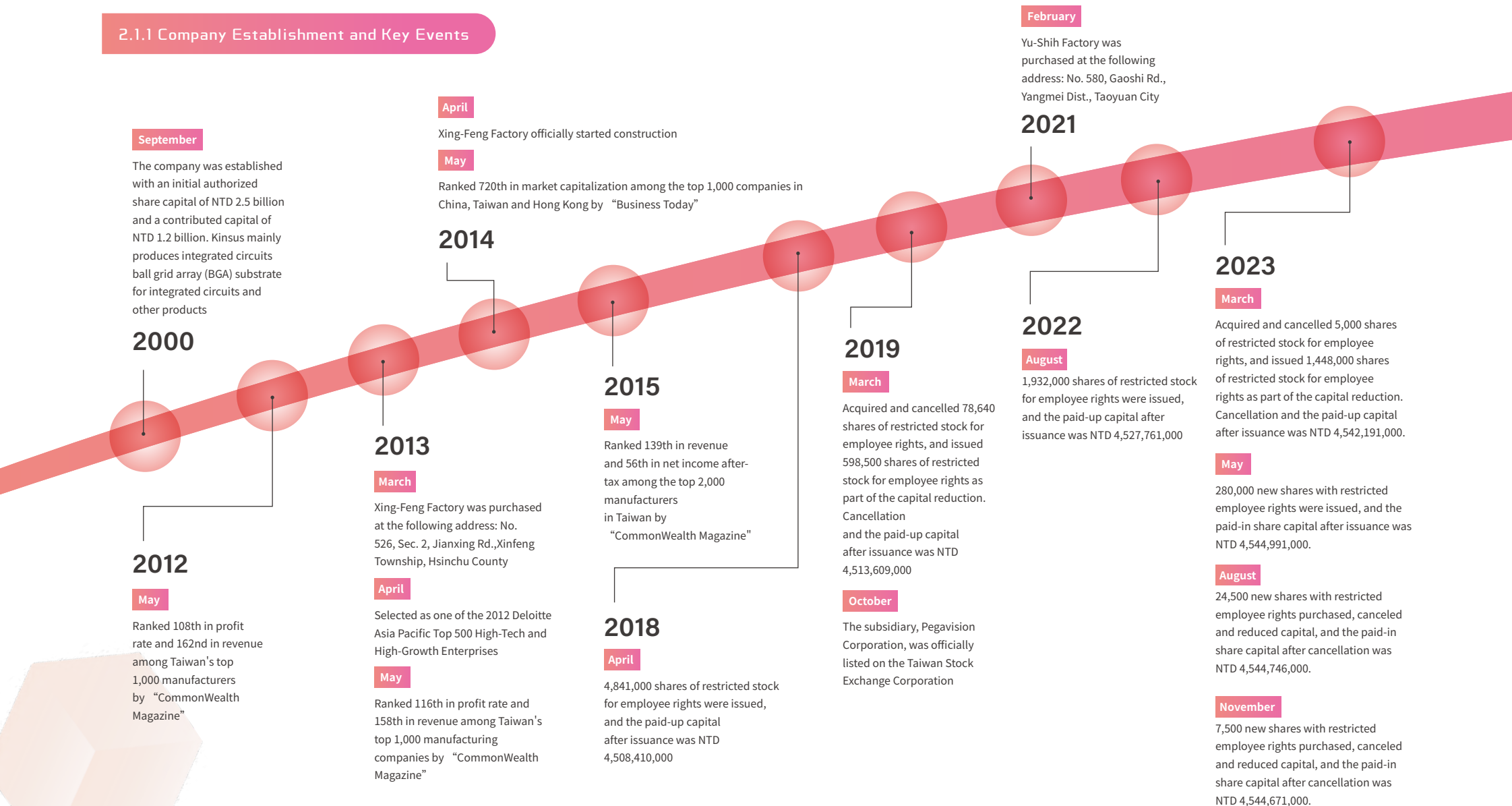
Kinsus Interconnect Technology Corp. was established in September 2000, with its headquarters located in Xinwu District, Taoyuan City. There are four factories in Taiwan: Shih-Lei Factory, Tsing-Hua Factory, Xing-Feng Factory and Youth Factory. It also has a factory in Suzhou, China. These factories are primarily engaged in the manufacturing and sales of substrates for IC packaging. The Company also has a U.S. subsidiary responsible for substrate design, market strategy analysis, customer development, and new product technology research and development.

Since the establishment, Kinsus has adhered to the concept of "satisfying customers and pursuing excellence" and is heading towards the research and development direction that leads the market in terms of technology. We aims to improve profits by surpassing competitors in technology and products, and we strive to grasp trends in order to develop new-generation products.

Company Name	Kinsus Interconnect Technology Corp.
Headquarters Location	No. 1245, Zhonghua Rd, Xinwu Dist., Taoyuan City
Capitalization	NTD 4,568,127,000 (2025.12.31)
Number of Employees	6,848 (2025.12.31)



2.1.1 Company Establishment and Key Events



2024

January

Cancellation of 44,000 shares of restricted employee shares and capital reduction. After cancellation, the paid-in capital amounted to NTD 4,544,231,000.

August

Cancellation of 49,000 shares of restricted employee shares and issuance of 2,297,000 new restricted employee shares. After cancellation and issuance, the paid-in capital amounted to NTD 4,566,711,000.

October

Cancellation of 12,000 shares of restricted employee shares and capital reduction. After cancellation, the paid-in capital amounted to NTD 4,566,591,000.

2025

February

Cancellation of 9,700 shares of restricted stock for employee rights and capital reduction. After cancellation, the paid-in capital amounted to NTD 4,566,494,000.

April

Cancellation of 42,200 shares of restricted stock for employee rights and capital reduction. After cancellation, the paid-in capital amounted to NTD 4,566,072,000.

August

Cancellation of 36,300 shares of restricted stock for employee rights and issuance of 264,000 new restricted stock for employee rights. After cancellation and issuance, the paid-in capital amounted to NTD 4,568,349,000.

October

Cancellation of 22,200 shares of restricted stock for employee rights and capital reduction. After cancellation, the paid-in capital amounted to NTD 4,568,127,000.

2.1.2 Board of Directors Organizational Structure

The Company's Board of Directors has established functional committees, including the "Audit Committee" and the "Compensation Committee." All committees convene meetings in accordance with the organizational regulations approved by the Board of Directors and exercise the powers granted by applicable laws and regulations or delegated by the Board. Proposed resolutions are submitted to the Board of Directors for approval, and relevant matters within the scope of authority are reported to the Board accordingly. The Internal Audit Office is responsible for regularly conducting audit operations and reporting audit results to the Audit Committee and the Board of Directors. On April 29, 2019, the Board of Directors approved the appointment of Senior Director Su-Chen Liu of the Finance Division as the Corporate Governance Officer to assist in the operation of the Board of Directors.

Functional Committees

Name	Audit Committee	Compensation Committee
Independent Director Ming-Yu Lee	V (Director)	V (Director)
Independent Director Liang-Ji Chen	V	V
Independent Director Hong Hocheng	V	V
Average Attendance Rate in 2025	86.67%	83.33%

2.2 Corporate Governance

Material Topics: Corporate Governance and Shareholder Rights

Management Guidelines

- **Corporate Governance Policy:** Comply with the Company Act and relevant business regulations, and allow the company's board of directors to operate normally.
- **Shareholders' rights and interests' policy:** operating profit without loss, ensuring shareholders' rights and interests.
- **Goals and targets:** the key issues for the successful operation of enterprises, and the governance system jointly supported by managers, employees and shareholders.
- **Commitment:** Use due diligence and early warning communication methods to implement the company's principles and protect stakeholders' benefits.
- **Management measures:**
 - (1) Establish a "Corporate Governance Principles" system to ensure the structure, agenda and obligations of the Board of Directors.
 - (2) Comply with legal norms and requirements, and perfect the members of the Board of Directors .
 - (3) In order to seek professionalism in business decision-making, the composition of the Board of Directors has diverse academic experience.
 - (4) Adhere to integrity management and commit to sustainable governance to create value for shareholders.
 - (5) Update important news any time in Market Observation Post System to protect shareholders' rights.
 - (6) Strengthen the alignment between the SDGs and the Company's sustainability strategy, and establish performance metrics for material topics.

Responsibility

- **External Liability:** Company Act, Securities and Exchange Act, Business Entity Accounting Act.
- **Internal system:** Integrity Management Operating Procedures and Principles of Conduct Guidelines, Endorsement Guarantee Operating Procedures, Capital Loans to Others Personnel Operating Procedures, Procedures for Acquiring or Disposing of Assets, Company Articles of Association, Ethical Principles of Conduct, Integrity Management Principles, Principles of Practice for Corporate Governance, Principles of Practice for Corporate Social Responsibility, Operational Procedures for Preventing Insider Trading(For the Company's Insider Trading Policy and its implementation status, please refer to the Company's official website.).

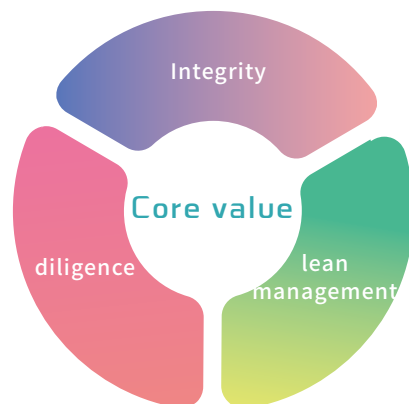
Since the establishment, Kinsus has been committed to providing customers with high-quality and efficient services, fostering a simple and uncomplicated corporate culture, and striving to become a leading company with high growth and high performance.

Annual shareholders' meeting: Image: The 2025 (114) annual shareholders' meeting



2.2.1 Core Value and Corporate Vision

Kinsus upholds the business philosophy of “Integrity, diligence, and lean management” as the foundation for the Company’s stable development. Amid the rapidly changing semiconductor industry environment, Kinsus remains committed to ethical operations while continuously strengthening its corporate structure through transparent governance and disciplined execution to ensure long-term competitive advantages. In terms of talent development, the Company is committed to creating a lean and motivating work environment by actively cultivating and unlocking employee potential, promoting cross-functional collaboration



and innovative thinking, and strengthening team cohesion to jointly create outstanding performance. On the path toward sustainable development, Kinsus aims to become a world-class green industry enterprise by actively investing in environmental protection and low-carbon manufacturing processes. By integrating industrial innovation capabilities, the Company strives to create substantial value for both social responsibility and the environment.

2.2.2 Governance Department

Board of Directors

The Board of Directors is the Company’s highest governance body. Mr. Sih-Jheng Liao serves as Chairman of Kinsus Technology, and Mr. He-Xu Chen serves as President. On May 30, 2024, Kinsus Technology held its Annual General Shareholders’ Meeting and conducted the election for the 9th Board of Directors. The term of office for the elected directors is three years, from May 30, 2024, to May 29, 2027. On the same day, the Board of Directors convened and elected Mr. Sih-Jheng Liao as the new Chairman. The Board of Directors consists of nine members, including three independent directors. The election is conducted through a candidate nomination system. Nominees are required to possess professional or managerial backgrounds in relevant fields such as electronics, computer communications, finance and accounting, or business management. In addition to exercising the powers granted by the Company Act, the Company’s Articles of Incorporation, and resolutions of shareholders’ meetings, the Board supervises the Company’s overall operational performance, formulates business strategies and development plans, identifies operational, financial, and tax-related risks, and oversees the planning and implementation of the Company’s sustainable development initiatives.

Directors who are also employees account for 44% of the Board. Independent directors account for 33%. There is one female director, accounting for 11%. Two independent directors have served terms of less than three years, and one independent director has served for three to nine years. In terms of age, two directors are over 70, five are between 61 and 69, and two are under 60. The average age of the Board is above 50 years old.

The Board of Directors operates in accordance with the “Board Meeting Rules.” Board meetings are convened at least once every quarter to thoroughly review the Company’s operational performance and discuss future development strategies. Directors adhere to a high level of self-discipline. If an agenda item involves their own interests, they shall comply with the conflict-of-interest provisions under Article 32 of the “Board Meeting Rules” and “Decision-Making Procedures” in the “Principles of Practice for Corporate Governance.” To avoid and mitigate conflicts of interest, directors who have an interest in a meeting matter, either personally or on behalf of the legal entity they represent, which may be detrimental to the interests of the Company, shall not

participate in discussions or voting on such matters, nor exercise voting rights on behalf of other directors. For details regarding the powers and responsibilities of the Board of Directors, please refer to the “Board Meeting Rules” section on the Company’s official website.

Board Diversity and Concurrent Positions Held in Other Companies

The Company has established the “Principles of Practice for Corporate Governance,” which clearly stipulate the Board diversity policy and specific management objectives. The composition of the Board of Directors takes into consideration diversity factors including gender, age, nationality, cultural background, professional expertise, and industry experience. All directors possess the necessary knowledge, skills, and professional competence required for their duties, and guide the Company with an international perspective to achieve the ideal objectives of corporate governance.

Chairman and Deputy Chief Strategy Officer

Sih-Jheng Liao



Male

Main Experience (education)

Tatung Institute of Technology, Honorary Doctor of Business
Chief Operating Officer of Pegatron Corporation
Senior Vice President of Unihan Holding Ltd

Director and Chief Strategy Officer

Zi-Xian Tong



Male

Main Experience (education)

Electrical Engineering, National Taipei University of Technology
Honorary Doctor of Engineering, National Taipei University of Technology
Vice Chairman of ASUSTeK COMPUTER INC.
Chairman of Pegatron Corporation
Chairman of Kinsus Interconnect Technology Corp.
Chairman of Pegavision Corporation

Director

Peter Kuo



Male

Main Experience (education)

Electrical Engineering, National Taipei University of Technology
President of Unicap Electronics
Chairman of Kinsus Interconnect Technology Corp.

Director, CEO and President

He-Xu Chen



Male

Main Experience (education)

Physics, National Tsing Hua University
General Manager of Kinsus Interconnect Technology Corp.
Manufacturing Manager, Motorola

Director

Asuspower Investment Co.
Ltd. Representative:

Jeff Chang

Main Experience (education)

Mechanical Engineering, National Central University
Equipment Design Manager, Manz AG Taiwan
President of Kinsus Interconnect Technology Corp.

Director

Jeff Chang



Male

Main Experience (education)

Same as the above

Director

Asustek Investment Co., Ltd. Representative:

Yi-Xuan Lin

Main Experience (education)

Department of Economics, National Taiwan University (NTU)
Business Administration, National Taiwan University (NTU)
Chief Operating Officer of Pegatron Corporation
Manager of Pegatron Corporation

Director

Yi-Xuan Lin



Female

Main Experience (education)

Same as the above

Independent Director

Ming-Yu Lee



Male

Main Experience (education)

Master's Degree, Graduate Institute of Accounting, National Chengchi University
Certified Public Accountant, Hung Tao CPA Firm
Independent Director / Member of the Audit Committee /
Member of the Compensation Committee, Casetek Holdings
Limited Director, Taiwan Provincial Industrial Association

Independent Director

Liang-Ji Chen

Male



Main Experience (education)

Ph.D., Institute of Electrical Engineering, National Cheng Kung University
Founding Director, Graduate Institute of Electronics, National Taiwan University (NTU)
Director, Electronics Research and Service Organization, Industrial Technology Research Institute (ITRI)
Distinguished Professor, Department of Electrical Engineering, NTU
Director, Creativity and Entrepreneurship Program, NTU
Deputy Dean, College of Electrical Engineering and Computer Science, NTU
Chair Professor, NTU
Host of the 13th and 16th National Chair Professorship, Ministry of Education
Chair Professor, NTU
President, National Applied Research Laboratories (NARLabs)
Vice President for Academic Affairs, NTU
Political Deputy Minister, Ministry of Education
Minister, Ministry of Science and Technology

Independent Director

Hong Hocheng

Male



Main Experience (education)

Ph.D., Department of Mechanical Engineering, University of California, Berkeley
President, National Tsing Hua University
Deputy Minister, National Science Council, Executive Yuan
Dean, College of Engineering, National Tsing Hua University
Dean of Student Affairs, National Tsing Hua University
Professor, Department of Power Mechanical Engineering, National Tsing Hua University

Note The current Directors concurrently hold positions in the Company and other entities. Please refer to the 2025 Shareholders' Meeting Annual Report (pp. 4-7) for details.

Collective Knowledge of the Board of Directors

In addition to possessing relevant industry backgrounds and practical experience in business management, all members of the Board of Directors of the Company have undertaken training in accordance with the "Implementation Rules for the Continuing Education of Directors and Supervisors of TWSE/TPEX Listed Companies." The Company also discloses such information on a regular basis. Training topics include financial accounting, financial regulations, ESG, professional ethics, and legal responsibilities. In 2025, the Company planned key continuing education programs focusing on topics such as artificial intelligence and digital finance in consideration of international development trends and technological advancement. In addition, directors actively participated in courses provided by external professional institutions based on their individual needs. These courses covered key topics including sustainable governance development trends, directors' and supervisors' responsibilities, and emerging technology applications, thereby strengthening their strategic guidance and supervisory functions.

All directors continuously enhance their knowledge related to corporate governance and corporate sustainability throughout their terms of office, and complete the required annual continuing education hours in accordance with applicable regulations to ensure the continuous improvement of the Board's overall decision-making quality and governance effectiveness.

Director Remuneration

According to Article 24 of Kinsus' bylaws, if the company generates profits in a given fiscal year, a maximum of 1% shall be allocated for director remuneration. The proposal for the distribution of director remuneration should be presented in the annual shareholder meeting report. Kinsus has established the "Director Remuneration Payment Regulations," which stipulate that directors and independent directors who do not hold positions within the group receive fixed compensation regardless of the company's financial performance. For directors who hold positions within the group, their remuneration is calculated based on their position within the company, representation as a director of subsidiary companies, and their level of involvement in the company's operations, taking into account a comprehensive assessment. Reasonable compensation is provided accordingly. The proposed director remuneration, as mentioned above, is subjected to the recommendation of the Compensation Committee and subsequent approval by the Board of Directors in accordance with the regulations.

Operation of the Board

For information regarding actual attendance and number of meetings attended, please refer to the 2025 Annual Report (p.19).

Year	2023	2024	2025
Average Attendance Rate	97.78%	94.44% (Note)	86.67%

Note The Company conducted a full re-election of Directors at the Annual General Shareholders' Meeting on May 30, 2024.

Compensation Policy and Performance Evaluation of the Board of Directors and Managers in Relation to Economic, Environmental, and Social Topics

Managers' compensation is determined in accordance with the Company's Compensation Management Guidelines, which stipulate monthly salaries. In addition, year-end or quarterly bonuses, non-salary incentive bonuses, and employee compensation are granted based on the Company's annual or quarterly operating performance. The compensation standards are determined according to job grade, administrative or technical positions, and individual work performance. Evaluation criteria include the Company's overall profitability, growth, achievement rates, and operational performance, while also incorporating ESG-related corporate governance indicators. The aforementioned policies, standards, and structure regarding the compensation of directors and managers are reviewed and exercised by the Compensation Committee, which submits its recommendations on directors' and managers' compensation to the Board of Directors for discussion.

The President and senior managers are assigned sustainability performance indicators as part of their performance objectives, which are linked to variable compensation.

The Company calculates senior managers' compensation based on the achievement of the following annual sustainability performance targets.

Evaluation items include corporate governance rankings, carbon reduction performance, renewable energy usage rates, water and energy conservation performance, information security management results, sustainable supply chain management, and the promotion performance of occupational health, safety, and health promotion initiatives.

Performance Evaluation

In order to enhance corporate governance and the efficiency of our board of directors, the Company has established performance objectives in accordance with Article 37 of the Corporate Governance Best Practice Principles for TWSE/TPEx Listed Companies. On December 30, 2019, the Company implemented the “Board of Directors Performance Evaluation Procedures,” which were subsequently revised to “Board and Functional Committee Performance Evaluation Procedures” on July 31, 2023, to align with governance practices and operational needs.

At the end of each fiscal year, the executive unit collects relevant information on board activities and distributes self-assessment questionnaires such as the “Board Performance Assessment Self-Assessment Questionnaire,” “Board Member Assessment Self-Assessment Questionnaire,” and “Functional Committee Performance Assessment Self-Assessment Questionnaire.” These questionnaires are then centrally collected by the coordinating unit, and the evaluation results based on the criteria outlined in Article 8 are recorded and reported to the board. The 2025 performance evaluation was reported to the Board of Directors on January 30, 2026.

Overall, the operations of the board and functional committees have been effective, with most evaluation indicators receiving positive ratings. The Company will continue to strengthen the efficiency of board and committee operations to uphold corporate governance standards.

According to the Board and Functional Committee Performance Evaluation Procedures, an external professional independent organization or team of external experts and scholars should be appointed at least once every three years to conduct a board performance evaluation. In 2023, the Company engaged Diwan Financial Advisory Services Co., Ltd., an independent external professional organization, to conduct an external evaluation of our board's performance. The organization and its executing experts maintain independence from our company with no business relationships. The assessment period was from January 1, 2022, to December 31, 2022, and the evaluation process integrated document review, self-assessment questionnaires, and onsite interviews provided by the company. It also utilized board meeting records, current internal policies, supplementary documents, and publicly available information. The evaluation report was issued on July 31, 2023, with an assessment result of excellent. The 2024 performance evaluation was reported to the Board of Directors on February 17, 2025, and also on January 29, 2024.

The Company plans to commission an external independent professional institution in 2026 to conduct an external evaluation of the Board of Directors' performance. The evaluation period will cover January 1, 2025, to December 31, 2025, and the evaluation results are expected to be reported to the Board of Directors before the end of the first quarter of 2027.

Information Disclosure

Kinsus is committed to enhancing information disclosure transparency and places great importance on stakeholders' right to know. Through diversified and timely communication channels, the Company ensures that important corporate information is fully disclosed.

The Company has established an official website (<http://www.kinsus.com.tw/>) to disclose basic corporate information, product information, financial status, and corporate governance operations. In addition, spokesperson and acting spokesperson systems have been established to respond to concerns raised by shareholders and stakeholders.

With regard to information disclosure mechanisms, the Company not only holds investor conferences and participates in investment forums on an irregular basis to explain operational performance and future development directions, but also regularly discloses important information regarding business activities, organizational structure, financial status, and operational performance on the Market Observation Post System (MOPS) in accordance with relevant regulations and industry practices. At the same time, information is simultaneously released in both Chinese and English through multiple platforms, including the Company's website, annual reports, sustainability reports, investor conferences, and annual shareholders' meetings, to ensure the timeliness and accessibility of information. Through comprehensive information disclosure systems and two-way communication mechanisms, Kinsus not only strengthens interaction and trust with stakeholders, but also promptly responds to changes in the market, economy, society, and environment as important references for continuously enhancing corporate governance and operational strategies.



2.3 Integrity Management

Kinsus engages in business activities based on the principles of fairness, honesty, trustworthiness, and transparency. In order to implement the integrity management policy and actively prevent dishonest behavior, in accordance with the “Principles of Integrity Management of Listed OTC Companies” and the relevant laws and regulations of the company and the group where the company operates, establish Integrity Management Operating Procedures and behavior guidelines to specifically regulate the matters that personnel at all operational sites of the Company should pay attention to when performing business.

Kinsus designates the Human Resources Department as a dedicated unit, and allocates sufficient resources and qualifies personnel to handle the revision, implementation, interpretation, consulting services and notification content registration and filing of the operating procedures and behavior guidelines and other related operations and supervision. Please refer to the Company’s official website for the principal responsibilities of the Integrity Management Operating Procedures.

2.3.1 Integrity Management Business Operations

Before Kinsus establishes commercial relationships with others, Kinsus should firstly evaluate the legitimacy of agents, suppliers, customers or other business contacts, integrity management policies, and whether they have ever been involved in dishonest behavior records, so as to ensure the fairness of their business operations, transparent and will not ask for offer or accept bribes. When Kinsus conducts the assessment in the preceding paragraph, it may adopt appropriate inspection procedures to examine its business contacts with regard to the following items, so as to understand their integrity management status:

1



The company's country, place of operation, organizational structure, operating policies, and place of payment.

2



Does the enterprise have established a policy of integrity management and its implementation?

3



Does the place where the enterprise operates belong to a country with a high risk of corruption?

4



Is the business of the enterprise an industry with a high risk of bribery?

5



The long-term operating conditions and goodwill of the enterprise.

6



To consult its business partners for their opinions on the company.

7



Does the enterprise have ever been involved in dishonest acts such as bribery or illegal political donations?

2.3.2 Implementation Results

Kinsus conducts regular employee education and training, including the promotion of the concept of integrity management, and the establishment of anonymous reporting channels for colleagues to understand and abide by, and to improve the effectiveness of the company's implementation of integrity management. The table below summarizes the number of employees who participated in integrity management training programs in 2025.

Unit: person

Category \ Year	2023	2024	2025
New Recruits	126	1,156	1,520
Existing Staff	5,561	6,401	6,848

Note Due to operational adjustments in 2023, workforce recruitment decreased compared to previous years.

Report /Complaint Mechanism

Kinsus focuses on respecting human rights, protecting intellectual property, and preventing improper benefit transmission from harming the rights and interests of the company, customers and suppliers. In order to ensure the implementation of integrity management, Kinsus has set up an independent audit department to perform internal audit operations on a regular or irregular basis every year, and set up a convenient and smooth complaint channel for internal and external stakeholders to report and respond appropriately, so as to reduce the company's operational risks and establish a good interaction model with stakeholders. Employees who become aware of any illegal conduct may file a complaint with the Audit Office or the Human Resources Department.



Implementation results in 2025: No supervisor or employee violated the principle of integrity.



2.4 Business Philosophy, Ethics and Compliance

2.4.1 Business Philosophy

The core value of the company: integrity, diligence, and lean management, that is, the business philosophy, and the pursuit of profit and surplus as the biggest goal. Kinsus is committed to ensuring the company's information transparency, creating higher added value of products, and striving to improve team professionalism and leadership management ability to continuously improve operational performance.

2.4.2 Ethics and Compliance

Material Topic → Ethical Business Practices and Regulatory Compliance

Policy: Adherence to corporate ethics, professional conduct, and applicable laws and regulations.

Management Guidelines

- **Goal and target:** the process of continuous growth and sustainable operation, achieving economic scale and improving the overall competitiveness of the enterprise. The process complies with ethics and economics, environment and labor, safety and health related laws and regulations, as well as corporate ethics and professional ethics.
- **Commitment:** use due diligence and early warning communication methods to abide by corporate ethics, professional ethics and legal compliance. Also, protect the rights and interests of stakeholders.
- **Management measures:**
 - (1) Establish an effective internal control system and management system to implement the company's clean and integrity management.
 - (2) Comply with relevant laws, regulations and requirements, and cooperate with the government to jointly promote the sustainable development of the electronics manufacturing industry.
 - (3) Pay attention to corporate ethics and employee professional ethics, and respect intellectual property rights and privacy of individuals or customers.
 - (4) Strengthen communication with all stakeholders, and strive to meet the expectations of stakeholders for the company's sustainable operation.



Kinsus values the integrity and honesty of its employees. To uphold these principles, the company has established various policies and procedures, including the "Principles of Ethics," "Professional Principles of Conduct," "Integrity Management Procedures," and "Operational Procedures for Preventing Insider Trading." The "Principles of Ethics" is signed by the Chairman of the Board and is publicly disseminated through the company's official website (<https://www.kinsus.com.tw/zh-TW/Download/csr-policies>) and posted internally. It is used to promote corporate social responsibility and ethics-related education and training within the organization. Furthermore, all new employees are required to sign the "Commitment to Integrity, Honesty, and Confidentiality" upon joining the company, aiming to prevent any corrupt practices.

New recruits in the last three years: the number of people promoted through the RBA:

Year	Each Factory				Total
	Shih-Lei	Tsing-Hua	Xing-Feng	Youth	
2023	54	18	33	21	126
2024	164	219	551	222	1,156
2025	92	45	71	72	280

Note New employees refer to employees who have completed three months of employment.

All business partners who deal with each other also follow the "Principles of Ethics," Professional Principles of Conduct, "and "Integrity Management Procedures," which express the highest standard of integrity and implement the corporate culture and business philosophy of "integrity management".



Anti-Bribery and Anti-Corruption

Kinsus has established the "Integrity Management Procedures" to ensure the normal business operation, maintain fair competition, and regulate commercial purchasing and sales activities. These procedures prohibit any form of corruption, extortion, embezzlement, or other illicit practices. They clearly define the guidelines for all of Kinsus' business activities and interactions with external parties. This includes engagements with government departments, negotiations with customer representatives for orders, customer quality control inspections, impartial product testing, quality control audits, and other related activities. The procedures explicitly forbid the provision or acceptance of improper gains, such as kickbacks, promotional fees, advertising expenses, service fees, reimbursement of various costs, or the provision of domestic or international travel, either directly or indirectly, outside of the transaction.

When onboarding new suppliers, Kinsus requires them to sign a Commitment to Ethical Conduct to ensure adherence to anti-bribery and anti-corruption ethical standards. In 2025, corruption and bribery risk assessments were conducted across all operational sites through self-assessment questionnaires, internal audits, and internal and external whistleblowing channels. The assessment results indicated that there were no significant risks of corruption or bribery, and no incidents of bribery or corruption were identified.

The Commitment to Ethical Conduct includes a prohibition against offering, either directly or indirectly, any form of monetary or non-monetary benefits—such as rebates, handling fees, commissions, intermediary fees, service charges, gifts, loans, rents, job opportunities, or other improper advantages. To implement this ethical business policy, the Company provides a dedicated email and reporting hotline for submitting complaints, either anonymously or with identification:



Dedicated Email
whistleblower@kinsus.com.tw / hr@kinsus.com.tw



Reporting Hotline
+886-3-4871919 ext. 25000 or 27885

2.4.3 Compliance

Since its establishment, Kinsus has adhered to the principle of governance in accordance with laws and regulations. The Company is committed to complying with applicable domestic and international laws and regulations, while continuously monitoring regulatory and policy developments that may have a material impact on its financial performance and operations. The Legal Affairs Department regularly collects and analyzes the latest regulatory information and promptly communicates relevant updates to responsible departments to facilitate the implementation of regulatory requirements in daily operations.

To strengthen regulatory compliance, Kinsus has implemented appropriate management systems and internal control mechanisms across its operational units. Through regulatory compliance reviews and audit procedures, the Company ensures that all operations comply with applicable laws and regulations. These measures not only reduce potential operational risks but also effectively safeguard the Company's reputation and stakeholder trust.

In addition, the Company regularly conducts regulatory compliance training programs to enhance employees' awareness and understanding of legal and regulatory requirements, thereby preventing violations arising from improper conduct. In 2025, Kinsus did not incur any material violations of economic, environmental, or labor-related laws and regulations. All business activities were conducted in compliance with applicable antitrust and anti-corruption requirements. The Company defines a material regulatory violation as a single environmental violation resulting in a penalty exceeding NT\$320,000, or a single economic or labor-related violation resulting in accumulated penalties exceeding NT\$1 million. Kinsus continues to enhance the effectiveness of regulatory compliance through systematic management practices.



All penalty cases incurred in 2025 were resolved through corrective actions completed within the deadlines required by the relevant authorities, and the cases have since been closed. The Company subsequently strengthened employees' awareness of relevant legal requirements through training programs and internal communication meetings.

2.5 Internal Audit and Management Verification System

2.5.1 Internal Audit

In order to fully examine and evaluate the effectiveness of internal control, measure the effectiveness and efficiency of operations, the reliability, timeliness, and transparency of reporting, and compliance with applicable laws and regulations. Kinsus has established an independent Internal Audit Office that reports directly to the Board of Directors.

- **Scope:** Check and evaluate the adequacy and effectiveness of the internal control system of each department in the company and the efficiency of operating activities.

- **Targets:** The audit targets include the business that each unit of the company is responsible for.

- **Management measures:**

Planned →

The Audit Office will formulate the audit plan for the next year according to the laws and regulations and the risk assessment results before the end of each year. After drawing and submitting to the Board of Directors for discussion and approval, the audit plan serves as the basis for audit activities.

Project-specific →

Depending on business needs, the company's senior executives or the supervisors of the Audit Office designate the audit topic and time. Audit personnel shall carry out the inspection of various audit operations within the determined time.

- **Audit process**

1

Formulate the annual audit plan according to the risk assessment results, and implement the audit work according to the annual audit plan.

2

Execute project audits as needed and provide management level with timely knowledge of existing deficiencies or potential risks.

3

Issue an audit report after performing the audit work and put forward suggestions and improvement methods.

4

Continuously track and improve the audit missing items, and make tracking reports on a quarterly basis until the completion of the improvement is confirmed.

5

After the audit report and follow-up report are submitted, they should be submitted to the independent directors for reviewing before the end of the next month after the completion of the audit project.

The audit work is conducted based on the results of risk assessment. An annual audit plan is formulated and executed after approval by the Board of Directors. The purpose of the audit is to provide management level with information on the operation status of internal controls. Special audits are carried out as necessary. Any deficiencies identified are communicated effectively with the audited units, allowing the management level to understand the current deficiencies or potential risks.

After conducting the audit procedures, the internal audit department prepares written audit reports and follow-up reports. In addition to regular reporting to the Board of Directors during quarterly meetings, they also report to the Chairman and the Audit Committee on a monthly basis or as necessary.

The implementation results of the internal audit plans for the most recent three years are summarized as follows:

Year	Audit Plan Execution Rate	Number of Deficiencies Identified	Number of Deficiencies Corrected	Corrective Action Completion Rate
2023	100%	3	3	100%
2024	100%	0	N/A	N/A
2025	100%	2	1	50%

A total of three deficiencies were identified in 2023, all of which have been corrected. No deficiencies were identified in 2024. In 2025, a total of two deficiencies were identified, of which one remains under corrective action and is subject to ongoing quarterly follow-up and monitoring.

No material internal control deficiencies were identified during the period from 2023 to 2025. The design and implementation of the Company's internal control system were deemed effective. The Internal Control System Statement is disclosed in the Company's annual report and filed in accordance with applicable regulations.

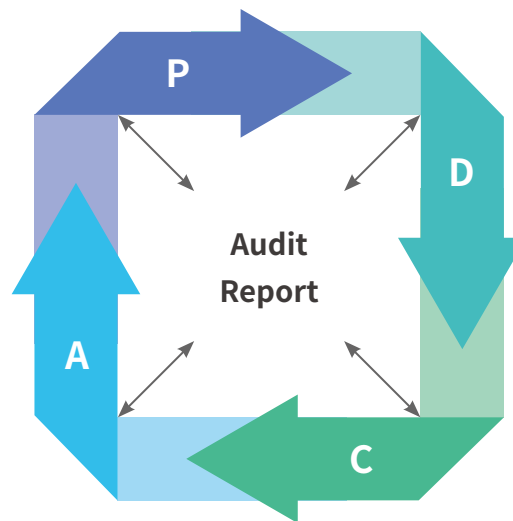
Audit activities are managed using the P-D-C-A cycle, as illustrated below:

Plan(P)

- Establish objectives for each item
- Conduct risk assessment
- Develop plans and procedures

Action(A)

- Improvement measures
- Revision of regulations and procedures
- Verification of goal achievement
- Ongoing improvement



Do(D)

- Implement the objectives, plans, and procedures established in the previous step

Check(C)

- Evaluation of implementation status and outcomes
- Audit execution
- Follow-up on improvement status



2.5.2 Internal Management System

The Board of Directors and management of Kinsus establish internal management systems in accordance with the “Guidelines for Establishing Internal Control Systems for Publicly Traded Companies” and relevant legal regulations to enhance operational effectiveness and product quality.

The internal management system is mainly divided into the following three items:

(1) Internal control system

The internal control system covers the entire operations of the company, including the functions related to planning, organizing, and controlling in the management aspect, as well as the nine major cyclic procedures and standard measures adopted in the areas of sales, production, procurement, financing, payroll, fixed assets, computer information, investment, and research and development. These are all within the scope of the internal control system. The main objective is to achieve “facilitating effective operational activities within the organization.”

(2) ISO Management System

To address issues related to production, quality, and the environment, the Company has established ISO management systems. The following ISO certifications (including ESD certification) have been obtained:

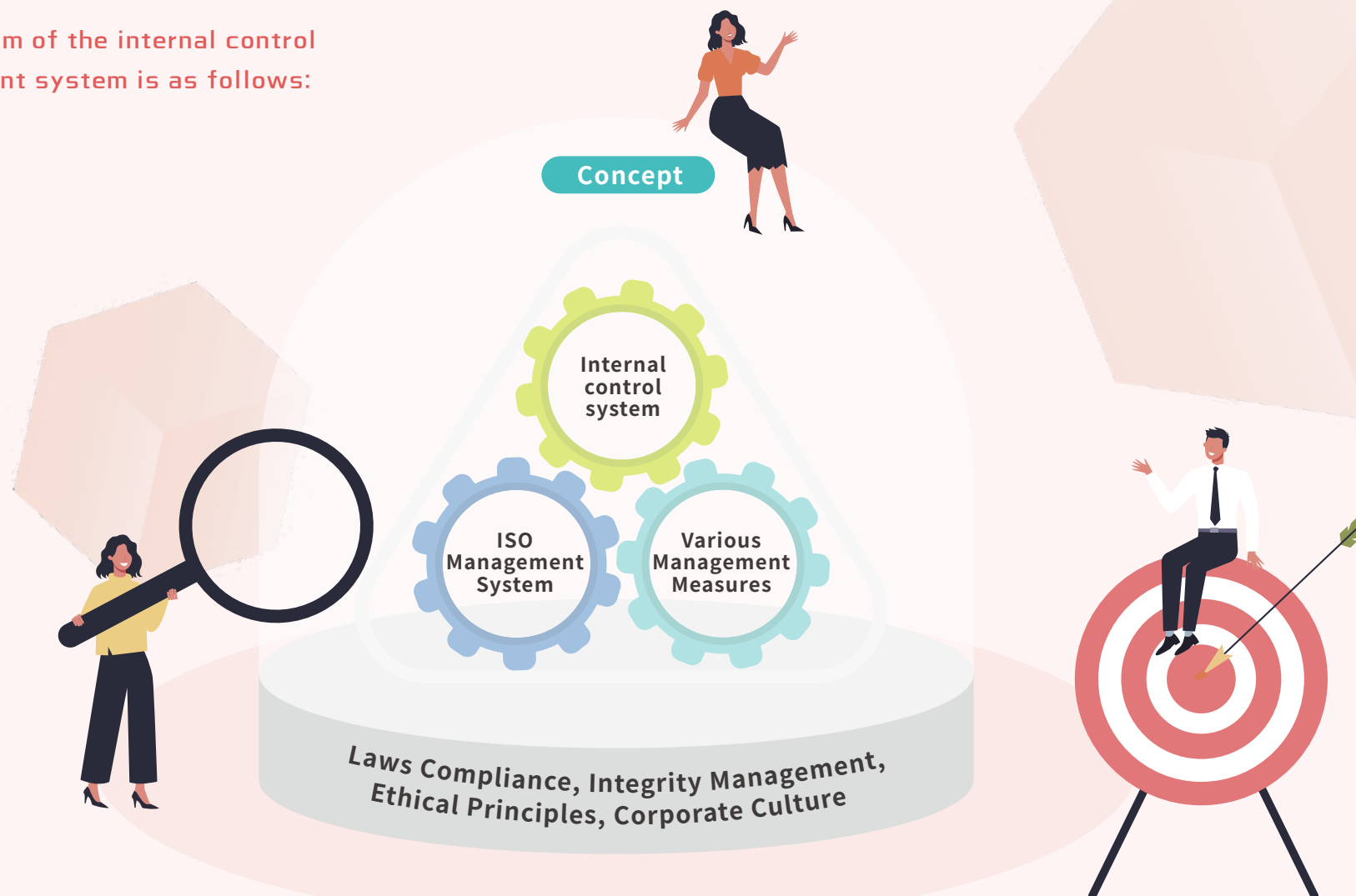
ISO 9001 Quality Management System, ISO 14001 Environmental Management System, ISO 45001 Occupational Health and Safety Management System, ISO 27001 Information Security Management System, ISO 14064-1 Greenhouse Gas Inventory, ISO 14067 Carbon Footprint Verification, IATF 16949 Automotive Quality Management System, and ANSI/ESD S20.20 Electrostatic Discharge Control Certification.

(3) Various Management Measures

For high operational risk items such as personnel management system, credit management operations, and expense approval authority, Kinsus has established relevant management procedures to mitigate operational risks. The three internal control management systems, including the internal control system, ISO management systems, and various management procedures, are based on compliance with regulations, integrity in business operations, ethical values, corporate culture, and business philosophy. These systems ensure the effective operation and continuous improvement of the organization. They also align with Kinsus' commitment to sustainable business practices, and aim to enhance operational efficiency, product quality, and value-added services, ultimately achieve the company's vision and mission of sustainable business operations.

Improve operational efficiency and product quality

The diagram of the internal control management system is as follows:



2.6 Information Security

Material Topic > Information

Security Policy: Implement an information security management system to safeguard company data and customer confidentiality.

Management Guidelines

- **Goals and targets:** Ensure the confidentiality, integrity, availability, and legal compliance of the Company's ICT infrastructure and information systems.
- **Commitment:** Apply due diligence and proactive communication mechanisms to enforce the information security management system and protect both company information and customer data.
- **Management measures:**
 - (1) Enforce the Company's information security policy.
 - (2) Implement an information security management system.
 - (3) Enhance information security awareness across the Company.
 - (4) Strengthen the Company's incident response capabilities.
 - (5) Achieve measurable performance aligned with information security policy objectives.



Information Security Risk Management Framework

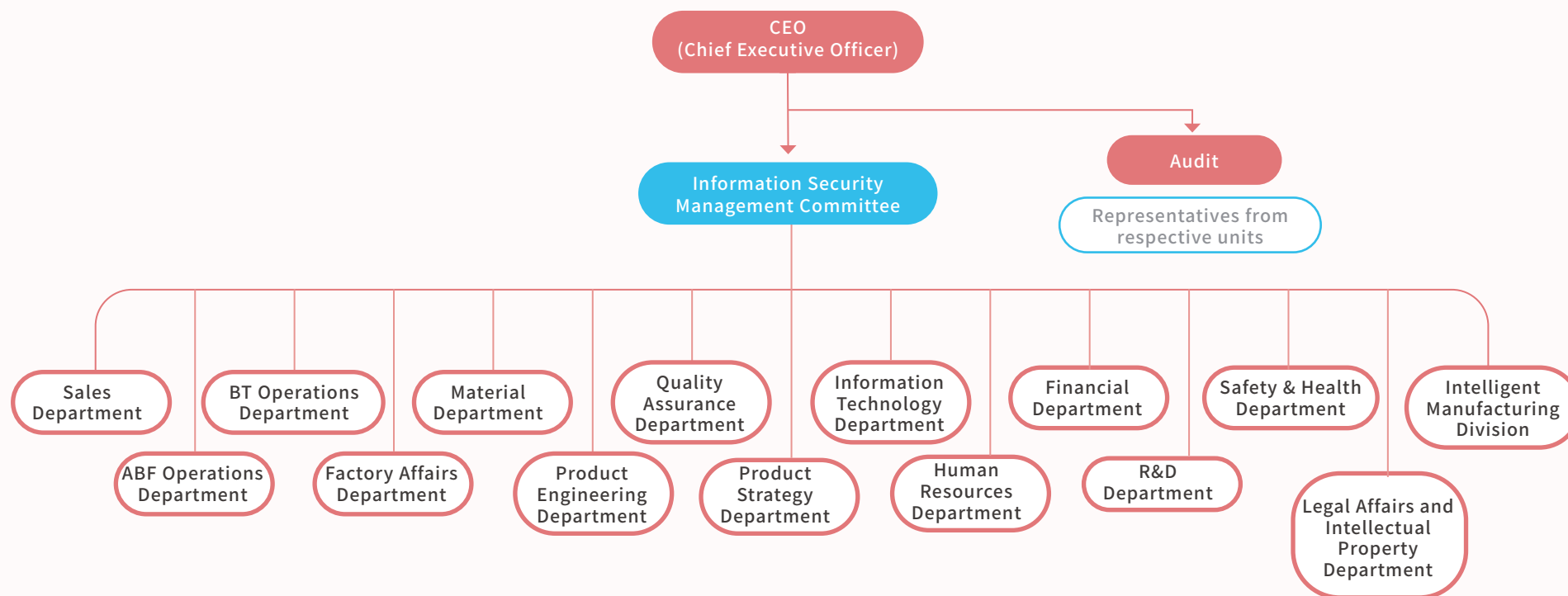
Based on the concerns of internal and external stakeholders, Kinsus has established the "Information Security Management System" in accordance with international standards and legal requirements related to information security management operations and personal data protection. This system ensures that the company's information and communication infrastructure and information systems comply with requirements for confidentiality, integrity, availability, and legality. Through the continuous improvement cycle of the PDCA (Plan-Do-Check-Act) management model, the company integrates and strengthens its information security management system. The implementation of information security management in 2025 was reported to the Board of Directors by the convener of the management committee on December 22, 2025.

Information security management overall policy

The CEO of the company has appointed an Information Security Management Representative to establish an internal Information Security Management Committee. This committee is responsible for formulating the company's information security management policies and establishing dedicated units, managers, and personnel for information security. They plan and implement information security operations within the company.

2.6.1 Information Security Management Organization

The company has set up a dedicated information security management unit, supervisors and personnel responsible for the promotion and management of information security. About information security, the full management committee is as follows:



Kinsus' information security management policy is to "provide a reliable information security management operating environment to ensure the continuous normal operation of the company's business and achieve the company's information security management goals." After review and approval by the CEO, it will be released for implementation.

Purpose

(1) Implement the company's information security management policy.

(2) Import information security management system.

(3) Improve the quality of the company's information security management.

(4) Strengthen the company's information security management response capabilities.

(5) Reach the measurement indicators of information security management policy.

Scope of application

Shih-Lei Factory (headquarters), Tsing-Hua Factory, Xing-Feng Factory, Yu-Shih Factory.

Goal

The information security management objective of Kinsus is to "ensure the confidentiality, integrity, and availability of organizational business-related information and communication systems and provide continuous and reliable services." To ensure the effective implementation of the company's information security management system and meet the operational needs of the company, all operational processes should be regularly reviewed, assessed, and adjusted based on the company's information security management objectives.

2.6.2 Information Security Management Measures



Information Security Management Principles

Confidentiality

Management Focus

Information System Access Control and Data Protection

Specific Actions

The Information Security Management System (ISMS) was formally implemented and certified with ISO/IEC 27001 at the Shih-Lei Factory.

Institutional/ Method of Education Publicity

- 1 Implement information asset classification and confidentiality level management, and establish a designated ownership system for maintaining the "Information Asset Inventory".
- 2 Implement privileged account management, data encryption, and Data Loss Prevention (DLP) mechanisms.
- 3 Adopt a Zero Trust architecture to strengthen multi-factor authentication and supplier identity verification.
- 4 Establish a Non-Disclosure Agreement (NDA) management mechanism.
- 5 Strengthen risk management and enhance personnel competencies.
- 6 Continue to provide information security training for new employees and promote thematic information security awareness through the EIP portal and screen saver campaigns.

Device Safety Protection

- 1 Establish policies governing the use of portable storage media (USB devices), software usage, and account and password management, as well as mechanisms for tiered account privilege authorization and review.
- 2 Protect the Company's internal information equipment from virus attacks and malicious intrusions by deploying antivirus software on endpoint devices, including PCs, notebooks, and production equipment computers. In addition, screen watermarking has been enabled on PCs and notebooks to alert employees and ensure that the source can be traced in the event of information leakage.
- 3 Strengthen information security protection for host systems by implementing an anti-ransomware file storage system.

2025 Implementation Results

- 1 More than 1,300 new employees completed information security awareness training as part of new employee orientation, achieving a 100% completion rate for information security training among new hires. Information security education (0.5 hours) was provided during orientation training. In addition, an annual social engineering security awareness assessment was conducted for all employees. A total of 20,500 participant attendances were recorded for information security awareness promotion activities, with no disciplinary cases resulting from violations.
- 2 Completed a company-wide information asset inventory and planned audit activities.
- 3 Achieved a 100% installation rate of endpoint protection software on PCs and notebooks, and a 100% installation rate on information service servers.
- 4 No virus infection or intrusion incidents occurred in IT/OA equipment, and machine-related virus incidents remained at zero per quarter through continuous improvement efforts.
- 5 Centralized management of server and network equipment login privileges was implemented, with zero unauthorized login or ransomware incidents.

Information Security Management Principles

Integrity

Management Focus

Information System Development and Backup Recovery Drills

Specific Actions

Network Security Protection

- 1 A multi-layered defense and monitoring system was established. Strategies for managing network protection equipment continue to be refined, along with streamlined control procedures.
- 2 Ensure that the acquisition, development, and maintenance of information systems are conducted in accordance with Company regulations by implementing the Secure Software Development Life Cycle (SSDLC) to ensure system security.
- 3 Conduct regular internal audits and implement corrective actions on an annual basis.
- 4 Perform regular vulnerability scans and remediation activities, and continuously optimize security controls through cybersecurity vulnerability assessments while strengthening wireless network access security.
- 5 Conduct social engineering exercises to enhance employees' information security awareness.

Disaster Preparedness

- 1 Conduct regular backup and recovery drills for servers and equipment on an annual basis to ensure the integrity and effectiveness of backup procedures. Disaster recovery system and data restoration drills are performed to continuously optimize backup system switchover efficiency and reduce emergency recovery activation time.
- 2 Establish a cloud-based backup system to enhance incident response capabilities and implement an automatic failover mechanism for cloud-to-site network connectivity.

2025 Implementation Results

- 1 Implemented the internal audit plan in 2025 and completed all required corrective actions.
- 2 Files from each plant are backed up daily to an off-site location through network storage according to a scheduled backup plan, with offline backups performed in accordance with backup procedures. Cloud network availability reached **100%**, and backup circuits automatically switched over when required, ensuring uninterrupted operations.
- 3 Conducted server vulnerability scans semi-annually and remediated vulnerabilities identified as high-risk or above. Two vulnerability assessments were completed, and corrective actions were continuously implemented in accordance with remediation plans.
- 4 Conducted social engineering exercises semi-annually and provided additional information security training to high-risk users identified through the exercises. A total of two social engineering exercises were conducted, with 6,312 participant attendances recorded.



Information Security Management Principles

Availability

Management Focus

Threat Defense and Operational Resilience

Specific Actions

Email Safety Control

- 1 Deploy firewalls, virus detection systems, and network traffic monitoring mechanisms.
- 2 Establish environmental security controls for information data centers, including uninterruptible power supply (UPS) systems and routine maintenance programs.
- 3 Establish Information Security Incident Response Procedures (IRP) and conduct regular drills.
- 4 Reduce the risk of external cybersecurity threats entering employee mailboxes by implementing an advanced email security management system. AI technologies have been introduced for outbound email audit management, and AI review models are continuously enhanced to improve accuracy and efficiency.
- 5 Continuously optimize outbound email review mechanisms.

2025 Implementation Results

- 1 Conduct information security testing and security awareness exercises semi-annually to strengthen employees' response capabilities and security awareness.
- 2 Maintain system availability at a high standard, with no major operational interruption incidents.
- 3 Enable SPF, DKIM, and DMARC email authentication mechanisms.
- 4 Perform sandbox analysis of email links and attachments to block unsafe content. In terms of email security management, an average of 231 suspicious phishing emails were automatically blocked per month. The number of high-risk emails entering the Company was zero, and no cases of policy violations were detected.
- 5 Conduct one annual backup and recovery drill for critical core systems to simulate system failures and post-disaster recovery. Disaster recovery drills were conducted for five critical service processes, including data center infrastructure services, identity authentication systems, customer service systems, email systems, and privileged account management systems. The results met expectations.
- 6 The intrusion prevention system proactively blocked external intrusion threats, achieving a 100% interception rate.
- 7 No production equipment experienced network interruptions caused by information security threats.
- 8 No information security violations involving suppliers occurred.
- 9 No system intrusion-related information security incidents occurred.

2.6.3 Information Security Performance Indicators

In accordance with the FSC ESG Reporting Guidelines, Kinsus has continued to strengthen information security management. In 2025, the Company achieved all cybersecurity targets, including zero information security or network security incidents, zero data breaches, zero violations involving personal data, and no penalties or fines.

2025 Information Security Indicators	Target	Performance
Number of information or network security violations (cases)	0 cases	0 cases
Number of data breach incidents (cases)	0 cases	0 cases
Number of personal data breach incidents involving customers (cases)	0 cases	0 cases
Number of customers and employees affected by data breaches (cases)	0 cases	0 cases
Penalty amount due to information or network security incidents (NTD)	0	0

2.7 Risk Management System

Risk Management

To address various risks that may cause significant operational impacts, demonstrate the Company's operational resilience, and pursue sustainable business development, Kinsus has strengthened the functions of the Board of Directors and its risk management mechanisms. The Sustainability Department is responsible for overseeing and coordinating matters related to business continuity and risk management, while the Audit Committee supervises the operation of risk management and reports to the Board of Directors on an annual basis. To effectively prevent and control corporate risks, the Company adopted the "Risk Management Policy and Procedures," which was approved by the Board of Directors on October 30, 2023. Under this policy, the Company identifies and manages risks in accordance with the principle of materiality and assigns responsibility based on departmental functions and authorities. Regular risk assessments, risk mitigation measures, and periodic reviews are conducted, and corresponding risk management plans are developed and implemented to enhance the Company's resilience and support sustainable business operations.



● Risk Management Organizational Structure:

The Board of Directors serves as the highest authority for risk management within the Company. The Sustainability Department is the responsible unit for executing risk management activities, with the President serving as the convener and the heads of each department acting as participating members. Each department identifies risks within the scope of its responsibilities and regularly convenes meetings to conduct risk assessments and discuss corresponding mitigation measures.

● Scope and Procedures of Risk Management:

The internal control system is regularly self-assessed by the management of each operating unit and subsidiary, while the internal audit function reviews the implementation status to ensure compliance with the Company's established policies and control procedures. In accordance with the "Risk Management Policy and Procedures," the Company continuously identifies, assesses, responds to, and monitors various types of risks, and maintains risks within acceptable levels to ensure the integrity, effectiveness, and optimization of risk management practices.

● Risk Management Mission

To establish and maintain an effective risk management system and continuously improve it, reduce operating costs, ensure the company's continued profitability, and create a high-quality working environment, thereby achieving the company's sustainable operating goals. Its objectives, targets, commitments, and management measures are shown in the table below:

Material issues→Risk Management

Policy: Prevention is more important than remedy to reduce losses

Management Guidelines

- **Goal and target:** Monitor global economic conditions, climate change, and energy supply risks to proactively develop company strategies and adjust operational models. Prioritize prevention over remediation and actively implement relevant response measures.
- **Commitment:** Closely monitor global industry trends and climate change, adjusting development goals and business strategies in a timely manner to mitigate potential risks.
- **Management measures:**

Planned →

Conduct annual fire drills and emergency evacuations to reduce the risk of injury in case of a fire. During the summer typhoon season, have an emergency response team ready to address and manage disaster occurrences.

Project-Specific →

Establish a "Risk Group" within the ESG Sustainability Committee to regularly assess the severity and likelihood of risks related to climate change, internal and external operations, and significant issues. This proactive approach helps prevent or mitigate the impact of potential losses or severe damage to the Company.

To comply with laws and regulations, demonstrate operational capabilities, reduce the probability of accidents, and minimize asset losses, Kinsus considers sustainable development and risk management as top priorities in expanding our business. To ensure the comprehensive integration of these principles into our operations, we take proactive control actions to manage and respond to uncertainties. We will continue to establish relevant systems for enterprise risk management and enhance employees' awareness of risk management. Our goal is to actively identify, assess, and manage risks and uncertainties, aiming for continuous improvement in risk management practices throughout the organization.

2.7.1 Risks and Opportunities

Risk Factor	Threaten	Countermeasures
 Industry Competition	Since the BGA carrier board and packaging technology will change due to the chip design the product life cycle is relatively short. Since the BT base material is Mitsubishi's proprietary material, if faced with Mitsubishi's production capacity tightening, it will inevitably affect product shipments and customer loss.	In the future, Kinsus will develop various flip-chip substrates, ultra-thin substrates, and high-density substrates in accordance with the packaging types, and at the same time extend existing patented technologies to gain market opportunities. In addition to continuing to maintain a good relationship with the existing BT base material factories, in order to avoid the risk of shortage that may be caused by the concentration of suppliers, at the same time, parallel development and testing of related substitutes is carried out to maintain a stable supply of main raw materials.
 Customer Correspondence	Market price fluctuations affect relationships with customers	Provide customers with new value with the most advanced high-quality products, and promise to provide the necessary resources for continuous operation management to ensure that customers' operations remain normal.
 Business Operations	Unforeseen or unpredictable incidents or natural disasters can impact operational conditions, create financial burdens, or introduce other risks.	Establish emergency response plans and business continuity plans, and conduct regular drills to enhance personnel response capabilities, reduce business interruption time, and mitigate the impact and effects of disruptions.
 Environmental, Health, and Safety Management	Physical risks due to climate change are continuously increasing. With the development of product patents and technology, necessary expansion of facilities and the use of chemicals and equipment on production lines have become increasingly important.	Through the implementation of management systems, effectively manage energy consumption during operations to reduce carbon emissions and waste, thereby minimizing environmental impact. And providing a safe workplace environment, delivering training and emergency drilling are based on risk categories, and protect employee safety. This reduces potential risks in office and operational environments to ensure uninterrupted business activities.

Risk Factor	Threaten	Countermeasures
 Employee Ethics	There are possible incidents of labor and moral hazards during the company's operation process. Once the incident occurs, it may cause damage to the company's goals, personnel, assets, environment and image, or cause these consequences at the same time.	Identify and analyze the risks that the company may face in advance, and then take advanced control measures and continuous monitoring and improvement procedures to minimize the possibility of potential risks and minimize the impact on the company's goals.
 Supply Chain	In order to stabilize the supply of goods and ensure the quality of raw materials, the company does not easily change suppliers after evaluation and trial production.	Building a common ESG goal to establish a highly competitive supply chain with suppliers through regular audit activities, management reviews and procedures to ensure that continuous operation management is effective.
 Information Security	With the development of science and technology, the information security risks faced by the company are increasing day by day.	Relevant personnel must abide by the "Intellectual Property Rights Act", "Computer Processing of Personal Data Protection Act" and the contract regulations with customers when implementing the matters regulated by the policy. Carry out information security control, including physical security, system security, electronic document preservation and other measures. Promise to fully protect the intellectual property rights and personal data of customers.

Note In accordance with the principle of materiality, Kinsus conducts risk assessments on environmental, social, or corporate governance issues relevant to its business operations. The Company formulates corresponding risk management policies or strategies through impact analysis. For details, please refer to Section 1.4.1 "Risk Management of Material Topics (Impact Analysis)" of this Report. The goals and performance outcomes can be found in the Appendix "1. ESG Performance."

03 Operational Performance, Stakeholders' Rights Customer Service and Product Quality

3.1 Operational Performance and Challenges

3.2 Tax Policy

3.3 Customer Relationship Management

3.4 Customer Privacy

3.5 Product Quality

Kinsus's vision: to become the world's leading supplier of IC substrates and a provider of comprehensive packaging technology solutions.

Kinsus is a full-process IC substrate factory, providing customers with full-process services from circuit design, photomask production, substrate production, to automatic electrical testing. The plan is to meet the needs of global customers for advanced technology and product portfolio, assist customers in high-end product development and stable mass production supply, and become a trusted strategic partner for customers. At the same time, provide customers with good service and high satisfaction, assist the sustainable operation of important supply chains, and create maximum performance and profits.



Status of achievement of key objectives in this chapter



Achieved



Unachieved

Material Topics	2025 Goal	In 2025 Execution Summary		2026 Goal	2027 Goal	Corresponding chapters
Operational Performance and Stakeholders' rights	≥ 1 item	 Achieved 2 items	Complete at least one CDP assessment item (e.g., Climate Change / Water Security).	≥ 1 item	≥ 1 item	3.1 Operational Performance and Challenges
Customer Relationship Management	Satisfaction score maintained above 70 points	 Achieved, 82 points	Customer satisfaction score	to be maintained above 70.	to be maintained above 70.	3.3 Customer Relationship Management
Customer Privacy	0 items	 Achieved.0 items	No incidents of customer privacy violations or data loss that compromised customer rights.	0 items	0 items	3.4 Customer Privacy
Product Quality	Quality management system verification passed	 Achieved, passed	Obtain ISO 9001 and IATF 16949 quality management system certifications annually.	Quality management system verification passed	Quality management system verification passed	3.5 Product Quality

3.1 Operational Performance and Challenges

Material Topics → Operational Performance and Stakeholders' rights Policy: Improving Quality to Increase Profits

Management Guidelines

- **Goals and targets:** Starting from fundamental environmental protection, social responsibility, and corporate governance, we aim to cultivate a deeply rooted corporate culture. Reduce waste to balance cost expenditure, improve quality to increase profits.
- **Commitment :** Utilize due diligence and early warning communication methods , complying with the Responsible Business Alliance (RBA) Code of Conduct, regulations, and government requirements.
- **Management measures:**
 - (1) Comply with applicable laws and regulations, and protect employee rights and labor rights.
 - (2) Establish management systems to reduce risks related to labor, health and safety, environment, and ethics, and commit to continuous improvement to implement corporate social responsibility.
 - (3) Continue to focus on IC substrate manufacturing to drive company growth, consolidate Kinsus's industry advantages, and continuously contribute to society, achieving a vision of shared prosperity with society.



External Liability Company Act, Securities and Exchange Act, Business Entity Accounting Act.

Internal System Integrity Management Operating Procedures and Principles of Conduct Guidelines, Endorsement Guarantee Operating Procedures, Capital Loans to Others Personnel Operating Procedures, Procedures for Acquiring or Disposing of Assets, Company Articles of Association, Ethical Principles of Conduct, Integrity Management Principles, Principles of Practice for Corporate Governance, Sustainable Development Best Practice Principles for TWSE/TPEX Listed Companies, Operational Procedures for Preventing Insider Trading.

3.1 Operational Performance and Challenges

3.2 Tax Policy

3.3 Customer Relationship Management

3.4 Customer Privacy

3.5 Product Quality

The company's main products are used as chip carriers during semiconductor assembly and as a channel for external circuit connections. They are raw materials or carrier components in the packaging industry. The sales targets are mainly IC packaging, design and system companies at home and abroad.

The company's IC substrates are sold all over the world. The main production bases are located in Taiwan (Taoyuan, Hsinchu) and mainland China (Suzhou). There is a branch in California, US, and there are agent service offices in Seoul, Korea and Muar, Malaysia to provide more complete and timely communication and customer service.

The classification of main products is as follows:

Main products	Purpose/Function
Flip Chip Ball Gate Array Package Substrate (FCBGA)	FCBGA packages are often paired with ABF substrates, forming a critical high-end carrier for High Performance Computing (HPC) applications. These packages offer substantial future growth potential. ABF substrates were originally developed under Intel's leadership and are particularly suited for ICs requiring high pin counts and high-speed transmission. They are mainly used in large, high-end chips such as CPUs, GPUs, and chipsets. Flip-Chip Ball Grid Array (FCBGA) packaging delivers exceptional performance and cost advantages. For chips requiring thousands of I/O connections, traditional wire bonding cannot compete with flip-chip packaging in terms of both performance and cost efficiency. As technology continues to advance, the application of ABF substrates is rapidly expanding. They now encompass nearly all fields demanding high-performance, high-precision, and high-speed ICs. ABF substrates are capable of supporting advanced semiconductor processes and meeting the requirements for fine-pitch lines and high-density interconnections, offering strong market growth potential. Primary Applications of FCBGA (ABF Substrate): 1 Computing and Electronics: Used in the fabrication of high-performance chips such as CPUs, GPUs, and chipsets. Demand has been particularly strong in areas such as AI-driven high-speed computing, making it a key driver of future growth. 2 Communication Technologies: Supports high-speed data transmission chips required for 5G, IoT, and mobile communication base station infrastructure. 3 Automotive Electronics: Applied in automotive central processing units, system management chips, in-vehicle navigation, and infotainment systems. 4 Industrial Automation and Control: Used in controllers for robotics, PLCs (Programmable Logic Controllers), and other industrial automation equipment. 5 Medical Devices and Biotechnology: Supports high-precision control and data transmission chips used in medical imaging equipment and biochips.
RF Module Package Carrier Board (RF Modules)	Numerous and diverse cloud applications and colorful multimedia content have become the key content of life in the digital age. This type of demand requires a huge communication bandwidth, which of course also increases the demand for many mobile phone communication frequency bands. In order to meet the communication needs in human life in the future, frequency band integration and the launch of more advanced communication protocols will continue to be carried out. What appears on the handheld device or cloud device is more power amplifiers and front-end RF modules. The RF module packaging substrate is slightly different from most digital circuit designs. It requires higher design experience and skills, and requires more stringent process control.

3.1 Operational Performance and Challenges

3.2 Tax Policy

3.3 Customer Relationship Management

3.4 Customer Privacy

3.5 Product Quality

Main products	Purpose/Function
Flip Chip Scale Package Substrate (FCCSP)	Smartphones have become a device owned by everyone nowadays. The powerful computing power and network access capabilities required by them are driving the rapid increase of IC functions and the number of pins. When the number of chip output / input pins continues to increase, the flip-chip chip-level package will further increase the display cost advantage. Recently, the manufacturing cost of the bumps on the wafer has also continued to decrease, which also promotes a faster reduction of the packaging cost. Today, flip-chip scale packaging has become the mainstream packaging technology for high-pin-count ICs, such as application processors for handheld devices.
Wire Bonded Chip Scale Package Substrate (CSP)	Thin, light and small has always been the development trend of various handheld devices, which drives the miniaturization of components and parts. Thinner and smaller ICs Packaging has become a basic technical requirement for components of handheld devices. Under these requirements, wafer-scale packaging has become the most mainstream packaging technology for internal components of handheld devices.
Plastic Ball Gate Array Package Substrate (PBGA)	This is the most basic ball gate array substrate used in wire bonded packaging, and its basic material is a resin-impregnated copper foil substrate with glass fibers. The plastic ball gate array package substrate can be applied to a chip package with a relatively high pin count. When the function of the chip is upgraded, usually with the increase of the number of output / input pins, the traditional lead frame package structure becomes insufficient, and the plastic ball gate array package substrate provides a cost-effective solution.

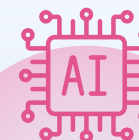
Other main applications of the above products are as follows:



Personal computer field, including desktop, Notebook and Chromebooks.

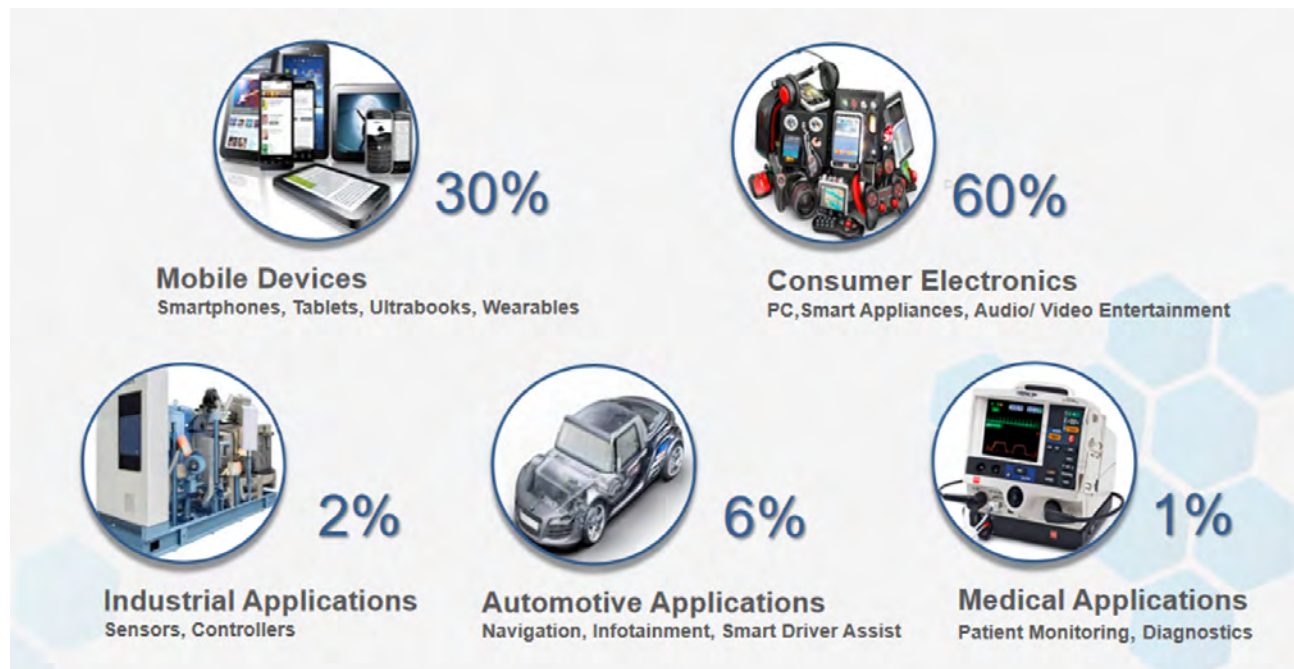


Consumer electronics and optoelectronic products for communication and general household or personal use.



Applications of 5G communication and related applications.

The collection diagram of each product category and application is as follows:



With the gradual increase in the penetration rate of smart phones, the overall smart phone market has entered a plateau period. Kinsus continues to invest in R&D and has successfully developed technologies and products, including AI-related and automotive products, driving continuous growth in business performance.

Diversification of marketing regions

In 2025, the Company's primary sales region was Taiwan, accounting for the largest share of revenue at 25.63%, followed by the United States at 24.74% and China at 16.48%. The top three regions collectively accounted for approximately 66.85% of total revenue, reflecting a relatively high concentration. Moving forward, the Company aims to expand its customer base in other countries or regions, such as South Korea, Southeast Asia, and Europe, to diversify markets and mitigate risks.

Changes in Kinsus Technology's Value Chain

Driven by the continued growth in demand for High-Performance Computing (HPC), Artificial Intelligence (AI), and automotive electronics, the Company's value chain has gradually shifted from a traditional focus on consumer electronics toward high-value-added and high-reliability application sectors. On the upstream side, the importance of raw material suppliers and key technology providers has increased, prompting the Company to strengthen long-term partnerships with strategic suppliers. In the midstream manufacturing segment, smart manufacturing and automation technologies have been introduced to enhance production efficiency and quality stability. On the downstream side, the customer portfolio is increasingly composed of leading international companies and high-growth industries, driving optimization of the Company's product mix. In addition, Kinsus has incorporated sustainability considerations into its value chain management by promoting supplier decarbonization, responsible procurement, and risk management mechanisms. These efforts demonstrate the Company's strategic commitment to continuously enhancing the resilience and competitiveness of its overall value chain amid industry transformation in 2025. No material changes in the Company's value chain were identified during the reporting year.

3.2 Tax Policy

Our company supports tax policies that promote corporate product and technological innovation, as well as sustainable development. We are committed to controlling tax risks, pursuing sustainable development, and fulfilling corporate social responsibility. KINSUS makes the following commitments:

- All significant operational decisions comply with relevant laws and regulations, and tax risks are evaluated accordingly.
- We adhere to the OECD Base Erosion and Profit Shifting (BEPS) Action Plan, ensuring that profits are generated by companies with economic substance and obtaining tax residency in the respective jurisdictions, in accordance with local tax regulations.
- We do not engage in transactions solely for the purpose of tax avoidance in low-tax jurisdictions.
- Financial reporting complies with applicable laws and regulations, and tax information is fully disclosed as required.
- Based on integrity, we establish a relationship of mutual respect and effective communication with tax authorities in the jurisdictions where we operate.



In 2025, the Company complied with applicable tax policies and regulations. No penalties or sanctions were imposed by the competent authorities.

3.3 Customer Relationship Management

Material Topic→ Customer Relationship Management

Policy : Manage Customer Relationships with Care and Improve Their Service Satisfaction

Management Guidelines

- **Goals and targets:** Regular and irregular management of customer relationships and services to ensure customer orders are not lost and continuously improve satisfaction.
- **Commitment :** Utilize due diligence and early warning communication methods, comply with applicable business regulations and ethical standards, and protect customer privacy.
- **Management measures:**
 - (1) Conduct regular customer satisfaction surveys to achieve the goal of sustainable operation and growth, and record the results.
 - (2) Include customer satisfaction survey and improvement results in management review and promptly address and improve issues.
 - (3) Develop short, medium, and long-term plans to enhance customer satisfaction and ensure a continuous flow of customer orders.



Customer maintenance and satisfaction survey

According to the operational procedure SBM03000 for customer satisfaction surveys, customer satisfaction surveys are conducted regularly. These surveys are carried out every six months or quarterly by members of the sales department through personal visits, fax, email, or postal mail.

The process involves the following steps:

Customers complete the customer satisfaction survey form.

- ✓ The results of the customer satisfaction survey and improvement measures are included in the management review and evaluation.

Customer satisfaction surveys are crucial in achieving the key goals of sustained operation and growth. With the aim of enhancing customer satisfaction, KINSUS makes effective use of Enterprise Resource Planning (ERP) and procurement platforms as management systems, actively promoting a win-win philosophy among customers, suppliers, and KINSUS. KINSUS strives to provide optimal solutions in terms of cost, quality, and service (including delivery time) and regularly conducts customer satisfaction surveys. These surveys serve as a cornerstone for the long-term development of the business.

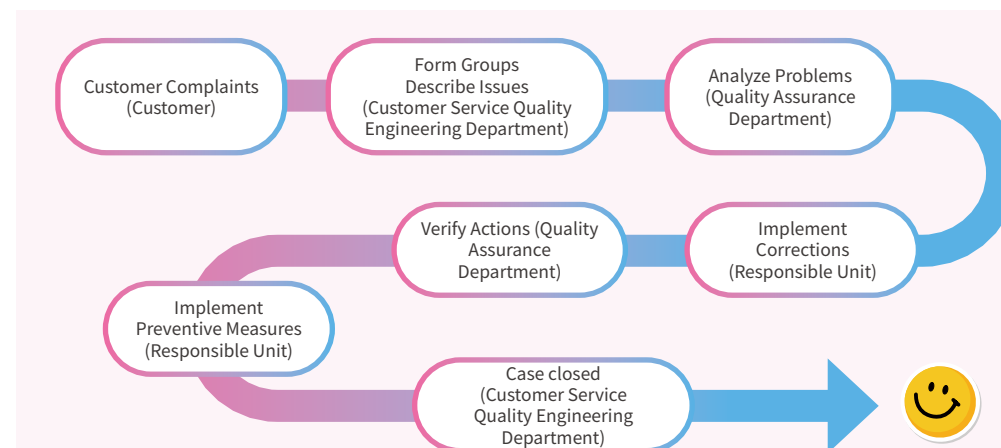


Customer feedback and handling

In order to promptly address customer inquiries and needs, in addition to the standard operating procedures followed by the Sales Department and Quality Assurance Department, our company has established a message system on the official website. Customers can directly provide feedback through various channels such as the sales service hotline and email address provided on the website. We ensure that all customer demands are promptly addressed. Furthermore, upon receiving complaints, the company immediately forwards the feedback to the internal departments for processing, aiming to protect the customers' rights and interests.

A brief flow chart of the customer complaint handling mechanism

- 1 When customers complain or provide feedback, the customer service quality engineering department initiates the customer complaint handling process. They are responsible for identifying and addressing any abnormal issues raised by customers to reduce the recurrence of similar incidents and the number of customer complaints.
- 2 In the event of a customer complaint, depending on the situation, an 8D problem-solving methodology is employed to establish an improvement team to identify the root cause of the problem. Short-term and long-term countermeasures are implemented for improvement, and the effectiveness of the actions is evaluated. Through personnel retraining, an internal culture of continuous improvement is fostered to consistently enhance the quality of KINSUS products.



3.4 Customer Privacy

At the beginning of the cooperation between KINSUS and the client, in order to ensure that the business secrets disclosed by both parties can be properly protected and used by the other party, KINSUS requires the client to sign a confidentiality agreement. Employees and cooperating customers and partners must uphold the moral policy of "strictly protecting personal privacy and protecting the business information security of customers and suppliers". Customer Privacy Policy and Management Guidelines:

Material Topic→ Customer Privacy

Management Guidelines

- **Policy:** Provide strict protection for customer privacy and confidential information.
- **Goals and targets:** Consolidate the good partnership with customers and expand the scope of business.
- **Commitment:** Using due diligence and early warning communication methods, the customer is an important partner of KINSUS. The customer privacy and confidential information are strictly protected.
- **Management measures:**
 - (1) The product output process complies with international laws and regulations; ensure product and service safety; provide channels for customer complaints to protect customer privacy and rights.
 - (2) The customer provides the design to KINSUS, which is converted into the customer code in the factory to prevent the leakage of the direct customer's information. After production, the internal part number is further converted to the in-factory part number to facilitate communication.
 - (3) Each relevant unit in the factory has a special information area dedicated to the unit, and other units without authorization are not allowed to read it.



3.5 Product Quality

Material Topic → Product Quality

Management Guidelines

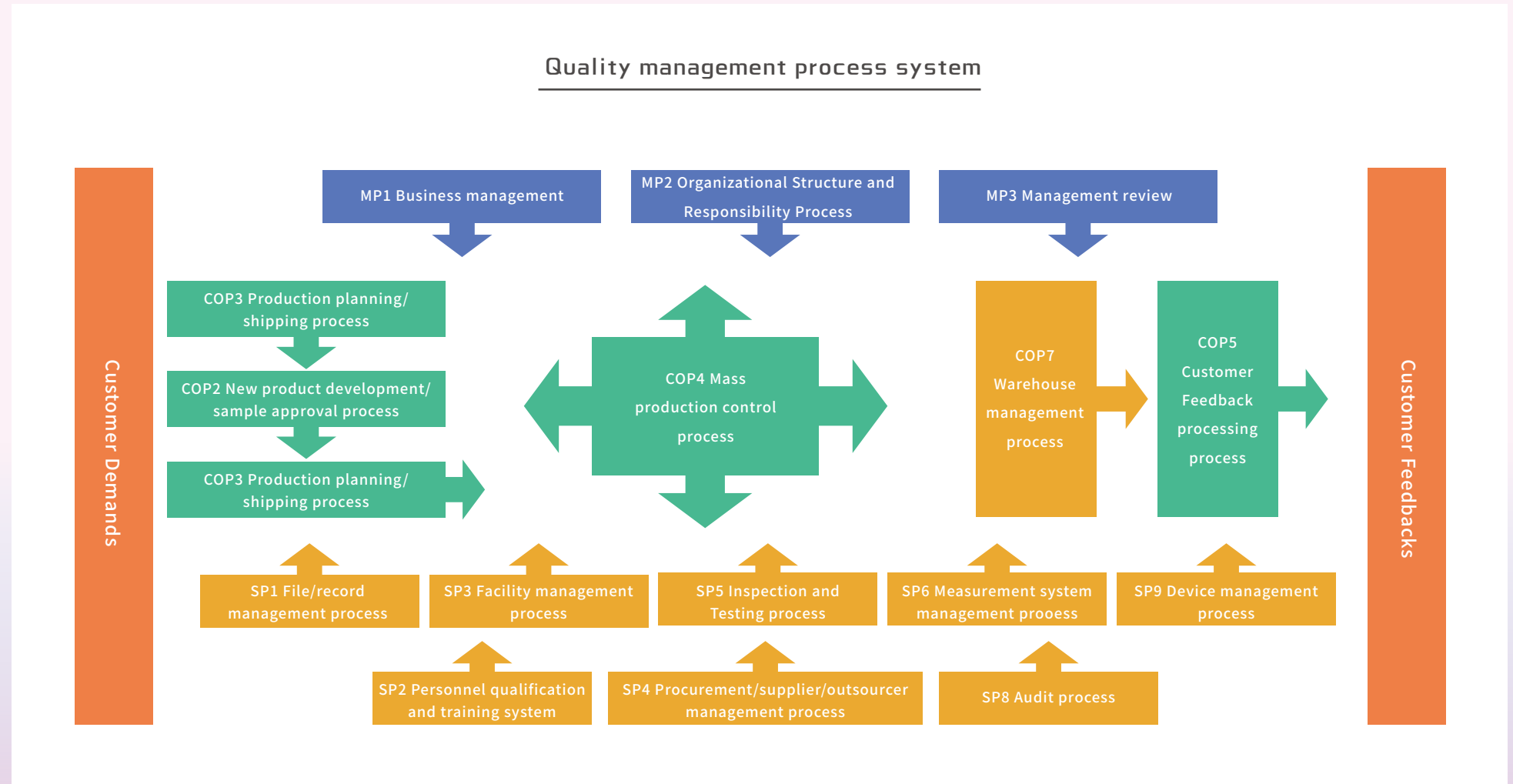
- **Quality Policy:** Satisfying Customers, Pursuing Excellence.
- **Goals and targets:** Improve the yield rate of various products, meet customer requirements for product quality and accurate delivery.
- **Commitment:** Use due diligence and early warning communication methods to meet customer requirements for product quality, safety, and accurate delivery.
- **Management measures:**
 - (1) The product output process complies with international regulations and Local laws.
 - (2) Improve the yield rate of various products to ensure the quality, safety and delivery of products that meet customer requirements.
 - (3) Through green manufacturing, the Company ensures its products comply with regulations and customer requirements on the reduction of hazardous substances. This also aligns with stakeholder expectations and upholds both customer health and environmental safety.



Based on the most important issues of operation and management, our company insists on paying attention to and caring about quality management. We promise that the quality management measures are as follows:

The entire company's workflow, from order taking, planning, procurement, to shipping and after-sales service, is dedicated to continuously improving and enhancing quality and technology. The goal is to prevent defects, reduce variation and waste, and ensure that customers are fully satisfied with product features, pricing, quality, delivery time, and service. By achieving comprehensive customer satisfaction, the company aims to enhance its operational performance and achieve sustainable business operations.

Quality management process



To ensure product quality and promote the Company's sustainable development, the operational and control framework is structured with reference to the process interaction diagram of the IATF 16949 Quality Management System. The core focus is customer orientation, with a commitment to continuous improvement to ensure product quality. The main processes are as follows:

	Item	Description
Step 1	 Customer Requirements and Expectations	product specifications. This includes communicating with customers to ensure that product design and development align with their needs.
Step 2	 Product Design and Development	Based on customer requirements, the Company carries out product design and development. At this stage, it is essential to ensure that the design output meets the input requirements, and that design reviews and validations are conducted to mitigate risks.
Step 3	 Supply Chain Management	The Company must evaluate and manage suppliers to ensure that the materials and services provided meet quality requirements. This includes supplier audits, performance monitoring, and risk management.
Step 4	 Production and Service Provision	During the production process, operational procedures must be tightly controlled to ensure that products meet specifications. This stage includes production planning, process control, product inspection, and handling of nonconforming products.
Step 5	 Customer Feedback and Continuous Improvement	The Company must establish an effective customer feedback mechanism to collect and analyze opinions regarding its products and services. This helps enhance customer satisfaction and drives continuous improvement.
Step 6	 Internal Audit and Management Review	Internal audits must be conducted regularly to ensure the effectiveness of the quality management system. Management shall review the performance of the system and implement improvement measures to ensure ongoing compliance with standards and support the Company's sustainable operations.

Through the process framework of IATF 16949, the Company is able to systematically manage quality. This ensures that products and services meet customer requirements. Continuous improvement further enhances operational efficiency and competitiveness, thereby supporting sustainable development.

Green Product Management

Kinsus is committed to promoting green product management. Under the three core principles of “compliance with green standards and requirements,” “hazardous substance-free procurement,” and “green supply chain,” the Company has established the QQS08000 Hazardous Substance Management Specification and developed a raw material database. These measures ensure that related activities comply with the hazardous substance process management system, customer requirements, and applicable laws and regulations, including the EU RoHS Directive, REACH Regulation, and other relevant national regulations, thereby minimizing the impact of hazardous substances on human health and the environment. Kinsus is committed to continuously improving raw material utilization and resource recycling, while reducing greenhouse gas emissions, wastewater discharge, waste generation, and chemical consumption throughout its manufacturing processes. Through these efforts, the Company seeks to mitigate its ecological impacts and protect the environment. Going forward, environmental impact factors across all stages of the product life cycle will be incorporated into product and process development considerations, enabling Kinsus to provide environmentally friendly green manufacturing services.

Item	Description
Hazardous Substance Control	Establish the “QQS08001 Hazardous Substance Control Guidelines” to ensure that Kinsus’ hazardous substance control complies with domestic and international regulations/directives as well as customer requirements.
Document and Record Management Requirements	Establish the “QQS03000 Record Retention Guidelines” to manage records related to hazardous substance-free materials.
Communication	Develop procedures to ensure that information related to hazardous substance-free requirements is communicated, understood, and implemented both internally and externally. This includes regularly reviewing domestic and international hazardous substance regulations and directives. Verification may also be conducted through updates from customers or third-party institutions to confirm the latest effective regulations. Incoming materials are subject to sampling inspections using X-ray Fluorescence (XRF) analysis to ensure that they are free of hazardous substances.
Training, Awareness, and Competence	Implement and maintain training programs necessary for the hazardous substance-free system to ensure personnel possess the required competencies. Maintain training and certification records in accordance with documentation and control requirements.
Design and Development	Plan and control the design and development of hazardous substance-free products. If hazardous substances are used during the planning stage, records must be clearly documented. Where necessary, develop plans for substitution or elimination.
Procurement Management	Establish the “APR01000 Supplier Management Procedures” to ensure that packaging and raw material procurement processes are free from hazardous substances.
Production Management	Establish procedures to prevent contamination in each production process. Apply hazardous substance-free management to tools/ auxiliary tools used in production, and control raw materials and packaging materials to prevent abnormal situations involving contamination or mixing of conforming and non-conforming products.

3.1 Operational Performance and Challenges

3.2 Tax Policy

3.3 Customer Relationship Management

3.4 Customer Privacy

3.5 Product Quality

Item	Description
Subcontractor Management	Establish the “APR03000 Outsourcing Operation Procedures” to manage subcontractors and ensure they have implemented systems that avoid the use of hazardous substances.
Identification and Traceability Management	Establish the “DPD06000 Product Identification and Traceability Operation Procedures” to track material usage records from delivery batches to raw materials and packaging.
Shipping Management	Ensure proper preparation and retention of supporting documentation at the time of product delivery to demonstrate compliance with customer hazardous substance requirements.
Hazardous Sub-stance-Free Measurement	Establish measurement plans and standards, or other appropriate validation methods, to verify that products and materials are free of hazardous substances.
Identification of High-Risk Restricted Substances	Identify substances restricted or prohibited under applicable Taiwan regulations and the EU REACH Regulation, and integrate customer requirements to establish control measures for high-risk restricted substances.
Nonconforming Hazardous Substance Management	Establish the “QQS02000 Nonconforming Product Control Procedures” to define the identification and segregation of nonconforming products, ensuring they are not mistakenly delivered to customers.
Internal Audit	To verify proper implementation and maintenance of the hazardous substance-free system, the Quality Assurance Department conducts internal audits in accordance with the “QQS05000 Internal Audit Operation Procedures.”



Therefore, no incidents of non-compliance with health and safety regulations related to products and services occurred in 2025.

04 Sustainable Supply Chain Management

4.1 Supplier Management Policy and Commitment

4.2 Industrial Supply Chain

4.3 Supplier Composition and Categories

4.4 Ethical Procurement

Suppliers are core partners in Kinsus Technology's value chain. In addition to pursuing excellence in product quality and delivery performance, the Company is committed to building a resilient and sustainable supply chain system. Through systematic management and risk control mechanisms, Kinsus works closely with its suppliers to enhance Environmental, Social, and Governance (ESG) performance and ensure that supply chain operations align with international trends and customer expectations.



4.1 Supplier Management Policy and Commitment

4.2 Industrial Supply Chain

4.3 Supplier Composition and Categories

4.4 Ethical Procurement

GRI Topic Standard Reference

204 Procurement Practices

308-1 New Suppliers that Were Screened Using Environmental Criteria

308-2 Negative Environmental Impacts in the Supply Chain and Actions Taken

414-1 New Suppliers that Were Screened Using Social Criteria

414-2 Negative Social Impacts in the Supply Chain and Actions Taken

Action Plans

To enhance supply chain management efficiency, Kinsus has established a Supplier Chain Management (SCM) platform to strengthen information transparency and traceability.

Through its annual Supplier Conference, Kinsus shares future market trends, technological developments, and industry dynamics with supply chain partners, while recognizing outstanding suppliers and promoting mutual exchange and collaboration.

Kinsus continues to promote local procurement and green procurement, requiring suppliers to comply with applicable environmental regulations and green product requirements.

2025 Section Highlights

Supplier Corporate Social Responsibility (CSR) assessment score reached.

79.31%

The local procurement ratio for raw materials achieved.

59.3%

The local procurement ratio for components achieved.

99.95%

100% of new suppliers passed environmental and social criteria screening.

VDA 6.3 process audits were implemented for key raw materials, achieving a **100%** audit closure rate for on-site audits in 2025.

4.1 Supplier Management Policy and Commitment

4.2 Industrial Supply Chain

4.3 Supplier Composition and Categories

4.4 Ethical Procurement

Status of achievement of key objectives in this chapter



Achieved



Unachieved

Material Topics	2025 Goal	In 2025 Execution Summary		2026 Goal	2027 Goal	Corresponding chapters
Sustainable supply chain management	Average score above 80	 Achieved, average score 95	Maintain an average score above.	Average score of 92 or above	Average score of 92 or above	4.1 Supplier Management Policy and Commitment.
	59.00%	 Achieved, 59.3%	Increase the proportion of locally sourced raw materials.	59.4%	59.4%	4.1 Supplier Management Policy and Commitment.
	99.00%	 Achieved, 99.95%	Increase the proportion of locally sourced raw materials.	99.6%	99.6%	4.1 Supplier Management Policy and Commitment.
	75%	 Achieved, 79.31%	Supplier social responsibility assessment completion rate.	85%	85%	4.1 Supplier Management Policy and Commitment.
	100%	 Achieved, 100%	Adhering to the Corporate Social Responsibility Code of Jingshuo Technology, Compliance rate of not using hazardous substances.	100%	100%	4.1 Supplier Management Policy and Commitment.
	100%	 Achieved, 100%	Due diligence on suppliers' "responsible minerals" and compliance mineral usage rate.	100%	100%	4.1 Supplier Management Policy and Commitment.

4.1 Supplier Management Policy and Commitment

With reference to internationally recognized standards, including the Responsible Business Alliance (RBA) Code of Conduct, the OECD Guidelines for Multinational Enterprises, and the United Nations Guiding Principles on Business and Human Rights, Kinsus has established its Supplier Corporate Social Responsibility Code of Conduct. The Company has developed rigorous short-, medium-, and long-term objectives to ensure that its supply chain is not only resilient but also sustainably competitive.

Material Topic→Sustainable Supply Chain Management

Policy: Establishing a Sustainable Supply Chain

Management Guidelines

- **Goals and targets:** The Company is committed to maintaining long-term partnerships with domestic and international suppliers. By fostering trusted relationships, we aim to ensure supply chain stability, reduce the risk of operational disruptions, enhance supplier quality and service, and strengthen supplier compliance and sustainability to support long-term corporate development and competitiveness.
- **Commitment:** To promote a sustainable supply chain, Kinsus has implemented a supplier evaluation mechanism to ensure that raw material and component suppliers can meet both quality and sustainability expectations, in line with market and customer demands.
- **Management measures:**
 - (1)Supplier Selection and Review:
A supplier management policy has been established. All suppliers must pass a qualification review to ensure alignment with Kinsus standards.
 - (2)Supplier Performance Evaluation:
A regular evaluation mechanism has been implemented. Suppliers are audited for quality and corporate social responsibility to ensure compliance and sustainable management.
 - (3)Enhancing Supply Chain Resilience: Priority is given to local suppliers and manufacturers to reduce carbon footprint.
 - (4)Ethical Procurement: Raw materials procured must be free of hazardous substances and must not include minerals sourced from conflict-affected regions.
 - (5)Establishing Long-Term Partnerships: Supplier conferences are held regularly to maintain effective communication and foster mutually beneficial cooperation.

4.1 Supplier Management Policy and Commitment

4.2 Industrial Supply Chain

4.3 Supplier Composition and Categories

4.4 Ethical Procurement

Short-Term Goals

- 2025 Targets and Progress: Maintain an average score above 80 in qualified supplier evaluations.
- 2025 Targets and Progress: Increase local procurement ratio: raw materials to 59.00%, components to 99.00%.
- 2025 Targets and Progress: Achieve a 75% completion rate in supplier CSR evaluations.
- 2025 Targets and Progress: Require medium-risk suppliers to complete self-assessment using the "Supplier CSR Evaluation Form," with a target of 12 suppliers.
- 2025 Targets and Progress: Achieve 100% compliance with the Kinsus Supplier Corporate Social Responsibility Code of Conduct on hazardous substances. Achieve 100% usage rate of conflict-free minerals through supplier due diligence.

Medium-Term Goals

- 2026-2029 Targets: Maintain an average supplier evaluation score above 92.
- 2026-2029 Targets: Increase local procurement ratio: raw materials to 59.40%, components to 99.60%.
- 2026-2029 Targets: Achieve 85% completion rate in supplier CSR evaluations.
- 2026-2029 Targets: Achieve 100% compliance with the Kinsus Supplier Corporate Social Responsibility Code of Conduct on hazardous substances. Achieve 100% usage rate of conflict-free minerals through supplier due diligence.

Long-Term Goals

- 2030 and Beyond Targets: Maintain an average supplier evaluation score above 95.
- 2030 and Beyond Targets: Increase local procurement ratio: raw materials to 60.00%, components to 99.80%.
- 2030 and Beyond Targets: Achieve a 90% completion rate in supplier CSR evaluations.
- 2030 and Beyond Targets: Achieve 100% compliance with the Kinsus Supplier Corporate Social Responsibility Code of Conduct on hazardous substances. Achieve 100% usage rate of conflict-free minerals through supplier due diligence.

Responsibility

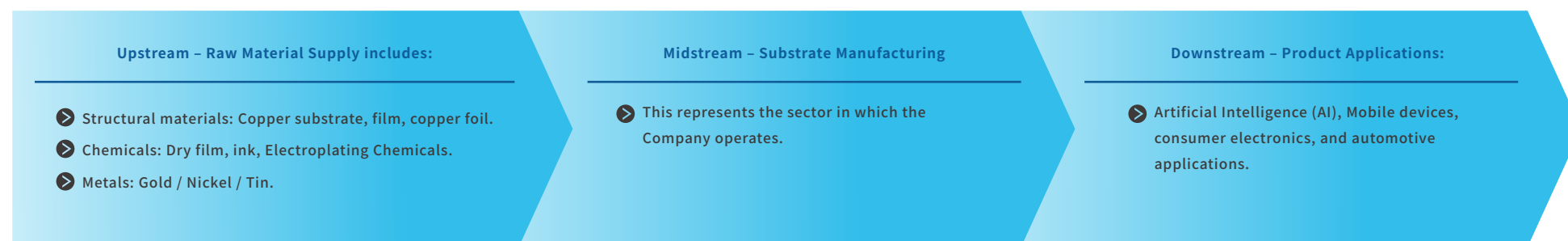
External Responsibility: Conflict Minerals.

Internal Systems: Supplier Management Operation Procedure, Engineering Contractor Management Operation Procedure, Supplier Corporate Social Responsibility Code of Conduct, Customer Satisfaction Evaluation Operation Procedure.

4.2 Industrial Supply Chain

IC substrates play a critical intermediary role in the semiconductor supply chain. Their primary function is to serve as carriers for semiconductor chips during packaging and to act as conduits for external circuit connections.

The Company's supply chain can be categorized into three segments: upstream (raw material supply), midstream (substrate manufacturing), and downstream (product applications).



Operating in the semiconductor IC substrate industry, Kinsus has benefited from growing demand driven by Artificial Intelligence (AI) and High-Performance Computing (HPC), resulting in continued growth in demand for high-end ABF substrates. On the supply side, key raw materials such as high-end glass fiber cloth have experienced supply constraints and extended lead times due to concentrated supply sources and limited capacity expansion, placing pressure on substrate production capacity.

To address supply fluctuations and raw material risks, the Company continues to strengthen its supply chain management mechanisms, including the diversification of supply sources, safety stock management for critical materials, and supplier Business Continuity Plans (BCPs), thereby enhancing supply stability and operational resilience. Kinsus also closely monitors industry demand and developments in the raw material market and dynamically adjusts its procurement strategies accordingly.

Through long-term partnerships, Kinsus and its suppliers work together to address the challenges arising

from rapid industry changes. For critical material supplies, the Company maintains close communication with suppliers to obtain timely information on capacity planning and delivery schedules, ensuring smooth supply chain operations. No material changes occurred within the overall supply chain in 2025, and stable operations were maintained throughout the year.

To further strengthen supply chain management with respect to environmental impacts, the Company plans to gradually promote biodiversity assessments and incorporate biodiversity considerations into supplier management practices. Kinsus will encourage suppliers to comply with relevant environmental regulations and adopt procurement conservation measures, thereby enhancing the overall sustainability performance of the supply chain.

4.3 Supplier Composition and Categories

Supplier Categories and Composition

In 2025, Kinsus collaborated with a total of 1,099 suppliers. Based on procurement categories, suppliers were classified into six major types: Raw Material Suppliers, Equipment Suppliers, Component Suppliers, Engineering Contractors, On-Site Service and Waste Management Suppliers, and General Suppliers.

• Suppliers that have partnered with Kinsus over the past three years include:

Year	Raw Material	Equipment	Component	Engineering	Onsite/Waste	General	Total
2023	227	250	261	48	55	255	1,096
2024	208	263	246	46	48	261	1,072
2025	220	298	250	49	50	232	1,099

Supplier Selection and Review

Management Process:

STEP 1 New Supplier Onboarding

- 1 Review basic supplier information and complete the signing of required documents (requirements vary by supplier category).
- 2 Suppliers are required to sign the Integrity Declaration, Confidentiality Commitment, Conflict-Free Minerals Guarantee, and Statement of Conformance to the Supplier Code of Conduct.
- 3 Documentary reviews or on-site assessments are conducted. Only suppliers that meet Kinsus requirements may be approved as qualified suppliers.

STEP 2 Supplier Evaluation

- Direct and indirect material suppliers are evaluated on a quarterly basis.
- Evaluation criteria include quality, delivery performance, price, and service (for direct material suppliers).
- Suppliers that fail to meet the required evaluation standards are required to submit corrective action plans and complete improvements within a specified timeframe. Where necessary, order volumes may be reduced or business relationships may be suspended.

STEP 3 Supplier Audits

- The Company conducts supplier audits on a regular and ad hoc basis.
- Audit activities include documentary reviews or on-site assessments.
- Audit focus areas include process audits, quality management systems, and RBA social responsibility management, depending on the supplier category.
- When audit findings are identified, suppliers are required to submit corrective action plans with clearly defined objectives and completion timelines. Where necessary, the Company may revoke the supplier's qualified supplier status.

STEP 4 Supplier Guidance and Training

- Provide training materials through the supplier management platform.
- Track and support corrective actions for identified audit findings.
- Promote information exchange through the annual Supplier Conference.

4.1 Supplier Management Policy and Commitment

4.2 Industrial Supply Chain

4.3 Supplier Composition and Categories

4.4 Ethical Procurement

To ensure prudent supplier selection, Kinsus has established a comprehensive supplier selection and review mechanism to ensure that supply sources demonstrate stable quality, delivery capabilities, and compliance with sustainable development requirements. New suppliers are required to undergo qualification reviews before being approved. In addition to evaluating quality, pricing, delivery performance, and technical capabilities, the Company requires all partnering suppliers to sign the Integrity Declaration, the Confidentiality Commitment, the Conflict-Free Minerals Guarantee, and the Statement of Conformance to the Kinsus Supplier Corporate Social Responsibility Code of Conduct before being included in the qualified supplier list. These measures ensure that supplier selection not only meets quality requirements but also demonstrates concrete actions and commitments in areas such as environmental protection and social responsibility. This approach supports the Company's sustainable development objectives and helps establish a sustainable and responsible supply chain.

- In 2025, a total of 3 new suppliers were selected based on environmental and social responsibility criteria.

Integrity declaration	Confidentiality commitment	Conflict-free minerals guarantee	Statement of Conformance to the Supplier Code of Conduct	ISO 14001
100%	100%	100%	100%	100%

Supplier Performance Evaluation

Kinsus has established a supplier management system and regulations. Regular supplier evaluations, self-checks, or on-site audits are conducted to ensure compliance. Kinsus actively maintains long-term cooperative relationships with suppliers to reduce costs, achieve fast and flexible delivery, enhance product competitiveness, maximize profits, and create a win-win situation.

Qualified Supplier Assessment:

The Company conducts regular evaluations of direct and indirect material suppliers. Assessment results are categorized into four levels: Grade A: Excellent Supplier, Grade B: Standard Supplier, Grade C: Supplier required to submit corrective actions and implement improvements within a set deadline, and Grade D: Supplier suspended from transactions after two consecutive low ratings.

- Kinsus Technology's 2025 Supplier Evaluation Criteria



- Number of suppliers and evaluation grades over the past three years

Grade	2023	2024	2025
A	113	106	105
B	2	2	2
C	0	0	0
D	0	0	0

4.1 Supplier Management Policy and Commitment

4.2 Industrial Supply Chain

4.3 Supplier Composition and Categories

4.4 Ethical Procurement

Qualified Supplier Quality Audit:

The frequency of audits is determined based on supplier evaluation performance, which informs the following year's audit planning. In 2025, the Company conducted on-site audits for a total of 35 suppliers. The number of audit findings decreased compared to 2024, although it remained higher than in 2023. This is primarily attributable to the transition from IATF 16949 quality audits to VDA 6.3 process audits, which impose more rigorous requirements on the in-depth assessment of manufacturing processes and risk management. The reduction in audit findings reflects the effectiveness of the Company's ongoing supplier improvement initiatives, which have enhanced the stability of suppliers' process capabilities and strengthened their quality management performance.

The Company will continue to provide guidance and support to suppliers, further strengthening supply chain quality and risk management capabilities, with the goal of meeting both the Company's and customers' expectations.

Year	Number of Audits Conducted	Major Findings	Minor Findings	Recommendations	Closure Rate
2023	28	0	35	68	100%
2024	28	0	53	112	100%
2025	35	0	42	83	100%

Qualified Supplier RBA Audit Program:

The Company has adopted the Supplier Corporate Social Responsibility Code of Conduct based on the principles of the Responsible Business Alliance (RBA), which serves as the foundation for supply chain management. This Code encompasses standards on labor, health and safety, environmental responsibility, business ethics, and management systems. It aims to ensure a safe working environment for suppliers, protect employees' dignity and rights, and promote environmentally responsible and ethically sound operations. The Company requires suppliers to proactively mitigate risks related to environmental impact, human rights and labor, business integrity, labor standards, and potential production disruptions caused by strikes. Kinsus seeks to establish a mutually beneficial and sustainable partnership with its suppliers.

Kinsus mandates that all supplier partners comply with the RBA Code of Conduct and sign the Corporate Social Responsibility Code of Conduct Statement, thereby committing to conduct all business activities in compliance with applicable laws and ethical standards.

- Key Points of the Corporate Social Responsibility Code of Conduct Statement:

Suppliers must comply with the provisions of the Supplier Corporate Social Responsibility Code of Conduct to ensure a safe working environment throughout the supply chain and protect employees with dignity and respect. Business operations must align with environmental and ethical requirements. All business conduct—covering labor, health and safety, environmental protection, business ethics, and management systems—must fully comply with this Code. Suppliers must uphold labor rights and provide a safe and healthy workplace environment. The use of child labor is strictly prohibited (defined as individuals under the legal minimum employment age in the respective country or region).

Kinsus clearly communicates its sustainability management policies to suppliers. High-risk suppliers undergo regular on-site audits to verify whether their sustainability performance meets the requirements of various management systems, thereby ensuring continued compliance with our expectations.

Suppliers are assessed through either periodic on-site audits or document-based evaluations, based on their risk classification. For any deficiencies identified during assessment, suppliers are required to submit a corrective action plan within a specified period. Closure is granted only after confirmation by the Kinsus supplier audit team.

- Key Evaluation Items of Supplier Social Responsibility Assessment:

Based on the key elements outlined in the CSR Statement, a Supplier Social Responsibility Evaluation Form is designed to guide self-assessment. The form includes secondary criteria across five categories: labor, health and safety, environmental practices, business ethics, and management systems. Suppliers are required to review each item, self-assess compliance, and outline any corresponding improvement actions.

Kinsus classifies its suppliers into three risk levels: high risk, medium risk, and low risk. On-site audits are conducted for high-risk suppliers, while medium-risk suppliers are required to perform self-assessments.

High-risk suppliers include:

- (1) Domestic raw material manufacturers ranked among the top 20 in annual transaction value.
- (2) On-site service contractors.
- (3) Hazardous industrial waste treatment providers.

Medium-risk suppliers include:

- (1) Foreign raw material manufacturers or their agents ranked among the top 20 in annual transaction value.
- (2) Domestic equipment manufacturers ranked among the top 10 in annual transaction value.
- (3) Domestic engineering contractors ranked among the top 10 in annual transaction value.
- (4) Non-hazardous industrial waste treatment providers.

Number of Supplier Audits and Self-Assessments in the Past Three Years

Way \ Year	2023			2024			2025		
	Planned	Actual	Completion Rate lanned	Planned	Actual	Completion Rate lanned	Planned	Actual	Completion Rate lanned
On-site Assessment	19	19	67.80%	25	22	82.67%	16	16	79.31%
Self-Assessment	40	21		50	40		13	7	
Total	59	40		75	62		29	23	

4.1 Supplier Management Policy and Commitment

4.2 Industrial Supply Chain

4.3 Supplier Composition and Categories

4.4 Ethical Procurement

In 2025, supplier audit findings were primarily related to labor, health and safety, and management systems. The deficiencies identified during the audits and the corresponding corrective actions are summarized in the table below. All corrective actions have been fully implemented.

Category	Audit Findings	Supplier Improvement Plans
 Labor	➤ Non-compliance with the statutory “one fixed day off and one flexible rest day” requirement under the Labor Standards Act. ➤ Failure to update leave policies related to maternity leave and paternity check-up leave in accordance with the Gender Equality in Employment Act. ➤ Lack of explicit provisions prohibiting the use of bonded or debt-induced labor in employment contracts.	✓ Communicated Labor Standards Act requirements to all employees and implemented corresponding attendance management adjustments. ✓ Revised work rules and conducted training sessions for all employees. ✓ Revised employment contracts to explicitly prohibit the use of bonded or debt-induced labor, provided employee training, and required employees to carefully review the employment contract.
 Health and Safety	➤ Failure to conduct periodic inspections of fire extinguishers, emergency showers and eyewash stations, and first-aid kits in accordance with applicable requirements. ➤ Failure to wear required personal protective equipment (PPE), including safety goggles and safety helmets. ➤ Failure to post confined space warning signs in sink and discharge tank areas as required. ➤ Failure to conduct ergonomic assessments and examinations for food-handling personnel on a regular basis in accordance with applicable requirements.	✓ Strengthened personnel inspections and equipment checks, and conducted a comprehensive inventory review and replacement of medical supplies. ✓ Conducted training and awareness programs for all employees to reinforce the importance of wearing required personal protective equipment. ✓ Posted confined space warning signs in designated areas. ✓ Conducted ergonomic assessments in accordance with regulations and maintained the relevant records. In consideration of employee food safety and hygiene, the supplier adopted a boxed meal procurement approach.
 Business Ethics	➤ Failure to obtain employees’ explicit consent for the collection and use of personal data. ➤ Failure to include 3T1G minerals (tin, tungsten, tantalum, and gold) within the scope of conflict minerals due diligence and investigation. ➤ Absence of formal ethical conduct policies and anti-bribery requirements within the Company.	✓ Added a Personal Data Collection Notice and Consent Statement to employment application forms. ✓ Revised the Supplier Commitment and Guarantee Letter to explicitly require compliance with conflict minerals restrictions. ✓ Revised employment contracts to incorporate explicit provisions on ethical conduct and anti-bribery requirements. Employee training was conducted, and employees were required to review the employment contract in detail.
 Management Systems	➤ Failure to file and obtain approval for the Work Rules in accordance with applicable regulations. ➤ Failure to establish and publicly disclose policies and procedures for the prevention of sexual harassment, complaint handling, and disciplinary actions as required by law. ➤ Failure to update written declarations in accordance with the requirements of the Occupational Safety and Health Administration (OSHA).	✓ Updated the latest version of the Work Rules, submitted them to the competent authority for approval in accordance with regulations, and publicly disclosed the approved version. ✓ Conducted employee training and required employees to review the sexual harassment complaint handling and disciplinary policies. ✓ Revised and updated the relevant procedures manual.

Supplier Environmental Mechanisms and Delivery Management

Suppliers entering any of the Company's sites to perform engineering work, maintenance, or related services must comply not only with the relevant supplier regulations and requirements outlined in procurement contracts and purchase orders, but also undergo environmental compliance audits conducted by EHS personnel. These audits are carried out in accordance with the "Supplier Management Operation Procedure Manual" and the "Contractor Environmental and Occupational Health and Safety Management Guidelines."

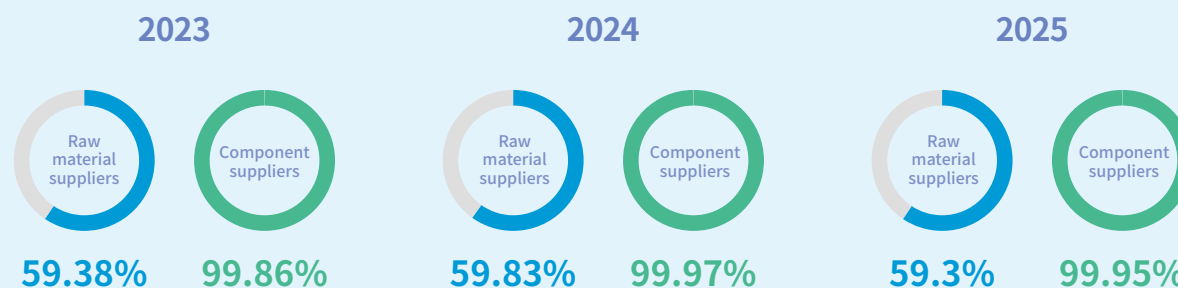
New suppliers must guarantee that their production facility management, product manufacturing processes, and the products or services they provide do not violate any applicable legal requirements. Within the procurement contract, suppliers are required to warrant that all aspects of production, manufacturing, labeling, packaging, storage, handling, transportation, import/export, delivery, installation, commissioning, and service provision fully comply with all applicable laws and regulations in the relevant jurisdictions.



Local Purchases

In alignment with its corporate sustainability principles, Kinsus actively promotes the localization of raw materials as part of its procurement strategy. This approach not only helps reduce transportation costs but also minimizes carbon emissions generated during the logistics process. Localized procurement refers to sourcing from suppliers whose manufacturing facilities are located within the same country as Kinsus' production sites (Shih-Lei Factory, Tsing-Hua Factory, Xing-Feng Factory, and Yu-Shih Factory. In support of Taiwan's local economy and employment opportunities, the Company has long prioritized developing and selecting domestic suppliers. By doing so, Kinsus effectively advances material localization, reduces unnecessary air or sea freight expenses, and lowers the carbon footprint associated with transportation. This fulfills the Company's environmental responsibility in energy conservation and carbon reduction, while simultaneously reducing procurement costs.

Proportion of Localized Procurement for Raw Materials and Components in the Past Three Years:



Supplier Platform Announcements, Surveys, and Training.

Kinsus Technology has established an efficient communication channel with its suppliers through the Supplier Chain Management (SCM) platform, enhancing supply chain transparency and operational efficiency.

The key functions of the Kinsus SCM platform include order and delivery schedule management, document and information sharing, audit findings and corrective actions, as well as training and education.

The Company uses this platform to conduct systematic supplier management and training, ensuring suppliers comply with the latest regulations and Kinsus' policies and requirements. All suppliers engaged in business with Kinsus are included in this awareness program, achieving a 100% participation rate.

Key Functions of the Kinsus SCM Platform

Material Management

- > ICP and SDS expiration notifications and signed return of incoming inspection specifications.

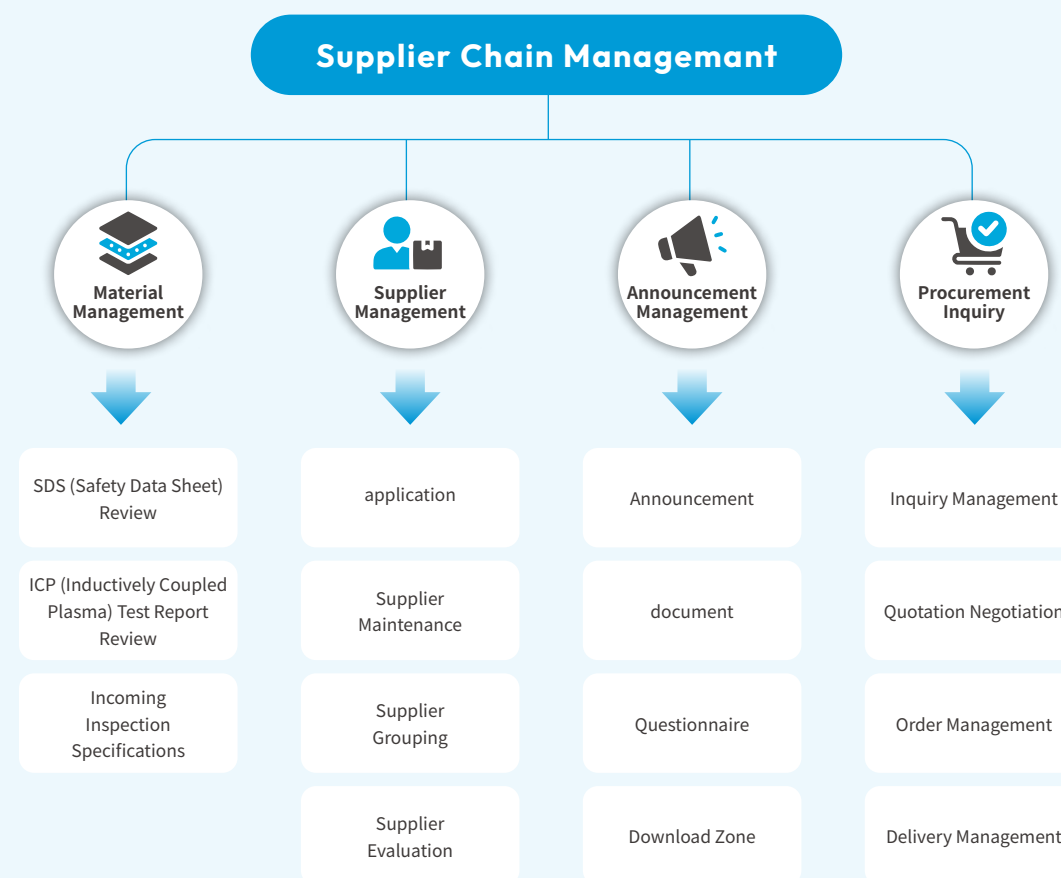
Announcements

- > Qualification documents.
- > Submission and update of hazardous substance list and related management documents.
- > Information security awareness and training.
- > Provision of regulatory updates to suppliers, along with signing of the latest compliance documents.

Questionnaire / Download Zone

- > Supplier application.
- > Supplier quality / RBA audits and self-assessments.
- > Supplier emergency incident investigations.
- > Conflict minerals due diligence surveys.
- > Updates to the Corporate Social Responsibility Code of Conduct, requiring suppliers to sign the revised version.
- > Communication of Kinsus' Supplier Corporate Social Responsibility Code of Conduct and training manuals.
- > Communication of Kinsus' Conflict Minerals Restriction Policy.

2025 SCM Supplier Platform



Supplier Conferences

Through its annual Supplier Conference, Kinsus strengthens collaborative relationships with supply chain partners by sharing future market trends, technological developments, industry dynamics, and cooperation models. The Company also recognizes suppliers that demonstrate outstanding performance in technological innovation, quality, and overall business performance, thereby deepening strategic partnerships and enhancing the competitiveness and sustainable development capabilities of the supply chain.



4.4 Ethical Procurement

No hazardous substances are used

Since customers provide their own specifications, Kinsus fully complies with customer requirements. The Company has established the “Hazardous Substance Control Guidelines” and requires suppliers to sign a “Declaration of Non-Use of Hazardous Substances” and provide “RoHS test reports” to assure customers that products do not contain substances restricted under REACH and Substances of Very High Concern (SVHC) requirements. In addition, suppliers are required to sign a “Supplier Material Compliance Declaration,” committing that the products they provide comply with Kinsus’ environmental requirements and acknowledging legal and compensation liabilities for any losses resulting from non-compliance.

Responsible mineral procurement

Kinsus is committed to responsible minerals sourcing and ensures that the 3T1G conflict minerals used in its products—Tungsten (W), Tin (Sn), Tantalum (Ta), and Gold (Au)—are not sourced from operations that finance armed conflicts or contribute to human rights abuses. In accordance with the OECD or other recognized due diligence frameworks of equivalent standards, the Company has established supply chain management procedures and implements the following measures:

1. Policy Commitment

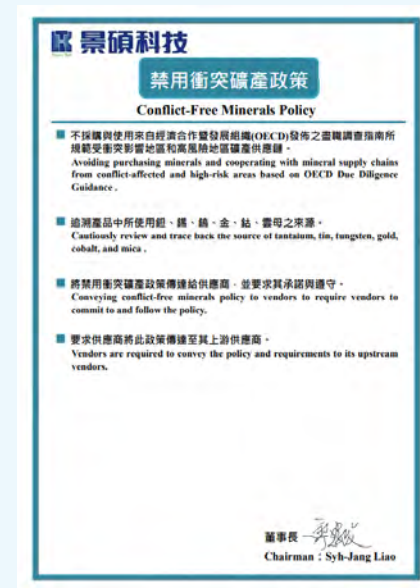
- The Kinsus Conflict-Free Minerals Policy is signed by the Chairman and publicly disclosed on the Company’s website.
- Suppliers are required to sign Non-use Conflict Minerals Guarantee.
- Suppliers are required to communicate this policy to their upstream suppliers and fulfill their corporate social responsibility obligations.

2. Supply Chain Due Diligence: Supplier information is collected through the Conflict Minerals Reporting Template (CMRT), Extended Minerals Reporting Template (EMRT), and Additional Minerals Reporting Template (AMRT) to verify mineral sources and assess potential risks throughout the supply chain.

3. Performance Results: 100% of key suppliers completed the due diligence process.

According to the 2025 due diligence results, all smelters and refiners reported by suppliers were verified as conforming to the Responsible Minerals Initiative (RMI) Conformant Smelter & Refiner List, and no instances of non-compliance were identified. The Company continues to implement supply chain due diligence practices and requires supplier partners to disclose upstream smelter and refiner information to ensure that all products comply with responsible minerals requirements. The overall compliance rate reached 100%.

- 1 A total of 16 smelters/refiners were declared through the CMRT, including 2 gold smelters and 14 tin smelters. No tungsten or tantalum smelters were reported.
- 2 A total of 17 smelters/refiners were declared through the EMRT, including 3 cobalt smelters, 7 copper smelters, and 7 nickel smelters. No mica or graphite smelters were reported.
- 3 The AMRT covered 10 additional minerals: aluminum, rare earth elements, silver, zinc, palladium, silicon, iron, chromium, titanium, and magnesium.



05 Green Production

- 5.1 Climate Action
- 5.2 Environmental Policies and Commitments
- 5.3 Greenhouse Gas Emissions and Energy Resource Management
- 5.4 Renewable Energy and Resource Conservation/ Efficiency
- 5.5 Water Resource Management
- 5.6 Waste Management
- 5.7 Air Pollution Prevention and Control
- 5.8 Promotion of Environmental Sustainability
- 5.9 Biodiversity, Environmental
Greening and Beautification



5.1 Climate Action

TCFD Disclosure Framework

TCFD Disclosure Practices for Climate Resilience at Kinsus

According to the Sixth Assessment Report (AR6) published by the Intergovernmental Panel on Climate Change (IPCC) in 2021, the global temperature increase of 1.5°C is projected to occur as early as 2040, highlighting the urgent threat that extreme climate events pose to business operations. To strengthen climate resilience, Kinsus has formally adopted the recommendations of the Task Force on Climate-related Financial Disclosures (TCFD) and established a comprehensive climate governance framework based on four core pillars: Governance, Strategy, Risk Management, and Metrics and Targets. Through the systematic identification of transition risks and physical risks, the Company actively develops corresponding response strategies and fulfills its commitment to sustainable business operations. In accordance with its decarbonization roadmap, Kinsus achieved greenhouse gas emission reductions of 2,938.8 metric tons of CO₂e through energy-saving projects in 2025 and will continue to intensify its energy conservation and carbon reduction initiatives in the future. The Company's medium-term decarbonization strategy focuses on transitioning to low-carbon energy sources, improving energy efficiency, expanding renewable energy deployment, and purchasing renewable energy certificates. In the long term, Kinsus will continue to advance greenhouse gas reduction efforts, implement its net-zero commitments, and support the transition toward a low-carbon economy.

Governance

- The ESG Committee is responsible for collecting and assessing climate-related risks and opportunities. Senior management is responsible for reviewing and overseeing climate and environmental management policies, establishing risk management mechanisms and processes, and guiding departments in the implementation of climate governance strategies. The implementation status is reported to the Board of Directors annually.

Strategy

- Continuously monitor global climate trends and benchmark against industry peers to assess the Company's short-, medium-, and long-term climate-related risks and opportunities.
- Climate scenario analysis is employed to assess risk factors under global climate change. The Company discloses its climate-related risks and opportunities accordingly.
- The Social Working Group organizes internal and external sustainability-related activities. It also develops training sessions to communicate the Company's sustainability goals and climate-related risks and opportunities to stakeholders.

Risk Management

- The ESG Committee identifies climate-related risks and opportunities, assesses their potential impacts on the Company through questionnaire-based evaluations, prioritizes material climate issues, and collaborates with relevant working groups to develop risk management strategies and response plans.
- Plans are in place to integrate climate-related risks and opportunities into the overall enterprise risk management framework.

Metrics and Targets

- The ESG Committee develops climate-related metrics and targets.
- The Environmental Working Group supports departments in implementing energy conservation and carbon reduction initiatives, regularly reviews implementation performance, and completes the annual greenhouse gas inventory and disclosure of Scope 1, Scope 2, and Scope 3 emissions data.

IFRS Sustainability Disclosure Standards Implementation

In accordance with the “Roadmap for Aligning Taiwan with the IFRS Sustainability Disclosure Standards,” listed and OTC-listed companies in Taiwan will adopt the IFRS Sustainability Disclosure Standards in three phases beginning in 2026. Kinsus has referenced the IFRS Sustainability Disclosure Standards in conducting gap analyses and formulating implementation plans.

Implementation Plan

STEP 1 Analysis and Planning

- Establish a cross-functional IFRS project team.
- Conduct a preliminary assessment of the reporting entity and identify material gaps and potential impacts between existing sustainability disclosures and the IFRS Sustainability Disclosure Standards.
- Develop an implementation plan.

STEP 2 Design and Execution

- Identify sustainability-related risks and opportunities.
- Assess the potential impacts of sustainability-related risks and opportunities on the Company's current and expected financial position.
- Evaluate whether sustainability-related information constitutes material financial information and incorporate it into disclosures relating to metrics and targets, risk management, and strategy.
- Identify sustainability-related data required within the Company's reporting boundary and across the value chain.
- Establish linkages between sustainability-related data and financial reporting information, including inputs and parameters.
- Revise and enhance corporate processes, including financial and non-financial reporting processes, information systems, supply chain management processes, internal controls, and departmental operational procedures.

STEP 3 Implementation

- Pilot the preparation of a Sustainability Information Section within the Annual Report.
- Continuously update internal control manuals related to IFRS sustainability disclosures and conduct employee training programs.

STEP 4 Adjustment and Improvement

- In accordance with the IFRS Sustainability Disclosure Standards, establish a dedicated “Sustainability Information Section” in the 2027 Annual Report to disclose relevant information and ensure simultaneous publication and filing with the corresponding annual financial statements.

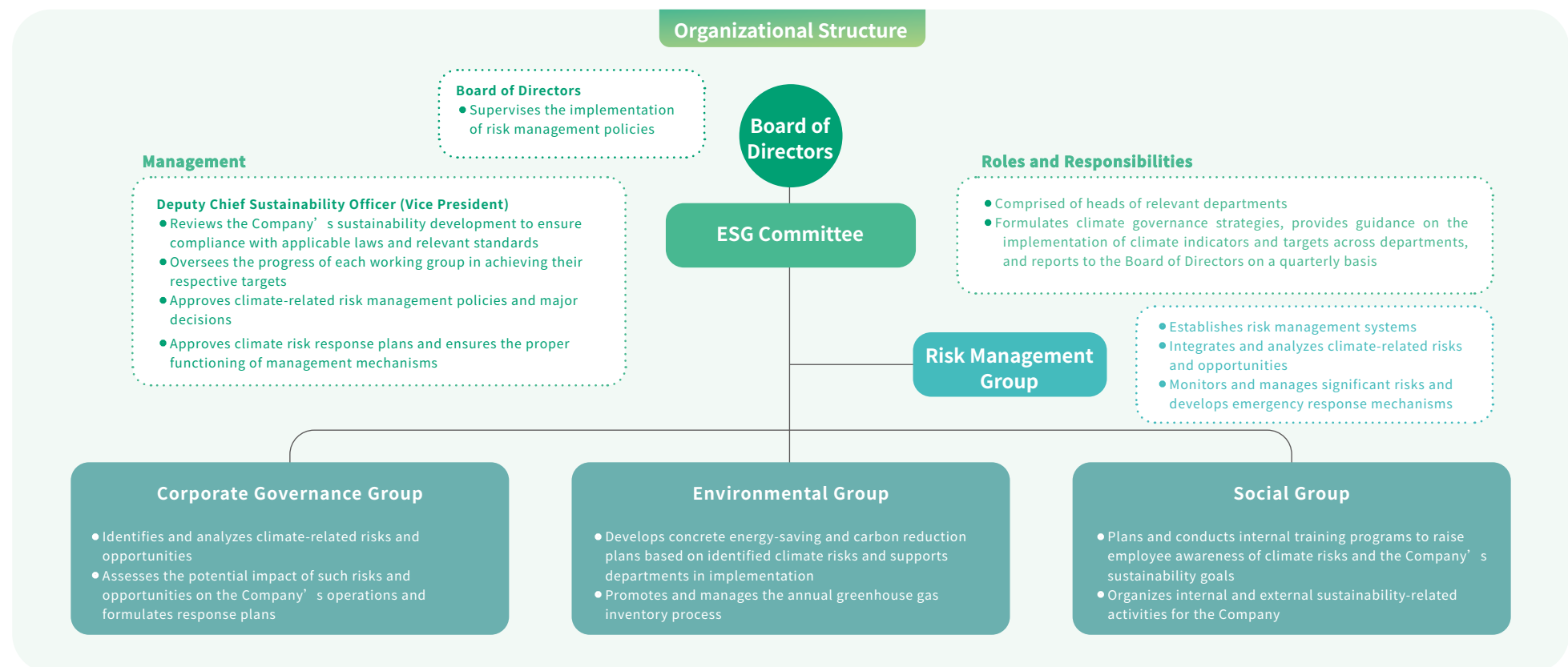


5.1.1 Governance

Climate Governance Structure (aligned with Taiwan Stock Exchange ESG disclosure point 1)

In the face of escalating challenges posed by climate change, establishing a robust climate governance framework has become an urgent priority for enterprises. KINSUS has adopted a clearly defined organizational structure to implement climate strategies in alignment with governance hierarchies. The Company proactively addresses climate-related risks and opportunities through structured execution.

The ESG Committee is responsible for formulating climate and environmental management policies. It coordinates with the Corporate Governance, Environmental, and Social Working Groups to implement climate-related response plans. These efforts are carried out through cross-functional collaboration across environmental management, social engagement, and governance domains, ensuring comprehensive advancement toward the Company's sustainability governance objectives.

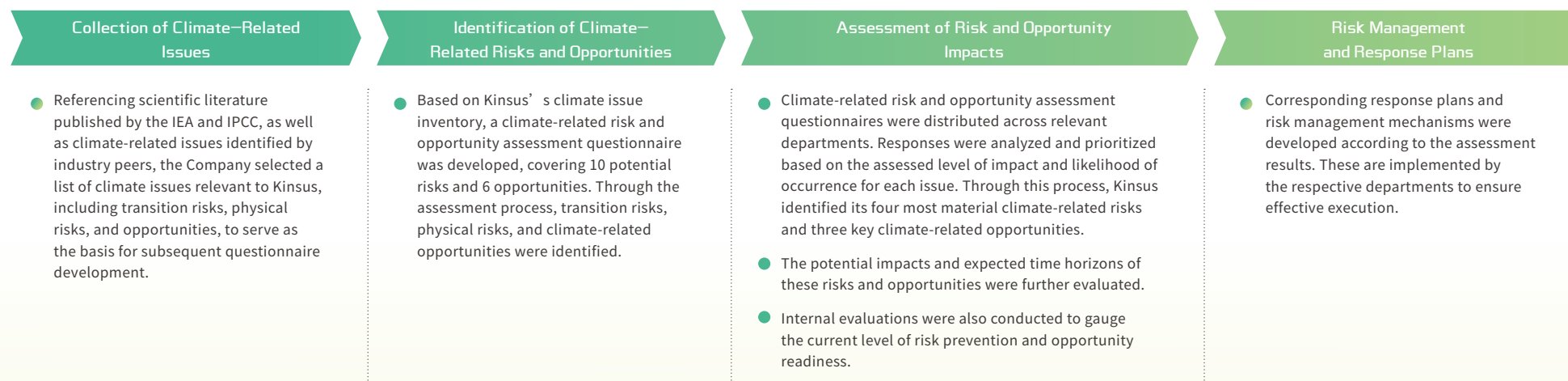


5.1.2 Strategy and Risk Management

1. Climate-Related Risks and Opportunities

Kinsus regularly reviews and monitors global and industry trends related to climate issues. Through a structured risk identification and assessment process, the Company systematically identifies climate-related risks and opportunities, evaluates their potential impacts and likelihood of occurrence, and develops appropriate response plans. These efforts strengthen the Company's climate resilience and support the continuous optimization of its operational processes.

2. Climate-Related Risk Identification and Management Process (Corresponding to Item 4 of the TWSE/TPEx Climate-Related Information Disclosure Requirements for Listed Companies)



3. Identification Results of Climate-Related Risks and Opportunities

Based on the prioritization results of the questionnaires and the resolutions of the ESG Committee in 2025, Kinsus identified three transition risks (including one newly identified risk related to rising electricity prices), one physical risk, and three climate-related opportunities. The results serve as an internal reference to enhance understanding of the climate change challenges the Company faces. They also support a comprehensive overview of the implementation status of climate-related risk management and promote collective input on planning and assessing the feasibility of corresponding mitigation strategies.

(1) Climate-Related Risk Response Plans

(Corresponding to Items 2 and 3 of the TWSE/TPEx Climate-Related Information Disclosure Requirements for Listed Companies)

Climate-related risks and opportunities that could reasonably be expected to affect the Company's prospects

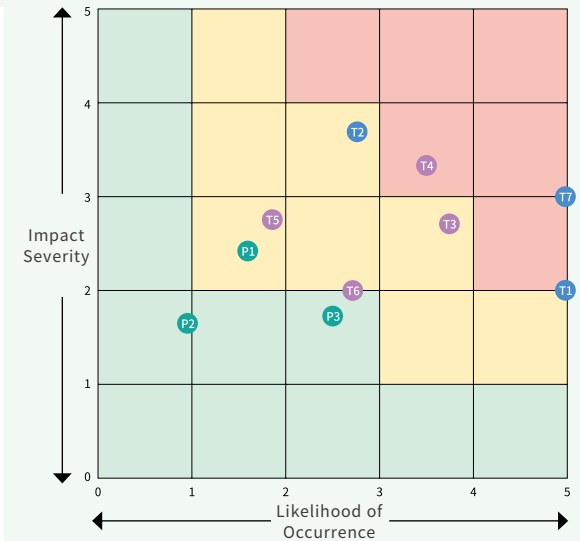
	Time Horizon	Linkage to Project and Strategic Decision-Making Processes
Short-term	Within 3 years	Linked to annual business plans, budget preparation, and regulatory compliance management. Climate-related factors are incorporated into annual budget reviews and short-term resource allocation decisions.
Medium-term	3-7 years	Linked to medium- and long-term transition planning and implementation processes, including equipment investments and production optimization initiatives, to ensure alignment between climate transition strategies and major capital investments.
Long-term	7-20 years	Serves as the basis for long-term decarbonization pathways, major capital expenditures, and operational model adjustments, while aligning with Taiwan's net-zero policy direction.



Material Climate Change Risk Matrix

- T1 Increased GHG Emissions Pricing
- T2 Costs of Transitioning to Low-Carbon Technologies
- T3 Emission Reduction-Related Costs
- T4 Changes in Customer Behavior
- T5 Increased Raw Material Costs
- T6 Stakeholder Concerns and Negative Feedback
- T7 Electricity Price Increases
- P1 Increasing Severity of Drought Events
- P2 Changes in Precipitation Patterns and Extreme Climate Variability
- P3 Rising Average Temperature

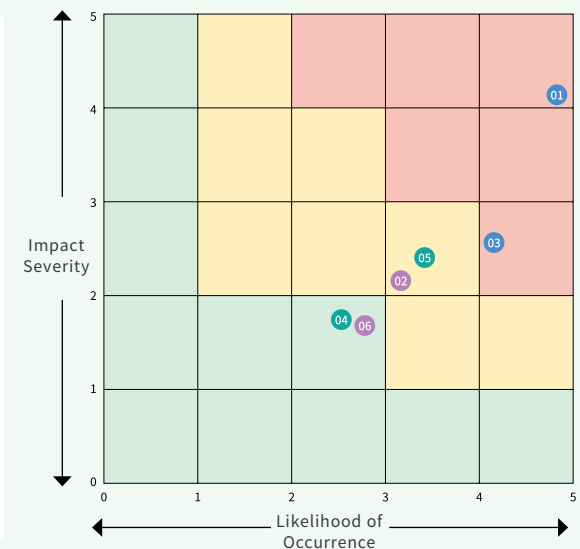
● Short-term ● Medium-term ● Long-term
Low Risk Medium Risk High Risk



Material Climate Change Opportunity Matrix

- O1 Adoption of More Efficient and Energy-Saving Production Processes
- O2 Recycling and Resource Recovery
- O3 Use of Low-Carbon Energy
- O4 Development of Low-Carbon Products
- O5 Utilization of Government Incentive Programs
- O6 Enhancement of Supply Chain Resilience

● Short-term ● Medium-term ● Long-term
Low Risk Medium Risk High Risk



5.1 Climate Action 5.2 Environmental Policies and Commitments 5.3 Greenhouse Gas Emissions and Energy Resource Management 5.4 Renewable Energy and Resource Conservation/ Efficiency
5.5 Water Resource Management 5.6 Waste Management 5.7 Air Pollution Prevention and Control 5.8 Promotion of Environmental Sustainability 5.9 Biodiversity, Environmental Greening and Beautification

The Company provides both quantitative and qualitative disclosures to enable stakeholders to understand the effects of climate-related risks and opportunities on financial performance and cash flows during the reporting period. These disclosures explain how climate-related risks and opportunities are reflected in the current and expected financial statements, including potential impacts such as revenue reductions, cost increases, or changes in capital allocation. Based on the Company's strategies for managing climate-related risks and opportunities, the expected impacts on financial performance and cash flows over the short, medium, and long term are outlined as follows:

Impact Dimension	Climate Risk	Risk Driver	Scenario Analysis Event	Impact Description	Time Horizon	Financial Impact Driver / Level of Impact	Risk Management and Mitigation Plans
Transition Risks (Continued)	Electricity Consumption Risk	Electricity Price Increases Taiwan's overall electricity demand continues to rise in line with international fuel price fluctuations, resulting in increased summer peak loads and greater pressure on power supply. Rising power generation costs and supply-demand imbalances have led to electricity tariff adjustments, increasing the Company's operating costs.	Net Zero Emissions (NZE) Scenario	Impact on Business Operations: Higher electricity costs increase manufacturing expenses and may require the payment of carbon-related charges. Potential power rationing risks during periods of peak electricity demand.	Short-term	High	● Introduce high-efficiency air-conditioning, process cooling, and lighting systems (e.g., inverter air conditioners and LED lighting). ● Regularly monitor electricity prices, climate trends, and policy developments.
	Technology	Capital Expenditure Associated with Low-Carbon Transition Increases To reduce emissions and support the low-carbon transition, after deducting self-generated renewable energy and energy-saving measures from Scope 2 emissions, the remaining electricity consumption will gradually be replaced with renewable energy. This represents the Company's largest potential source of carbon reduction and will increase capital expenditures or operating costs.	Baseline BAU Scenario Scope 2 Electricity Consumption and 2050 NZE Scenario Scope 2 Electricity Consumption	(1) Costs associated with installing renewable energy generation facilities. (2) Investments in energy-saving measures and carbon reduction initiatives.	Medium-term	Operating costs are expected to increase, including approximately NT\$1,002 million in expenditures on energy-saving measures and approximately NT\$946 million for renewable energy procurement by 2030. The total potential cost is estimated at NT\$1,948 million, representing approximately 7.3% of the Company's 2024 consolidated revenue.	● Electricity consumption at the Tsing-Hua Factory and the Xing-Feng Factory accounts for approximately one-third of total power usage. As a result, significant investments have been made in energy-saving projects, and related capital expenditures are relatively high. The Company's self-owned renewable energy generation facilities (Youth Factory) are scheduled for completion in 2026; therefore, the associated construction costs will be recognized in 2026.
	Market	Changes in Customer Behavior Failure to actively pursue transformation may result in the loss of part of the Company's existing market share.	Low-Carbon Initiatives in Product Development	Potential revenue loss.	Medium-term	Medium	● Enhance product energy-efficiency R&D. Annual investment in low-carbon product development is approximately NT\$100-200 million, representing around 0.01% of 2024 consolidated revenue. ● Several products have obtained ISO 14067 Carbon Footprint Certification.

5.1 Climate Action 5.2 Environmental Policies and Commitments 5.3 Greenhouse Gas Emissions and Energy Resource Management 5.4 Renewable Energy and Resource Conservation/ Efficiency
 5.5 Water Resource Management 5.6 Waste Management 5.7 Air Pollution Prevention and Control 5.8 Promotion of Environmental Sustainability 5.9 Biodiversity, Environmental Greening and Beautification

Impact Dimension	Climate Risk	Risk Driver	Scenario Analysis Event	Impact Description	Time Horizon	Financial Impact Driver / Level of Impact	Risk Management and Mitigation Plans
Physical Risks	Chronic	Rising Average Temperatures Increasing average temperatures are expected to drive higher cooling demand, resulting in increased energy costs associated with investments in temperature-control equipment and facilities.	SSP5-8.5 High-Emission Scenario	Taiwan and China are both located in sub-tropical regions. Since the Company operates manufacturing facilities in both locations, rising temperatures may increase energy consumption at these plants and lead to higher operating costs.	Long-term	Increased operating costs / Medium	- Invest in energy-efficiency improvement projects, green building materials, and related procurement initiatives. - Assess whether facility locations are exposed to compound disaster risks and develop corresponding response measures. - Regularly inspect emergency power systems and uninterruptible power supply (UPS) systems, and maintain water storage facilities to ensure a stable supply of electricity and water during disasters. Drainage facilities within the plant are also regularly inspected to prevent sediment accumulation and ensure proper operation. - Establish an emergency response task force to promptly plan and implement disaster response measures.

Notes Time Horizon of Impact: Short-term: 2025-2026; Medium-term: 2027-2029; Long-term: 2030-2050.
 Level of Impact: High: NT\$5 million and above; Medium: NT\$3 million-4.99 million; Low: below NT\$2.99 million.

(2) Climate-Related Opportunities and Response Plans

Impact Dimension	Risk Driver	Scenario Analysis Event	Impact Description	Time Horizon	Financial Impact Driver / Level of Impact	Risk Management and Mitigation Plans
Opportunity	Adoption of High-Efficiency Energy-Saving Production Processes The Company actively promotes smart manufacturing and AI-enabled production lines, while continuously optimizing production processes and operational workflows to improve energy efficiency and resource utilization.	To bridge the emissions gap between the Stated Policies Scenario (STEPS) and the Net Zero Emissions Scenario (NZE), the Company can reduce emissions through measures such as improving energy efficiency, implementing smart processes, and enhancing material utilization efficiency.	Annual electricity cost savings, annual carbon fee reductions, annual energy cost savings, and annual material cost savings	Short-term	Reduced operating costs / Medium	Invest capital in carbon reduction systems and the procurement of energy-efficient equipment.

5.1 Climate Action 5.2 Environmental Policies and Commitments 5.3 Greenhouse Gas Emissions and Energy Resource Management 5.4 Renewable Energy and Resource Conservation/ Efficiency
5.5 Water Resource Management 5.6 Waste Management 5.7 Air Pollution Prevention and Control 5.8 Promotion of Environmental Sustainability 5.9 Biodiversity, Environmental Greening and Beautification

Impact Dimension	Risk Driver	Scenario Analysis Event	Impact Description	Time Horizon	Financial Impact Driver / Level of Impact	Risk Management and Mitigation Plans
Opportunity	Use of Low-Carbon Energy Sources Expand the use of renewable energy to reduce reliance on grey energy and lower carbon fee obligations.	Kinsus has completed the signing of a green electricity purchase agreement. In addition, the Youth Factory plans to install solar power generation facilities for self-consumption by 2026, thereby enhancing the Company's autonomy in renewable energy use and reducing its reliance on grid electricity.	Reduced costs associated with grid electricity consumption and potential carbon emission costs through energy-saving initiatives.	Short-term	Reduced operating costs / Low	- Kinsus signed a green electricity procurement agreement in 2022 and will continue purchasing green electricity through 2027. The Company is also assessing the feasibility of long-term renewable energy procurement contracts to further increase renewable energy usage. - Identify suitable renewable energy alternatives to replace conventional energy sources, thereby reducing environmental pollution. Continue promoting the importance of energy conservation and carbon reduction across all departments to strengthen sustainability awareness. - Establish an electricity monitoring system to promptly identify and address abnormal conditions and reduce energy losses. - Replace high-energy-consuming equipment.
	Utilization of Government Incentives and Subsidy Programs Actively participate in government incentive programs and promote industrial water-saving initiatives to obtain funding support and tax incentives, thereby reducing water-related expenditures.	Obtaining water-efficiency excellence ratings and reducing water utility expenses.	Through improvements in water-use efficiency and the implementation of water recycling measures, the Company can reduce operating costs while enhancing production process efficiency and resource recovery, thereby reducing dependence on water resources.	Long-term	Reduced Operating Costs / Medium	- Install water-saving equipment and inspect pipelines for damage or leakage, with repairs performed as necessary. - Implement water recycling and recovery systems and install flow meters for monitoring purposes.

Notes Time Horizon of Impact: Short-term: 2025-2026; Medium-term: 2027-2029; Long-term: 2030-2050.
Level of Impact: High: NT\$5 million and above; Medium: NT\$3 million-4.99 million; Low: below NT\$2.99 million.

5.1.3 Climate Scenario Analysis

(aligned with Taiwan Stock Exchange ESG disclosure point 3 > 5)

To assess the potential financial impact of future carbon pricing volatility and evaluate both transition and physical risks at operational sites, Kinsus has adopted scenario-based climate risk modeling. This analysis references Representative Concentration Pathways (RCPs) defined in the Intergovernmental Panel on Climate Change's Fifth Assessment Report (AR5), focusing on impacts such as sea level rise, water scarcity, and changes in precipitation patterns. Through scenario simulation, the Company identifies potential threats and formulates strategic responses to mitigate overall financial risk.

(1) Transition Risk Scenario: Carbon Pricing

Carbon pricing is recognized globally as a key policy mechanism to combat climate change and is expected to have significant financial and regulatory implications for businesses. Based on Kinsus' s 2023 GHG inventory, Scope 1 and Scope 2 emissions totaled 237,839.9934 metric tons of CO₂e. Under Taiwan' s current carbon fee policy (NT\$300 per metric ton for entities not participating in voluntary reduction programs), the estimated carbon fee payable in the first year of implementation is approximately NT\$33.85 million. This represents a material financial risk.

Notes This calculation is based solely on 2023 emissions data and does not account for future reduction targets or trajectories.

The results indicate that carbon pricing will substantially affect Kinsus' s carbon emission costs. All five Kinsus facilities (Shih-Lei, Tsing-Hua, Xing-Feng I, Xing-Feng II, and Yu-Shih) conduct annual GHG inventories in accordance with ISO 14064-1. Based on these results, the Company is formulating a decarbonization roadmap toward net-zero. Measures include planning solar photovoltaic system installations, replacing lighting with energy-efficient LED fixtures, and setting an annual electricity-saving target of 3 million kWh.

(2) Physical Risk Scenario: Long-Term Water Stress

Using the World Resources Institute' s (WRI) Aqueduct Water Risk Atlas, water stress levels for 2030 and 2050 under RCP 2.6 (optimistic) and RCP 8.5 (pessimistic) scenarios were evaluated. The results show that all five Kinsus sites fall under low to medium water stress categories (10–20%), indicating generally stable water supply, although moderate stress may occur during drought seasons.

Despite low projected risk, Kinsus proactively implements water conservation and efficiency measures. These include maintaining a water recycling rate above 5.5%, using recycled water in cooling towers and scrubbers to reduce consumption at the source. installing water-saving devices, optimizing water use in offices and production, and regularly reviewing water data to adjust consumption as needed. Additional long-term strategies include:

- Developing a robust water management and diversification plan , or arranging agricultural insurance to increase compensation coverage.
- Enhancing reservoir capacity for 3–5 days of drought resilience (three consecutive days of extreme drought)
- Mobilizing water trucks to support water-stressed sites
- Regular inspection of production equipment
- Compliance with effluent management regulations
- Automatic generator activation for emergency power needs
- Establishing emergency response plans to minimize downtime and production loss

(3) Physical Risk Scenario: Long-Term Changes in Rainfall Patterns and Flooding

Rainfall pattern analysis was conducted using 1.5°C and 2°C global warming scenarios. The assessment indicator was the number of R200mm heavy rainfall days (i.e., days with more than 200mm of precipitation within a year). The analysis referenced projections from the Taiwan Climate Change Projection and Information Platform (TCCIP) to estimate the potential number of impact days:

Plant		Shih-Lei	Tsing-Hua	Xing-Feng	Yu-Shih
Assumed Data	Observation Baseline (days)				
	Indicator	0.3	0.3	0.2	0.2
1.5°C	Maximum Value	0.5	0.5	0.4	0.4
2°C	Maximum Value	0.6	0.6	0.4	0.6
Forecasted Impact		Limited impact			

Although projections indicate no major impact, Kinsus continues to closely monitor water levels in surrounding watersheds and tracks precipitation trends. An emergency response drill is conducted annually to ensure all employees are familiar with evacuation and equipment protection protocols. By the end of April each year, a complete inventory and preparation of flood prevention materials is completed. In addition, protective measures for key production equipment have been strengthened. Critical instruments and devices have been relocated to elevated areas, and insulation conditions of power systems are checked to prevent risks such as electrical leakage due to water exposure. The Company is also evaluating the need to install flood barrier gate systems and is equipping the sites with water pumps and emergency power supply systems. Through these proactive actions, Kinsus is strengthening its climate resilience and ensuring full preparedness for a wide range of climate-related challenges.

(4) Physical Risk Scenario Analysis:

Using data from 1995 to 2014 as the baseline period, the Company estimated changes in the number of high-temperature days at Kinsus' s Taiwan and China plant sites under all SSP and GWL scenarios, as shown in the figure below. The results were further assessed in conjunction with the current conditions of each process area.

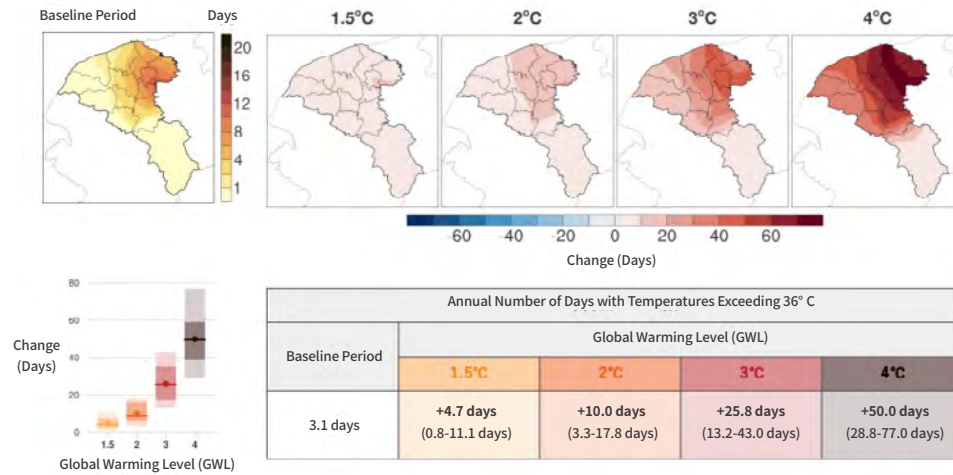
Factory	Climate Scenario	Projected Changes in High-Temperature Days
Shih-Lei	Changes in Annual High-Temperature Days (TCCIP-GWL 4°C)	More than 50 days per year with temperatures exceeding 36°C
Tsing-Hua		
Youth		
Xing-Feng		
Suzhou	Annual Average Temperature Increase (IPCC SSP5-8.5)	Near Term (2021–2040): Average annual temperature increase of 1°C–1.5°C Long Term (2081–2100): Average annual temperature increase of 3.5°C–6.5°C

A. Taiwan Plant Sites

1 Taoyuan Region

Annual Number of Days with Temperatures Exceeding 36° C

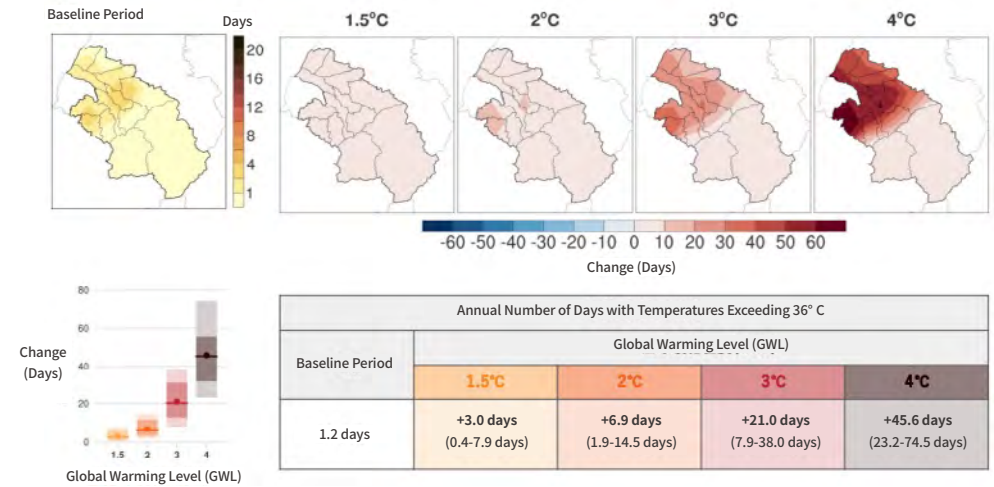
Projected Changes in the Annual Number of Days with Temperatures Exceeding 36° C in Hsinchu County under Different Global Warming Levels, Relative to the Baseline Period (1995-2014)



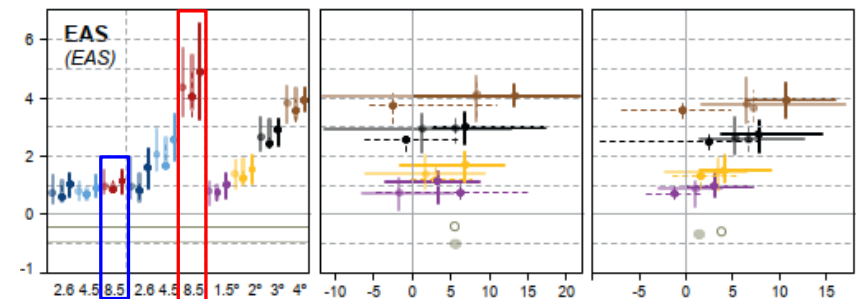
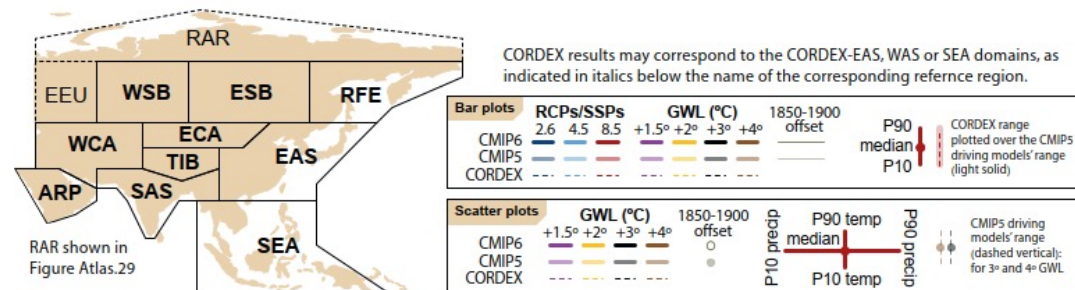
2 Hsinchu Region

Annual Number of Days with Temperatures Exceeding 36° C

Projected Changes in the Annual Number of Days with Temperatures Exceeding 36° C in Hsinchu County under Different Global Warming Levels, Relative to the Baseline Period (1995-2014)



B. China Plant Sites



5.1.4 Indicators and Targets

Kinsus has defined the following climate and environmental indicators and targets. Detailed implementation status can be found in the later sections of this chapter.

GHG Emissions Reduction Targets

(aligned with Taiwan Stock Exchange ESG disclosure point 6)

• Net-Zero Pathway :

Greenhouse gas emissions



Greenhouse Gas Emissions: Implement energy-saving and carbon-reduction projects. By 2025: Reduce GHG emissions by at least 1,500 metric tons CO₂e. By 2030: Cumulative reduction of at least 2,000 metric tons CO₂e. By 2050: Achieve net-zero emissions.

Electricity: Annual savings target of 3 million kWh by 2025.

Renewable Energy: Annual green power procurement target of ≥ 5.35 million kWh by 2025.

Water Resources: Maintain water recycling rate of $\geq 5.5\%$.



Electricity

2025 Targets 3 million kWh



Renewable energy

2025 Targets Renewable energy procurement: 5.35 million kWh



Water Recycling Rate

$\geq 5.5\%$

• Environmental Risk



Environmental management expenditures in 2025 :

NT\$71,652,554. (Refer to the "2025 Kinsus Environmental Expenditure and Benefits Table" on page 118)

5.2 Environmental Policies and Commitments

In response to climate change, Kinsus has established the following short-, medium-, and long-term environmental management indicators:

Strategy		Short-Term Targets:2024-2025	Medium-Term Targets:2026~2029	Long-Term Targets:Beyond 2030
Climate Change and Energy Conservation	Implementation of energy-saving and carbon-reduction projects	Electricity Savings 3 million kWh/year	Electricity Savings 3.5 million kWh/year	Electricity Savings 4 million kWh/year
	Enhancement of climate resilience	Production Downtime 0 days	Production Downtime 0 days	Production Downtime 0 days
	Reduction of green-house gas emissions (via energy-saving and carbon-reduction projects)	1,500 metric tons CO ₂ e/year	1,750 metric tons CO ₂ e/year	2,000 metric tons CO ₂ e/year
	Procurement of re-newable energy (for carbon-reduction benefits)	4.6 million kWh in 2024 5.35 million kWh in 2025	Over 5.35 million kilowatt-hours, to be adjusted based on electricity demand conditions.	Over 5.35 million kilowatt-hours, to be adjusted based on electricity demand conditions.
Waste	No violations of waste management regulations	Zero violations recorded	Zero violations recorded	Zero violations recorded
	100% of waste is properly processed by licensed vendors	100% processed by licensed vendors	100% processed by licensed vendors	100% processed by licensed vendors
	Resource recycling rate improvement	Over 82% in 2024 Over 82.5% in 2025	Over 82.5%	Over 83%
Air Pollution	No violations of air pollution control regulations	Zero violations recorded	Zero violations recorded	Zero violations recorded
Water Resources	Wastewater discharge compliant with applicable regulations	Zero non-compliance cases	Zero non-compliance cases	Zero non-compliance cases
	Enhancement of water recycling rate	Above 5.5%	Above 5.5%	Above 5.5%
	Water usage management in response to potential water restrictions	Production Loss 0 PCS	Production Loss 0 PCS	Production Loss 0 PCS
Regulatory Compliance: No violations of environmental laws and regulations		Zero violations recorded	Zero violations recorded	Zero violations recorded

Key Topic Goals and Performance

Kinsus is committed to fulfilling its environmental responsibilities and to continuously improving as a sustainable enterprise. Based on the aforementioned short-, medium-, and long-term indicators for energy conservation and carbon reduction, as well as related implementation plans, the Company tracks its recent two-year performance targets and achievement levels (as shown below) to minimize potential impacts on society and the environment.

	2025 Targets	2025 Performance Achievements	2026~2029 Targets
Climate Change and Energy Conservation	Electricity savings: 3 million kWh	Achieved → 5.937 million kWh	5 million kWh
	Production downtime caused by climate-related disasters: 0 days	Achieved → 0 days	0 days
	GHG emissions reduction: 1,500 metric tons CO ₂ e (as estimated by energy-saving and carbon reduction projects)	Achieved → 2,938.8 metric tons CO ₂ e	2,500 metric tons CO ₂ e
	Renewable energy procurement: 5.35 million kWh	Achieved → Renewable energy procurement: 5.4 million kWh	Renewable energy procurement: 5.35 million kWh

※The carbon reduction benefits of energy-saving projects were calculated based on the electricity emission factor of 0.495 kg CO₂e/kWh published by the Energy Administration, Ministry of Economic Affairs (MOEA), Taiwan, for the baseline year 2022.

	2025 Targets	2025 Performance Achievements	2026~2029 Targets
Waste Management	Resource Circularity Rate ≥ 82.5%	Achieved → 90.51%	≥ 82.5%
	Violations of Waste Management Regulations: 0 cases	Unachieved → 3 case	0 cases

	2025 Targets	2025 Performance Achievements	2026~2029 Targets
Air Pollutant Control	Violations of Air Pollution Regulations: 0 cases	Achieved → 0 cases	0 cases

	2025 Targets	2025 Performance Achievements	2026~2029 Targets
Water Resource Management	Violations of Effluent Discharge Regulations: 0 cases	Unachieved → 5 cases	0 cases
	Water Recycling Rate: ≥ 5.5%	Achieved → 9.7%	≥ 6.5%
	Production Losses Due to Water Restrictions: 0 PCS	Achieved → 0 PCS	0 PCS

Kinsus is committed to fulfilling its environmental responsibilities and continuously improving as a sustainable enterprise. The Company adheres to the following principles:

- **Regulatory Compliance:** Comply with applicable environmental protection laws and regulations, and strive to meet international environmental standards.
- **Waste Reduction in Production:** Promote continuous waste reduction during manufacturing processes to fulfill its commitment to pollution prevention.
- **Green Energy Production:** Design new facilities in accordance with green building standards, and continue enhancing energy conservation and carbon reduction measures.
- **Recycling Strategy:** Evaluate and implement reuse of water, metals, plastics, and chemicals used in operations. Promote awareness and environmental literacy among employees to reinforce the importance of resource recycling.

Kinsus has established an environmental management system in accordance with ISO 14001:2015. (A dedicated unit has been established to manage and oversee environmental responsibilities, as shown in the image on the right.)

The Company evaluates environmental impacts throughout the product life cycle and uses internal management practices to drive continuous improvement in its environmental system, thereby reducing adverse impacts and contributing to environmental protection.

In response to the risks of climate change and energy supply, Kinsus actively identifies threats related to floods, droughts, typhoons, power outages, and water shortages. The Company regularly monitors and manages the operational disruptions and damages caused by extreme weather events. It implements adaptive policies and solutions to address climate-related risks through proactive measures.

In 2025, the Company incurred a total of eight environmental regulatory violations that resulted in penalties imposed by the competent authorities. None of these cases constituted a material violation. Following internal review and corrective actions, all identified deficiencies have been fully rectified.



5.3 Greenhouse Gas Emissions and Energy Resource Management

Greenhouse Gas Policy and Emissions

The Earth's climate and environment have been significantly impacted by greenhouse gases, leading to extreme climate fluctuations, frequent droughts and floods across the hemispheres, and an average global temperature increase nearing 1°C. These changes are now visibly affecting economic development worldwide. As a responsible global citizen, Kinsus conducted its 2024 greenhouse gas (GHG) inventory in accordance with ISO 14064-1:2018 standards. The Company has also formulated long-term carbon reduction and sustainability goals to comprehensively monitor emissions and use this data as a foundation for continuous improvement.

Kinsus' 2025 GHG inventory was conducted on a facility-by-facility basis, defining the organizational boundary as 100% operational control. The verification scope included the Shih-Lei Plant, Tsing-Hua Plant, Xing-Feng Plant I, Xing-Feng Plant II, and Yu-Shih Plant, as well as all employee dormitories inside and outside these facilities. Due to organizational boundary adjustments, 2022 was designated as the base year. The inventory covered seven major types of greenhouse gases: carbon dioxide (CO₂), methane (CH₄), nitrous oxide (N₂O), hydrofluorocarbons (HFCs), perfluorocarbons (PFCs), sulfur hexafluoride (SF₆), and nitrogen trifluoride (NF₃). All fuels used under Categories 1 and 2 in this inventory were non-biomass based.



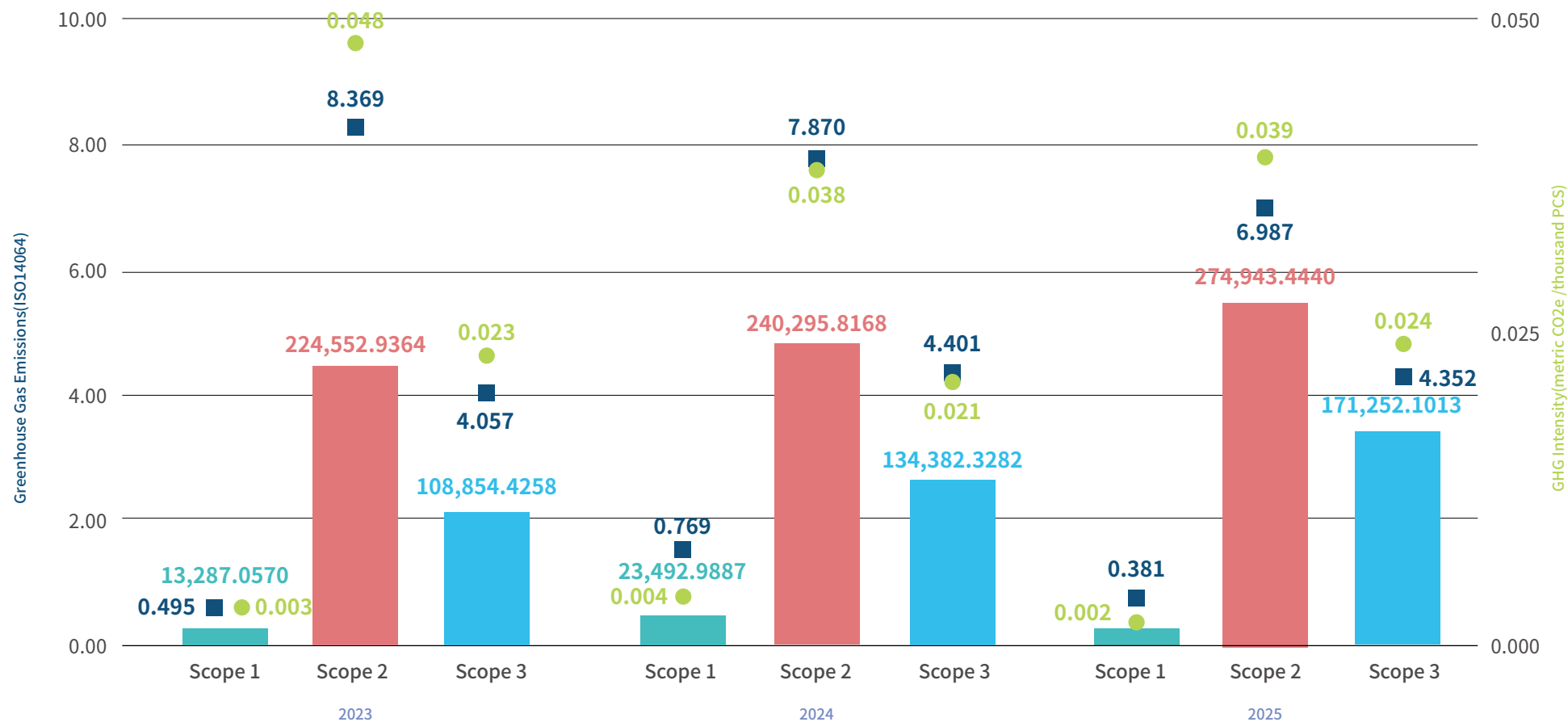
The GHG emissions and intensity statistics for the past three years are summarized in the following table:

Greenhouse Gas Emissions (ISO14064)			
Total Emissions (metric tons CO ₂ e)	2023	2024	2025
Scope 1	13,287.0570	23,492.9887	14,994.1581
Scope 2	224,552.9364	240,295.8168	274,943.4440
Scope 3	108,854.4258	134,382.3282	171,252.1013

GHG Intensity (metric tons CO ₂ /million NTD)			
Total Emissions (metric tons CO ₂ e)	2023	2024	2025
Scope 1	0.495	0.769	0.381
Scope 2	8.369	7.870	6.987
Scope 3	4.057	4.401	4.352

GHG Intensity (metric tons CO ₂ /thousand PCS)			
Total Emissions (metric tons CO ₂ e)	2023	2024	2025
Scope 1	0.003	0.004	0.002
Scope 2	0.048	0.038	0.039
Scope 3	0.023	0.021	0.024

The GHG emissions and intensity statistics for the past three years are summarized in the following table:



Greenhouse Gas Emissions(ISO14064)

GHG Intensity(metric CO2e /million yuan)

GHG Intensity(metric CO2e /thousand PCS)

5.1 Climate Action 5.2 Environmental Policies and Commitments **5.3 Greenhouse Gas Emissions and Energy Resource Management** 5.4 Renewable Energy and Resource Conservation/ Efficiency
 5.5 Water Resource Management 5.6 Waste Management 5.7 Air Pollution Prevention and Control 5.8 Promotion of Environmental Sustainability 5.9 Biodiversity, Environmental Greening and Beautification

According to the quantification results of the Company's GHG inventory: Category 1 (Direct emissions): 14,994.1581 metric tons CO₂e (5.172% of total emissions); Category 2 (Energy indirect emissions): 274,943.4440 metric tons CO₂e (94.828% of total emissions); Total Emissions: 289,937.6051 metric tons CO₂e.

Year Category	2023			2024			2025		
	Direct Emissions Sources (Category 1)	Indirect Energy-related Emissions Sources (Category 2)	Total	Direct Emissions Sources (Category 1)	Indirect Energy-related Emissions Sources (Category 2)	Total	Direct Emissions Sources (Category 1)	Indirect Energy-related Emissions Sources (Category 2)	Total
1. Natural Gas Consumption (cubic meters)	1,150,395.0968	-	1,150,395.0968	1,199,768.9677	-	1,199,768.9677	1,356,412.5161	-	1,356,412.5161
1-1 Emissions Equivalent (metric tons CO ₂ e/year)	2,280.466	-	2,280.466	3,197.343	-	3,197.343	3,614.887	-	3,614.887
2. Diesel Fuel Consumption (liters)	31,245.8300	-	31,245.8300	31,962.7100	-	31,962.7100	37,770.4100	-	37,770.4100
2-1 Emissions Equivalent (metric tons CO ₂ e/year)	82.590	-	82.590	85.982	-	85.982	102.798	-	102.798
3. Electricity Consumption (million kWh)	-	454.5606	454.5606	-	506.9532	506.9532	-	580.0494	580.0494
3-1 Emission Equivalent (metric tons CO ₂ e/year)	-	224,552.936	224,552.936	-	240,295.817	240,295.817	-	274,943.444	274,943.444
4. Other Emissions Equivalent (metric tons CO ₂ e/year)	10,924.002	-	10,924.002	20,209.664	-	20,209.664	11,276.473	-	11,276.473
Total Emissions Equivalent (metric tons CO ₂ e/year)	13,287.057	224,552.936	237,839.993	23,492.989	240,295.817	263,788.806	14,994.158	274,943.444	289,937.602
Percentage(%)	5.587	94.413	100.000	8.906	91.094	100.000	5.172	94.828	100.000

Note GWP values used are from the IPCC Sixth Assessment Report: 2021

Note In 2022 and 2024, indirect greenhouse gas emissions sources (categories 3-6) were audited but not disclosed. Quantified items include 3.1 upstream freight transportation, 3.2 downstream freight transportation, 4.1 emissions from purchased (consumable) products, and 4.3 emissions from solid and liquid waste.

Note The data of year 2023 covers Shih-Lei factory, Tsing-Hua factory, Xing-Feng factory1, Xing-Feng factory2, and Yu-Shih Factory.

5.1 Climate Action 5.2 Environmental Policies and Commitments **5.3 Greenhouse Gas Emissions and Energy Resource Management** 5.4 Renewable Energy and Resource Conservation/ Efficiency
 5.5 Water Resource Management 5.6 Waste Management 5.7 Air Pollution Prevention and Control 5.8 Promotion of Environmental Sustainability 5.9 Biodiversity, Environmental Greening and Beautification

To fulfill energy conservation and carbon reduction goals and strengthen energy management, Kinsus Technology continuously tracks and analyzes all forms of energy usage. Through systematic data collection and year-on-year comparisons, the Company gains insights into energy consumption trends. This approach supports the development of targeted reduction strategies and enhances energy efficiency. The following table presents the annual consumption and variation of different energy types, serving as a critical reference for advancing sustainable operations and fulfilling the Company's environmental responsibilities.

Category	Energy Source	Unit	2023	2024	2025
Non-Renewable Energy	Purchased Electricity	GWh (Million kWh)	454.5606	506.9532	580.0494
		GJ (Gigajoules)	1,636,399.9776	1,825,011.2419	2,088,154.6380
	Natural Gas	m³ (Cubic Meters)	1,150,395.0968	1,199,768.9677	1,356,412.5161
		GJ (Gigajoules)	43,339.9849	45,200.0961	51,101.4851
	Diesel	L (Liters)	31,245.8300	31,962.7100	37,770.4100
		GJ (Gigajoules)	1,098.6784	1,123.8856	1,328.0983
	Gasoline	L (Liters)	2,001.2700	2,217.3700	1,586.5390
		GJ (Gigajoules)	65.3431	72.3989	51.8018
Renewable Energy	Purchased Green Electricity	MWh (Thousand kWh)	4,302.0000	4,698.0000	5,401.0000
		GJ (Gigajoules)	15,487.2000	16,912.8000	19,443.6000
Products Sold		KPCS (Thousand Pieces)	4,717,665.1050	6,391,684.7840	7,087,297.0830
Energy Intensity per Unit of Product		GJ/KPCS (Gigajoules per Thousand Pieces)	0.3596	0.2954	0.3048

5.4 Renewable Energy and Resource Conservation/ Efficiency

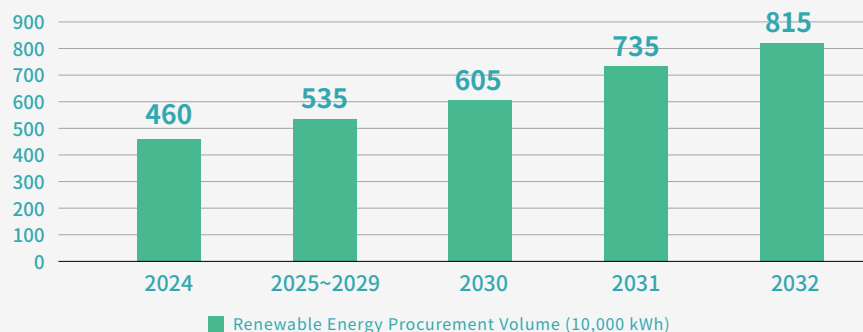
Renewable energy

The company responds to the management of greenhouse gas emission reduction to achieve CO₂ reduction goals. In 2025, we continued to improve energy efficiency and implement greening initiatives in the factory to effectively control carbon emissions. By 2050, we aim to synchronize with government policies by using renewable energy and reducing indirect CO₂ emissions from electricity consumption, thus realizing a sustainable future for the environment.

In response to the regulations issued by the Ministry of Economic Affairs: Power users above a certain contract capacity are required to set up renewable energy power generation equipment management methods. Kinsus actively completed the signing of green energy purchase contracts in 2022 and fulfilled the obligation to install capacity in accordance with regulatory requirements ahead of schedule in 2023. The scale of these contracts reaches a power generation capacity of 4.3 million kWh per year, equivalent to a reduction of 2,124 tons of carbon emissions.

To align with the 2050 renewable energy adoption policy, Kinsus has begun restructuring its energy portfolio. In 2025, the Company increased its annual procurement of renewable energy to 5.35 million kWh and plans to further raise this amount to 6.05 million kWh in 2030.

Renewable Energy Procurement Volume from 2024 to 2032

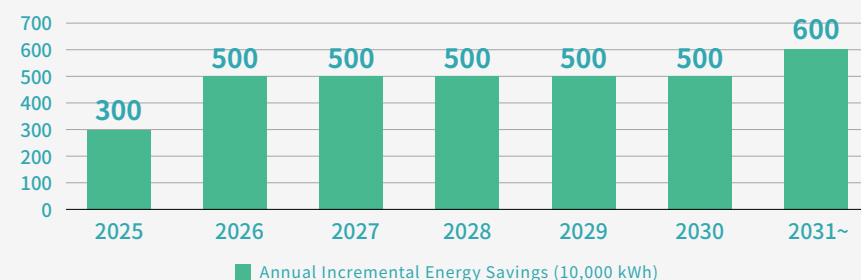


Note The green power procurement agreement was signed for the period from 2023 to 2027. Subsequent adjustments will be made based on the Company's capacity expansion and electricity system requirements.

Year	2024	2025~2029	2030	2031	2032
Renewable Energy Procurement Volume (10,000 kWh)	460	535	605	735	815

Electricity Conservation Targets

Electricity Saving Targets from 2025 to 2031



Category	Energy Efficiency Goals		
	Short-Term	Mid-Term	Long-Term
	2025	2026-2030	2031~
Annual Incremental Energy Savings (10,000 kWh)	300	500	600

5.5 Water Resource Management

Water Resource Risk Management

Key indicators for water resource risk management include water supply quantity and environmental discharge water quality. Kinsus identifies water risks within its factory areas and establishes comprehensive emergency response procedures. It also expands regional water resource sources and promotes the reuse of recycled water.



Type	Potential Operational Impact	Adjustment Methods
● Drought or Water Scarcity ● Flood Risk ● Untreated Wastewater Discharge	● Affect production capacity, increase operating costs and decrease the revenues. ● Failure to deliver or interrupt delivery on schedule.	● Establish comprehensive water resource management and control measures ● Increase water storage capacity to support 3-5 days (3 days during drought) ● Water trucks to support water-deficient areas ● Regular inspection of process equipment in all factories ● Wastewater management policies in compliance with environmental regulations

Adjustments are implemented to address potential water shortages during drought periods in accordance with the water restriction measures announced by government authorities at each stage of water supply management.

Water Supply Alert Level	Status	Primary Objective	Response Strategy	Remarks and Action Items
 Blue Alert	Normal	Routine Preparedness and Infrastructure Readiness	1 Optimize water recycling systems during facility construction and expansion projects. 2 Maintain annual standby contracts with qualified water tanker suppliers. 3 Conduct regular inspections of on-site water storage capacity and water level monitoring sensors.	
 Green Alert	Water Supply Advisory	Early Warning and Resource Assessment	1 Suspend non-essential water use unrelated to production, such as landscape irrigation and exterior wall cleaning. 2 Review actual water consumption across all manufacturing processes. 3 Verify the operational efficiency of water recycling systems. 4 Monitor water supply conditions weekly and communicate early warnings during production meetings.	Launch internal water conservation awareness campaigns and establish departmental water-use baselines.

5.1 Climate Action 5.2 Environmental Policies and Commitments 5.3 Greenhouse Gas Emissions and Energy Resource Management 5.4 Renewable Energy and Resource Conservation/ Efficiency

5.5 Water Resource Management 5.6 Waste Management 5.7 Air Pollution Prevention and Control 5.8 Promotion of Environmental Sustainability 5.9 Biodiversity, Environmental Greening and Beautification

Water Supply Alert Level	Status	Primary Objective	Response Strategy	Remarks and Action Items
 Yellow Alert	Reduced Water Pressure Supply	Response and System Adjustment	1 Increase the automatic refill setpoint of on-site water reservoirs to ensure rapid replenishment when daytime water pressure is normal. 2 Suspend maintenance and cleaning activities involving large water-consuming equipment not directly related to production.	Focus on managing low-pressure conditions at the ends of pipeline networks during nighttime or off-peak periods.
 Orange Alert	Water Rationing	Mandatory Reduction and Resource Allocation	1 Coordinate with production units to optimize ultrapure water cleaning time or flow rates without affecting product yield. 2 Activate water tanker replenishment operations to refill storage reservoirs and implement tanker traffic routes and water unloading SOPs. 3 Evaluate the use of external reclaimed water for cooling tower operations while reserving municipal water supplies for the ultrapure water system.	Prepare for a 5%-20% reduction in water supply to industrial users and coordinate across departments to optimize water consumption in production lines.
 Red Alert	Zonal or Scheduled Water Supply	Emergency Response and Critical Operations Mode	1 Deploy contracted water tanker fleets on a 24-hour rotation schedule to supplement water shortages during supply interruptions. 2 Coordinate with management and production planning teams to prioritize the suspension of high-water-consumption or low-margin production lines, or advance scheduled annual maintenance activities. 3 Ensure that cleanroom environmental control systems, air pollution control equipment, and wastewater treatment systems maintain minimum safe operating water levels.	Prepare for severe water rationing measures, such as “five days of supply followed by two days of suspension” (five days on, two days off). Priority shall be given to ensuring the uninterrupted operation of critical production lines and EHS (Environment, Health, and Safety) facilities.

Unit: million liters

Water Resource Usage

Kinsus is located in an industrial park classified as a moderate water resource risk zone. The main water source is derived from the Shihmen Reservoir.

Note

Due to land constraints, water recycling facilities could not be installed at the Xing-Feng Factory 2.

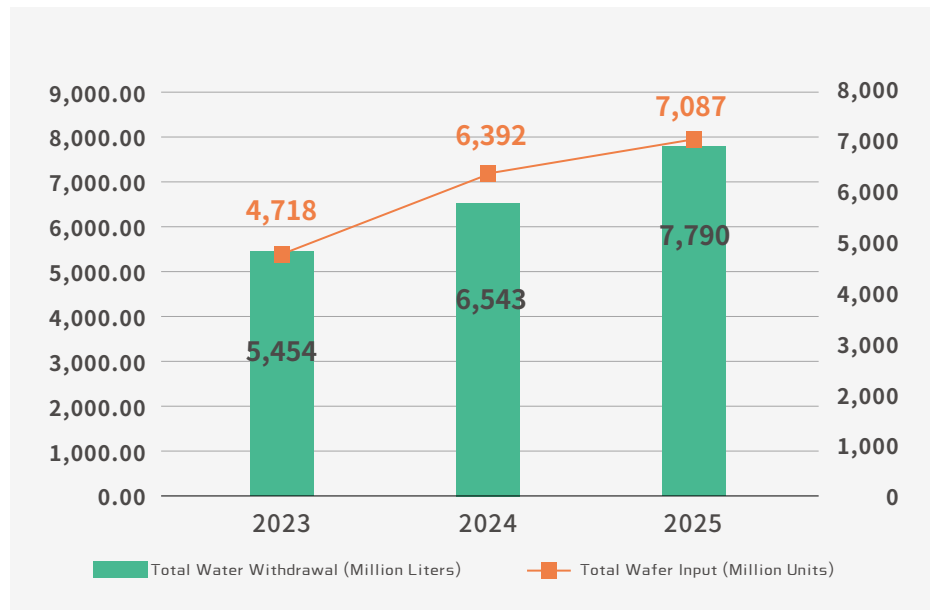
In 2024, water consumption increased at the Xing-Feng Factory 1 & 2 and the Yu-Shih Plant due to capacity

Year Item	2023					2024					2025				
	Shih-Lei Factory	Tsing-Hua Factory	Xing-Feng Factory1	Xing-Feng Factory2	Yu-Shih Factory	Shih-Lei Factory	Tsing-Hua Factory	Xing-Feng Factory1	Xing-Feng Factory2	Yu-Shih Factory	Shih-Lei Factory	Tsing-Hua Factory	Xing-Feng Factory1	Xing-Feng Factory2	Yu-Shih Factory
Tap Water Volume	348	1,527	462	817	200	389	1,597	941	1,087	490	540	1,915	1,141	1,110	1,138
Groundwater Volume	553	636	652	0	259	466	770	569	0	234	415	768	573	0	190
Total (365 Days)	5,454					6,543					7,790				
Average Daily Water Consumption	14.94					17.93					21.34				
Effluent Discharge	817	2044	869	785	393	827	2113	987	899	624	921	2,419	1,140	981	1,216
	4,908					5,450					6,677				
Effluent Discharge	84	119	245	32	66	29	254	523	188	100	34	264	573	130	112
	546					1,093					1,113				

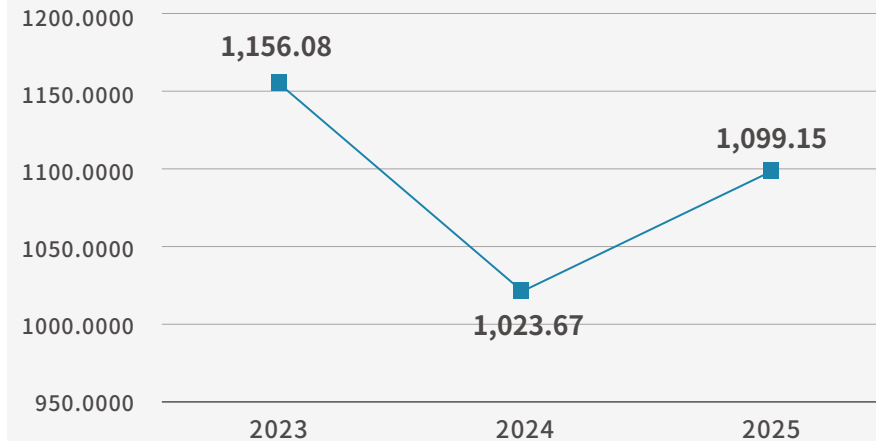
• A comparison of water consumption and wafer input from 2023 to 2025 is shown right:

Year	2023	2024	2025
Total Water Consumption (million liters)	5,454	6,543	7,790
Total Wafer Production (million wafers)	4,718	6,392	7,087
Unit Water Consumption per Unit Output (liters/wafer)	1,156.08	1,023.67	1,099.15

Note In 2024, with the commencement of operations at the Xing-Feng II and Youth Factories, the unit water consumption per production capacity decreased to 1,023.67 liters per piece.
In 2025, water consumption per unit of production capacity increased slightly to 1,099.15 liters per piece due to water usage associated with the trial operation of Youth Factory II.



Unit Water Consumption per Capacity (Liters/Wafer)



Water Saving Measures

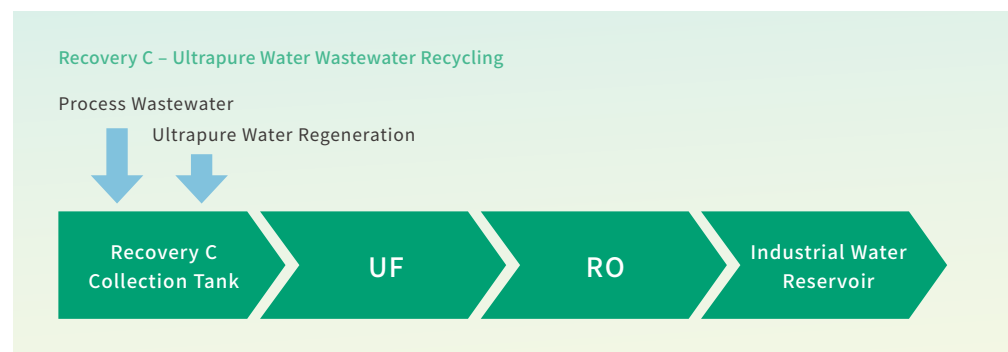
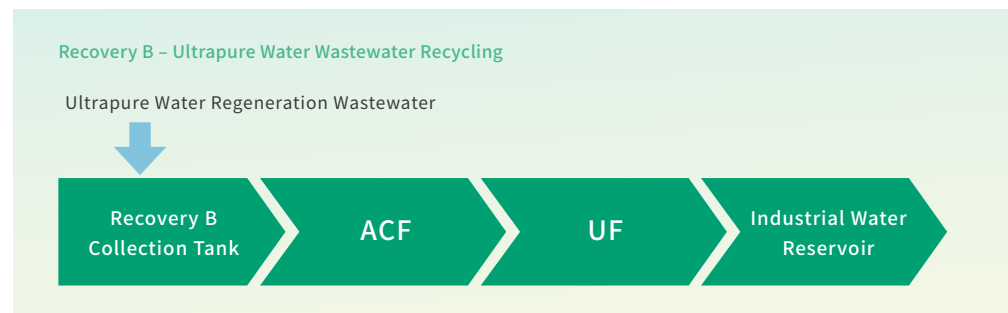
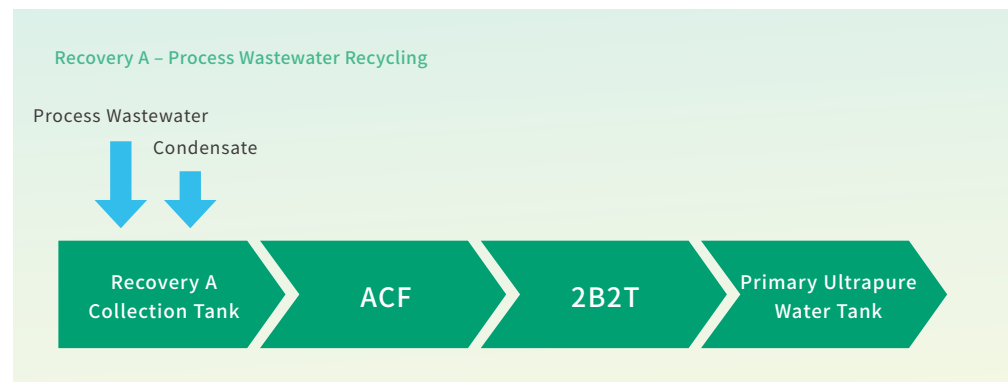
Kinsus continuously pursues innovation with a primary focus on ongoing improvement. Through water-saving measures, we aim to optimize water usage while actively identifying new opportunities for conservation. The Company also enhances its recycled water systems to reclaim water used in production lines, thereby improving the overall water recovery rate.

1 Cooling Tower Management

- Enhancing water quality concentration to reduce discharge.
- Monitoring water quality and assessing chemical treatments.
- Utilizing reverse osmosis (RO) concentrated water in cooling towers and washing towers to minimize water usage at the source.

5.1 Climate Action 5.2 Environmental Policies and Commitments 5.3 Greenhouse Gas Emissions and Energy Resource Management 5.4 Renewable Energy and Resource Conservation/ Efficiency
5.5 Water Resource Management 5.6 Waste Management 5.7 Air Pollution Prevention and Control 5.8 Promotion of Environmental Sustainability 5.9 Biodiversity, Environmental Greening and Beautification

2 Recycled water systems have been installed for ultrapure water, reclaimed water, and process water. Across all factory sites, three categories of water recycling systems are in place to support reuse.



3 2025 Ultrapure Water System Regeneration Interval Extension Project

By increasing the water production capacity of the 2B3T system by 10% before regeneration, the volume of regeneration water was reduced by 5% (Previously, regeneration was performed after producing 3,000 tons of ultrapure water; under the new operating condition, regeneration is carried out after 3,300 tons of ultrapure water have been produced, extending the regeneration interval by 300 tons).

Item	Water Volume (million liters)
2B3T Water Production Volume	5,453
Regeneration Water Consumption	403
Water Savings	20
Reduction in Regeneration Water Consumption Ratio	5%

4 Periodically promoting water-saving awareness and information among employees.

Based on the Company's 2025 operational performance, the annual water recycling rate remained above 5.5%. Going forward, Kinsus will continue to implement water conservation projects and increase the water recycling rate by 1% annually starting in 2026, with the goal of achieving a 10% water recycling rate by 2030.



5 Sustainable Development Goal (SDG) 6

Kinsus implements initiatives in alignment with Sustainable Development Goal (SDG) 6: "Ensure availability and sustainable management of water and sanitation for all."



Wastewater Management Measure

Kinsus' s factories regularly monitor wastewater and ensure that the discharged water quality exceeds regulatory standards. We committed to staying informed about and complying with domestic environmental regulations. This proactive approach allows Kinsus to adapt to and stay ahead of environmental requirements and trends in the industry.

In accordance with the Water Pollution Control Act, industrial wastewater is sampled and analyzed

quarterly by a certified testing organization. The wastewater testing and reporting forms are submitted to the local environmental protection authority for review and approval.

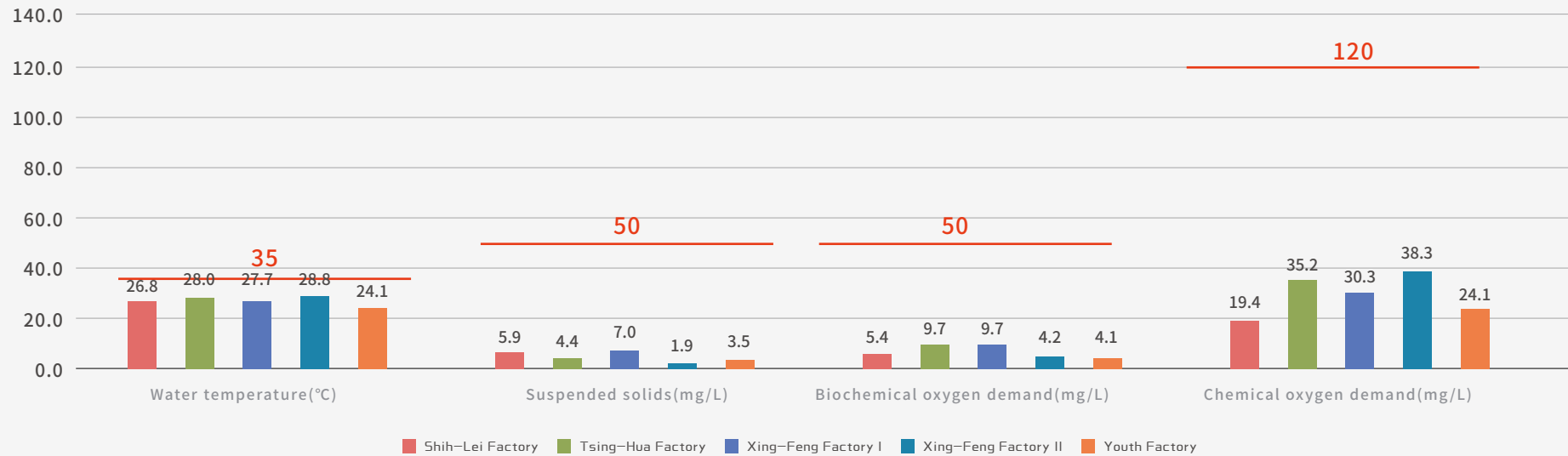
Kinsus has installed automatic continuous monitoring facilities at the discharge outlets throughout its factory. Daily self-testing of the wastewater quality is conducted, and external testing is carried out at least four times per year. The data from these tests are used to calibrate and ensure the stability of the online monitoring instruments.

Wastewater Copper Reduction Program

In response to the Taoyuan City Environmental Protection Bureau' s 2025 policy on reducing copper discharges into key river systems, aimed at protecting human health and the environment by encouraging relevant industries to reduce pollutant discharges and lessen the burden on water bodies, the Shih-Lei Factory, Tsing-Hua Factory, and Youth Factory will submit self-management plans for copper concentrations in wastewater effluent in 2026. The target is to reduce copper concentrations in discharged wastewater to 0.5 mg/L by 2029, exceeding the current effluent standard of 1.5 mg/L established by the Ministry of Environment. Through these efforts, Kinsus seeks to fulfill its corporate social responsibility and continue protecting the environment and ecosystems.

Monitoring Frequency/ Test Parameters (Unit)	General Water Quality (once/3 months)				
	pH	Water Temperature (°C)	Suspended Solids (mg/L)	Biochemical Oxygen Demand (mg/L)	Chemical Oxygen Demand (mg/L)
Ministry of Environment Effluent Standards	6~9	Below 35	50	50	120
Shih-Lei Factory	7.7	26.8	5.9	5.4	19.4
Tsing-Hua Factory	7.7	28.0	4.4	9.7	35.2
Xing-Feng Factory I	7.5	27.7	7.0	9.7	30.3
Xing-Feng Factory II	7.5	28.8	1.9	4.2	38.3
Youth Factory	7.5	24.1	3.5	4.1	24.1

Average Results of Outsourced Testing for Effluent and Emission Standards in 2025



Note The data in the above table is in compliance with the Water Pollution Control Measures and Test Reporting Management Regulations. The parameters for water quality are tested every three months, and the average values are calculated to one decimal place.
Note The effluent items not listed in the above table are all tested in accordance with the Water Pollution Control Measures and Test Reporting Management Regulations, and meet the Effluent Standards stipulated by the Bare Printed Circuit Boards Manufacturing Industry.

Water Pollution Prevention Measures

- 1 Rolling review and management using the PDCA (Plan-Do-Check-Act) cycle to address process changes and reduce environmental impacts from pollution sources.
- 2 Treatment equipment is designed with an N+1 redundancy system, ensuring stable operation 24 hours a day and 365 days a year. Realtime monitoring systems record operational parameters, and if the values exceed predefined thresholds, immediate alerts will be triggered.

5.6 Waste Management

Kinsus has established an internal "Industrial Waste Management Procedure" that focuses on environmental considerations from the perspective of product life cycle. This procedure regulates the classification, collection, storage, and disposal of industrial waste. The aim is to use management measures to remove waste, improve environmental hygiene, and prevent the proportional increase of waste production as the production capacity grows, thus avoiding environmental threats.

- **Requirements for Suppliers:** Reusable packaging containers are preferred, and if non-reusable containers are used, they must be made of recyclable materials. Waste generated during the supply process should be recyclable or classified as officially recyclable waste.
- **Requirements for Production:** Source control is implemented for production materials, avoiding the use of raw materials and equipment materials that cannot be effectively handled by current environmental technologies. Reviewing the recycling and reuse of process raw materials/waste is emphasized to reduce unnecessary resource waste and promote circular reuse.
- **Requirements for Employees:** Employees receive environmental, safety, and health education and training on their first day of work. They are educated on waste sorting, aiming to raise the environmental, safety, and health awareness and competence of every employee. Waste bins are placed at designated locations along employee routes, in tea rooms, vending machine areas, etc., to facilitate independent sorting of recyclable waste. Each location should have at least five or more waste sorting categories, contributing to sustainable environmental practices and making a social impact.
- **Waste Recycling Requirements:** The Company conducts annual reviews to assess the appropriateness of current waste disposal channels. Non-incineration treatment methods are prioritized when selecting waste disposal contractors. In 2024, incinerated waste accounted for 14.68% of total waste. This figure was reduced to 9.49% in 2025. The waste recycling rate also increased from 85.32% to 90.51%.

Transforming Waste into Energy

Starting from 2023, the Company plans to actively promote the conversion of product waste from incineration to the production of auxiliary fuel rods. This continuous conversion of waste into renewable energy aims to contribute to the wellbeing of the planet.

Membrane Sludge Reduction Project at Youth Factory

In August 2025, Youth Factory introduced membrane sludge reduction equipment, which uses physical processes to remove moisture from membrane sludge. From September to December 2025, a total of 6.9 metric tons of membrane sludge was generated, with 3.5 metric tons reduced, achieving an average reduction rate of 50%. Following the implementation of the equipment, approximately 10 metric tons of membrane sludge transportation and disposal can be reduced annually. The sludge reduction performance achieved in 2025 is summarized in the table below.

Item	Youth Factory	Sep-25	Oct-25	Nov-25	Dec-25
Membrane Sludge Reduction Equipment 	Weight Before Reduction (kg)	1,699	1,937	2,116	1,160
	Weight After Re-duction (kg)	871	973	1,035	525
	Weight Reduction (kg)	828	964	1,081	635
	Reduction Rate (%)	48.7%	49.8%	51.1%	54.7%

5.1 Climate Action 5.2 Environmental Policies and Commitments 5.3 Greenhouse Gas Emissions and Energy Resource Management 5.4 Renewable Energy and Resource Conservation/ Efficiency
5.5 Water Resource Management **5.6 Waste Management** 5.7 Air Pollution Prevention and Control 5.8 Promotion of Environmental Sustainability 5.9 Biodiversity, Environmental Greening and Beautification

• The following table shows the statistics of recyclable and non-recyclable waste for the past three years:

Waste Classification	2023				2024			2025		
	Final Disposal Method	General Industrial Waste	Hazardous Industrial Waste	Proportion	General Industrial Waste	Hazardous Industrial Waste	Proportion	General Industrial Waste	Hazardous Industrial Waste	Proportion
	Incineration, Solidification and landfill	Quantity (tons)		Percentage	Quantity (tons)		Percentage	Quantity (tons)		Percentage
Nonrecyclable Waste		1,094.25 *300.44	446.75	15.85%	1,171.72 *316.97	259.45	14.68%	1,261.23	154.26	9.49%
Recyclable Waste	Reused (Thermal Treatment)	0.80	0.00	0.01%	0.00	0.00	0.00%	0.00	0.00	0.00%
	Reused (Chemical Treatment)	0.12	155.69	1.34%	0.12	189.58	1.59%	33.4	195.06	1.53%
	Reused (Physical Treatment)	755.06	0.86	6.51%	1,006.69	47.49	8.85%	2,250.62	7.69	15.15%
	Reused (Solidification Treatment)	0.00	0.00	0.00%	0.00	0.00	0.00%	0.00	0.00	0.00%
	Reuse by Regulation	404.86	7,038.98	64.07%	201.08	6,548.62	56.67%	266.15	7,809.78	54.17%
	Declared Reuse	1,420.31	0.00	12.22%	2,169.34	0.00	18.21%	2,931.08	0.00	19.66%
	Subtotal	2,581.15	7,195.52	84.15%	3,377.23	6,785.69	85.32%	5,481.25	8,012.52	90.51%
Total		3,975.84	7,642.28	100.00%	4,865.92	7,045.14	100.00%	6,742.48	8,166.78	100.00%

Kinsus 2026 Policy Objective: Under the goal of "Resource Recycling," we aim to achieve a recycling rate of **82%**.

Note The data covers Shih-Lei factory, Tsing-Hua factory, Xing-Feng factory1, Xing-Feng factory2, and Yu-Shih Factory.

Note The * symbol indicates the weight of non-recyclable waste processed into auxiliary fuel rods.

5.7 Air Pollution Prevention and Control

Air Pollution Management

In recent years, governments worldwide have increasingly recognized the importance of improving air quality, and air pollution has become a significant environmental concern globally. Kinsus has been proactive in planning and implementing air pollution prevention measures since the establishment of its factories, in response to the global trend. Through internal audits, self-examination, and effective preventive maintenance, training, and operations, the Company ensures effective pollution control. KINSUS is committed to continuous improvement in pollution prevention and hazard prevention. In 2023, there were no violations of the Air Pollution Control Act.

Optimization of Air Pollution Control Equipment

- 1 Pre-assessment of potential harmful pollution factors during the production process to minimize environmental impacts.
- 2 Installation of comprehensive air pollution control systems such as dust collectors and wet scrubbers to prevent odors and reduce pollutant emissions, effectively suppressing the occurrence of air pollution.
- 3 To ensure the uninterrupted operation of pollution control equipment 24 hours a day throughout the year, all air pollution control devices are equipped with back-up systems (N+1 design). This ensures zero failure of pollution control equipment and enables stable and continuous monitoring of pollutant emissions.

Establishment of Plant-Specific Volatile Organic Compounds (VOCs) Emission Factors at the Xing-Feng Factory

In accordance with the Air Pollution Control Fee Collection Regulations, the Company is required to report air pollutant emissions and pay corresponding air pollution control fees due to VOC emissions generated from the use of various VOC-containing raw materials in its manufacturing processes. The Xing-Feng Factory currently reports VOC emissions using the officially announced emission factor of 1,000V.

Considering the characteristics of certain raw materials used in the manufacturing process, there are significant discrepancies between actual operating conditions and historical reporting results. To more effectively reduce VOC emissions, the Company planned in 2025 to establish plant-specific VOC emission factors in accordance with the Ministry of Environment's Guidelines for Establishing Plant-Specific VOC Emission Factors (Including Control Efficiency) for Stationary Pollution Sources. Through this initiative, the Company expects to improve the accuracy of VOC emission calculations and achieve a reduction in reported VOC emissions.

Volatile Organic Compounds (VOCs) Emissions

Year	2023	2024	2025
Emissions (kg)	172,075	235,429	272,869

5.8 Promotion of Environmental Sustainability

Kinsus aims at environmental sustainability and continuously promotes the following measures to reduce waste generation and reduce the use of original resources to promote the concept of green circulation.

Environmental Specialist Appointment

In response to rapid environmental changes and the need for effective prevention and control of environmental pollution, Kinsus complies with the requirements of the Environmental Protection Administration (EPA) requirements to appoint environmental specialist To minimize the impact on the environment and human health in the event of accidents, these specialists possess the necessary expertise in various types of pollution prevention and control. They regularly participate in external training organized by the EPA to enhance their capabilities in pollution prevention and equipment management. °

Type	Required Specialist Numbers	Shih-Lei Factory	Tsing-Hua Factory	Xing-Feng Factory1	Xing-Feng Factory2	Yu-Shih Factory	Result
Wastewater	3 personnel (dedicated unit)	3	3	3	3	3	Compliant
Air Pollution	1 dedicated personnel	1	1	1	1	1	Compliant
Waste	1 dedicated personnel	1	1	1	1	1	Compliant
Toxic Substances	1 general-level personnel	1	-	1	1	1	Compliant
	1 personnel each for operational and technical levels	-	2	-	-	-	Compliant

Environmental Management Policy

In recent years, the significance of environmental protection has been increasingly recognized, leading to higher demands for environmental management. Additionally, emission standards for various pollutants have been gradually raised. Since its establishment in September 2000, Kinsus has invested hundreds of millions of New Taiwan Dollars in purchasing pollution control equipment and replacing outdated equipment. We have also adopted energy-efficient equipment to fully engage in pollution prevention and control efforts and work towards the sustainable goal of energy conservation and carbon reduction.

2025Kinsus Environment-related Expenses and Benefits Table is as follows:

Item	2025					Benefits Item
	Shih-Lei Factory	Tsing-Hua Factory	Xing-Feng factory1	Xing-Feng Factory2	Yu-Shih Factory	
Water Quality Testing Fee	976,370	1,063,490	1,380,875	917,065	1,157,030	The water quality testing fee includes testing of raw wastewater, rainwater, and drinking water to ensure compliance with the Water Pollution Control Act and provide employees with qualified drinking water, prioritizing employee health.
Industrial Waste Disposal Fee	4,787,955	27,762,609	12,093,294	4,495,736	6,595,513	Compliance with laws and regulations: Proper disposal of industrial waste generated from business productions and employees.
Air Pollution Fee	0	91,401	3,312,334	3,694,962	1,350	Compliance with laws and regulations: Maintaining the normal operation of equipment to effectively improve air quality.
Water Pollution Fee	56,556	533,798	181,056	1,074,612	162,048	Compliance with laws and regulations: Reducing soil and groundwater pollution.
Management Cost	418,132	139,200	211,965	272,601	272,602	Verified through management systems to achieve environmental sustainability KPIs.
Total Environmental Expense	71,652,554					

Greening of the Factory Area and Organic Composting

Each factory area has a large area of tree planting, utilizing the collected fallen leaves as organic fertilizer. This practice helps maintain soil structure and increase its nutrient capacity. The non-toxic and easily biodegradable nature of organic composting reduces environmental pollution and enhances land friendliness. Additionally, the emission of “phytoncides” by trees is known to have stress-relieving and rejuvenating effects. Incorporating these elements into daily life also contributes to improving the physical and mental well-being of employees.

Energy-saving Activities and Promotion

The Factory Affairs Department serves as the responsible unit for planning and promoting the Company’s energy conservation and carbon reduction initiatives. Kinsus actively implements energy-saving measures through six key approaches: the “Introduction of New Technologies and Equipment,” “Energy Management and Efficiency Enhancement,” “Facility Systems Integration and Optimization,” “Replacement with High-Efficiency Equipment,” “Water Treatment and Ultrapure Water Systems,” and “Other Managerial Measures.” The Company continues to introduce intelligent energy-efficiency management solutions for air-conditioning and compressed air systems. (For details, please refer to “Energy Conservation and Carbon Reduction Focus Across Six Pillars.”)

2025 Energy Conservation Project Achievements

The Company continues to promote carbon reduction initiatives. In 2025, a total of 11 key energy-saving projects were planned. Among them, seven projects were successfully completed during the year, while the remaining four projects have been rescheduled and are expected to be completed in the first half of 2026 (Q1-Q2).

Seven energy-saving improvement projects have been completed by 2025. :

Annual electricity savings reached

593.7
million kWh,

carbon reduction

2,938.8
metric tons of CO₂e,

Annual electricity savings are approximately

2,374.8
million

No.	Main Focus Area of Improvement	Electricity Savings (10,000 kWh/year)	Greenhouse Gas Reduction (metric tons of CO ₂ e)	Improvement Benefits (NT\$ thousand/year)
1	Introduction of New Technologies and Equipment (2 projects)	182.8	904.9	7,312.0
2	Heating System Optimization and Efficiency Enhancement (1 project)	49.2	243.5	1,968.0
3	Replacement with High-Efficiency Equipment (4 projects)	361.7	1,790.4	14,468.0
Total for 7 Projects Completed in 2025		593.7	2,938.8	23,748.0

Note The financial benefits of energy-saving projects were calculated based on the 2022 baseline year and the electricity emission factor announced by the Ministry of Economic Affairs (0.495 kg CO₂e/kWh).

Ongoing Projects (Originally scheduled for completion in 2025 and postponed to 2026)

No.	Main Focus Area of Improvement	Electricity Savings (10,000 kWh/year)	Greenhouse Gas Reduction (metric tons of CO ₂ e)	Improvement Benefits (NT\$ thousand/year)
1	Introduction of New Technologies and Equipment (1 projects)	87.6	433.6	3,504.0
2	Replacement with High-Efficiency Equipment (3 projects)	563.2	2,787.8	22,528.0
Subtotal of 4 Projects Deferred to 2026		650.8	3,221.5	26,032.0

2026 Energy Conservation Project Outlook

In 2026, the Company will align its energy conservation initiatives with the Ministry of Economic Affairs' "Deep Energy Saving Promotion Program" (targeting an annual electricity savings rate of 1.5%) and its "Voluntary Emission Reduction Plan." A total of 11 major energy-saving projects are planned, including four carry-over projects from previous years. These initiatives are expected to achieve annual electricity savings of approximately 15.16 million kWh, reduce greenhouse gas emissions by approximately 7,504 metric tons of CO₂e, and generate electricity cost savings of approximately NTD 60.64 million.

Key Implementation Priorities:

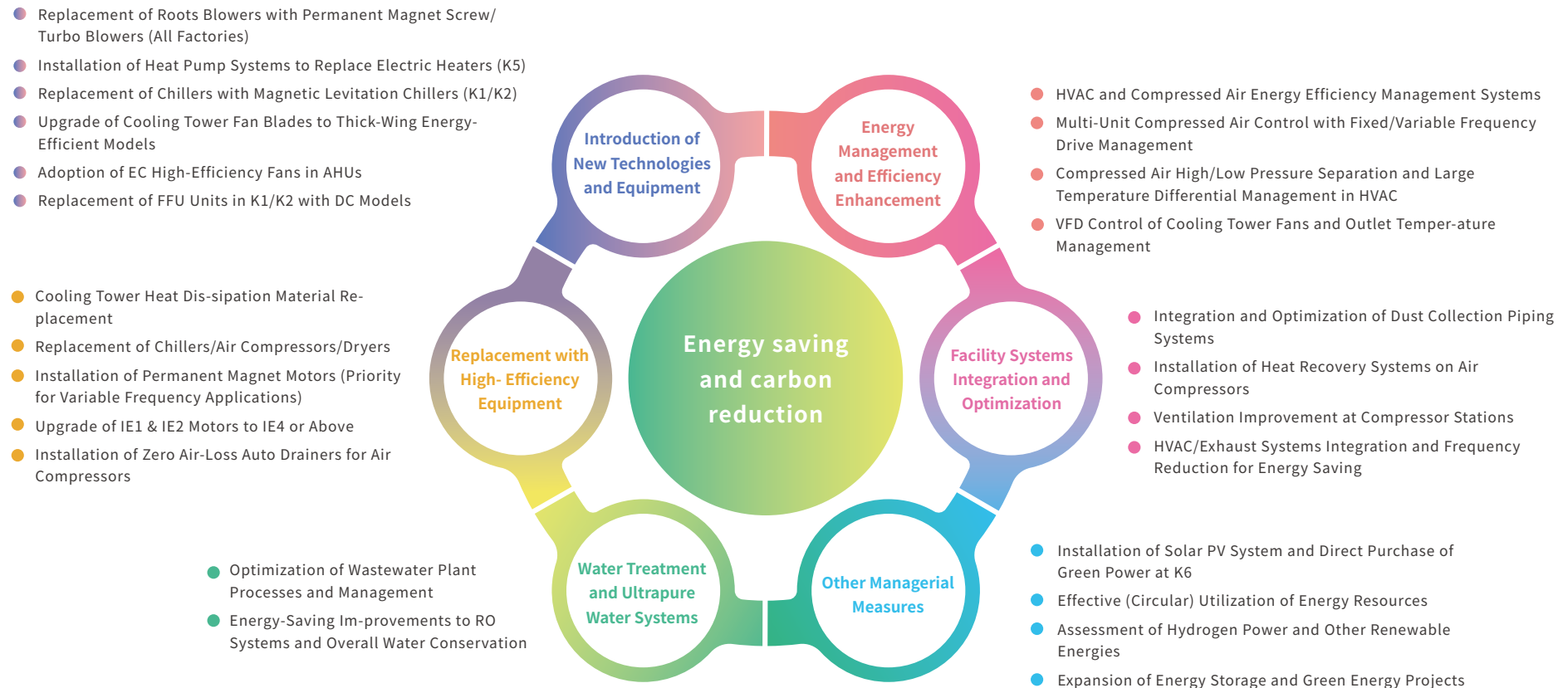
Continue to promote advanced energy engineering projects, including heat recovery (energy recycling and reuse), as well as optimization of vacuum and air-conditioning system controls.

System Optimization and Heat Recovery

Renewable Energy Deployment

Install a solar photovoltaic (PV) system at Youth Factory A for self-generation and self-consumption, thereby increasing the Company's renewable electricity self-sufficiency rate.

Energy Conservation and Carbon Reduction Focus Across Six Pillars



5.9 Biodiversity, Environmental Greening and Beautification

In response to the rapid development of the industry, Kinsus established the Shih-Lei Factory in Xinwu District in 2000, Tsing-Hua Factory in 2004, and Xing-Feng Factory in Hsinchu in 2014. Besides increasing the business volume of the Xinwu Factory, these expansions also created more employment opportunities in Taoyuan and Hsinchu areas.

Recognizing the potential impacts of water resource dependency and chemical usage in manufacturing processes on ecosystems, Kinsus officially released the “Biodiversity and No-Deforestation Commitment” in 2026. Guided by the Global Biodiversity Framework (GBF), which provides targets and implementation guidance for global biodiversity policies and actions through 2030, the Company is committed to progressively achieving “No Net Loss” through adjustments to its economic activities, with the ultimate vision of delivering a “Net Positive Impact” by 2050.

The Company follows the LEAP methodology recommended by the Taskforce on Nature-related Financial Disclosures (TNFD) and conducts site sensitivity screening using the Protected Planet database and Key Biodiversity Areas (KBAs). The Company also utilizes ENCORE (Exploring Natural Capital Opportunities, Risks and Exposure), a tool designed to assess natural capital-related opportunities, risks, and exposures, to evaluate its dependencies on nature, with particular attention to species listed on the International Union for Conservation of Nature (IUCN) Red List of Threatened Species (hereinafter referred to as the “IUCN Red List”). Kinsus believes that through science-based disclosure methodologies and ongoing ecological risk assessments, the Company can effectively mitigate potential impacts of its operations on natural habitats. The Company remains committed to achieving a sustainable balance between technological innovation and the conservation of nature.

① Relationship Between Operations and Ecologically Sensitive Areas

The Company proactively identifies its dependencies and impacts on nature by applying the “Locate” of the TNFD LEAP methodology. Geographic Information Systems (GIS) and biodiversity databases, including the Global Biodiversity Information Facility (GBIF) and the Taiwan Biodiversity Network (TBN), were integrated with the the Company’ s global operating sites to conduct spatial analyses. The assessment criteria are as follows:

- **2.0-km Impact Identification Zone:** A 2.0-km buffer zone was established as the basis for spatial analysis to evaluate the direct interface between operational activities and adjacent biological habitats, water resources, and soil environments, as well as to assess the integrity of regional ecological corridors.
- **Sensitivity Assessment Indicators :** Records of threatened species from both the IUCN Red List and the Taiwan Red List were integrated to quantify the nature-related risk level of each operating site.

2 Distribution of Ecological Sensitivity Across Operating Sites

Based on the results of the spatial assessment, the ecological sensitivity distribution of the Company's six global operating sites is presented below. The classification was determined by combining species sensitivity identified through geospatial analysis with the operational impact weighting of each site.

Ecological Sensitivity Level	Ecological Sensitivity Level Number of Sites	Revenue Contribution (%)	Description of Environmental Characteristics
High	1	16.7%	The site (Xing-Feng Factory) does not overlap with any legally designated protected area within the surrounding area; however, it is adjacent to the Xinfeng Mangrove Nature Reserve. Two endangered (EN) species have been recorded within a 2.0-km radius, and the site is an active manufacturing facility.
Medium	2	33.3%	The sites (Headquarters and Tsing-Hua Factory) do not overlap with any legally designated protected areas. Three endangered (EN) species have been recorded within a 2.0-km radius, and the sites are active manufacturing facilities.
Low	1	16.7%	The site (Youth Factory) does not overlap with any legally designated protected area. Four vulnerable (VU) species have been recorded within a 2.0-km radius, and the site is an active manufacturing facility.
None	2	33.3%	The sites are located in highly developed areas (Suzhou) or are non-manufacturing operational sites (United States).

Analysis: Approximately 66.7% of the Company's operating sites are located in areas with low ecological sensitivity or higher. For urban operating sites identified as having ecological sensitivity, the Company focuses on resource efficiency management and the implementation of risk mitigation measures.



3 Nature-Related Risk Matrix Analysis

To quantify the relationship between its operational activities and the natural environment, the Company utilizes ENCORE (Exploring Natural Capital Opportunities, Risks and Exposure), a tool jointly developed by the United Nations Environment Programme Finance Initiative (UNEP FI) and the UNEP World Conservation Monitoring Centre (UNEP-WCMC). Through the ENCORE framework, the Company identifies ecosystem services that are materially relevant to its operations and have significant interactions with the natural environment. By integrating physical observation data from the Global Biodiversity Information Facility (GBIF) and the Taiwan Biodiversity Network (TBN), the Company has identified the following significant nature-related dependencies and impacts:

Risk Category	Key Risk Indicators	Financial and Operational Impacts
Water Supply	Semiconductor manufacturing and technology verification processes require highly purified ultrapure water, and the stability of water resources directly affects production capacity.	The Suzhou Factory may face significant water scarcity risks, potentially increasing water procurement costs and operational disruptions.
Physical Risk	Extreme weather events (heavy rainfall and typhoons)	The Taiwan sites may be exposed to extreme weather threats, potentially causing damage to high-value production equipment and affecting sensitive ecosystem service interfaces such as the Xinfeng Wetlands.
Reputational Risk	Key Biodiversity Areas (KBAs)	A lack of transparent ecological monitoring data may reduce stakeholder trust and place the Company at a disadvantage in supply chain nature-related due diligence assessments.
Global and Microclimate Regulation	Climate Change Adaptation	Facility cooling systems and energy costs are highly correlated with external temperatures. Climate instability may increase operational costs and management burdens.

4 Ecological Coexistence Initiatives and Social Engagement

Since the establishment of each factory, and following the completion of environmental impact assessments and approval as industrial zones by the respective local environmental protection authorities, the Company has incorporated environmental beautification, air quality improvement, biodiversity conservation, and emission reduction into its site planning and development. Given the frequent movement of vehicles and personnel within the factory premises, additional trees and landscaping have been planted along major access roads, at factory entrances, and around manufacturing buildings. These efforts not only improve air quality but also enhance employee well-being and workplace satisfaction. As a result, the impacts of the Company's operations, products, and services on biodiversity are considered minimal.

Within the landscaped green areas, ecological ponds have been established and integrated with vegetation planting throughout the factory sites to create diverse habitats for small organisms and support a rich ecological foundation. The key features of the environmental greening and biodiversity initiatives implemented at the Company's four major factory sites are outlined below.

Shih-Lei Factory

Green Area: 1,345 Taiwanese pings ($\approx 4,446.28$ square meters), including a 51 pings (≈ 168.59 square meters) koi fish pond. The green plants mainly consist of evergreen plants with some flowering plants, providing different scenery throughout the year. The koi fish pond houses 80 carefully selected koi fish, adding a dynamic atmosphere to the garden. When viewed from a higher location, the company logo "K" can be seen cleverly integrated into the pond. Additionally, two sky gardens have been created at the Shih-Lei Factory, providing more recreational spaces and visually comfortable environments for employees.



Tsing-Hua Factory

Green Area: 418 Taiwanese pings ($\approx 1,110.816$ square meters). The green plants mainly consist of evergreen plants with some flowering plants, providing different scenery throughout the year.

The green areas are distributed around parking lots and administrative areas, enhancing the greenery in the view of visitors entering the factory entrance and during employee commuting hours, showcasing the Company's commitment to greening and beautification efforts.



Xing-Feng Factory

Green Area: 1,900 Taiwanese pings ($\approx 6,279.174$ square meters), including a 23 pings (≈ 76.018 square meters) koi fish pond. The green plants primarily consist of evergreen forest trees complemented by dwarf shrubs and flowering plants, creating multi-level green landscapes. The Southern Pine pavilions are also built, designed with the concept of relaxation, to enhance the practicality of the green space and not just its aesthetic appeal, allowing employees to enjoy the greenery and completely unwind in nature during breaks and after work.



Youth Factory

The Youth Factory features approximately 3,900 Taiwanese pings ($\approx 12,893$ square meters) of green space. Guided by the principles of sustainable development, the Company integrates industrial operations with the natural landscape. Extensive lawn areas help regulate the site's microclimate, absorb carbon dioxide, and release oxygen, contributing to improved air quality and ecological balance within the factory premises. Although trees are primarily concentrated near the main entrance, the expansive green landscape provides employees with an open and relaxing visual environment, helping to relieve work-related stress while enhancing mental well-being and workplace productivity.



06 Friendly Workplace

6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care



- 6.1 Talent Policy and Commitment 6.2 Human Resource Structure 6.3 Talent Cultivation and Development 6.4 Compensation and Benefits
6.5 Human Rights Protection: Listen to Our Employees 6.6 Workplace Health and Safety 6.7 Comprehensive Health Care

GRI Topic Standard Reference

- | | |
|--|---|
| 401-1 New employee hires and employee turnover | 403-5 Worker training on occupational health and safety |
| 401-2 Benefits provided to full-time employees that are not provided to temporary or part-time employees | 403-6 Promotion of worker health |
| 401-3 Parental leave | 403-7 Prevention and mitigation of occupational health and safety impacts directly linked by business relationships |
| 403-1 Occupational health and safety management system | 403-9 Work-related injuries |
| 403-2 Hazard identification, risk assessment, and incident investigation | 404-1 Average hours of training per year per employee |
| 403-3 Occupational health services | 404-3 Percentage of employees receiving regular performance and career development reviews |
| 403-4 Worker participation, consultation, and communication on occupational health and safety | |

To build a sustainable enterprise, one of Kinsus Technology's core sustainability missions is fostering a friendly workplace. This includes key aspects of personnel management such as talent attraction and retention (salary and benefits), employee training and development, labor relations, human rights protection, and occupational health and safety.

Action Plans

Enhance employee benefits and maintain competitive compensation to attract and retain talent, strengthen human rights protection and labor-management relations, and increase the representation of women in management positions.

Identify human rights risks and track the effectiveness of mitigation and remediation measures to ensure zero human rights-related grievances.

Provide comprehensive training programs, well-structured employee development initiatives, and career development opportunities for the new generation workforce to enhance organizational competitiveness.

2025 Chapter Highlights

The average training hours per employee reached

9.05 hours.

Post-parental leave retention rate



83%



78%

Educational subsidies were provided for

250 employees' children.

6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

Status of achievement of key objectives in this chapter



Achieved



Unachieved

Material Topics	2025 Goal	In 2025 Execution Summary		2026 Goal	2027 Goal	Corresponding chapters
Labor and Management Relations	100%	 Achieved,100%	Employee feedback resolution rate	100%	100%	6.1 Talent Policy and Commitment
	≤20%	 Achieved,15.25%	Overall turnover rate	≤20%	≤20%	6.1 Talent Policy and Commitment
	100%	 Achieved,100%	Employee grievance/mediation case resolution rate	100%	100%	6.1 Talent Policy and Commitment
	0 items	 Achieved,0Item	Number of major labor-management disputes	0 items	0 items	6.1 Talent Policy and Commitment
Talent Recruitment, Retention, and Development	≥8H	 Achieved,≥8H	Average training hours per employee	≥8H	≥10H	6.2 Human Resource Structure
	100%	 Achieved,100%	New Hire Training Assessment Pass Rate	100%	100%	6.2 Human Resource Structure
	≥80%	 Not achieved,78.57 %	Retention rate for Taiwanese new hires (after 3 months of employment)	≥80%	≥80%	6.2 Human Resource Structure
Health Promotion	100%	 Achieved,100%	Examination Rate for Employee Health Checkups, General Health Checkups, and Special Occupational Health Examinations	100%	100%	6.7 Comprehensive Health Care
	100%	 Achieved,100%	Completion Rate of Follow-up and Improvement for High-Risk Health Cases	100%	100%	6.7 Comprehensive Health Care
	100%	 Achieved,100%	Care Coverage Rate under the Maternal Health Protection Program	100%	100%	6.7 Comprehensive Health Care

6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

6.1 Talent Policy and Commitment

With reference to internationally recognized standards, including the Responsible Business Alliance (RBA) Code of Conduct, the OECD Guidelines for Multinational Enterprises, and the United Nations Guiding Principles on Business and Human Rights, Kinsus has established its Supplier Corporate Social Responsibility Code of Conduct. The Company has developed rigorous short-, medium-, and long-term objectives to ensure that its supply chain is not only resilient but also sustainably competitive.

Material Topic → Labor and Management Relations

Policy: Establishing a friendly workplace and a safe and healthy working environment, laying a solid foundation for sustainable operations.

Management Guidelines

- **Objectives:** Promote harmonious labor relations, attract and retain outstanding talents, provide competitive salary and benefits, training and development opportunities, and fair promotion, making employees partners in the company's sustainable development.
- **Commitment:** Utilize due diligence investigations and proactive communication methods, commit to human rights protection, establish a sound training and development system, construct diverse and open channels of labor management communication, ensure a safe and healthy working environment, and foster a warm and harmonious work atmosphere.
- **Management measures:**
 - (1) Comply with labor laws and occupational health and safety regulations, safeguard employees' legal rights, and respect and protect basic labor rights.
 - (2) Provide a work environment of gender equality, equal rights, and free from discrimination and harassment.
 - (3) Offer equal employment and training opportunities regardless of gender, religion, race, nationality, or political affiliation.
 - (4) Provide employees with a safe and healthy working environment, ensuring their rights to safety and health are legally protected.
 - (5) Fair compensation and benefits, reasonable and objective performance evaluation, and salary adjustment processes.
 - (6) Establish effective training and development programs, career development plans, and promotion schemes.
 - (7) Establish channels for employee communication and dialogue, promptly address and resolve employee issues.
 - (8) Legally participate in labor insurance and health insurance, allocate employee welfare funds for organizing welfare activities.
 - (9) Respect employees' freedom and rights to assembly and association, protect employees' ability to openly communicate with management about work conditions without fear of retaliation, threats, or harassment.
 - (10) Establish an employee complaint channel to handle general complaints, sexual harassment, bullying, and other incidents.
Complaint Channel: Human Resources Department
→Email: hr@kinsus.com.tw
→Complaint Tel: +886-3-4871919 Ext. 27885

6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

Kinsus Interconnect Technology Corp. complies with labor-related regulations and has established "Work Rules" and "Occupational Safety and Health Work Guidelines and Organizational Structure and Personnel Establishment." These documents have been submitted to the competent government agencies for approval, ensuring legal labor conditions and safeguarding the rights of employees in terms of safety and health. We also adhere to the provisions of the "RBA Responsible Business Alliance Code of Conduct," providing employees with a healthy and safe working environment, establishing diverse and open channels of labor-management communication. This is complemented by fair compensation and promotion, a comprehensive training and development system, fostering employees' professional ethics and protecting trade secrets, a sound welfare system, and creating a warm and harmonious work atmosphere. Through a transparent and incentive-based profit-sharing system, we enable employees to contribute their abilities and performance with peace of mind, fostering mutual growth and development, and laying a solid foundation for sustainable operations.

Sustainable Business Development Policy

Kinsus Interconnect Technology Corp. upholds the principle of integrity in business operations and embraces the philosophy of "Only with talents, never depreciate." We strive to provide reasonable working conditions and comprehensive employee benefits, taking full care of the physical and mental well-being of our employees, enabling them to focus wholeheartedly and enjoy their work. We are committed to implementing a sustainable business development policy that encompasses environmental protection, employee care, a friendly workplace, shared prosperity in society, integrity management, and the participation of all employees.

To enhance labor rights, we not only comply with Taiwan's Labor Standards Act and relevant laws but also have established work rules that are filed and approved, internal regulations on preventing sexual harassment, anti-corruption and bribery measures, and complaint procedures. We have also established management mechanisms to safeguard the rights of our colleagues, ensuring their opinions are fully expressed. Each factory area has a dedicated "complaint mailbox and displays information on the complaint hotline."

Kinsus places great importance on the protection of personal data and complies with the requirements of the Personal Data Protection Act. The Company has established the Personal Data Security Maintenance Management Procedures to safeguard personal privacy and information security through rigorous management practices. In addition, a data governance framework has been implemented, incorporating data classification management, access control mechanisms, and data owner review procedures to ensure that data access and sharing are properly governed and protected. These requirements apply to all operating sites, customers, and suppliers of the Company. The collection, processing, use, and protection

of personal data involved in the Company's operations are conducted in accordance with applicable laws and regulations and are limited to the purposes permitted under such regulations. Personal data will not be disclosed, leased, or otherwise provided to third parties in any form. The Company strictly implements its Personal Data Security Maintenance Management Procedures to ensure compliance. To effectively manage privacy-related risks, the Company has established a Personal Data Protection Task Force responsible for implementing and monitoring compliance with the Personal Data Security Maintenance Management Procedures. Annual risk assessments and assessment reports are conducted and prepared accordingly. In response to regulatory developments, the Company also performs periodic legal compliance reviews to obtain and comply with the latest regulatory requirements. Furthermore, to reduce the risk of personal data breaches involving customers, suppliers, and business partners, Kinsus has obtained ISO 27001 Information Security Management System certification.

Kinsus adopts a zero-tolerance approach toward personal data incidents. In the event of a personal data breach, the responsible departments, including Information Security, Legal Affairs, and Human Resources, will investigate and handle the incident in accordance with the Personal Data Protection Act, the Company's incident reporting and response procedures, and other relevant regulations. Any individual found to have violated confidentiality obligations will be subject to applicable legal liabilities and disciplinary actions under the Company's internal regulations, including but not limited to termination of employment or business relationships.

The Company discloses quantitative data and management indicators related to its personal data protection policies in 2025 across three key areas: Employee Personal Data Protection Training, Supply Chain and Business Partner Management, and Incident Response and Risk Management, as follows:

Employee Personal Data Protection Training

All new employees are required to complete personal data protection training courses, while existing employees receive annual refresher training.

A total of 6,829 training completions were recorded, with 1,708 training hours delivered.

Supply Chain and Business Partner Management

100% of suppliers have signed confidentiality agreements with Kinsus.

Incident Response and Risk Management

No violations of the Personal Data Protection Act have occurred in recent years.

6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

Additionally, we adhere to the principle of non-retaliation, to prevent any unfair treatment of individuals. We are committed to maintaining a positive labor-management relationship and implementing various personnel management systems that promote a friendly workplace and care for our employees. In line with the policy direction of caring for employees and creating a friendly workplace, we pledge to implement the following eight human rights policies:

- No Employment of Child Labor Under the Age of 16.
- Respecting Employees' Freedom of Association and Collective Bargaining Rights.
- Providing Reasonable Salary and Benefits.
- Providing a Safe Working Environment and Establishing Preventive Measures.
- Prohibiting Any Form of Forced Labor.
- Prohibiting Any Form of Discrimination, Harassment, and Retaliation.
- Offering Diverse Communication Channels to Maintain Harmonious Labor Relations.
- Ensuring Employment Opportunities For Individuals With Disabilities.

6.2 Human Resource Structure

As of December 31, 2025, Kinsus Interconnect Technology Corp. had a total of 6,848 employees. Among them, foreign employees accounted for 37.5%, including nationals from the Philippines, Vietnam, Malaysia, Indonesia, Mexico, and other countries. We are committed to providing a diversified employment environment. The company does not impose restrictions or use contract-based coercion on foreign employees, nor does it engage in any form of forced labor, confinement, contract bondage, or pledging (including debt pledging) of foreign employees. We do not unlawfully withhold identity documents, passports, residence permits, or money. Our employment practices are based on the voluntary agreement of foreign employees. Additionally, all our employees are full-time, and we do not have any employees with no guaranteed working hours.

We respect the differences among our employees. In our employee management system, we adhere to labor principles and rights. During the recruitment process, our HR personnel verify the employees' true age to ensure that employees are at least 15 years old when they join the company. If any individual below the age of 15 is discovered, immediate actions are taken to address the issue, including child labor remediation measures, and relevant units and company representatives are notified. Furthermore, we adhere to the International Labor Organization (ILO) regulations and local laws regarding maternity protection, ensuring that pregnant employees are not engaged in hazardous or harmful work to protect the health of both the mother and the fetus. Maternity leave and breastfeeding periods are entitled to the welfare benefits stipulated by the government, and we provide breast feeding rooms and friendly parking spaces. Additionally, Kinsus Interconnect Technology Corp. provides job opportunities for individuals with disabilities and the minority groups. We exclude all forms of employment discrimination and forced labor, striving to create a friendly working environment and strengthen communication and connection between the company and its employees.

There were no significant operational changes in 2025. To encourage diversity and promote an equal employment environment, interviews are conducted based on individual capabilities and suitability for the position, without differentiation based on gender, religion, race, nationality, or political affiliation.

6.1 Talent Policy and Commitment **6.2 Human Resource Structure** 6.3 Talent Cultivation and Development 6.4 Compensation and Benefits
6.5 Human Rights Protection: Listen to Our Employees 6.6 Workplace Health and Safety 6.7 Comprehensive Health Care

1 As of December 2025, Kinsus had a total of 6,848 employees. Compared with 2024, there was no significant change in the Company's workforce size in 2025. The workforce structure over the past three years is shown in the table below.

		2023				2024				2025			
Category	Item	Female		Male		Female		Male		Female		Male	
		Number of People	Percent-age%	Number of People	Percent-age%	Number of People	Percent-age%	Number of People	Percent-age%	Number of People	Percent-age%	Number of People	Percent-age%
Non-Fixed Term Contracted Employees	Direct Staff	882	15.86%	1,299	23.36%	804	12.56%	1,208	18.87%	887	13.86%	1,301	20.32%
	Indirect Staff	398	7.2%	1,114	20.03%	423	6.61%	1,099	17.17%	479	7.48%	1,132	17.68%
Fixed Term Contracted Employees	Foreign Employees	861	15.48%	763	13.72%	1,336	20.87%	1,293	20.20%	1,311	20.48%	1,257	19.64%
	Trainees/ Con-tracted Employees	30	0.5%	77	1.4%	54	0.84%	125	1.95%	175	2.73%	286	4.47%
Dispatch Workers		40	0.7%	97	1.7%	20	0.31%	39	0.61%	4	0.06%	16	0.25%
Total Employees		2,211	39.76%	3,350	60.24%	2,637	41.20%	3,764	58.80%	2,856	41.20%	3,992	58.80%
Grand Total:		5,561 People				6,401 People				6,848 People			
Employees (by Age)	Below 30 Years Old	738	13.27%	830	14.93%	1,038	16.22%	1,115	17.42%	1,139	17.79%	1,285	20.07%
	31~50 Years Old	1,341	24.11%	2,326	41.83%	1,459	22.79%	2,414	37.71%	1,552	24.25%	2,431	37.98%
	Above 51 Years Old	132	2.4%	194	3.5%	140	2.19%	235	3.67%	165	2.58%	276	4.31%
Job Grade Distribution	Senior Executives	18	0.3%	85	1.5%	13	0.20%	93	1.45%	14	0.22%	96	1.50%
	Middle-Level Managers	111	2%	406	7.3%	121	2%	410	6.41%	136	2%	448	7.00%
	General Employees	2,082	37.44%	2,859	51.41%	2,503	39.10%	3,261	50.95%	2,706	42.27%	3,448	53.87%
Grand Total:		5,561 People				6,401 People				6,848 People			

Remarks

1.Direct Staff: Production line or process technician.

2.Indirect Staff: Administrative or managerial personnel.

3.Trainees: Students employed under contract through school-industry cooperation or internships.

4.Middle-Level Managers: Senior Deputy Manager (Technical), Senior Deputy Manager (Administrative), Deputy Manager (Technical), Deputy Manager (Administrative), Senior Director (Grade 4 to Grade 6), Director (Grade 4 to Grade 6), Deputy Director (Grade 4 to Grade 6), Project Manager.

5.Senior Executives: Grade 7 and above.

6.Foreign Employees: Includes both blue-collar and white-collar workers.

7.Dispatch Workers: Refers to personnel assigned to production lines or manufacturing processes

6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

2 The Composition by Age and Job Grade Distribution Is Shown in the Table Below:

Year	Item	Senior Executives		Middle-Level Managers		General Employees		Total
		Female	Male	Female	Male	Female	Male	
2023	Below 30 Years Old	0	0	14	32	724	798	1,568
	Ratio	0%	0%	30%	70%	48%	52%	28%
	31~50 Years Old	12	46	94	339	1,235	1,941	3,667
	Ratio	21%	79%	22%	78%	39%	61%	66%
	Above 51 Years Old	6	39	3	35	123	120	326
	Ratio	13%	87%	8%	92%	51%	49%	6%
Total Number of People:		18	85	111	406	2,082	2,859	5,561
2024	Below 30 Years Old	0	0	15	33	1,023	1,082	2,153
	Ratio	0%	0%	3%	6.21%	17.75%	18.77%	33.64%
	31~50 Years Old	7	49	102	341	1,350	2,024	3,873
	Ratio	6.60%	46.23%	19.21%	64.22%	23.42%	35.11%	60.51%
	Above 51 Years Old	6	44	4	36	130	155	375
	Ratio	5.66%	41.51%	0.75%	6.78%	2.26%	2.69%	5.86%
Total Number of People:		13	93	121	410	2,503	3,261	6,401
2025	Below 30 Years Old	0	0	10	22	1,129	1,263	2,424
	Ratio	0%	0%	2%	3.77%	18.35%	20.52%	35.40%
	31~50 Years Old	7	49	122	382	1,423	2,000	3,983
	Ratio	6.36%	44.55%	20.89%	65.41%	23.12%	32.50%	58.16%
	Above 51 Years Old	7	47	4	44	154	185	441
	Ratio	6.36%	42.73%	0.68%	7.53%	2.50%	3.01%	6.44%

Remarks

1. Middle-Level Managers: Senior Deputy Manager (Technical), Senior Deputy Manager (Administrative), Deputy Manager (Technical), Deputy Manager (Administrative), Senior Director (Grade 4 to Grade 6), Director (Grade 4 to Grade 6), Deputy Director (Grade 4 to Grade 6), Project Manager.
2. Senior Executives: Grade 7 and above.
3. Age proportion calculation: Sum of male and female for the respective rank / Total number of employees in that rank.

6.1 Talent Policy and Commitment	6.2 Human Resource Structure	6.3 Talent Cultivation and Development	6.4 Compensation and Benefits
6.5 Human Rights Protection: Listen to Our Employees	6.6 Workplace Health and Safety	6.7 Comprehensive Health Care	

3 Overview of Non-Employee Workforce Engagement is shown in the following table:

Workforce Engagement Type	2023			2024			2025		
	Headcounts	Work Hours (hours)	Number of Persons	Headcounts	Work Hours (hours)	Number of Persons	Headcounts	Work Hours (hours)	Number of Persons
Security Ser-vices	17,287	207,444	70	13,043	156,516	53	15,920	191,036	36
Environmental Cleaning	33,464	265,044	133	33,687	267,578	135	34,949	280,588	135
Total	50,751	472,488	203	46,730	424,094	188	50,869	471,624	171

Note 1.The number of non-employees is estimated using the Full-Time Equivalent (FTE) method. Number of persons = Total work hours / Daily working hours / Number of working days per year. Where the result is less than one person, it is counted as one.
2.Security services are estimated at 12 working hours per day; environmental cleaning at 8 working hours per day.
3.Number of working days: 250 days estimated for 2023, 249 days for 2024, and 249 days for 2025.

6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

6.2.1 Talent Recruitment and Mobility

With the rapid advancement of semiconductor technology and continuous improvement in PCB technology and materials, we are constantly investing in research and development, expanding our team size, and broadening our product range. We strive to add new product lines and enhance the quality and quantity of our products.

Kinsus primarily recruits local talents in Taiwan. However, in response to the demands for technological development and the importance of workforce diversity at our major operating sites in Taiwan, we not only recruit professionals and fresh graduates domestically, but also prioritize the recruitment of overseas professionals with specialized expertise. In 2025, the Company employed a total of 268 foreign white-collar employees, representing a 28% increase compared to the previous year. These colleagues have contributed to enhancing workplace diversity and have brought in a broader range of specialized expertise. Looking ahead, we remain committed to strengthening the development and cultivation of professional talent.

Talents are a vital asset for Kinsus Interconnect Technology Corp. In addition to creating a challenging and rewarding work environment, we determine salary levels based on employees' backgrounds, professional knowledge, technical skills, and years of experience. We recruit suitable and stable talents and have established comprehensive personnel management systems, including competitive overall compensation strategies, talent development and training mechanisms, performance evaluation and promotion processes, diverse welfare programs, and statutory retirement systems.

To enhance the quality of domestic talents and cultivate young talents, we are committed to promoting diverse education possibilities and providing development platforms for students at various stages within and outside the formal education system. We aim to align learning resources with the industry, actively working towards achieving the SDG4 goal of quality education.

We actively promote collaboration with universities and research institutes. In 2023, we signed agreements with National Central University, Chung Yuan Christian University, and National Dong Hwa University, aiming to jointly promote the deepening and development of the smart industry and semiconductor substrate talent cultivation. The university cooperation program focuses on "industry-academia research cooperation," "curriculum collaboration," and "career guidance." Through supporting faculty recruitment, offering industry expert courses, hosting lectures, organizing competitions, providing scholarships, and engaging in groundbreaking industry-academia collaborative research projects, we assist top university students and faculty worldwide in transforming integrated circuit designs into physical chips, actively fostering the next generation of talent in the semiconductor industry.

Regarding other talent sources in 2025: a total of 6 recruits were hired via LinkedIn, and 3 through industry-academia collaboration programs. In 2026, the Company will continue to focus on attracting top talents with STEM backgrounds or interdisciplinary integration capabilities to support the development of high-specification substrates and advance toward industry leadership. Amid the growing demand for semiconductor applications, we actively collaborate with universities to implement internship programs. These initiatives are designed to foster students' creativity, enhance their understanding of substrate manufacturing processes, and strengthen their skills in process optimization and analytical tools. At the same time, these programs help bridge the gap between academia and industry, enabling our efforts and innovations to gain broader visibility. In 2025, a total of 32 interns joined the Company's "Internship Program."

Every year, Kinsus Interconnect Technology Corp. formulates its business plan, and each department determines its manpower needs and direction for the new year. They submit their manpower requests to the Human Resources department based on actual needs. The Human Resources department disseminates job vacancy information and internal transfer information through various recruitment channels. Upon receiving this information, employees can pursue internal transfers to develop new expertise, facilitating their personal career development along different career paths; we actively nurture talents through employee referrals. Candidates referred by employees gain a better understanding of the company and position before joining, and their attachment and loyalty to the company are often stronger. Employee referrals are an actively expanded recruitment channel. In 2025, a total of 109 new hires joined the Company through employee referrals, accounting for 38.9% of all new recruits.

6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

The Recent Three-Year Data on the Proportion of Newly Hired and Turn Over Rate Among Male and Female Employees Is Presented in the Following Table:

Category	Year	2023					2024					2025				
	Item	Number of Persons					Number of Persons					Number of Persons				
		Female	Ratio	Male	Ratio	Age Ra-tio	Female	Ratio	Male	Ratio	Age Ra-tio	Female	Ratio	Male	Ratio	Age Ra-tio
Newly Hired	Below 30 Years Old	24	3%	52	6%	61%	363	34.97%	407	36.50%	35.76%	52	4.57%	102	7.94%	6.35%
	31~50 Years Old	14	1%	33	1%	37%	150	10.28%	231	9.57%	9.84%	45	2.90%	74	3.04%	2.99%
	Above 51 Years Old	1	0%	2	0%	2%	0	0%	5	2.13%	1.33%	2	1.21%	5	1.81%	1.59%
Newly Hired Rate for Male/ Female		1.76%		2.59%			19.45%		17.08%			3.47%		4.53%		
Total:		126 people/100%					1,156 people/100%					280 people/100%				
Annual Average Newly Hired Rate:		2.3%					18.06%					4.09%				
Turn Over	Below 30 Years Old	191	26%	253	31%	41%	147	14.16%	160	14.35%	14.26%	163	14.31%	292	22.72%	18.77%
	31~50 Years Old	242	18%	356	15%	55%	155	10.62%	245	10.15%	10.33%	197	12.69%	346	14.23%	13.63%
	Above 51 Years Old	15	11%	22	11%	4%	17	12.14%	23	9.79%	10.67%	14	8.48%	32	11.59%	10.43%
Newly Hired Rate for Male/ Female		20.26%		18.84%			12.10%		11.37%			11.17%		10.72%		
Total:		1,079 people/100%					747 people/100%					1,044 people/100%				
Annual Average Newly Hired Rate:		19.4%					11.67%					15.25%				

- Note:**
1. Newly hired are defined as employees who joined in 2023 and completed a minimum of 3 months of service.
 2. The calculation of the age proportion of newly hired: Using employees aged 30 and below as an example, it is calculated as the count of newly hired aged 30 and below divided by the count of employees of the same gender and age in the respective year.
 3. The calculation of the age proportion of turnover: Using employees aged 30 and below as an example, it is calculated as the count of departures aged 30 and below divided by the count of employees of the same gender and age in the respective year.
 4. The calculation of the subtotals by gender is based on the example of the newly hired. It is calculated as the total count of newly hired employees of the specific gender divided by the count of employees of the same gender in the respective year. 5. The calculation of the female or male newly hired or turnover rate is based on the count of newly hired or turnover of the specific gender divided by the count of employees of the same gender and age in the respective year. 6. The calculation of the total proportion is based on the example of newly hired. It is calculated as the total count of newly hired divided by the total count of employees in the respective year.

6.3 Talent Cultivation and Development

Employees are valuable assets to the company. At Kinsus Interconnect Technology Corp., we not only strive for continuous improvement in professional capabilities but also design relevant training programs based on the specific needs of our employees. In addition, we provide an e-learning platform to create a self-directed learning environment for all employees, enabling them to continuously enhance their expertise and skills in order to achieve the goal of sustainable business operation.

Item	Category	Summary
1	Management Training	Based on different job levels, a series of courses are implemented in alignment with the company's strategy. Senior executives focus on courses related to strategy, goal setting, and leadership. Middle managers focus on courses related to subordinate development, teamwork, and communication. Frontline supervisors focus on courses related to daily work management and deployment management.
2	Professional Skills Training	Including courses related to product knowledge, manufacturing processes and technologies, quality systems, and the five core areas.
3	Quality Assurance Training	Various quality systems and activities aimed at enhancing quality awareness.
4	Onboarding Training	Onboarding general basic training for new employees, including work rules, quality, cybersecurity, and work safety awareness. For new engineers, "Stellar Program" that includes on-the-job training (OJT), product and quality systems, statistical applications, and group activities to accelerate their integration into the Kinsus Interconnect Technology Corp.'s culture and work environment.
5	Environment, Health and Safety Training	Training on environmental protection, occupational safety and health, and health promotion for both new and existing employees.
6	Project Training	To enhance organizational effectiveness and achieve sustainable operations, the following projects are implemented: (1) OKR (Objectives and Key Results) (2) Talent Pipeline Development (3) Competency-based HR system.

Under the framework of sustainable business strategy, we have developed the composition and structure as shown in the diagram on the right. In terms of talent development, we began planning the succession talent pipeline in 2020 and started preparations for implementing a competency-based talent development framework in 2021. Through the use of technology tools for assessment, comparison, and analysis of competencies, along with systematic development plans, we can effectively enhance organizational competitiveness. In the new year, we will continue to cultivate high-potential employees, key experts, and successors to achieve sustainable business goals.



In response to environmental changes and the future development of products and

technologies, the training framework and systems are designed in alignment with the company's operations and employee development. The overall employee training implementation can be divided into two main parts: (1) workplace mentoring system in conjunction with on-the-job training and (2) a combination of online courses and physical seminars.

To maintain competitiveness, we plan various training activities every year, including management communication series, professional skill enhancement, and more. We provide diverse learning resources through multiple channels to enhance employee capabilities. Colleagues have expressed that the company's arranged courses are aligned with job requirements, enhancing individual work efficiency, achieving the goal of integrating training and utilization.



6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

Staff Training Hours:

In 2025, the total training hours for employees amounted to 62,270 hours. and the average training hours per person for the year were 9.05 hours.

Kinsus Interconnect Technology Corp. has designed its education and training system with different structures for new employee training and on-the-job training, considering the overall environment, company's future development, and the transition of personnel positioning.

New Employee Training Mechanism: To familiarize new employees with the environment, job responsibilities, and facilitate their integration into the company culture, regular pre-employment training courses are conducted. The frequency and duration of these training sessions are adjusted flexibly based on actual needs. The pre-employment training courses for new employees include company introduction, personnel regulations and welfare systems, cybersecurity awareness, labor safety and health introduction, human rights promotion, etc., totaling 8 hours of training.

6.3.1 Performance Management and Employee Development

(1) Employee Career Development

Performance evaluation contributes to a robust human resources system and further enhances the overall operational framework of the company. Kinsus Interconnect Technology Corp. conducts assessments for newly hired employees after their three-month probation period, guiding supervisors and colleagues to understand their performance in terms of behavior, results, and personal attributes. The evaluation assesses their work capabilities, attitudes, and integration into the company's culture.

Supervisors carry out fair, reasonable, and objective performance evaluations in accordance with established standards, ensuring that every team member clearly understands their role and strives to meet performance requirements for their respective positions. Employees are provided with clear work objectives and future performance improvement guidelines, aligning them with the overall operational goals.

In 2025, a total of 280 newly hired Taiwanese employees participated in the annual performance evaluation,

with no differentiation based on gender. The purpose of the evaluation is not only to emphasize the consensus between employees and supervisors regarding work goals but also to focus on developing employee capabilities while assessing performance. The primary objective is to cultivate and enhance employees' individual abilities, enabling them to acquire proficiency in their roles, thereby enhancing the company's competitiveness and overall organizational efficiency. This aims to build a strong foundation for the company's future success.

Performance evaluation statistics for Taiwanese newly hired employees in the past year are presented in the following table:

Annual Performance Evaluation Category	2025Total of 280 newly hired Taiwanese Staff			
	Number of People Evaluated		Ratio %	
	Female	Male	Female	Male
Indirect Staf	132	72	47.14%	25.71%
Direct Staf	49	27	17.50%	9.64%
Total:	181	99	64.64%	35.36%

(2) Performance Evaluation and Career Development for Existing Employees

In addition to the newly hired, the company conducts performance evaluations every six months based on job levels to monitor work performance and determine bonus allocations. The evaluation rate for all employees, excluding the newly hired ones, is 100%. Furthermore, based on supervisor evaluations, attendance, and individual performance, employees who demonstrate outstanding work performance are recommended for promotion by supervisors at different levels. In 2025, a total of 1,664 employees were promoted, accounting for 12.0% in technical positions, 1.8% in administrative positions, and 86.2% in OPR direct staff positions.

6.4 Compensation and Benefits

6.4.1 Compensation and Benefits Policy and Performance

Compensation and Benefits Policy: Competitive Compensation and Benefits to Attract and Retain Talent.

- **Objectives and Targets:** Taking into account industry competitiveness, overall economy, and sustainable business considerations, the company has established a "Compensation and Benefits System" to provide competitive compensation and benefits that attract and retain talent.
- **Commitment:** Through diligent research and proactive communication methods, the company ensures a sound employee compensation and benefits system, allocating profits as employee dividends.
- **Management measures:**
 - (1) Provide a stable employee compensation structure in accordance with the company's compensation management system.
 - (2) Allocate employee welfare funds in accordance with the provisions of the "Employee Welfare Fund Regulations" and organize welfare activities.
 - (3) Conduct performance evaluations and interviews to improve work behavior and skills, as well as cultivate and develop employees' individual abilities.

Kinsus Interconnect Technology Corp. determines its salary levels based on employees' educational background, professional knowledge and skills, years of experience, and individual performance. The wages paid to employees comply with all applicable wage laws, including those related to minimum wage, overtime hours, and statutory benefits. There is no gender-based wage discrimination, and employees are compensated equally regardless of their gender, race, religion, political stance, marital status, or affiliation with labor unions or associations. However, due to differences in job positions, educational qualifications, experience, and departmental divisions, there may be slight variations in the salary ratio between male and female employees.

In addition to the basic salary and holiday bonuses, the company also provides flexible variable compensation based on its operational performance, including monthly profit-sharing bonuses, quarterly performance bonuses, employee rewards, long-serving employee benefits, and exemplary employee recognition. These incentives are designed to motivate employees and retain outstanding talents. Annual salary adjustments are determined based on employees' job positions and performance evaluations, with specific items and amounts for salary adjustments being proposed.

6.4.2 Compensation System for the Board of Directors and Senior Executives, and Operation of the Compensation Committee

According to Article 24 of the Kinsus Interconnect Technology Corp. Bylaws, if the company generates profits in a fiscal year, at least 10% of the profits should be allocated as employee compensation, and the director's compensation should not exceed 1%. The proposed director's compensation and employee compensation shall be recommended by the Compensation Committee, approved by the Board of Directors, and reported in the annual shareholders' meeting report. Kinsus Interconnect Technology Corp. has established the "Director's Compensation Payment Regulations," which stipulate that directors who do not hold positions within the

6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

group shall receive fixed compensation regardless of the company's profit or loss. Directors who hold positions within the group shall receive reasonable compensation based on their positions, representation as directors of subsidiaries, and level of involvement in company operations. Manager's compensation is determined based on their job level, administrative or technical role, and individual performance. The policies, standards, and composition of director and manager compensation are discussed by the Compensation Committee, which submits its recommendations to the Board of Directors.

6.4.3 Retirement Benefits

The retirement pension system of Kinsus Interconnect Technology Corp. is based on the "Labor Standards Act" and the "Labor Pension Act" to protect the rights and benefits of employees in receiving retirement pensions in the future.

- **Payment Standards (Under the old retirement pension system) :** For employees with less than fifteen years of service, two times the base salary is provided for each year of service. For employees with more than fifteen years of service, one times the base salary is provided for each year of service, up to a maximum of forty-five times the base salary. For employees with less than six months of service, the payment is calculated based on half a year, while for those with six months or more of service, the payment is calculated based on one year. Employees who are forced to retire and have mental incapacity or physical disabilities caused by job duties shall receive a retirement pension of 20% in addition to the aforementioned provisions.
- **Calculation of Base Salary (Under the old retirement pension system) :** The retirement pension base salary is calculated based on the average salary of the preceding six months before retirement.
- **Payment Timing :** When a retired employee meets the criteria for voluntary retirement, the retirement pension shall be paid in full within thirty days from the retirement date. If it is not feasible to pay the pension in a lump sum, it may be paid in installments after approval by the competent authority.
- **Other Provisions :** Retired employees are required to fill out a retirement application form, which will be approved before payment. For employees subject to mandatory retirement, the respective units shall sign and approve the retirement procedures. The right of employees to claim retirement benefits expires if not exercised within five years from the month following retirement.
- **New Retirement Pension Contribution :** The Company deducts a percentage of each employee's salary according to a graded table and deposits it into the individual retirement account at the Labor Insurance Bureau at a rate of 6% of their salary.

In compliance with the Labor Standards Act, Kinsus Interconnect Technology Corp. monthly allocates "retirement reserve funds" to be deposited in a trust fund account with the Bank of Taiwan. Regarding the implementation of the new retirement system in 2005, all employees have the option to choose between the old and new systems. For employees who choose the old system, the company allocates an amount equivalent to 2% of their total salary to the old retirement pension. Based on the previous year's actuarial report on retirement pensions, the accounting department calculates the total amount to be allocated for the old retirement pension for the entire following year and spreads it evenly over twelve months. If the monthly allocation of 2% of the salary is lower than the average monthly allocation, the accounting department supplements the retirement pension allocation to match the estimated amount by the actuary. For employees who choose the new system, the company contributes 6% of the insured salary to the individual retirement pension account. Employees may also voluntarily contribute to their retirement pension within the range of 6% of their monthly salary, and the voluntarily contributed portion can be fully deducted from their total annual comprehensive income.

In addition, insurance benefits are provided to employees according to relevant laws and regulations. Statutory insurances include labor insurance, national health insurance, and company group insurance.



6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

6.4.4 Diverse Welfare and Benefit System

We believe that only with a high-quality living standard can employees achieve maximum efficiency in their work. In addition to providing a safe and comfortable working environment, we also value the leisure and recreational lives of our employees. The Employee Welfare Committee is established in compliance with the law to implement various welfare measures and manage employee benefits. Our diverse and comprehensive welfare programs include creating an artistic environment, providing meals, uniforms, accommodation, parking, leisure and entertainment facilities, and childcare services. We aim to ensure that every employee enjoys a healthy work-life balance, promote interpersonal communication among employees, and boost morale and cohesion.

Leisure and Entertainment

Both Shih-Lei and Tsing-Hua plants are equipped with fitness centers covering a combined area of 729 square meters. Facilities include indoor basketball and badminton courts, various exercise machines, yoga and dance studios, KTV rooms, table tennis and pool rooms, indoor golf areas, and rest zones with lounge chairs. These amenities provide employees with spaces to unwind and relax during their free time. Usage data is collected and monitored accordingly. The Company actively promotes a healthy workplace culture by organizing a variety of sports competitions and fitness programs to encourage employees to develop regular exercise habits. For example, we regularly host basketball, badminton, and table tennis tournaments to strengthen team cohesion and competitiveness. Additionally, the Company offers yoga, aerobics, and strength training classes, enabling employees to choose the type of physical activity that best suits their individual needs. These initiatives support both physical and mental well-being, while enhancing work performance and quality of life.

Cultural and Recreation Center Usage

Category	Factory	Shih-Lei Factory	Tsing-Hua Factory
Number of Users of the Cultural and Recreation Center in 2025		79,068	59,237
Number of Users of Fitness Equipment in 2025		52,466	52,137



6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

Comprehensive Welfare and Benefits

The Welfare Committee, in addition to setting up recreational activity centers to encourage colleagues to exercise and maintain their health, also provides other benefits such as travel subsidies, club subsidies, festival bonuses, and year-end party events. This allows life to be more than just work and enables colleagues to enjoy a diverse and enriching lifestyle. The Welfare Committee promotes the following activities and benefits:

Benefit	Description	Participants / Beneficiaries	Investment Amount
Travel Subsidy for Domestic Employees	Employees who have completed at least three months of service are eligible for an annual travel subsidy of NT\$5,000. The program encourages employees to plan their own travel itineraries, promoting physical and mental well-being and enhancing overall workplace happiness through rest and quality time with their families.	3,889 employees	NT\$19,050,894
Travel Subsidy for Foreign Employees	Foreign employees who have completed at least three months of service are eligible for an annual travel subsidy of NT\$5,000. The program encourages them to arrange travel and leisure activities based on their individual needs, helping them adapt to life in Taiwan while reflecting the Company's commitment to employee care, diversity, and inclusion.	2,429 employees	NT\$11,666,256
Club Activity Subsidies	To encourage employees to pursue personal interests, each employee club may apply for an operating subsidy of up to NT\$20,000 per quarter, with a maximum annual subsidy of NT\$80,000 per club.	172 employees	NT\$312,141
Gift Vouchers for Major Festivals and Labor Day	To enhance employee welfare, gift vouchers valued at NT\$2,000 per person are distributed during the Lunar New Year, Labor Day, the Dragon Boat Festival, and the Mid-Autumn Festival.	25,725 beneficiaries	NT\$63,878,210
Marriage, Bereavement, and Other Family Event Subsidies	Employees with at least three months of service are eligible for subsidies for marriage, childbirth, hospitalization, and bereavement (including the passing of parents or grandparents).	821 employees	NT\$2,407,500
Employee Birthday Gift Vouchers	Employees who have completed three months of service receive birthday gift vouchers in celebration of their birthdays.	6,311 employees	NT\$6,311,000
Education Subsidies for Employees' Children	Each year, up to 250 education subsidy quotas are available for employees' children. (In 2025, 247 applicants qualified after the lottery selection process.)	247 beneficiaries	NT\$741,000
Discounts from Partner Merchants	To enhance employee benefits and purchasing discounts, the Company has established partnership agreements with more than 150 merchants and hotels.	Applicable to All Employees	---
On-Site Vendor Services	From Monday to Friday, vendors are invited to set up booths in the cafeteria of Plant III, allowing employees to purchase products during their breaks.	Applicable to All Employees	---
Year-End Banquet Lucky Draw	A large-scale year-end banquet is held featuring celebrity performances, employee performances, catered meals, and the highly anticipated lucky draw.	6,378 winners	NT\$42,823,828

6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

Kinsus Interconnect Technology Corp. Kindergarten

In order to provide convenient childcare for employees and achieve a balance between work and personal life, Kinsus Interconnect Technology Corp. established our own kindergarten, Kinsus Kindergarten, in September 2012. It is the first corporate-affiliated kindergarten in Taoyuan City after the integration of childcare services. The kindergarten is equipped with state-of-the-art facilities and equipment, meeting the latest standards for kindergartens. In October 2020, the kindergarten relocated to a new campus.

The childcare services are available from 7:30 AM to 7:00 PM, with extended care services provided from 6:00 PM to 7:00 PM. The kindergarten also provides dinner for purchase, ensuring that parents can work with peace of mind without worrying about their children going hungry. The monthly fee for each child of an employee is NT\$9,050 (with a company subsidy of NT\$2,000 per child), resulting in an out-of-pocket payment of NT\$7,050 per child for employees. For the third child, the monthly tuition fee is halved to NT\$4,525 per child. Over the past 13 years, this benefit has been extended to 1,149 employee beneficiaries, with a cumulative subsidy amount of NT\$31,018,600.



Introduction to Kindergarten Facilities

The kindergarten occupies two floors. The first floor consists of classrooms for younger age groups and an indoor/outdoor play area. The second floor is dedicated to classrooms for older age groups and an outdoor playground.

The second floor offers a larger space that is thoughtfully designed with an artistic touch, providing a comfortable environment for children to unleash their creativity and promote safe and healthy growth.

In terms of curriculum planning, the kindergarten adopts a thematic approach aligned with the six core learning areas established by the Ministry of Education—physical movement, cognition, emotional development, aesthetics, language, and social development. Each semester's learning areas are carefully designed to guide children through experiential learning, enabling them to explore their interests and develop their abilities in a structured and effective manner.

In 2024, early childhood programming education was introduced. Through engaging and age-appropriate activities, children are introduced to fundamental programming concepts and computational thinking. This enables them to cultivate logical reasoning, basic coding skills, and problem-solving abilities through play, laying a solid foundation for future digital literacy and creativity.

Other Employee Benefits and Subsidies Are Listed as Table Below:

Allowance Subsidies

- > Travel Allowance: NT\$5,000 per person for local workers, NT\$5,000 per person for foreign migrant workers
- > Holiday Bonuses: NT\$2,000 gift vouchers for each holiday
- > Marriage, Funeral, and Celebration Assistance Fund
- > Club Subsidies: Up to NT\$80,000

Other Benefits

- > Meal Allowance for working days: NT\$45 per meal per person
- > Convenience Store Discount: 15% off on all items
- > Affiliated Stores: Total of 157 stores
- > Sports programs organized by the Welfare Committee
- > Free massage services



Family-Friendly Policies and Support for Marriage and Childcare (GRI 401–3 Parental Leave; GRI 403–6 Promotion of Worker Health)

A comprehensive family care support system contributes to employees' physical and mental well-being, enhances work engagement, and promotes gender equality and work-life balance. In accordance with the Labor Standards Act, the Act of Gender Equality in Employment, and other applicable regulations, Kinsus also aligns its practices with SDG 5.4, which recognizes and values unpaid care and domestic work. The Company provides marriage, childcare, and family care benefits that exceed statutory requirements and is committed to creating a family-friendly workplace that supports employees through different stages of life.

(1) Family-Friendly Policies and Family Support Programs

To support employees in marriage, parenthood, and family life, the Company provides benefits that exceed statutory requirements, including:

Marriage Gift Subsidy



Employees who get married are eligible for a marriage gift subsidy of

NT\$5,000 per person.

In 2025, a total of **112** employees applied for this benefit, with total subsidies amounting to **NT\$560,000**

Childbirth Subsidy



A subsidy of

NT\$5,000 is provided for each newborn child.

In 2025, a total of **124** employees applied for this benefit, with total subsidies amounting to **NT\$620,000**



6.5 Human Rights Protection: Listen to Our Employees

Policy for Human Rights Protection: Diversity, Equality, Promoting Labor-Management Harmony, and Valuing Human Rights

- **Objectives and Targets:** Creating a diverse, equal, and challenging work environment that promotes harmony, learning, growth, and mutual respect.
- **Commitment:** Utilizing diligent investigations and proactive communication methods to establish a harmonious work environment that promotes gender equality, diversity, and respect for human rights.
- **Management measures:**
 - (1) Providing equal employment opportunities regardless of gender, religion, race, nationality, or political affiliation.
 - (2) Allocating employee welfare funds in accordance with the "Employee Welfare Fund Regulations" for participation in labor insurance and health insurance.
 - (3) Conducting fair, reasonable, and objective performance evaluations.

6.5.1 Human Rights

We comply with labor laws and have established regulations for managing foreign migrant workers to ensure the labor rights and interests of our employees. We are committed to 100% compliance with relevant labor regulations and openly disclose our labor policies in accordance with the Responsible Business Alliance (RBA) guidelines. We also require our suppliers to sign a declaration of commitment to corporate social responsibility, prohibiting the employment of child labor, the engagement of young workers in hazardous work, and the practice of forced labor. We conduct regular assessments of forced labor risks.

The "Employee Hiring and Dismissal Procedures" explicitly state that we strictly prohibit the use of any form of coercion, imprisonment, contractual bondage, prison labor, pledge labor (including debt bondage),

trafficking, and slave labor. Employment must be voluntary for all employees. For foreign migrant workers, in addition to complying with labor laws, we have specific regulations in place to safeguard their labor rights. The management department conducts regular assessments of risks related to violations of labor rights, such as discrimination, forced labor, and child labor. If any violations occur, the risks and control measures are disclosed to the management to ensure that similar situations do not happen in the future. Furthermore, we conduct annual internal RBA audits and biennial external RBA audits. Through these due diligence efforts, we ensure that Kinsus mitigates all human rights risks.

6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

Oriented	Risk Assessment	Implementation	Measures Taken
Prohibition of Forced Labor	Internal control of working hours.	No coercion or intimidation for unwilling individuals to perform work or overtime.	Control of working hours. Tracking of consecutive and holiday attendance. Providing channels for feedback.
Prohibition of Child Labor	Verification of age (over 16) during interviews using identification cards.	No employment of child labor under the age of 16.	HR department verifies age using identification cards during interviews. Carefully assess when receiving/collecting resumes.
Elimination of Unlawful Discrimination	Disclosure of non-discrimination principles in interviews, employee training, compensation, and promotion according to Taiwanese labor laws.	No inquiries about irrelevant personal information during interviews with new candidates; prohibition of verbal discrimination among colleagues or between colleagues and supervisors.	Regularly review of regulations and internal management systems for compliance with legal requirements.
Workplace Health and Safety	Identification of hazards and risk assessment → High risk job positions should be placed under management. Implement occupational disease prevention and promote the physical and mental health of employees.	Establish a company safety culture and create a friendly working environment.	Establish measures for personal safety and protection of the working environment. Provide medical assistance and on-site doctor services. Conduct personnel education and training programs and raise awareness.
Promotion of Work-Life Balance	Promote interpersonal interaction among colleagues through participation in leisure activities and strive to maintain a healthy work-life balance and employee well-being.	The welfare committee organizes travel, handicraft, and sports-related activities.	Enhance internal promotional channels, encourage employee participation, and distribute participant questionnaires after the activities to improve future events and increase engagement.

Kinsus Interconnect Technology Corp. refers to international labor conventions and the Responsible Business Alliance (RBA) Code of Conduct, and is committed to complying with relevant labor laws in Taiwan. We have developed guidelines for labor rights protection management, including working hours and wages, humane treatment, non-discrimination, prevention of workplace bullying, and freedom of association. These guidelines aim to prevent non-voluntary labor, address and prevent sexual harassment, protect maternal rights in the workplace, and prevent unlawful infringement of job responsibilities.

6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

To ensure that every employee fully understands labor rights and corporate social responsibility policies and measures, the HR department conducts labor rights assessments for new employees and evaluates the effectiveness of employee training.

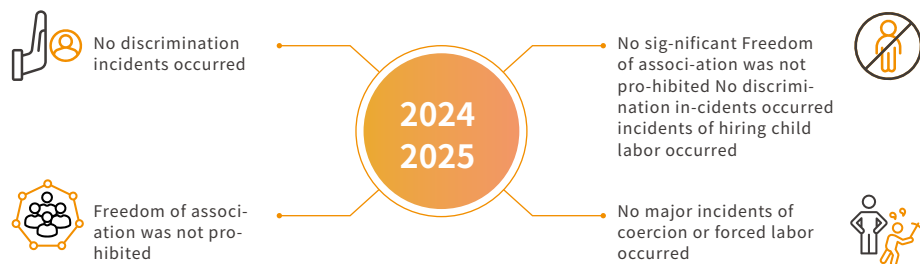
(1) Training

On the day of new employee onboarding, we arrange training on corporate social responsibility and labor rights policies. Through videos, presentations, and personnel explanations, employees gain a deeper understanding and knowledge of human rights-related laws and regulations, as well as awareness of their own rights and complaint channels.

(2) Assessment

To ensure that employees have absorbed the content of the training, a written test is conducted after the training. Employees must pass the standard to be considered qualified. If the score falls below the standard, additional training is scheduled for employees to retrain and fully understand labor rights and other entitlements.

Implementation of Various Human Rights Indicators In The Past Two Years:

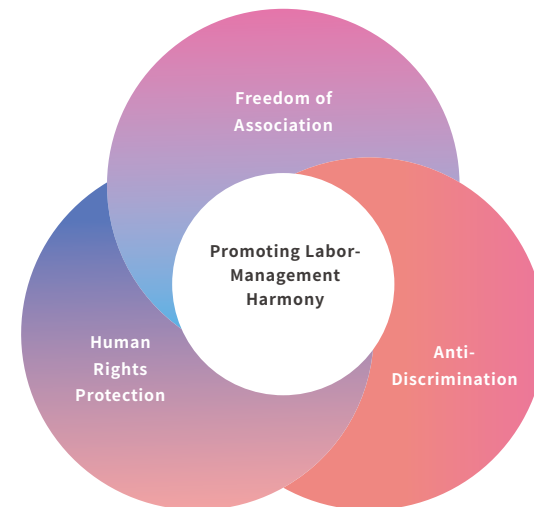


6.5.2 Human Rights and AntiDiscrimination

Kinsus Technology Interconnect Corp. strictly prohibits any form of inhumane treatment of employees, including sexual harassment, sexual abuse, corporal punishment, mental or physical coercion, and verbal abuse. If employees have concerns about company policies or managerial conduct, they may submit a complaint either in writing or verbally. The Human Resources Department will handle such cases in accordance with the "Employee Reporting and Complaint Handling Procedures."

The Human Resources Department maintains an independent and objective approach and promptly investigates any reported incidents. If the investigation confirms the validity of the complaint, appropriate disciplinary actions will be taken against the responsible party, and the outcome will be communicated to the complaining employee.

Thanks to effective mechanisms and controls, no discrimination cases were reported in 2025. Furthermore, we engage in human rights communication and training initiatives. For instance, new employees are required to sign documents as part of their orientation training, electronic reminders are sent through the digital document system, on-site personnel and suppliers are asked to sign ethical commitments, and confirmation is sought during customer audits. All new employees undergo relevant training on an annual basis, and in 2025, the training coverage rate reached 100%.



6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

6.5.3 Employee Satisfaction Survey

We respect and value the voices of our employees and conduct satisfaction surveys to understand their needs and continuously improve workplace facilities and management practices. In 2025, the Facility Engineering Department conducted a cafeteria satisfaction survey, which was made available in Chinese, English, and Vietnamese to facilitate participation by employees of different nationalities and demonstrate the Company's commitment to cultural diversity and inclusion. The survey focused on three key areas: service attitude, cleanliness and hygiene, and meal quality. The survey was open for approximately three days and received 402 valid responses, achieving a response rate of 36.4%. Based on employee feedback and lower-scoring survey items, the Company implemented improvement measures to foster a more enjoyable and employee-friendly workplace environment.

Kinsus has set a target of achieving an average satisfaction score of 4.5 out of 5 in 2026.

6.5.4 Freedom of Association

We respect and protect the legal rights of employees to form or join organizations, engage in collective bargaining, and participate in peaceful assembly. We commit to treating employees who participate in such activities without any discrimination or unequal treatment, and we do not use rewards or intimidation to control or attempt to control employees. The Company shall not interfere with the establishment of statutes and rules, the selection of representatives, organizational management and activities, or the development of plans by employees. Under an open association system, employees are free from retaliation, threats, and harassment and can openly communicate with the Company on work and management related issues. Although the Company has not established a labor union and does not maintain a collective agreement, regular labor-management meetings are held on a quarterly basis. Transparent communication channels are in place, and the resolutions adopted during labor-management meetings apply to all employees.

6.5.5 Shortest Notice Period for Operational Changes

When significant operational changes are imminent that will affect employees' employment rights and various labor conditions, the company complies with the Labor Standards Act and adheres to the following shortest notice periods for terminating employment contracts:

- A ten-day notice is provided for employees who have served the company for more than three months but less than one year.
- A twenty-day notice is provided for employees who have served the company for more than one year but less than three years.
- A thirty-day notice is provided for employees who have served the company for more than three years.

6.5.6 Diverse Communication Channels

We provide various communication channels to promote communication and coordination between labor and management, gain deeper insights into employee satisfaction with management and welfare systems, and maintain good labor management relations. Since its establishment, harmonious labor-management relations have been maintained, and there have been no incidents resulting in losses due to labor disputes. The likelihood of future losses resulting from labor disputes is estimated to be extremely low.

Furthermore, through the labor-management meetings, employee representatives can express their suggestions and opinions on specific issues and reach consensus with the Company through discussions on the agenda, ensuring smooth communication channels. Additionally, the Employee Welfare Committee and Occupational Health and Safety Committee have been established in compliance with the law and are officially operational after being approved by the competent authority. Currently, the labor-management meetings are held regularly on a quarterly basis, and the Employee Welfare Committee and Occupational Safety and Health Committee also have regular meetings. Each labor-management communication organization fulfills its responsibilities and communicates on different issues, collectively promoting harmonious and mutually beneficial labor management relations for coexistence and prosperity.

With comprehensive communication channels and a diverse, two-way, and open feedback mechanism, we implement effective handling and response to the voices of our colleagues. Through fair, confidential, and prompt processes, we resolve doubts among employees, fostering a good labor-management relationship.

We respect the feedback and opinions of all employees. In the current year, one grievance case was filed and reviewed. The case was

6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

handled in accordance with applicable regulations and the Company's internal management procedures. This case did not result in any labor disputes or major labor-related penalties. Should any grievance lead to a labor dispute or significant labor penalty, the Company will implement appropriate corrective and remedial measures to prevent recurrence and mitigate any negative impact on the organization.

Diversified Channels of Labor-Management Communication

We respect the employees' right to freedom of assembly and association granted by law. Occupational safety and health committees and employee welfare committees are established in accordance with the law, as shown in the following table:

Subject	Host	Frequency	2025 Feedback
ESG Sustainable Development Committee Meeting	Deputy Sustainability Officer Kev-in Huang	Once per quarter	4 case
Labor-Management Meeting	Deputy Sustainability Officer Kev-in Huang	Once per quarter	208 case
Complaint/Whistleblowing Re-view Committee Meeting	Senior Manager Bing Ze Li	As Needed	1 case

6.5.7 Employee Whistle-Blowing /Complaint Mechanism

At Kinsus Interconnect Technology Corp., we listen to and actively improve upon the feedback from our employees.

We have established labor-management meetings in each of our five plants. These meetings consist of five representatives from management and five representatives from the labor side. The labor representatives are directly elected by all employees, with the top five vote-getters serving as the labor representatives. The purpose of these labor management meetings is to coordinate labor-management relations,

promote collaboration between labor and management, and proactively address various labor-related issues through a labor-management consultation system. The basic principle of these meetings is to encourage voluntary consultation and cooperation between labor and management, thereby enhancing communication, reducing conflicts, fostering consensus, and harnessing the collective wisdom and potential of both sides to work towards implementing decisions.

We create a friendly working environment

- Regularly maintaining the parking lot to provide employees with convenient parking spaces.
- Optimizing the environment and signage of waste storage areas to facilitate safe and hygienic use by employees.
- Conducting regular driving safety seminars for foreign colleagues to enhance road safety awareness.
- Implementing mosquito control measures.
- Other initiatives.

Topics discussed in the labor-management meetings

- Regular announcements and reminders regarding various types of bonuses.
- Employee annual check-ups and health consultation services.
- Employee remuneration distribution.
- Promotion and organization of various employee activities, including the annual banquet.
- Release of the annual calendar.
- Establishing online communication channels for employees, such as various social media platforms, to facilitate real-time two-way communication.

6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

Employee Suggestion Box

We have set up an employee suggestion box in the workplace for employees to express their suggestions and opinions. We encourage employees to follow the regular management system and channels to address issues. However, for the following matters, employees may directly submit them through the Employee Suggestion Box:

- Discrimination, harassment, and abuse.
- Prevention of forced labor and involuntary servitude.
- Management and protection of foreign workers in the context of labor agency recruitment.
- Working hours, wages, benefits, and labor contracts.
- Freedom of association and collective bargaining.
- Occupational health and safety management, accident management, and emergency preparedness and response.
- Dormitory and cafeteria management.
- Hazardous waste management, wastewater management, stormwater management, air emission management, and industrial noise management.

We adhere to the principle of maintaining information confidentiality. Employees or potential employees who, in good faith, bring forth any questions, suggestions, complaints, or appeals to their supervisors or managers or participate in any related investigations or resolutions, will not face dismissal, blacklisting, discrimination, harassment, intimidation, retaliation, or any other adverse employment decisions.

6.5.8 Compliance with Labor Regulations

We strictly adhere to labor laws and regulations. Under stringent management practices, the Company was not subject to any substantial fines (exceeding NT\$1 million) imposed by competent authorities for violations of labor regulations in 2025. No incidents related to corruption or antitrust violations occurred during the year. A total of three labor-related violations were recorded in 2025, none of which constituted a material breach. Upon review and verification, all identified deficiencies were fully remedied.

Regarding violations of the Labor Pension Act, the incident involved a breach of Article 15, Paragraph 2. The Company completed all required supplementary contributions and revised its operating procedures to prevent recurrence. Regarding violations of the Labor Occupational Accident Insurance and Protection Act, the incidents were primarily attributable to insufficient internal training. The Company has strengthened its internal education and training programs to prevent similar occurrences in the future. In addition, a violation of Article 24, Paragraph 1 of the Labor Standards Act was identified. The Company has adjusted its overtime pay calculation method to ensure compliance with applicable regulations.



6.6 Workplace Health and Safety

Kinsus has established an "Occupational Health and Safety Management System" in accordance with the law. This system includes health and safety management policies and training, self-inspection of production equipment, workplace environmental monitoring, internal health and safety audits, health check-ups and medical care, emergency response and drills, occupational accident management and legal reporting, as well as subcontractor management and construction audits.

Kinsus' environmental, safety, and health management system is planned, reviewed, identified, evaluated, confirmed, and continuously improved based on various regulations, international standards such as ISO 45001, ISO 14001, CNS 45001, and company standards.

Occupational Health and Safety Policy:

The Company's Occupational Health and Safety management system aims to create a friendly, safe, and healthy workplace. Through the establishment and implementation of various management programs and control measures, Kinsus seeks to reduce workplace hazards and operational risks across its facilities. Regular inspections and evaluations are conducted to ensure the effective implementation and continuous improvement of occupational health and safety practices. The major management categories are outlined below:

Operational Safety	1 Working Environment Measurement: In accordance with the Regulations for Workplace Environmental Monitoring, workplace environmental monitoring is conducted semiannually. Monitoring items include high temperature, noise, organic solvents, and Type IV dust. The results are used to analyze concentrations of hazardous substances in the workplace and protect employees from exposure risks. 2 In line with the Company's Risk and Opportunity Assessment Management Mechanism, Kinsus has established a systematic process for hazard identification and hierarchical control. Regular hazard risk assessments are conducted for operational procedures, with priority given to engineering improvements and source-control strategies, including the adoption of alternative processes or lower-hazard materials to reduce potential impacts on employee health and safety. These measures are complemented by standardized operating procedures, enhanced machine safeguarding, and the use of personal protective equipment (PPE) to comprehensively improve workplace safety.
Occupational Health and Safety Training	In accordance with Taiwan's Occupational Health and Safety Education and Training Rules, the Company implements the following training programs to ensure that all employees understand and comply with relevant safety requirements: 1 New Employee Orientation Training: Provides fundamental occupational safety knowledge, promotes a safety-first mindset, and familiarizes employees with workplace hazards and safety precautions. 2 On-the-Job Safety Training: Employees holding positions that require statutory occupational safety certifications, including managers, equipment operators, and supervisors, receive initial and periodic refresher training in accordance with regulatory requirements. 3 Chemical Hazard Awareness Training: Chemical management and basic hazard communication training are incorporated into new employee orientation programs. 4 Safe Work Practices and Operational Controls: Personnel engaged in hazardous machinery operations or special operations are required to understand and comply with applicable safety procedures and operating requirements. 5 Emergency Response Team Training: Includes first-aid training, fire prevention and firefighting training, and fire evacuation drills.

6.1 Talent Policy and Commitment 6.2 Human Resource Structure 6.3 Talent Cultivation and Development 6.4 Compensation and Benefits
6.5 Human Rights Protection: Listen to Our Employees 6.6 Workplace Health and Safety 6.7 Comprehensive Health Care

Inspections and Safety Audits

- 1 Conduct inspections and audits on occupational health and safety topics.
- 2 Conduct regular inspections in accordance with the Self-Inspection Management Procedures.
- 3 Convene Occupational Health and Safety Committee meetings on a quarterly basis.
- 4 Perform annual internal and external.
- 5 Conduct weekly inspections and testing to ensure the effectiveness of fire prevention and protection systems.

Health Care Programs

- 1 Provide health examinations for new employees, periodic health examinations for current employees, and special health examinations for employees engaged in designated operations.
- 2 Engage contracted occupational physicians and nine occupational health nurses to provide on-site occupational health services.
- 3 Publish health-related information through dedicated communication channels and organize health seminars to support employees' physical and mental well-being.

Occupation Health and Safety

Short-term Indicators (2025)	Medium-term Indicators (2026~2029)	Long-term Indicators (From 2030 onward)
Passed ISO 45001 Occupational Health and Safety Management System	Passed ISO 45001 Occupational Health and Safety Management System	Passed ISO 45001 Occupational Health and Safety Management System
100% participation rate in occupational health and safety training for new recruits	100% participation rate in occupational health and safety training for new recruits	100% participation rate in occupational health and safety training for new recruits
90% participation rate in employee health examinations	90% participation rate in employee health examinations	90% participation rate in employee health examinations
100% completion rate of training for high-risk operators	100% completion rate of training for high-risk operators	100% completion rate of training for high-risk operators
Major occupational accidents for employees (excluding death) ≤ 5 cases/year	Major occupational accidents for employees (excluding death) ≤ 4 cases/year	Major occupational accidents for employees (excluding death) ≤ 3 cases/year
Zero cases of occupational diseases caused by chemical exposures	Zero cases of occupational diseases caused by chemical exposure	Zero cases of occupational diseases caused by chemical exposure
Disabling Injury Frequency Rate (FR) ≤ 3 Disabling Injury Severity Rate (SR) ≤ 30	Disabling Injury Frequency Rate (FR) ≤ 2.8 Disabling Injury Severity Rate (SR) ≤ 28	Disabling Injury Frequency Rate (FR) ≤ 2.5 Disabling Injury Severity Rate (SR) ≤ 25

6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

Material topics, goals and performance:

Kinsus is committed to creating a friendly workplace environment that cares for and supports its employees. It takes responsibility for nurturing and retaining talents, serving as a driving force for the company's sustainable development and continuous growth. Based on the significant issues related to safety and health stated above, short-term indicators and corresponding implementation plans have been developed. The performance targets and achievements for the past two years are shown in the table below:

Health and Safety



Achieved



Unachieved

Category	2023 Target	2023 Performance	2024 Target	2024 Performance	2025 Target	2025 Performance	2026 Target
Passed ISO 45001 Occupational Health and Safety Management System	Verification Passed	 Verification Passed	Verification Passed	 Verification Passed	Verification Passed	 Verification Passed	Verification Passed
100% of new employees participate in education and training	100%	 100% → Achieved	100%	 100% → Achieved	100%	 100% → Achieved	100%
Health check participation rate	90%	 100% → Achieved	90%	 100% → Achieved	90%	 100% → Achieved	100%
Completion rate of training for high-risk operators	100%	 100% → Achieved	100%	 100% → Achieved	100%	 100% → Achieved	100%
Major occupational accidents for employees (excluding death)	≤5 cases/year	 1 cases/year → Achieved	≤5 cases/year	 3 cases/year → Achieved	≤5 cases/year	 1 cases/year → Achieved	≤4 cases/year
Occupational diseases caused by chemical exposure maintained	0 case	 0 case	0 case	 0 case	0 case	 0 case	0 case
Disabling injury frequency (FR)	≤3	 FR:1.91 → Achieved	FR≤3	 FR:1.32 → Achieved	FR≤3	 FR:1.35 → Achieved	FR≤2.8
Disabling injury severity (SR)	≤30	 SR:27 → Achieved	SR≤30	 SR:31 → Unachieved	SR≤30	 SR:11 → Achieved	SR≤28

Note: 1 Disabling frequency rate (FR) = (number of disabling injuries x 1,000,000) / employee hours of exposure

2 Disabling injury severity rate (SR) = (days lost in a year due to accidents x 1,000,000) / employee hours of exposure

6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

6.6.1 Health and Safety Policy, Risk Assessment and Accident Investigation

Material topics → Safety and Health Policy: [Zero Occupational Accidents]

Management Guidelines

- **Objectives and Targets:** Assess, improve, or control risks and opportunities, prioritize prevention over remediation, and enhance occupational safety and health performance.
- **Commitment:** Provide employees with a safe, healthy, and high-quality workplace, while ensuring the safety of contractors and visitors.
- **Management measures:**
 - (1) Adhere to the "ISO 45001 Occupational Health and Safety Management System" and the "Occupational Safety and Health Act" as standards.
 - (2) Comply with occupational safety and health laws and other requirements, establish hazard identification, and reduce occupational safety and health risks.
 - (3) Implement an occupational safety and health system, including self-inspection and management.
 - (4) Provide occupational safety and health education and training, emergency response drills and exercises, and workplace environmental monitoring.

Kinsus aims to effectively manage activities, products, and services related to environmental safety and health. Based on regulatory requirements and standards such as CNS 45001, ISO 14001, and ISO 45001, Kinsus has established an environmental safety and health management system to continuously improve environmental safety and health performance. The company strives to provide a safe working environment for employees, dispatched personnel, and contractors, and create a high-quality workplace where employees can enjoy their work and have a fulfilling life outside of work.

In response to the publication of the international Occupational Health and Safety Management System ISO 45001

in March 2018, the Company completed the transition verification process for the ISO 45001 Occupational Health and Safety Management System in 2019. The recertification process was also conducted in September 2025.

The verification scope for this year covered five factory sites, including Shih-Lei Factory, Tsing-Hua Factory, Xing-Feng Factory 1, Xing-Feng Factory II, and Youth Factory. It encompassed all employees (including dispatched personnel), contractors, and dispatched workers involved in both routine and non-routine operations, achieving 100% coverage. Risk assessments were conducted based on the AES01000 "Environmental Impact and Occupational Health and Safety Hazard Assessment Operating Procedure," identifying annual intolerable and high-risk items. The main categories were chemical and equipment/machinery hazards, and countermeasures were developed to achieve the goal of risk reduction. In 2025, based on an understanding of onsite needs, ongoing safety-related activities and projects were implemented to enhance on-site safety environment and reduce occupational incidents, thus a voiding the impact of accidents on production.



6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

Statistics on Occupational Health and Safety Management System Coverage and Certification Status

Coverage Category	2023				2024				2025			
	Number of Employees	Number of Non-employees	Employees (%)	Non-Employees (%)	Number of Employees	Number of Non-employees	Employees (%)	Non-Employees (%)	Number of Employees	Number of Non-employees	Employees (%)	Non-Employees (%)
Audited Internally	5,561	2,959	100.00%	100.00%	6,401	2,541	100.00%	100.00%	6,864	1,866	100.00%	100.00%
Audited or Verified by External Body	5,561	2,959	100.00%	100.00%	6,401	2,541	100.00%	100.00%	6,864	1,866	100.00%	100.00%
Unaudited	0	0	0.00%	0.00%	0	0	0.00%	0.00%	0	0	0.00%	0.00%
Total Number of Individuals	5,561	2,959	100.00%	100.00%	6,401	2,541	100.00%	100.00%	6,864	1,866	100.00%	100.00%

Note 1: Data for Youth Factory is not included for 2023.

2: Non-employees include engineering, maintenance contractors, and other on-site outsourced service providers.

Emergency Response and Accident Investigation

Employees, dispatched personnel, and contractors are all entitled to the right to evacuation in hazardous situations. In the event of personnel injury during operations, the handling process follows the company's procedure manual AES05002 "Guidelines for Emergency Incident Handling Management," and accident investigation and improvement measures are implemented. Contractors are required to comply with legal requirements, join the agreement organization, and complete hazard notification before commencing operations, ensuring safe operations.

In 2025, there were 87,608 on-site contractors across all Factory areas, and no significant occupational accidents occurred.

Factory	Shih-Lei Factory	Tsing-Hua Factory	Xing-Feng Factory I	Xing-Feng Factory II	Youth Factory
Number of Contractors	13,998	15,363	15,446	11,475	31,326

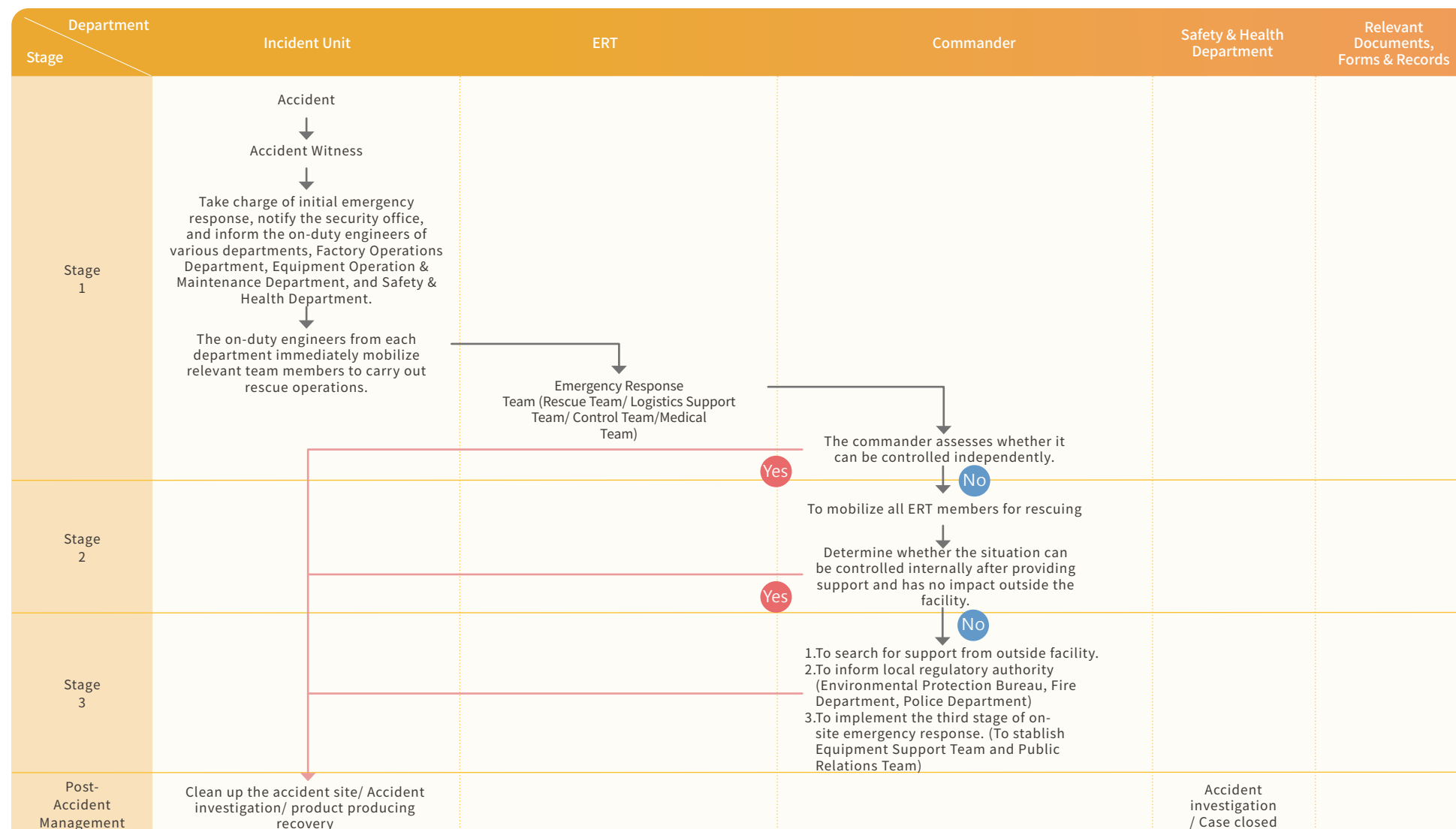
Note A major occupational incident is defined as one resulting in more than 180 days of work incapacity.

Subcontractor Management

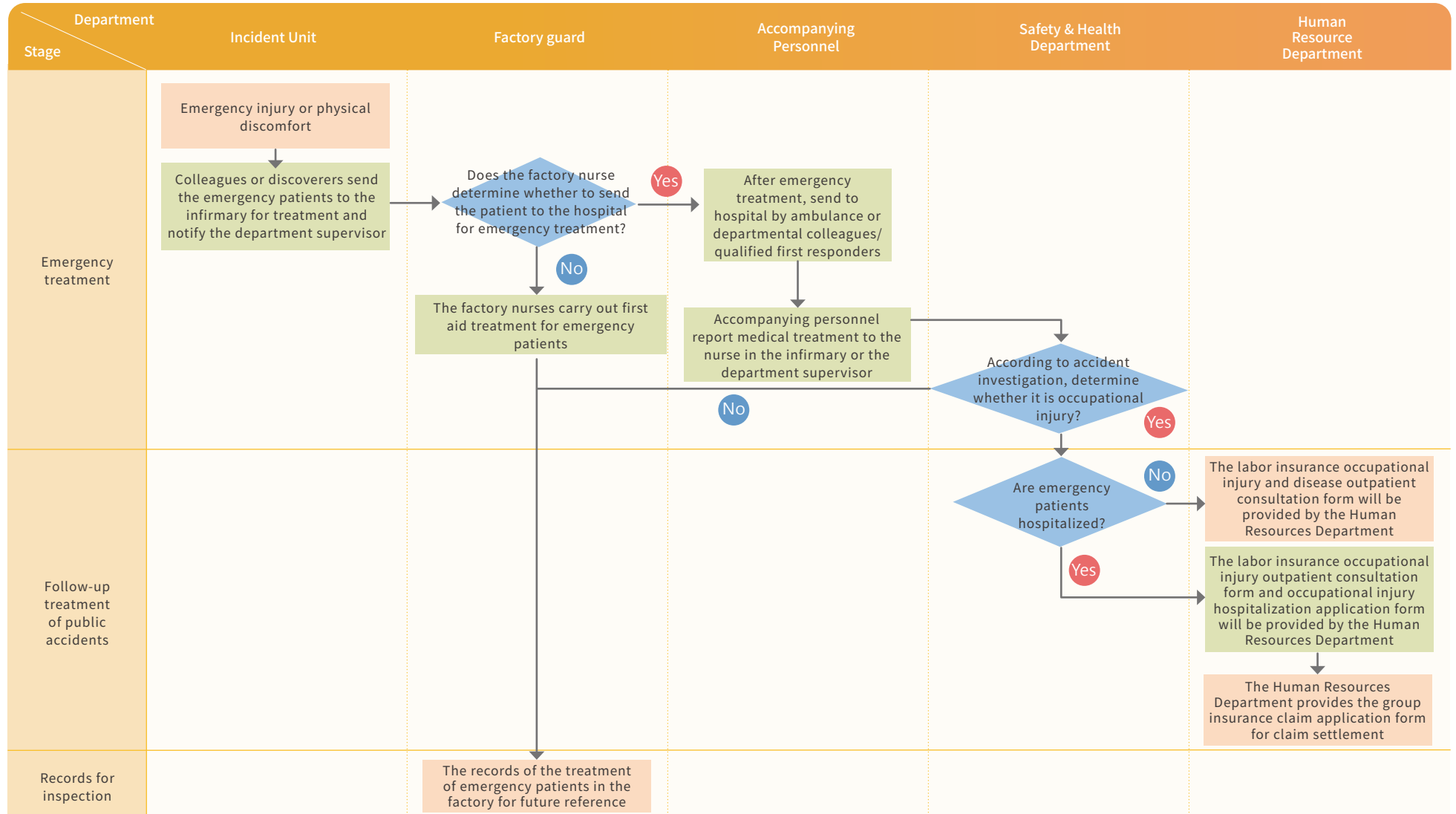
- 1 **Strengthening Contractor Safety Management:** Kinsus has established the “Contractor Environmental Protection and Occupational Health and Safety Management Guidelines” to strengthen contractor safety management. Prior to commencing contracted work, risk assessments are conducted and the identified hazards are communicated to contractors accordingly.
- 2 **Contractor Entry Management:** Contractors are required to complete the procedures specified in the “Contractor Hazard Communication Training Process.” After completing the “AES04001-06 Contractor Hazard Communication Training Registration Form,” the responsible engineering department assists contractors with registration through the Company’s system. Proof of group insurance coverage (minimum coverage of NT\$5 million per person for injury or death) must also be submitted during registration. Contractor personnel must attend the Contractor Entry Hazard Communication Safety Training and pass the required examination to obtain the “Contractor Hazard Communication Training Certificate,” which is required for verification when obtaining an entry permit. Required forms and agreements shall be submitted in accordance with the “Contractor Entry Management Requirements – Forms and Contract Requirements.” Personnel entry procedures shall be carried out in accordance with the “Contractor Entry Management Requirements – Personnel Entry Requirements.”
- 3 **Worksite Oversight:**
 - (1) Before entering the site and commencing work, contractors must complete and submit the following documents:
 - A.AES04001-05 Contractor Participation in Coordination Organization Application Form
 - B.AES04001-10 Coordination Organization Meeting Minutes
 - C.AES04001-01 Contractor Safety, Health, and Environmental Commitment Letter
 - D.AES04001-07 Pre-entry Hazard Communication Form for Contractors
 - E.AES04001-08 Contractor Relationship Chart
 - F.AES04001-09 Contractor Site Management Personnel Responsibilities Form
 - G.AES04001-11 Job Safety Analysis (JSA) Form
 - (2) Work Permit Issuance:

Based on the required work schedule and personnel entering the site, contractors shall notify the responsible engineering department, which must issue a work permit at least three days prior to commencement of work. Contractors may only enter the site after the work permit has been approved through the designated authorization process. The responsible engineering department shall also attach all contractor management documents to the work permit for verification purposes. For hot work, hazardous pipeline removal, confined space operations, lifting operations, fire protection system shutdowns, and other high-risk activities, a single work permit may be issued for a maximum of five working days. If the permit period includes weekends, no more than two weekend days may be included. For hazardous operations that, under Occupational Health and Safety Administration (OSHA) or Taoyuan Labor Inspection Office regulations, require prior notification (including categories of hazardous work designated by the competent authority for online notification), proof of notification must be attached when applying for the work permit.
- 4 **Equipment and Tool Management:** All machinery, equipment, and tools brought on-site by contractors must comply with applicable laws and regulations. In addition to inspections conducted by the Company’s occupational health and safety personnel in accordance with the “Contractor Entry Procedures,” contractors are required to perform self-inspections and maintain inspection records for review. If non-compliance is identified during inspections by the Company, the equipment may be prohibited from entering the site or removed from service and the work area. To further strengthen disaster prevention in joint operations, additional controls have been established for the entry of construction-site machinery, equipment, tools, and personnel. Contractors are required to implement disaster prevention measures equivalent to those of the Company and fulfill all contractor management obligations.

Accident Response Phase Flow Chart (Including Emergency Response)



Personnel Injury Treatment Flow Chart (Including Accident Investigation)



6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

6.6.2 Worker Participation, Consultation, and Communication on Occupational Safety and Health

Kinsus is committed to reducing the risk of accidents in its business activities and implementing health and safety measures systematically and continuously. The Company has established an Occupational Health and Safety Committee in compliance with the law, with labor representatives accounting for more than one-third of the committee. The committee is responsible for formulating occupational health and safety regulations, occupational safety management plans, hazard identification, risk assessment, application of graded control, accident investigation, auditing, and decision-making regarding the use of contractors and subcontractors. The Occupational Health and Safety Committee meets once every quarter, with a total of four meetings held in 2025. The selection of labor representatives for the Occupational Health and Safety Committee at each factory is conducted through nomination (or self-nomination) by employees of the respective factory. Final selection is completed via an open voting process by all employees at the site. Each elected labor representative serves a four-year term.

• **Occupational Health and Safety Management Framework: Occupational Safety Committee Labor-Management Committee Composition Ratio is as follows:**

Personnel	2023				2024					2025				
	Shih-Lei Facto-ry	Tsing-Hua Facto-ry	Xing-Feng Facto-ry I	Youth Facto-ry	Shih-Lei Facto-ry	Tsing-Hua Facto-ry	Xing-Feng Facto-ry I	Xing-Feng Facto-ry II	Youth Factory	Shih-Lei Fac-tory	Tsing-Hua Facto-ry	Xing-Feng Fac-tory I	Xing-Feng Fac-tory II	Youth Facto-ry
Total Number of Committee Members	27	24	46	15	27	26	24	22	15	27	24	24	17	15
Number of Labor Representatives	9	10	20	7	9	9	11	9	7	9	8	11	8	7
Proportion of Labor Representation (%)	33.33	41.67	43.38	46.67	33.33	34.62	45.83	40.91	46.67	33.33	33.33	45.83	47.06	46.67

Note In 2023, Xing-Feng Factory I and Xing-Feng Factory II were consolidated for calculation purposes. Starting from 2024, they are calculated separately.

Grievance Mechanisms and Communication Channels

To support occupational safety and health (OSH) management, Kinsus has established grievance mechanisms and multiple communication channels, including internal grievance systems at each factory site and external channels for communicating OSH-related information. The opinions, suggestions, and feedback received from frontline employees and external stakeholders serve as important inputs for improving the Company's occupational health and safety management system and related processes. Accordingly, employee representatives constitute a designated proportion of the members of the Occupational Health and Safety Committees at each factory site. In addition, the Company provides diverse communication and consultation channels to encourage employee participation, gather feedback, and continuously enhance workplace health and safety performance.

6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

Statutory Professional Certificate Personnel for Occupational Health and Safety Protection:

When building a new factory or partially rebuilding it, relevant units such as manufacturing, management, information and security all conduct safety and health risk assessments.

The Kinsus Safety & Health Department has allocated the required number of personnel, and the number of professional security personnel with statutory certificates in 2024 is as follows:

Professional Occupational Safety and Health Certification Titles	Number of Certified Personnel
Occupational Safety and Health Specialist (Class A)	12
Occupational Safety and Health Specialist (Class B Technician)	16
Nurse	9
Manager of Occupational safety and health affairs (Type A)	10
Fire Prevention Manager	12
Security Supervisor	8
First responders	167
Certified Supervisor for Organic Operations Certified Supervisor for Organic Operations	173
Certified Supervisor for Specific Chemical Operations	193
Operator of Non-Medical Ionizing Radiation Equipment	454
Forklift Operator	147
Boiler Operator	24
Operator of Specific High-Pressure Gas Equipment	31
Aerial Work Platform Operator	50
Fixed Crane Operator	39
Personnel Engaged in Hoisting Operations Using Cranes	32

The number of legally certified professional occupational safety and health personnel (including those at Shih-Lei, Tsing-Hua, Xing-Feng Factory I, Xing Feng Factory II, and Youth Factories) complies with all relevant occupational safety and health regulations.

Occupational Health and Safety Education and Training:

In 2025, Kinsus conducted internal training primarily focused on occupational safety and health education for new employees and ongoing training for existing employees. The total number of employees trained in the four Factory areas was 5,620 with a total of 18,240 hours of internal training completed. Regarding external training, the emphasis was on fulfilling the legal requirements for periodic retraining for personnel engaged in specific tasks such as organic and specialized operations, as well as those operating dangerous machine. The total number of employees receiving external training in the five Factory areas was 377, with a total of 3,920 hours of training completed. The total cost for external training was 1,768,200 TWD.

The Company will continue to advance the implementation of occupational safety and health training programs relevant to corporate operations, with the aim of complying with regulatory requirements.

- The number of classes, number of people and hours of safety and health education training in the past year are as follows:

Factory	Annual Hours etc.		Internal Training in 2025		Foreign Training in 2025	
	Person-Times	Total Hours	Person-Times	Total Hours	Person-Times	Total Hours
Shih-Lei Factory	40	120	55	340		
Tsing-Hua Factory	92	276	95	810		
Xing-Feng Factory I	136	933	131	1,330		
Xing-Feng Factory II	43	399	40	810		
Youth Factory	78	819	56	630		
General Safety and Health Education Training	5,231	15,693	-	-		
Total Number of People/Hours:	5,620	18,240	377	3,920		
Total Hours of Internal and External Training:	22,160					
Annual Average Training Hours (Note 1):	3.236 Hours					

Note Annual average training hours = total internal and external training hours / total number of employees at the end of December of the current year (6,848 people).



6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

• 2025 Occupational Safety and Health Education and Training: (Non-resident vendors)

Project	Number of Contractors	Number of Trainees	Total Hours of Training
Hazard Notification Training	234	1,170	2,340

• Occupational Safety and Health Management of Suppliers

In accordance with our company's procedure "APR06000 Code of Conduct for Corporate Social Responsibility," an annual corporate social responsibility audit is conducted on major raw material suppliers and waste disposal facilities in our supply chain. Through on-site evaluations of suppliers, we aim to promote continuous improvement of occupational safety and health management systems.

6.6.3 Measurement of Working Environment

Working Environment Measurement:

In 2025, Kinsus conducted environmental monitoring in various factory areas. A total of 33 parameters were monitored, with Shih-Lei Factory having 410 monitoring points, Tsing-Hua Factory having 500 points, Tsing-Hua Factory1 having 511 points, Tsing-Hua Factory2 having 316 points, and Youth Factory having 437 points.

Moving forward, we will continue to monitor the hazardous factors related to physical and chemical properties in the work areas, aiming to provide a safe and healthy environment for our employees. However, for the monitoring results of four parameters, namely carbon dioxide, illumination, noise (dosage), and noise (direct reading), please refer to the following table:

No.	Measurement Items	2025					Allowable Concentration
		Shih-Lei Factory	Tsing-Hua Factory	Xing-Feng Factory I	Xing-Feng Factory II	Youth Factory	
1	Carbon Dioxide (ppm)	522~941	405~972	405~1025	414~661	435~748	5000ppm
2	Illumination (Lux)	311~562	312~478	302~1810	310~1346	91~712	50~1000 Lux(Note1)
3	Noise (dBA)	66.3~86.5	63.4~87.8	60.1~85.9	66.3~85.7	60.4~84.4	90dBA
4	Noise (Direct Reading) (dBA)	71.9~88.5	76.5~88.9	70.9~89.8	77.8~88.2	72.1~94.5	90dBA

Note Refer to the standard value of Article 313 of the Regulations for the Occupational Safety and Health Equipment and Measures, and Article 4 of the Standard for Visual Function Protection for Workers Engaged in Precision Operations.

6.1 Talent Policy and Commitment 6.2 Human Resource Structure 6.3 Talent Cultivation and Development 6.4 Compensation and Benefits
6.5 Human Rights Protection: Listen to Our Employees **6.6 Workplace Health and Safety** 6.7 Comprehensive Health Care

Regarding illuminance levels in certain factory areas exceeding the permissible limits, this is due to the operational need for final visual inspections and other precision tasks, which require localized lighting of over 1,000 Lux. In accordance with applicable regulations, employees performing such tasks are provided with at least a 15-minute break for every two continuous working hours to safeguard their visual health. As for noise level exceedance, the affected areas at the Youth Factory are non-routine work areas with limited personnel access, such as the air compressor room and dust collector room. The duration of work performed in these areas is generally less than 15 minutes. Current control measures include posting warning signs to identify these areas as noise zones and providing appropriate hearing protection equipment to relevant personnel. Employees working in these areas are also included in the annual special health examination program and undergo periodic examinations to ensure that their hearing health remains adequately protected.

6.6.4 Occupational Accident Statistics

1. Occupational Accident Statistics

According to the regulations of the Occupational Safety and Health Act, Kinsus is required to report monthly occupational accident statistics analysis through online submission. In the event of a workplace safety incident, the relevant supervisors are immediately notified according to the reporting process. An accident investigation and analysis are promptly conducted, and improvement measures are implemented to prevent similar incidents from recurring. The most common types of disabling injuries in the factory are typically associated with being caught, crushed, or coming into contact with hazardous substances.

Analysis of Employee Injury Rate:

The analysis of the lost workday rate is shown in the table below. It reflects similar trends in the injury rate, absenteeism rate, and the ratio of lost workdays. Additionally, there have been zero cases of occupational diseases in the company over the past two years, indicating that workplace injuries have not led to the occurrence of occupational.

Item \ Year	2023		2024		2025	
	Female	Male	Female	Male	Female	Male
Injury Rate (IR) (FR) (Note 1)	1.12	1.98	0.65	2.55	1.09	1.49
Occupational Disease Rate (ODR) (Note 2)	0	0	0	0	0	0
Lost Days Ratio (LDR) (Note 3)	24.66	15.1	1.3	76.82	5.92	14.75
Absence Rate (Note 4)	3.9	2.0	4.3	2.3	3.34	2.08

- Note**
- 1.IR is calculated by disabling injury frequency (FR): (total number of disabling injuries/total working hours) x1,000,000 (excluding commuting accidents).
 - 2.ODR= (number of occupational diseases identified in the year/total working hours) ×1,000,000.
 - 3.LDR= (total lost days of disability injuries/total working hours) x1,000,000 (excluding commuting accidents).
 - 4.Absenteeism rate (AR) = [(work injury leave + sick leave + menstrual leave and other leave hours) ÷ total experienced working hours] ×100%, of which work injury leave includes hours of leave for commuting to and from get off work due to traffic accidents.
 - 5.Including hours of absence due to commuting traffic accidents.
 - 6.Total working hours in 2025: 14,485,825.75 hours.

6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

Analysis of Non-Employee Job Loss Ratio (Resident manufacturers):

The analysis of the Lost Workday Case Rate for non-employees over the past three years is shown in the following table. In 2025, the total number of workdays, work hours, lost time injury cases, and total lost workday cases remains unchanged. Furthermore, there have been no cases of occupational diseases or work-related fatalities during this period.

Item \ Year	2023		2024		2025	
	Female	Male	Female	Male	Female	Male
Total Working Days	31,665.5	29,601.5	31,829.0	56,367.0	31,361.0	28,861.0
Total Hours Worked	280,158.2	257,432.8	278,073.7	48,354.8	276,166.2	254,058.3
Number of Disabled People	0	0	0	0	0	0
Total Days Lost for Disabling Injuries	0	0	0	0	0	0
Total Number of Occupational Diseases	0	0	0	0	0	0
Work Fatalities	0	0	0	0	0	0

Analysis of Non-Employee Injury Rate:

According to the analysis of the Lost Workday Case Rate for non-employees, as shown in the table below, the work-related injury rate (in 2025) is the same as last year. The overall lost workday case rate (in 2025) is also the same as last year. The trends of these three indicators are consistent. Additionally, there have been no cases of occupational diseases among nonemployees in the past two years. This indicates that work-related accidents have not led to the occurrence of occupational diseases among dispatched workers.

Item \ Year	2023		2024		2025	
	Female	Male	Female	Male	Female	Male
Injury Rate (IR) (FR) (Note 1)	0	0	0	0	0	0
Occupational Disease Rate (ODR) (Note 2)	0	0	0	0	0	0
Lost Days Ratio (LDR) (Note 3)	0	0	0	0	0	0

Note 1. IR is calculated by disabling injury frequency (FR): (total number of disabling injuries/total working hours) x1,000,000 (excluding commuting accidents).

2. ODR= (number of occupational diseases identified in the year ÷ total working hours) ×1,000,000.

3. LDR= (total lost days of disability injuries/total working hours) x1,000,000 (excluding commuting accidents).

6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

2. Occupational Safety Violations

No.	Factory	Violation Clauses	Penalty Amount (NTD)	Corrective and Preventive Measures
1	Xing-Feng Factory I	Occupational Safety and Health Act, Article 6, Paragraph 1.	NT\$100,000	1. Use lifting equipment (such as pallet trucks) to raise material racks before replacing rollers. 2. Establish safe operating procedures for handling large and heavy molds, and conduct internal safety awareness training.
2	Shih-Lei Factory	Occupational Safety and Health Act, Article 24	NT\$100,000	1. Request support from certified personnel at neighboring factories when needed. 2. Immediately arrange certification training for designated personnel.

A total of two corrective actions were implemented, completed, and closed.

6.6.5 Occupational Health and Safety and Loss Prevention Related Activities

1. Damage Prevention Performance

Sustainable development is an important goal of Kinsus. A considerable amount of resources and management methods have been invested in the management of fire damage prevention, hoping to prevent fire incidents. Kinsus has two indicator management methods for fire damage prevention: "Infrared Thermographic Inspection of Electrical Equipment" and "Equipment Over-temperature Protection Inspection." These inspections are carried out in coordination with the factory maintenance and equipment maintenance and operation departments on a weekly basis to detect abnormal conditions of equipment and control fire risks.

① Infrared Thermographic Inspection of Electrical Equipment

The abnormality of electrical equipment is the main cause of fire accidents. The signs of abnormality can be found through the current heating status and then preventive improvement can be implemented. According to the NFPA standard, the overheating rules of each electrical component are defined. The detection range includes the main power supply system, public equipment power system equipment, and production power supply. The system equipment is inspected by thermal imaging equipment every week, and it is completed once a quarter. Since 2019, the random inspection rate of the security department (ESH) has been strengthened.

6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

In 2025, the spot check rate has reached 86%. A total of 17,567 pieces of electrical equipment were inspected in the five factory areas, and 16 pieces of abnormality were detected, all of which have been improved to prevent abnormal power fire incidents.

Factory Site	Year	Detection Quantity	ESH Quantity of Sampling	ESH Spot Check Rate (Note 1)	Number of Abnormal Cases	Abnormal Rate (Note 2)	Number of the Completed	Improve Completion Rate(Note 3)
Shih-Lei Factory	2023	2032	2032	100%	6	0.30%	6	100
	2024	2042	2042	100%	0	0.00%	0	-
	2025	2271	1950	86%	0	0.00%	0	-
Tsing-Hua Factory	2023	6183	6183	100%	0	0.00%	0	-
	2024	6621	6621	100%	1	0.02%	1	100
	2025	5971	5186	87%	0	0.00%	0	-
Xing-Feng Factory I	2023	4652	4652	100%	10	0.21%	10	100
	2024	4895	4895	100%	10	0.20%	10	100
	2025	4953	3411	69%	16	0.32%	16	100
Xing-Feng Factory II	2023	2460	2460	100%	4	0.16%	4	100
	2024	2131	2131	100%	1	0.05%	1	100
	2025	1981	1981	100%	0	0.00%	0	-
Youth Factory	2023	939	939	100%	0	0.00%	0	-
	2024	2205	2205	100%	0	0.00%	0	-
		2391	2549	107%	0	0.00%	0	-

Note 1. ESH spot check rate = (ESH spot check quantity/detection quantity) × 100%

2. Abnormal rate = (Number of abnormal pieces/Number of inspections) × 100%

3. Improve completion rate = (number of completed improvements/number of abnormal pieces) × 100%

6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

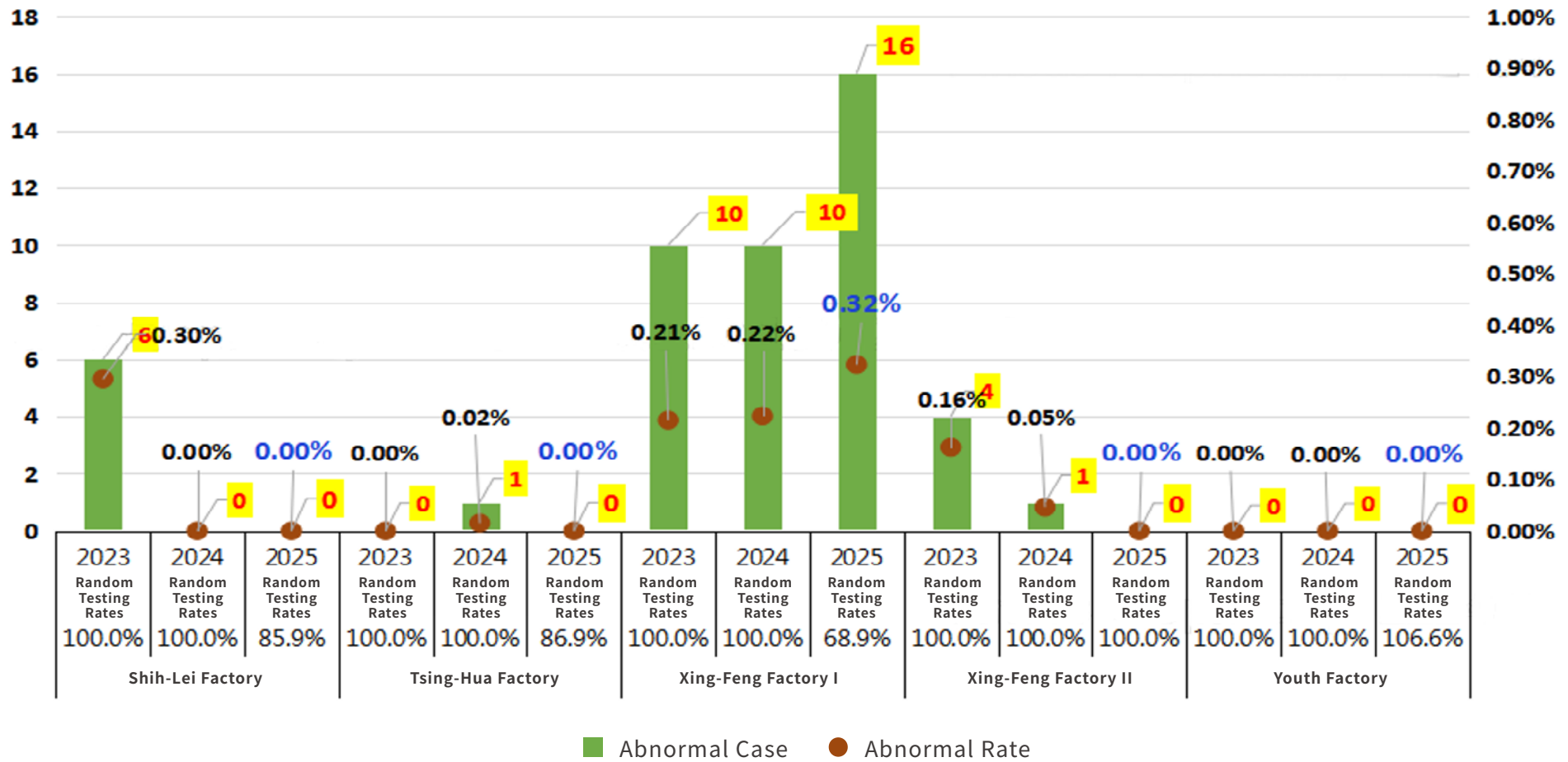
6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

Detection Trend Chart of Infrared Thermographic Inspection of Electrical Equipment



6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

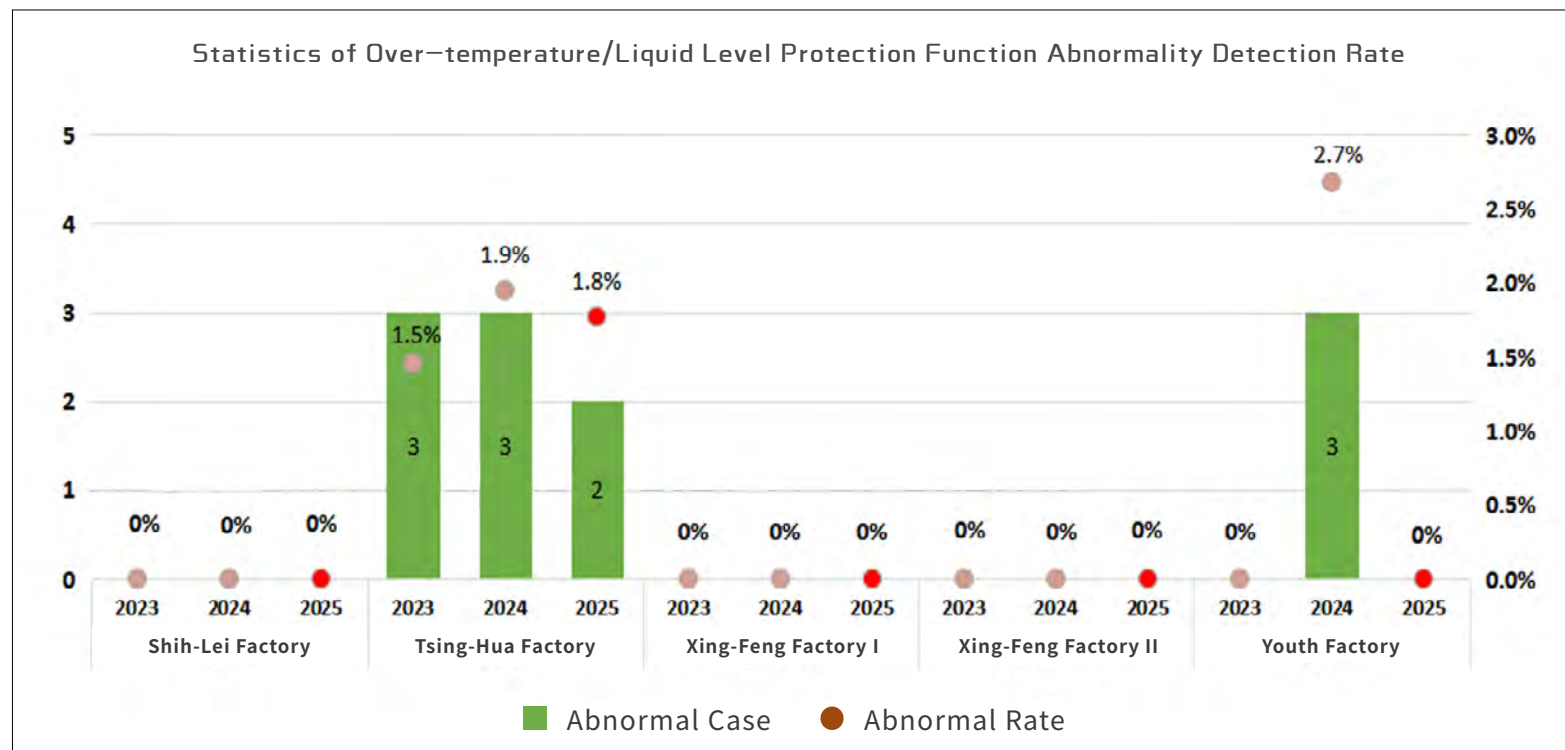
6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

2 Equipment Over-Temperature Protection Inspection

At least one inspection of the heating protection system of production equipment is carried out every year, and the inspection items are temperature protection relay, solid state relay (SSR), liquid level control system, and abnormal alarm system, so as to prevent the failure of the temperature control of the heating element of the equipment, dry heating and other heating abnormal conditions. In 2025, there are 504 units inspected for five factories, and detected 2 abnormal cases, all of which have been improved.



Note

1.Calculation of the number of random tests: normal numbers of random tests + abnormal numbers of random tests

2.Detection rate = [abnormal number of sampling test / (normal number of random testing + abnormal number of random testing)] × 100%

3 Occupational Health and Safety Performance Evaluation

To enhance employees' awareness of and engagement with the Company's health and safety culture, a performance evaluation system for occupational health and safety was piloted and established across each factory site starting in 2021. Departments were categorized into direct units (Manufacturing, Equipment, Facility Services) and indirect units (Materials Management, Quality Control, General Affairs). Evaluation metrics and a baseline score of 80 points were defined. In 2025, all five factories achieved monthly scores exceeding the 80-point benchmark. Through this safety performance evaluation system, the implementation status and outcomes of each department's safety initiatives were quantitatively assessed and monitored.

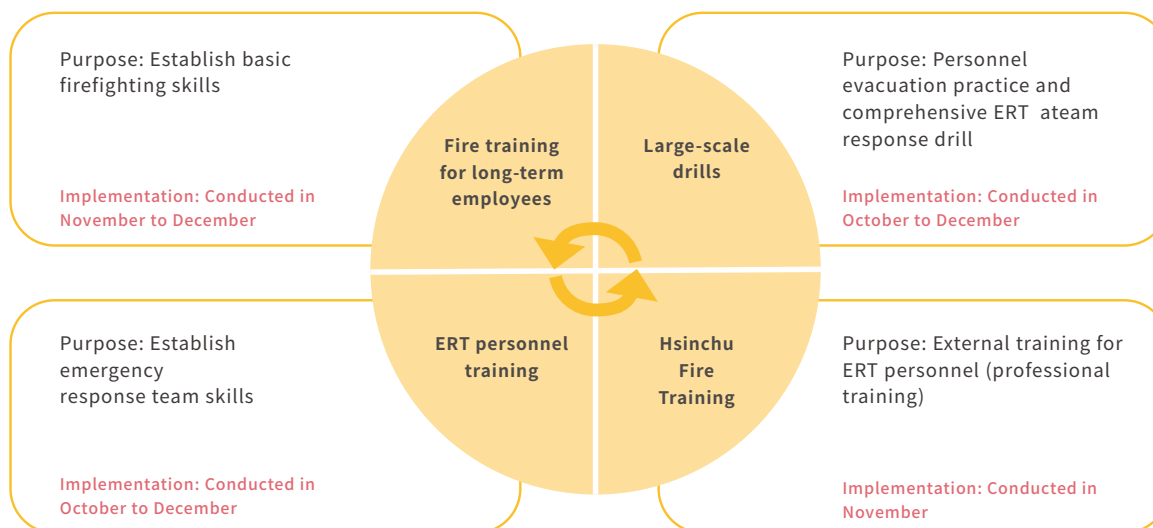
6.6.6 Emergency Response and Drills

Kinsus has established good accident notification and emergency response, accident investigation and improvement procedures to reduce the impact and risk on life, property and the environment when an emergency occurs, to ensure the safety of employees, and to maintain the sustainable operation of the company. Special plans are made every year carry out all kinds of emergency response training and drills, hoping to effectively deal with accidents, reduce the loss of personnel and property, and prevent accidents from recurring.

2025 Emergency Response Training and Drill Plan: fire training for long-term employees, ERT personnel training, professional external training at the Hsinchu Fire Training Center for ERT personnel, and large-scale drills to enhance various firefighting and emergency response capabilities of employees. The implementation status of each training and drill, as well as the facilities configured for the emergency response center, are as follows:

● Emergency response training and drill plan revolves around four main pillars

- Three main pillars currently underway: fire training for long-term employees, large-scale drills, ERT personnel training, Large-scale drills
- A main pillar completed: Hsinchu Fire Training(External training for ERT personnel)



1. Emergency response training

1 Professional Rescue and Fire-Fighting Training

Strengthen the emergency response skills of the ERT rescue and fire-fighting team. Every year, members of the rescue and fire-fighting team are sent to the Minghu fire training site in Hsinchu to implement various professional rescue and firefighting skills training. Level A chemical protective suit and SCBA (self-contained breathing apparatus) donning training, turbine nozzle fire extinguishing operation training, and fire scene combustion chamber simulation training, 3 levels of training have implemented in 2025, and a total of 56 trainers will participate.

2 Emergency Response Team (ERT) Training (Including commander personnel training)

Implement emergency response team personnel training every six months, training in personal protective equipment wearing, fire extinguishing equipment operation, emergency response procedures, confirmation of evacuation guidance routes, emergency care, notification from competent authorities, etc., and training for commanders' response capabilities. These sessions were carried out in five factory areas in 2025, and a total of 1,121 people from day and night shifts participated in the training.

6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

3 Long-Term Employee Education and Training

In order to effectively control fire accidents at the first stage, so as to minimize the severity and damage, each employee needs to receive education and training for long-term employees every 2 years. The training content includes safety and health knowledge, fire extinguisher and fire hydrant operation, etc. Skills to prevent employees from being too unfamiliar with the actual operation of fire extinguishing equipment. In 2025, five training sessions were implemented in the five factory areas, and a total of 748 people on day and night shifts will participate.

4 Dormitory Fire Drill

To ensure "early warning, rapid firefighting, and effective evacuation" in the event of a fire, we simulate realistic fire scenarios to train dormitory residents and staff, helping them become familiar with evacuation routes and emergency response. Additionally, fire response teams are activated in compliance with the fire services act to minimize casualties and property losses. In 2025, fire drill training was conducted across five factory sites, with a total of 3,074 participants.

5 Large-Scale Comprehensive Drill in the Factory Area

To comply with the requirements of the "Fire Services Act," the Company conducts fire drills that simulate realistic fire scenarios to strengthen the emergency response capabilities of employee fire response teams. These drills are designed to ensure rapid response in the event of a fire, minimize casualties and property losses, and enhance both incident command effectiveness and evacuation preparedness. In 2025, fire drill training was conducted across five factory sites, with a total of 2,968 participants.

Factory		Shih-Lei Factory		Tsing-Hua Factory		Xing-Feng Factory I		Xing-Feng Factory II		Youth Factory		Total
		Number of Participants in 2025 H1 Drills	Num-ber of Partic-ipants in 2025 H2 Drills	Num-ber of Partic-ipants in 2025 H1 Drills	Num-ber of Partic-ipants in 2025 H2 Drills	Number of Participants in 2025 H1 Drills	Num-ber of Partic-ipants in 2025 H2 Drills	Number of Participants in 2025 H1 Drills	Num-ber of Partic-ipants in 2025 H2 Drills	Num-ber of Partic-ipants in 2025 H1 Drills	Number of Participants in 2025 H2 Drills	Total Number of Drill Item Partic-ipants
Emergency Training	Profes-sional Rescue and Fire-fighting Training	11		16		16				13		56
	Emer-gency Re-sponse Team (ERT) Training	43	91	67	106	220	279	113	114	40	48	1,121
	Long-Term Em-ployee Educa-tion and Training	98		75		109		11		455		748
	Dormi-tory Fire Drill	56	117	81	104	503	538	573	491	-	611	3,074
	Large-Scale Com-prehen-sive Drill in the Fac-tory Ar-ea	96	148	113	113	100	312	647	696	348	395	2,968

2025 Emergency Response Team Training and Drill Activities by Factory Site are summarized in the table below:

Emergency Response Team (ERT) Training Records

Professional Firefighting Training (Joint Participation in Hsinchu Fire Training Program)



Firefighting and Rescue Drill (ERT) (Shih-Lei Factory)



Firefighting and Rescue Drill (ERT) (Tsing-Hua Factory)



Firefighting and Rescue Drill (ERT) (Xing-Feng Factory I)



6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

Firefighting and Rescue Drill (ERT)
(Xing-Feng Factory II)



Firefighting and Rescue Drill (ERT)
(Youth Factory)



Long-Term Employee Education and Training
(Shih-Lei Factory)



Long-Term Employee Education and Training
(Tsing-Hua Factory)



6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

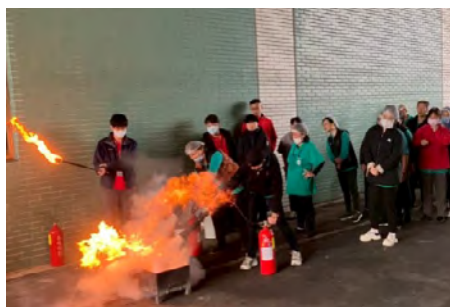
6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

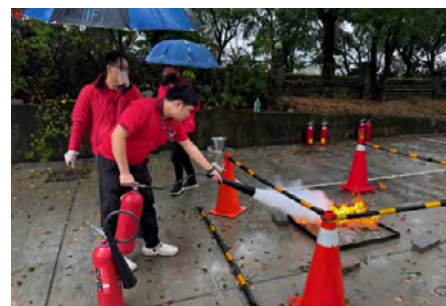
Long-Term Employee Education and Training
(Xing-Feng Factory I)



Long-Term Employee Education and Training
(Xing-Feng Factory II)



Long-Term Employee Education and Training
(Youth Factory)



Dormitory Evacuation & Fire Drill
(Shih-Lei Factory)



6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

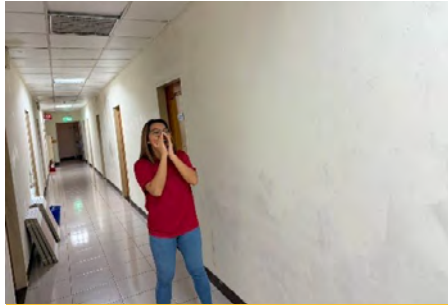
6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

Dormitory Evacuation & Fire Drill
(Tsing-Hua Factory)



Dormitory Evacuation & Fire Drill
(Xing-Feng Factory I)



Dormitory Evacuation & Fire Drill
(Xing-Feng Factory II)



Dormitory Evacuation & Fire Drill
(Youth Factory)



6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

ull-site Evacuation & Large-scale Fire Safety Drill (Shih-Lei Factory)



ull-site Evacuation & Large-scale Fire Safety Drill (Tsing-Hua Factory)



ull-site Evacuation & Large-scale Fire Safety Drill (Xing-Feng Factory I)



ull-site Evacuation & Large-scale Fire Safety Drill (Xing-Feng Factory II)



Dormitory Evacuation & Fire Drill (Youth Factory)



6.7 Comprehensive Health Care

6.7.1 Dedicated Medical Care, Comprehensive Protection

"A safe, healthy, and friendly workplace" is Kinsus's commitment to its employees. In accordance with the Occupational Safety and Health Act and the Rules for Labor Health Protection, we have formulated a health service management plan, continuously implementing it across four major areas: health care, occupational health care, disease prevention, and health promotion. Each factory area has a medical room, staffed by nine full-time occupational health nurses and on-site occupational disease specialists. Various health promotion activities and services are conducted to care for every employee. The services include occupational health examinations, occupational disease prevention, health education promotion, occupational injury management, work environment assessment, and health monitoring. In 2025, there were a total of 176 occupational medical service sessions, amounting to 528 service hours, 1,699 cases, serving a total of 6,393 persons.

Year Factory Item	2023				2024				2025			
	Shih-Lei Factory	Tsing-Hua Factory	Xing-Feng Factory (1&2)	Youth Factory	Shih-Lei Factory	Tsing-Hua Factory	Xing-Feng Factory (1&2)	Youth Factory	Shih-Lei Factory	Tsing-Hua Factory	Xing-Feng Factory (1&2)	Youth Factory
Service Times	36	72	48	12	36	72	48	12	36	72	48	20
Service Time(Hours)	108	216	144	36	108	216	144	36	108	216	144	60
Assessment of Cases	1,741				1,785				1,699			
Number of Service	4,209				4,235				6,393			

6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care



Material Topic → Health Promotion

Policy: Establish a healthy workplace and strengthen physical and mental health management.

Management Guidelines

- **Goals and Targets:** Establish a holistic culture of workplace wellness, strengthen the management of employees' physical and mental health, and enhance quality of work-life and overall productivity.
- **Commitment:** Kinsus is committed to following the principles of building a healthy workplace.
- Through institutionalized management, resource investment, and diverse health promotion initiatives, the Company aims to foster a safe, healthy, and friendly work environment. This ensures employee well-being and fulfills the Company's sustainability responsibilities to employees, families, and society.
- **Management measures:**
 - (1) Establish a dedicated health management unit to conduct regular health checkups and health risk assessments.
 - (2) Implement health promotion programs such as weight loss competitions, walking challenges, psychological counseling, and stress management courses.
 - (3) Promote mental health in the workplace, prevent occupational diseases, and increase employee participation in physical activity.
 - (4) Provide healthy dietary guidance, implement a sugar-free beverage policy, and offer high-quality meal services.



6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

6.7.2 Employee Health Risk Prevention

1. Health Checkups

Kinsus places great importance on the health and safety of its employees. In accordance with the "Labor Health Protection Rules," we conduct general health checkups for employees annually, providing a frequency of checkups that exceeds regulatory requirements. Every employee is scheduled for a health checkup and an electronic evaluation questionnaire once every two years. Employees engaged in particularly hazardous work undergo special health checkups annually according to the items specified in the "Labor Health Protection Rules," and these are managed on a tiered basis. Follow-up is conducted based on risk classification, and appropriate health education is provided accordingly.

The results of the health checkups are classified according to Kinsus's health management system. Full-time occupational health nurses proactively notify employees of any abnormalities found in their health checkups and arrange for specialized occupational medicine physicians to provide medical guidance. Follow-up re-examinations at hospitals and continuous monitoring are also arranged to ensure subsequent improvement. Additionally, through the electronic health management system, employees who are transferred between factory areas receive uninterrupted medical care and follow-up. In 2025, health checkups were conducted for employees, with 1,422 receiving general checkups, 1,011 undergoing special operational checkups, and 588 receiving both general and special checkups. The total number of employees checked was 3,021, achieving a 100% participation rate.

Occupational Specialist Physician
On-site Health Services

2. Maternal Employee Health Protection Plan

Kinsus has implemented a management mechanism for the identification and risk assessment of maternal health hazards. Upon learning of an employee's pregnancy or return to work within one-year postpartum, occupational safety and health personnel and unit supervisors complete the "Maternal Health Protection Work Hazard Assessment Form," while the employee completes the "Health Status Self-Assessment Form." Dedicated occupational health nurses provide educational information related to pregnancy and postpartum care and arrange consultations with occupational specialist physicians to assess the impact of work on maternal health. Based on these assessments, employees receive the "Maternal Health Protection Consultation and Work Suitability Recommendation Form."

- In 2025, the maternal protection care rate was 100%, with 131 maternal care visits.

Year	2023	2024	2025
Maternal Care Visits	152	151	131

To safeguard the needs of pregnant and postpartum employees, Kinsus has implemented several maternity support measures. During pregnancy, employees are provided with a dedicated entrance gate and reserved parking spaces. In addition, two new initiatives were introduced: the "Good Pregnancy Gift" program and the issuance of pink maternity uniforms for easy identification in the workplace. These measures aim to encourage early pregnancy notification, enhance operational safety, and reduce collision and accident risks. To further support postpartum employees, the Company encourages continued breastfeeding for newborns. A 60-minute lactation break is provided during each workday. Lactation rooms are available across all factory sites, offering a spacious, comfortable, and private breastfeeding environment. Each room is equipped with access control, high-privacy curtains, emergency communication devices, comfortable seating, adequate lighting, and air conditioning. All facilities comply with the "Standards for the Establishment and Management of Public Breastfeeding Rooms." Lactation rooms also display educational materials on breastfeeding and childcare. Additional amenities include dedicated refrigerators for breast milk, bottle brushes, water dispensers, health education leaflets, and promotional brochures. These comprehensive measures are designed to support postpartum employees in balancing work and family responsibilities with confidence.

6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

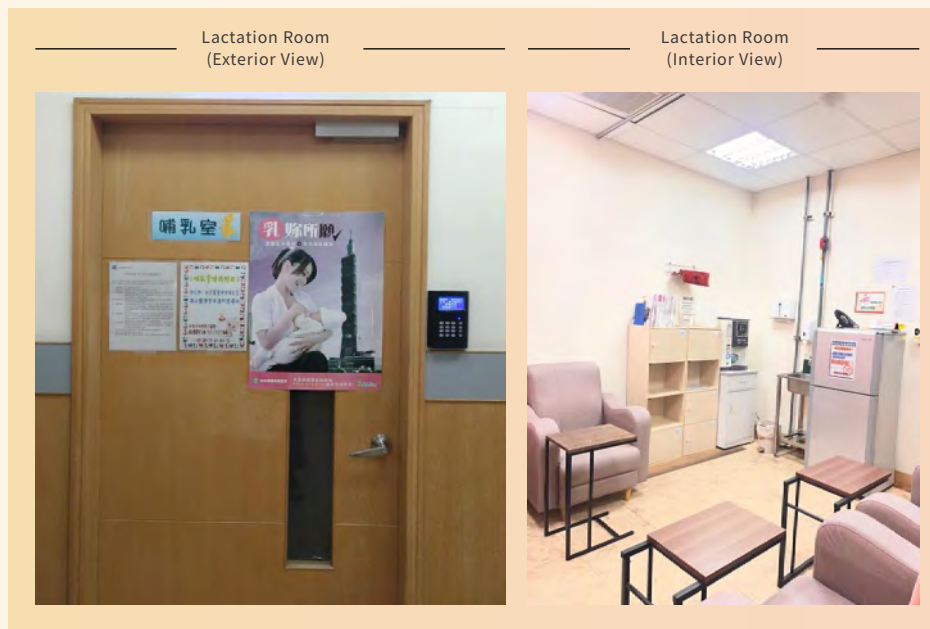
6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

● Lactation Room Usage Statistics

year	2023	2024	2025
Number of uses	12	11	76



3.Abnormal Workload-Induced Disease Prevention Plan

Each year during employee health checkups, Kinsus conducts a risk identification and assessment of abnormal workload. Employees are screened based on personal risk factors, and high-risk employees are prioritized for consultations and health guidance with occupational specialists. Other employees receive relevant health information from dedicated occupational health nurses. In 2025, a total of 27 high-risk employees were identified, with a 100% consultation and care rate.

4.Human Factors Hazard Prevention Plan

Annually, during health checkups, employees' complete questionnaires, and new hires fill out the "Nordic Musculoskeletal Questionnaire (NMQ)" to assess perceived musculoskeletal symptoms. Monthly attendance and sick leave diagnoses are used to create a human factors management tracking overview. Employees with NMQ scores of ≥ 3 (indicating potential hazards) are referred to occupational medicine specialists to identify symptom causes and provide improvement suggestions. Occupational health nurses continue to monitor and track improvements. If the specialist determines the case is work-related, occupational safety and health personnel use checklists to observe operations and, if necessary, implement administrative or engineering controls. In 2025, 29 employees were identified as having potential hazards based on the NMQ analysis. Following consultations, none were found to have work-related issues.

5.Major Disease Care and Management

A major disease tracking table is established based on monthly attendance records, and records are maintained in the electronic health management system. Occupational health nurses provide one-on-one health care and education, ensuring continuous care and follow-up when employees transfer between factory areas. On-site occupational physicians offer advanced health consultations and care. In 2025, a total of 39 individuals received care, with a 100% consultation and care rate.

6.Infectious Disease Prevention and Management

In accordance with occupational safety and health guidelines, Kinsus has established a major infectious disease prevention management guide and regularly provides information on the prevention of statutory infectious diseases and influenza. The medical clinic maintains effective communication with labor brokerage agencies, enabling real-time mutual reporting on the progression of employees' statutory infectious disease cases. This ensures timely monitoring of employee health status and the prevention of infection spread.

6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

6.7.3 Health Promotion and Sustainable Well-being

Kinsus is dedicated to the health and well-being of its employees, promoting a series of workplace health promotion activities aimed at increasing awareness of healthy lifestyles. Activities include blood donation drives, weight loss competitions, health lectures, exercise classes, and stress-relief seminars, fostering a healthy workplace atmosphere. In 2025, Kinsus held a total of 26 health promotion activities.

Number	Activity Names	Activity Three Years Duration	Number of Participants in the Last Three Years		
			2023	2024	2025
1	Blood Donation Activities	3 hours	165 ppl	189 ppl	185 ppl
2	Smoking Cessation Classes and Smoking/Betel Nut Lectures	5 hours	30 ppl	10 ppl	21 ppl
3	Cancer Screening and Ultrasound Screening Activities	3 hours	130 ppl	163 ppl	--
4	Weight Loss Activities	3-4 months	178 ppl	253 ppl	247 ppl
5	Walking Challenge	3-5 months	--	328 ppl	--
6	Exercise Courses	1 hours	120 ppl	189 ppl	91 ppl
7	Nutrition Lectures	1 hours	115 ppl	192 ppl	47 ppl
8	Stress Relief Seminars	1 hours	117 ppl	178 ppl	64 ppl
9	Ergonomic Prevention and Vision Care Seminars	1 hours	61 ppl	179 ppl	69 ppl
10	Basic Emergency First Aid Training	1 hours	--	104 ppl	150 ppl
11	Women's Health Seminars	1 hours	--	--	51 ppl
12	Vaccination Activities	2 hours	--	--	414 ppl

1. Blood Donation Activities

Blood donation is vital for saving lives and ensuring sustainability. Kinsus collaborates with the Hsinchu Blood Center twice a year to organize blood donation drives at each factory. Blood donation vehicles and professional staff are on-site to facilitate voluntary participation from all employees, regardless of race. In 2025, eight workplace blood donation drives were held, with 186 employees participating, collecting 265 bags of blood, totaling 66,250 cc. This activity not only contributes to society but also promotes employee health through enhanced metabolism.



6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

2.Smoking Cessation Activity

To support employees in quitting smoking, improving their physical health, and establishing a smoke-free lifestyle, each factory has posted smoking cessation awareness posters and banners on-site. In addition, the Company invited the Xinfeng Township Public Health Center of Hsinchu County to conduct a smoking cessation workshop at the Xing-Feng Factory. Professional nurses provided guidance and shared practical experiences and case studies. Through these smoking cessation programs, employees' awareness of personal health management and disease prevention has been enhanced. These initiatives not only help reduce the risk of cardiovascular and respiratory diseases among employees and support the long-term sustainability of the workforce, but also contribute to a greener workplace by reducing cigarette litter and improving air quality within factory premises. Through these efforts, the Company demonstrates its commitment to employee well-being and environmental responsibility while fostering a healthy, productive, and resilient corporate culture. In 2025, a total of 12 employees participated in the smoking cessation program, with an average overall satisfaction rate of 96.7%.



6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

3.Weight Management Program

In 2025, Kinsus organized a four-month workplace weight management campaign titled “Move for 90 Days, Restart Your Health” to promote awareness of healthy weight management among employees. The program adopted a self-scoring system to encourage employees to embrace healthier lifestyles and achieve their weight-control goals. Points could be earned by attending nutrition and exercise seminars, participating in health consultations, and engaging in self-directed outdoor physical activities. The program aimed to cultivate health awareness from the ground up by linking knowledge with behavioral change. To ensure fairness, the competition was divided into two categories: the BMI Category and the Body Fat Percentage Category. This design allowed employees with different physical conditions and starting points to compete on a more equitable basis. Employees with higher body weight were better positioned in the BMI Category, while those with stronger exercise habits had an advantage in the Body Fat Percentage Category. The initiative also promoted the concept that body weight alone does not define health, emphasizing that body fat percentage is a more meaningful indicator of overall health and physical fitness. Participants who met the program requirements were eligible for prize drawings. Regular measurements of body weight and body fat percentage encouraged employees to monitor their progress and adjust their weight-management strategies accordingly. During the campaign, exercise classes and nutrition seminars were conducted to reinforce healthy dietary habits and proper exercise techniques, helping employees progress from “awareness” to “action” in adopting healthier lifestyles. A total of 247 employees participated in the individual weight-loss program, collectively losing 410.1 kg in body weight. After accounting for withdrawals, 136 employees completed the program, with an average weight loss of approximately 2.97 kg per person. Awards were presented in public ceremonies to enhance employees’ confidence in their achievements and encourage continued engagement.

Category/Weight (kg)	2023	2024	2025
Individual Participants	178 ppl	253 ppl	247 ppl
Weight Loss (kg)	504.3 kg	526.1 kg	410.1 kg
Team Participants	81 ppl	--	--
Weight Loss (kg)	361.2 kg	--	--



6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

> 3-1 Exercise Courses and Nutrition Lectures

In conjunction with the “Move for 90 Days, Restart Your Health” weight management campaign, Kinsus launched a series of health-related courses and seminars aimed at enhancing employees’ knowledge of caloric intake, nutrition, and proper exercise concepts. On the fitness front, the Company invited certified fitness instructors to conduct on-site training sessions featuring “strength training and resistance band exercises.” The courses included aerobic workouts to promote fat burning and practical instruction on resistance band exercises to improve flexibility and muscle conditioning, enabling employees to maintain healthy exercise habits at home. In addition, participants were introduced to myofascial release techniques using massage balls to help relax deep muscle groups and relieve physical tension after exercise or daily work activities. The in-person courses were well received and attracted strong employee participation. In 2025, a total of four exercise courses were conducted, with 91 participant attendances recorded. To promote healthy eating habits, the Company invited professional nutritionists to provide nutrition seminars under the theme “Healthy Eating Tips for People Who Eat Out Frequently.” Through practical examples and step-by-step guidance, employees learned how to make healthier food choices when dining out, including how to interpret food additives and nutrition labels and select more balanced meal options. Using sample foods such as unsweetened soy milk, sweet potatoes, and tea eggs, nutritionists demonstrated appropriate portions of carbohydrates, proteins, and sugars. Participants also learned practical healthy-eating guidelines that encouraged gradual behavioral changes through improved awareness and understanding. As part of its ongoing health promotion efforts, the Company’s medical office also educated employees on the application of the “211 Healthy Plate Method,” emphasizing that balanced nutrition can be achieved even when all three daily meals are consumed outside the home. In 2025, a total of two nutrition seminars were held, attracting 47 participant attendances.



6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

4. Stress Relief Seminars

Employee mental health remains one of the key wellness indicators that Kinsus places great emphasis on. In 2025, the Company organized a series of psychological stress management seminars with different themes to support employees' mental well-being. At the Shih-Lei Factory and Tsing Hua Factory, a seminar entitled "Psychological Stress Management: Regaining Inner Calm and Balance" was conducted by licensed clinical psychologists. The program introduced mindfulness practices, explored the causes of anxiety and emotional stress, discussed autonomic nervous system dysregulation, and incorporated mindful eating concepts. The primary objectives were to prevent occupational burnout and promote mental well-being. Through emotional and anxiety management training, employees were encouraged to identify sources of stress, strengthen psychological resilience, and reduce workplace risks and absenteeism associated with anxiety. Education on autonomic nervous system regulation was also provided to help alleviate health issues arising from high-pressure manufacturing environments and shift work, thereby supporting workforce stability. At the Youth Factory and Xing-Feng Factory, Zentangle drawing workshops were organized to encourage employees to reconnect with themselves through simple pen-and-paper creative expression. By combining scientific and artistic approaches to stress relief, these workshops effectively helped employees manage workplace stress, enhance psychological resilience, and prevent occupational burnout. The initiative aimed to foster a resilient workplace that promotes both psychological safety and productivity while demonstrating the Company's commitment to the holistic well-being of its workforce. Pre- and post-session stress assessments indicated a reduction in employees' perceived stress levels. Although these were single-session interventions, they provided valuable opportunities for employees to identify healthy outlets for stress management. A total of four stress relief sessions were conducted in 2025, with 64 participant attendances and an overall satisfaction rate of 83.65%. Through a variety of stress management activities incorporating nutrition education, psychological support, and creative workshops, Kinsus seeks to provide employees with healthy and effective coping strategies, foster a positive work environment, and promote a balanced state of physical and mental well-being.



5. Ergonomic Injury Prevention and Hearing Health Seminars

Occupational therapists and family medicine specialists conducted workplace musculoskeletal disorder prevention seminars to enhance employees' awareness of musculoskeletal health and reduce the risk of work-related musculoskeletal injuries at their source. In addition, in response to the needs of the manufacturing environment, dedicated hearing health seminars were organized to promote awareness of environmental noise hazards and the importance of properly using hearing protection equipment. Through preventive healthcare approaches and workplace hazard awareness, the Company strives to safeguard employees' physical well-being and demonstrates its commitment to maintaining high standards of occupational health and safety and sustainable workplace management. A total of five seminars were conducted in 2025, with 96 participant attendances and an overall satisfaction rate of 93.4%. Through these initiatives, Kinsus encourages employees to stay active, live healthier and more fulfilling lives, and protect their hearing to support effective communication and overall quality of life.



6.1 Talent Policy and Commitment

6.2 Human Resource Structure

6.3 Talent Cultivation and Development

6.4 Compensation and Benefits

6.5 Human Rights Protection: Listen to Our Employees

6.6 Workplace Health and Safety

6.7 Comprehensive Health Care

6.7.4 Healthy Workforce, Sustainable Competitiveness



Validity Period of This Certificate:
January 1, 2024 to December 31, 2026

In 2025, Kinsus remained committed to promoting employee health and well-being. We not only focus on the physical and mental health of our employees but also strive to create a positive, inclusive, and healthy work environment. These efforts contribute to enhanced employee productivity and job satisfaction while demonstrating the Company's commitment to employee well-being and corporate responsibility. Shih-Lei Factory, Tsing-Hua Factory, and Xing-Feng Factory (including Xing-Feng Factory I and Xing-Feng Factory II) successfully obtained the "Badge of Accredited Healthy Workplace" in 2023, which remains valid through the end of 2026. This certification helps ensure the long-term and consistent implementation of workplace health promotion policies. In addition, Youth Factory actively applied for and successfully obtained the "Workplace Health Promotion Self-Assessment Certification" in 2025, achieving the Company's goal of having 100% of its factory sites certified as healthy workplaces. Through systematic certification management, Kinsus has not only optimized workplace environments across its factory sites but has also integrated a variety of health promotion initiatives, including ergonomic injury prevention, hearing health protection, and psychological stress management programs. These efforts embed health awareness into the Company's corporate culture and demonstrate its proactive commitment and achievements in occupational health and safety governance. Moving forward, we will continue to promote workplace health, address the physical and mental needs of employees, enhance employee satisfaction, and grow and progress together with our employees.

Item	Factory Coverage	Certification Status	Validity Period
Workplace Health Promotion Self-Assessment Certification	Shih-Lei Factory, Tsing-Hua Factory, and Xing-Feng Factory (Xing-Feng Factory I and Xing-Feng Factory II)	Certified	Valid through December 31, 2026
Workplace Health Promotion Self-Assessment Certification	Youth Factory	Obtained in 2025	Valid
Overall Certification Coverage	All 5 Factory Sites	100% Certified	----

07 Shared Prosperity with Society

7.1 Social Engagement

7.2 Participation in External Organizations

7.3 Social Welfare Activities

7.4 Supporting Domestic Cultural Development



Material Topics Objectives and Performance

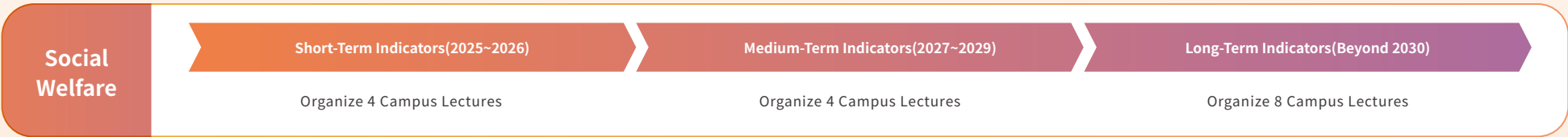
 Achieved

 Unachieved

At Kinsus Technology, we focus on three main aspects for social prosperity: industry-academia cooperation, social welfare, and caring for the underprivileged. Short-term, medium-term, and long-term indicators have been set, as shown in the table below:

Material Topics	2025 Goal	In 2025 Execution Summary		2026 Goal	2027 Goal	Corresponding chapters
Social Welfare	Organize 4 Campus Lectures	 8 Lectures → Achieved	Organizing campus lectures	Organize 4 Campus Lectures	Organize 4 Campus Lectures	7. Shared Prosperity with Society

The Company primary focus for social prosperity includes industry-academia cooperation, social welfare, and caring for the underprivileged. The objectives and achievements for the past two years are as follows:



7.1 Social Engagement

7.2 Participation in External Organizations

7.3 Social Welfare Activities

7.4 Supporting Domestic Cultural Development

7.1 Social Engagement

7.1.1 Social Prosperity and Employee Engagement

The Company participates in public welfare activities and cares for socially disadvantaged groups. It places great importance on environmental resources and protection, actively promoting greening initiatives and energy conservation in its factories. During the production process, it adopts green and non-hazardous substances and classifies and lawfully handles waste to minimize the generation of substantial waste that harms the environment of our green planet.

Furthermore, to implement corporate social responsibility, Kinsus maintains continuous communication and engagement both internally and externally. It organizes regular education and training programs to foster employee consensus and compliance with relevant corporate social responsibility standards. Employees are encouraged to actively participate in these initiatives.

7.1.3 Providing Local Job Opportunities

In 2025, we have provided employment opportunities for a total of 2,178 individuals from areas near the Company. This initiative not only contributes to the local economic development but also helps foster a good relationship between the community and the Company, resulting in a win-win situation.

Area	Xinwu District	Guanyin District	Yangmei District	Pingzhen District	Zhongli District	Xing-Feng Township	Hukou Township	Zhubei City
Employment	453	273	429	223	294	275	159	72

7.1.2 Campus Recruitment Workshops

Job Fairs and Campus Recruitment Workshops:

In 2025, we organized 12 job fairs on campus with a total of 2,074 attendees.

In 2025, we organized 29 workshop sessions for campus recruitment with a total of 745 attendees.

Category	2025 Job Fairs		2025 Workshop	
	Number of Sessions	Number of Participants	Number of Sessions	Number of Participants
Subtotal	12	2,074	29	745



7.2 Participation in External Organizations

To effectively harness the power of the industry and stay updated on industry developments, Kinsus actively participates in domestic industry associations as a member. It engages in various symposiums and seminars organized by these associations, fostering close interaction and exchange with the industry. Together, we collaborate to shape the prosperity of the industry.

Participating Organization	Role
Taiwan Printed Circuit Association (TPCA)	Director / Convener of the Sustainability and Risk Governance Committee / Member
Taiwan Electrical and Electronic Manufacturers' Association	Member
Taipei Computer Association	Member
Taoyuan Industrial Federation	Member
Taoyuan Police Support Association	Director / Member
Monte Jade Science and Technology Association Taiwan	Member
Taiwan Contact Lenses Industry Development Association	Member
Semiconductor Equipment and Materials International (SEMI)	Member
Taiwan Semiconductor Industry Association (TSIA)	Member



7.3 Social Welfare Activities

The operational direction and promotional measures of ESG in social welfare activities

Year	Category	Item
2023	Social Welfare	Mid-Autumn Charity Gift Box Orders (Down Syndrome Foundation, Hsin-Lu Social Welfare Foundation, and Keelung Parents' Association for Persons with Intellectual Disabilities)
		Charity Fundraising - Finding a Home for the Handicapped Children
		Shared Market
	Local Community	Tsing-Hua Community Environmental Volunteer Inauguration Meeting
		Shih-Lei Community Development Association 2023 Observation and Study Activity
		Shih-Lei Environmental Volunteer 2023 Observation and Study Activity
		Funding for Tsing-Hua Environmental Volunteers Mid-Autumn Festival Party
		Funding for the Chongyang Festival Senior Celebration by the Xin-Wu District Song-Bai Association
		Funding for the Chongyang Festival Senior Recognition Event by the Xin-Wu Elderly Association
		Funding for the Chongyang Festival Senior Celebration by Shih-Lei Community
		Xin-Feng Township Qiding Community Development Association Member Meeting and Year-End Social Dinner
		Sponsorship for Qiding Village Chief and Resident Cultural and Recreational Observation Activities in Xin-Feng Township
		Sponsorship for Qiding Village Jianxing Home Mid-Autumn Festival Party in Xin-Feng Township
	Temples	Renovation of the Earth God Temples in Shih-Lei Neighborhoods 1 and 2
		Sponsorship for the Qiding Fude Temple Development Association Self-Strengthening Activity in Xin-Feng Township

7.1 Social Engagement

7.2 Participation in External Organizations

7.3 Social Welfare Activities

7.4 Supporting Domestic Cultural Development

Year	Category	Item
2023	Temples	New Year Blessing and Wealth Prayer Ceremony by the Changchun Fude Temple Development Association in Xin-Feng Township
		Peace Opera at Yongning Temple in Xin-Feng Township
		Mid-Autumn Festival by the Changchun Fude Temple Development Association in Xin-Feng Township
		Qiding Village Dapu Fude Temple Mid-Autumn Festival Party (K5A)
		Dapu Fude Temple
	Police and Fire Department	Shih-Lei Community Neighborhood Watch 2023 Observation and Study Activity
		Xin-Feng Township Volunteer Police and Civil Defense Association Member Meeting
		Sponsorship for Xin-Feng Township Volunteer Firefighters Activity
		Sponsorship for Xin-Feng Township Volunteer Fire Brigade Equip-ment and Supplies
Donation Amount \$2,669,448		
2024	Social Welfare	Mid-Autumn Charity Gift Box Orders (Taiwan Foundation for the Blind, Hsin-Lu Social Welfare Foundation, and Little Bean Sprout Workshop of the San Love Social Welfare Association).
		Warm Reunion Service Program (Eden Social Welfare Foundation)
	Local Community	Shih-Lei Community Development Association 2024 Observation and Study Activity
		Shih-Lei Environmental Volunteer 2024 Observation and Study Ac-tivity
		Shih-Lei 2024 Ghost Festival Ritual Ceremony
		Funding for the 2024 Tsing-Hua Environmental Volunteers Mid-Autumn Festival Party
		Funding for the 2024 Chongyang Festival Senior Celebration by the Xin-Wu District Song-Bai Association
		Funding for the 2024 Chongyang Festival Senior Recognition Event by the Xin-Wu Elderly Association

7.1 Social Engagement

7.2 Participation in External Organizations

7.3 Social Welfare Activities

7.4 Supporting Domestic Cultural Development

Year	Category	Item
2024	Local Community	Funding for the 2024 Chongyang Festival Senior Celebration by Shih-Lei Community
		Xin-Feng Township Qiding Community Development Association Member Meeting and Year-End Social Dinner
		Sponsorship for Qiding Village Chief and Resident Cultural and Recreational Observation Activities in Xin-Feng Township
		Sponsorship for Qiding Village Jianxing Home Mid-Autumn Festi-val Party in Xin-Feng Township
	Temples	Sponsorship for the Qiding Fude Temple Development Association Self-Strengthening Activity in Xin-Feng Township
		New Year Blessing and Wealth Prayer Ceremony by the Changchun Fude Temple Development Association in Xin-Feng Township
		Peace Opera at Yongning Temple in Xin-Feng Township
		Mid-Autumn Festival by the Changchun Fude Temple Development Association in Xin-Feng Township
		Qiding Village Dapu Fude Temple Mid-Autumn Festival Party (K5A)
		Dapu Fude Temple
	Police and Fire Department	Shih-Lei Community Neighborhood Watch 2024 Observation and Study Activity
		Sponsorship for Xin-Feng Township Volunteer Firefighters Activity
		Sponsorship for Xin-Feng Township Volunteer Fire Brigade Equip-ment and Supplies
		Xin-Feng Township Volunteer Police and Civil Defense Association Member Meeting
Donation Amount \$2,669,448		
2025	Social Welfare	Mid-Autumn Charity Gift Box Orders (Simply ICR, Yu-Cheng So-cial Welfare Foundation, and Taiwan Foundation for the Blind)
		Charity Bazaar / Employee Sponsorship and Purchases (Huashan Social Welfare Foundation)
		2025 Christmas Charity Campaign - Gift Sponsorship Program (Home for Baby Social Welfare Association)

7.1 Social Engagement

7.2 Participation in External Organizations

7.3 Social Welfare Activities

7.4 Supporting Domestic Cultural Development

Year	Category	Item
2025	Local Community	Shih-Lei Environmental Volunteer 2025 Observation and Study Ac-tivity
		Shih-Lei Community Development Association 2025 Observation and Study Activity
		Funding for the 2025 Tsing-Hua Environmental Volunteers Mid-Autumn Festival Party
		Funding for the 2025 Chongyang Festival Senior Celebration by the Xin-Wu District Song-Bai Association
		Funding for the 2025 Chongyang Festival Senior Recognition Event by the Xin-Wu Elderly Association
		Funding for the 2025 Chongyang Festival Senior Celebration by Shih-Lei Community
		Xin-Feng Township Qiding Community Development Association Member Meeting and Year-End Social Dinner
		Sponsorship for Qiding Village Chief and Resident Cultural and Recreational Observation Activities in Xin-Feng Township
		Sponsorship for Qiding Village Jianxing Home Mid-Autumn Festi-val Party in Xin-Feng Township
	Temples	2025 Spring Festival Peace Opera at Yongning Temple in Xin-Feng Township (Jade Emperor’ s Birthday Celebration)
		New Year Blessing and Wealth Prayer Ceremony by the Changchun Fude Temple Development Association in Xin-Feng Township
		Sponsorship for the Qiding Fude Temple Development Association Self-Strengthening Activity in Xin-Feng Township
		Mid-Autumn Festival by the Changchun Fude Temple Development Association in Xin-Feng Township
		Qiding Village Dapu Fude Temple Mid-Autumn Festival Party (K5C)
	Police and Fire Department	Shih-Lei Community Neighborhood Watch 2025 Observation and Study Activity
		Sponsorship for Xin-Feng Township Volunteer Firefighters Activity
		Sponsorship for Xin-Feng Township Volunteer Fire Brigade Equip-ment and Supplies
		Xin-Feng Township Volunteer Police and Civil Defense Association Observation and Study Activity
Donation Amount \$3,498,419		

7.1 Social Engagement

7.2 Participation in External Organizations

7.3 Social Welfare Activities

7.4 Supporting Domestic Cultural Development



Social Welfare

Helping charities provide assistance and care to those in need, making society more harmonious and compassionate.



Local Community

Assisting neighborhoods with the necessary funds for organizing various activities through donations. This not only allows community residents to enjoy pleasant festive events but also demonstrates care and support for the community, working together for its development and progress.



Temples

Promoting community cohesion and interaction while spreading positive energy and cultural traditions. Temple activities can also attract more tourists and visitors, contributing to the local economy.



Police and Fire Department

Training the skills and knowledge of police and fire departments, strengthening community safety measures. Providing funds for the purchase of firefighting equipment and gear improves response efficiency and safety. By donating to support these teams and organizations, community cohesion and interaction are enhanced, allowing everyone to contribute to community safety and development.

• Certificates of Appreciation for Social Welfare Activities (Including Donations)



• Local Community Event (including donations)



7.4 Supporting Domestic Cultural Development

Kinsus is committed to fulfilling its corporate social responsibility by actively supporting policies that promote domestic cultural development. The Company allocates corporate resources to support local arts and cultural activities as well as creative talent. Through its annual Family Day event, Kinsus not only provides employees and their families with diverse cultural experiences, but also transforms the event into an important platform for supporting domestic performing arts groups and cultural and creative industries, thereby putting into practice its commitment to supporting the development of local culture.

Event Overview and Cultural Investment

On September 21, 2025, Kinsus held its Family Day event at Pusin Ranch in Yangmei District, Taoyuan City. The Company invested a total of NT\$1,571,200, including expenses related to event promotion, event hosts, performers, and performing groups participating in the event.

The event featured a carefully curated series of performances showcasing local characteristics and diverse cultural elements. These programs were designed not only to provide employees with high-quality recreational and entertainment experiences, but also to create performance opportunities and economic support for domestic artists, performers, and cultural practitioners.

The event featured a wide range of programs encompassing music, theater, dance, children's entertainment, and street performance art. Details of the supported cultural activities are presented in the table below.

Category	Supported Individuals / Organizations	Activities and Cultural Value
Local Popular Music	Bestards	Invited a renowned Taiwanese original music band to serve as the headline performer. Through its original music and positive messages, the performance supported local music creation and the development of popular culture.
Theater and Performing Arts	Wahaha Theater Troupe and Street Performers (3 Groups)	Through lively parent-child interactive performances and diverse street art shows, the event provided performance opportunities for domestic theater practitioners and street artists, enriching public cultural life.
Children's Cultural and Creative Industry	MOMO Family and Foonie Family	Incorporated well-known domestic children's program IPs, featuring interactions between hosts and mascot characters to support local children's entertainment and cultural content industries while promoting family engagement.
Performing Arts and Dance	Funkygirls and Mars Band	Engaged professional domestic dance groups and music bands to deliver performances, showcasing the professionalism and vitality of local performing arts talent and supporting their career development.
Diverse Performance Arts	Balloon Clown and Giant Bubble Show	Through creative and interactive performances, the event showcased the diversity of domestic performing arts and enhanced the cultural and aesthetic experiences of employees and their families.
Professional Hosting and Media Promotion	Terry, Ya-Ya, Kiki, and Nam Min-Jeong	Invited professional hosts and influential public figures to ensure smooth event execution and enhance promotional effectiveness, indirectly supporting Taiwan's entertainment management and media industries.

Social Impact and Quantifiable Results

The Family Day event not only brought joy and strengthened cohesion among Kinsus employees and their families, but also generated a positive cultural impact on society. Through direct payments for performances, Kinsus supported more than 10 domestic arts and cultural groups and individual artists, with a total investment of NT\$1,571,200 in Taiwan's cultural and creative industries.

This investment not only provided tangible economic support to arts and cultural practitioners, but also offered valuable opportunities for creative expression and public performance. By creating a platform for artistic engagement, the event contributed to the vitality and sustainable development of Taiwan's cultural ecosystem. Kinsus will continue to support domestic cultural development by allocating resources to local arts and cultural initiatives. Through these efforts, we aspire to create greater cultural value for society and contribute to the preservation, promotion, and sustainable growth of Taiwan's cultural and creative industries.



08 Appendix

Appendix 1: ESG Performance Data

Appendix 2: GRI Standards (2021) Corresponding Index

Appendix 3: SASB Index

Appendix 4: ESG Disclosure Topics – Semiconductor Industry

Appendix 5: Climate-Related Disclosure

Appendix 6: Independent Assurance Statement



Appendix 1: ESG Performance Data

Appendix 2: GRI Standards (2021) Corresponding Index

Appendix 3: SASB Index

Appendix 4: ESG Disclosure Topics – Semiconductor Industry

Appendix 5: Climate-Related Disclosure

Appendix 6: Independent Assurance Statement

Appendix 1: ESG Performance Data

Corporate Governance Data

Category	Sustainability Indicators	2023 Target	2023 Actual Achievement	2024 Target	2024 Actual Achievement	2025 Target	2025 Actual Achievement
Corporate Governance	Corporate governance evaluation – ranking among all TWSE-listed companies	Within Top 35%	21~35%	Within Top 35%	21~35%	Within Top 35%	21~35%
Operational Performance	CDP disclosure completion	-	-	≥ 1 Item	2 Items	≥ 1 Item	2 Items
Information Security	Intrusion Prevention System (IPS) effectively blocked all external intrusion threats, achieving a 100% interception rate.	100%	100%	100%	100%	100%	100%
	Endpoint protection software installation rate reached 100% for pc/notebook devices and 100% for information service hosts.	100%	100%	100%	100%	100%	100%
	Conducted two data center failure scenario drills and one backup data recovery drill. All results met expectations.	Completed	Completed	Completed	Completed	Completed	Completed
	No data breach incidents reported.	0 cases	0 cases	0 cases	0 cases	0 cases	0 cases
Risk Management	Annual emergency fire escape drill	≥ 2 Times	2 Times	≥ 2 Times	2 Times	≥ 2 Times	2 Times
Customer Satisfaction	Customer satisfaction rate	≥ 70	83	≥ 70	84	≥ 70	82
	Customer complaints regarding unauthorized personal or order	0 cases	0 cases	0 cases	0 cases	0 cases	0 cases
Legal Compliance	Violations of corporate laws or tax regulations	0 cases	0 cases	0 cases	0 cases	0 cases	0 cases
	Violations of customer privacy or information security regulations	0 cases	0 cases	0 cases	0 cases	0 cases	0 cases
	Violations of product or fair-trade regulations	0 cases	0 cases	0 cases	0 cases	0 cases	0 cases
	Violations of air pollution and environmental protection regulations	0 cases	0 cases	0 cases	0 cases	0 cases	0 cases
	Violations of wastewater discharge regulations	0 cases	0 cases	0 cases	1 case	0 cases	5 cases
	Violations of waste management regulations	0 cases	0 cases	0 cases	1 case	0 cases	3 cases

Appendix 1: ESG Performance Data

Appendix 2: GRI Standards (2021) Corresponding Index

Appendix 3: SASB Index

Appendix 4: ESG Disclosure Topics – Semiconductor Industry

Appendix 5: Climate-Related Disclosure

Appendix 6: Independent Assurance Statement

Category	Sustainability Indicators	2023 Target	2023 Actual Achievement	2024 Target	2024 Actual Achievement	2025 Target	2025 Actual Achievement
Legal Compliance	Violations of labor and occupational safety and health regulations	0 cases	2 cases	0 cases	7 cases	0 cases	3 cases
	Maintain zero material violations across the group	0 cases	0 cases	0 cases	0 cases	0 cases	0 cases
Supply Chain Management	Average score maintained in qualified supplier evaluations	≥ 80	96	≥ 80	95	≥ 80	95
	Supplier social responsibility evaluation completion rate	-	-	75%	82.67%	75%	79.31%
	Compliance rate for the procurement of raw materials free from harmful substances and conflict minerals	100%	100%	100%	100%	100%	100%

➤ The operating results of generating and distributing direct economic value in the last three years

Unit: NT\$ thousand

Item	2023	2024	2025
Consolidated Turnover	26,832,187	30,534,979	39,351,096
Operating Profit	6,757,506	8,667,725	8,314,409
Net Profit before Tax	1,426,085	1,603,188	3,087,205
Net profit after Tax	1,170,402	1,331,050	2,717,328
Other Comprehensive Income	(98,057)	201,406	(194,035)
Total Comprehensive Benefit	1,072,345	1,532,456	2,523,293
Earnings per Share	0.11	0.11	3.51
Debt Ratio	49.84%	49.80%	48.27%
Return on Equity	3.00%	3.37%	6.69%
Shareholding Ratio of Directors and Supervisors	25.33%	25.25%	25.25%

Appendix 1: ESG Performance Data

Appendix 2: GRI Standards (2021) Corresponding Index

Appendix 3: SASB Index

Appendix 4: ESG Disclosure Topics – Semiconductor Industry

Appendix 5: Climate-Related Disclosure

Appendix 6: Independent Assurance Statement

➤ Proportion of main products to revenue in the last three years

Unit: NT\$ thousand

Year Product	2023		2024		2025	
	Amount	%	Amount	%	Amount	%
Commodity Sale	26,085,747	97.22	30,227,136	98.99	39,144,489	99.47
Other	746,440	2.78	307,843	1.01	206,607	0.53
Total	26,832,187	100.00	30,534,979	100.00	39,351,096	100.00

➤ The sales amount and proportion of major products in each region in the last three years

Unit: NT\$ thousand

Year Region	2023		2024		2025	
	Amount	%	Amount	%	Amount	%
Taiwan	6,800,432	25.35	8,498,809	27.83	10,086,408	25.63
China	6,017,758	22.43	6,652,127	21.79	6,484,715	16.48
U.S.	3,547,047	13.22	5,388,402	17.65	9,734,870	24.74
Other	10,466,950	39.00	9,995,641	32.73	13,045,103	33.15
Total	26,832,187	100.00	30,534,979	100.00	39,351,096	100.00

Appendix 1: ESG Performance Data

Appendix 2: GRI Standards (2021) Corresponding Index

Appendix 3: SASB Index

Appendix 4: ESG Disclosure Topics – Semiconductor Industry

Appendix 5: Climate-Related Disclosure

Appendix 6: Independent Assurance Statement

> Employee salaries and benefits, the economic value of distribution of funds paid to contributors

Unit: NT\$ thousand

Item	2023	2024	2025
Revenue	26,832,187	30,534,979	39,351,096
Operating Costs	20,074,681	21,867,254	31,036,687
Employee Wages and Benefits (Note)	6,631,696	7,590,658	8,768,997
Payments to Capital Providers	3,231,090	814,125	823,257
Dividend Payments	2,943,012	454,423	456,649
Interest Payments on Bank Loans	288,078	359,702	366,608
Payments to Government (Income Tax)	1,202,628	359,070	139,855

Note It refers to salary expenses, labor and health insurance expenses, pension expenses and other employee welfare expenses.

> Board Composition and Diversity

Composition	Total Number	Employee Representatives	Non-Employee Representatives	Executive Directors	Non-Executive Directors	Independent Directors
Number	9	4	5	4	2	3

Diversity Statistics / Year		2025	
		Number	Percentage (%)
Board Gender Diversity	Male	8	88.89%
	Female	1	11.11%

> Corresponding to Section 2.3 Integrity Management - Statistics on Grievance and Whistleblowing Channels and Cases in 2025

Grievance and Whistleblowing Hotline	Grievance Email Mailbox	Grievances Submitted through Company Management Mechanisms or Internal Communication Channels
0 cases	0 cases	0 cases

Appendix 1: ESG Performance Data

Appendix 2: GRI Standards (2021) Corresponding Index

Appendix 3: SASB Index

Appendix 4: ESG Disclosure Topics – Semiconductor Industry

Appendix 5: Climate-Related Disclosure

Appendix 6: Independent Assurance Statement

> Corresponding to Section 2.3 Integrity Management - Number of Employees Receiving Integrity Management Training in 2025

The implementation status of the Company's internal training and awareness programs during the reporting year is presented below:

Kinsus continues to provide directors, managers, and employees with regular awareness programs and training courses related to integrity management. The training curriculum covers subjects such as the “Code of Conduct,” “Integrity Management Policy and Confidentiality Obligations,” “Prevention of Insider Trading,” “Trade Secret Protection Regulations,” and “Corporate Governance.” In 2025, a total of 6,848 participants attended these training programs.

> Corresponding to GRI 2-27 Compliance with Laws and Regulations - Number of Non-Compliance Cases

In 2025, Kinsus did not incur any material fines exceeding NT\$1 million in a single case. Regarding the violation of the “Labor Pension Act,” which involved non-compliance with Article 15, Paragraph 2, the Company has completed all required supplementary payments and revised its operating procedures to prevent recurrence. Regarding the violation of the “Labor Occupational Accident Insurance and Protection Act,” the incident was primarily attributable to insufficient internal training. The Company has strengthened its internal education and training programs to prevent similar occurrences in the future. In addition, for the violation of the “Labor Standards Act,” which involved Article 24, Paragraph 1, the Company has adjusted its overtime pay calculation method to ensure compliance with applicable regulations. During the reporting year, there were also 8 cases of environmental regulatory violations and 2 cases of violations of the “Occupational Safety and Health Act” that resulted in administrative penalties imposed by the competent authorities. None of these cases constituted material violations. Following review and verification, all identified deficiencies have been fully corrected and improvement measures have been completed.

| Regulatory Fines Paid in the Past Two Years

Category	Year	2024		2025	
		Number of Violation Cases	Amount of Fines (NT\$)	Number of Violation Cases	Amount of Fines (NT\$)
Labor Standards Act		4	190,000	1	50,000
Labor Pension Act		1	300,000	1	5,000
Labor Occupational Accident Insurance and Protection Act		0	0	1	20,000
Water Pollution Control Act		1	324,000	5	518,000
Waste Disposal Act		1	60,000	3	132,000
Occupational Safety and Health Act		2	200,000	2	200,000
Total		9	1,074,000	13	925,000

Appendix 1: ESG Performance Data

Appendix 2: GRI Standards (2021) Corresponding Index

Appendix 3: SASB Index

Appendix 4: ESG Disclosure Topics – Semiconductor Industry

Appendix 5: Climate-Related Disclosure

Appendix 6: Independent Assurance Statement

Environmental Data

Category	Sustainability Indicators	2023 Target	2023 Actual Achievement	2024 Target	2024 Actual Achievement	2025 Target	2025 Actual Achievement
Green Production	Electricity conservation	≥3 million kWh	8.765 million kWh	≥3 million kWh	4.73 million kWh	≥3 million kWh	5.937 million kWh
	Electricity saving target	≥4.3 million kWh	4.3 million kWh	≥4.6 million kWh	4.6 million kWh	≥5.35 million kWh	5.4 million kWh
	GHG emissions reduction (tCO ₂ e /year)	≥1,500 tCO ₂ e	4,388.8 tCO ₂ e	≥1,500 tCO ₂ e	2,337.0 tCO ₂ e	≥1,500 tCO ₂ e	2,938.8 tCO ₂ e
	Enhancement of climate resilience: Production disruption caused by climate disasters	0 days	0 days	0 days	0 days	0 days	0 days
Water Resource Management	Water recycling rate	≥ 5.5%	5.4%	≥ 5.5%	7.5%	≥ 5.5%	9.7%
	Water management: production losses due to water restrictions	0 PCS	0 PCS	0 PCS	0 PCS	0 PCS	0 PCS
Waste Management	Resource recycling rate	≥ 82%	84.30%	≥ 82.5%	85.32%	≥ 82.5%	90.51%
	Waste disposal: handled by legal operators	100%	100%	100%	100%	100%	100%

➤ Corresponding to Section 5.6 Waste Management - Waste Statistics

Unit: metric tons

Waste Disposal Weight (metric tons)			
Waste Weight	2023	2024	2025
General Industrial Waste	3,975.8300	4,865.9200	6,742.4800
Hazardous Industrial Waste	7,642.2800	7,045.1400	8,166.7800

Waste Intensity (metric tons per NT\$ million)			
Waste Weight	2023	2024	2025
General Industrial Waste	0.148	0.159	0.171
Hazardous Industrial Waste	0.285	0.231	0.208

Waste Intensity (metric tons per thousand PCS)			
Waste Weight	2023	2024	2025
General Industrial Waste	0.001	0.001	0.001
Hazardous Industrial Waste	0.002	0.001	0.001

Appendix 1: ESG Performance Data

Appendix 2: GRI Standards (2021) Corresponding Index

Appendix 3: SASB Index

Appendix 4: ESG Disclosure Topics – Semiconductor Industry

Appendix 5: Climate-Related Disclosure

Appendix 6: Independent Assurance Statement

Social Data

Category	Sustainability Indicators	2023 Target	2023 Actual Achievement	2024 Target	2024 Actual Achievement	2025 Target	2025 Actual Achievement
Labor Relations	Retention rate of newly hired Taiwanese (after 3 months of employment)	≥ 80%	76.9%	≥ 80%	81%	≥ 80%	78.57%
	Total employee turnover rate	≤ 20%	19.4%	≤ 20%	11.67%	≤ 20%	15.25%
	Maternity leave retention rate	≥ 80%	87%	≥ 80%	82%	≥ 80%	81.5%
	Average annual employee training hours (Hour)	≥ 8 hours	15.92 hours	≥ 8 hours	23.36 hours	≥ 8 hours	9.05 hours
	No major labor-management disputes occurred.	0 cases	0 cases	0 cases	0 cases	0 cases	0 cases
Human Rights	Employee grievance/mediation case resolution rate	100%	100%	100%	100%	100%	100%
Health and Safety	ISO 45001 occupational health and safety system verification	Achieved	Achieved	Achieved	Achieved	Achieved	Achieved
	New hire participation in Occupational Safety and Health (OSH) Training	100%	100%	100%	100%	100%	100%
	Participation rate in health check-ups	≥ 90%	100%	≥ 90%	100%	≥ 90%	100%
	Achievement rate of training for high-risk operation personnel	100%	100%	100%	100%	100%	100%
	Major occupational injuries per year (excluding fatalities)	≤ 5 cases	1 case	≤ 5 cases	2 cases	≤ 5 cases	1 case
	Number of occupational illnesses due to chemical exposure (per year)	0 cases	0 cases	0 cases	0 cases	0 cases	0 cases
	Disabling Injury Frequency Rate (FR)	FR ≤ 3	1.91%	FR ≤ 3	1.32%	FR ≤ 3	1.35%
	Disabling Severity Rate (SR)	SR ≤ 30	27	SR ≤ 30	31	SR ≤ 30	11

Appendix 1: ESG Performance Data

Appendix 2: GRI Standards (2021) Corresponding Index

Appendix 3: SASB Index

Appendix 4: ESG Disclosure Topics – Semiconductor Industry

Appendix 5: Climate-Related Disclosure

Appendix 6: Independent Assurance Statement

> Workforce Distribution and Percentage of Female Managers

Location	Number of Employees	Percentage (%)
Taiwan	6,848	100%
Percentage of Female Managers (Assistant Manager Level and Above) (%)		(136+14)/694=21.61%

> Local Hiring Ratio for Management Positions

Location	Total Number of Managers (Assistant Manager Level and Above)	Managers Holding Local Nationality	Local Hiring Ratio (%)
Taiwan	200	194	97%
China	68	60	88.23%

> Employment of People with Disabilities

According to Taiwan's "Persons with Disabilities Rights Protection Act," the number of people with disabilities employed by the company should not be less than 1% of the total workforce. If the weighted total falls short of the standard, the company is required to regularly pay a "subsidy for the shortfall" to the Employment Fund for People with Disabilities under the supervision of the labor authority. We provide full-time job opportunities to individuals with disabilities. As of the end of 2025, we have employed a total of 58 individuals with disabilities.

> Parental Leave and Gender Equality in the Workplace

Kinsus complies with the "Act of Gender Equality in Employment" and provides various types of leave, including maternity leave, prenatal check-up leave, paternity check-up and paternity leave, miscarriage prevention leave, family care leave, and menstrual leave. These policies enable employees to balance their professional responsibilities while confidently addressing different stages and challenges of life. In 2025, a total of 35 parental leave applications were submitted by both male and female employees. Statistics on employees who utilized other leave entitlements under the "Act of Gender Equality in Employment," as well as the corresponding leave hours, are presented in the table below.

Category	Gender	2023	2024	2025
Number of Employees Eligible for Parental Leave in the Year	Male	203	184	143
	Female	214	195	146
	Total	417	379	289
Number of Employees Applying for Parental Leave in the Year	Male	13	12	12
	Female	39	20	23
	Total	52	32	35

Appendix 1: ESG Performance Data

Appendix 2: GRI Standards (2021) Corresponding Index

Appendix 3: SASB Index

Appendix 4: ESG Disclosure Topics – Semiconductor Industry

Appendix 5: Climate-Related Disclosure

Appendix 6: Independent Assurance Statement

Category	Gender	2023	2024	2025
Number of Employees Expected to Return to Work in the Year (A)	Male	17	15	12
	Female	40	27	29
	Total	57	42	41
Number of Employees Returning to Work in the Year (B)	Male	13	9	8
	Female	26	18	19
	Total	39	27	27
Return Rate (B/A)	Male	76%	60%	67%
	Female	65%	67%	66%
Number of Employees from Pre-vious Year's Parental Leave Ex-pected to Return and Actually Returned (C)	Male	8	13	9
	Female	20	26	18
	Total	28	39	27
Number of Employees from Pa-renal Leave Continuing Em-ployment for over 12 Month (D)	Male	7	10	7
	Female	17	22	15
	Total	24	32	22
Retention Rate (D/C)	Male	88%	77%	78%
	Female	85%	85%	83%

Note Return rate = Number of employees returning to work (B) / Number of employees expected to return to work (A) * 100%.

Retention rate = Number of employees continuing employment after 12 months of parental leave (D) / Number of employees who returned to work after parental leave (C) * 100%.

Appendix 1: ESG Performance Data

Appendix 2: GRI Standards (2021) Corresponding Index

Appendix 3: SASB Index

Appendix 4: ESG Disclosure Topics – Semiconductor Industry

Appendix 5: Climate-Related Disclosure

Appendix 6: Independent Assurance Statement

> Corresponding to Section 6.3 Talent Cultivation and Development - Learning and Development Hours Statistics

| The average number of training hours per employee in 2025 is shown in the table below.

Category		Total Training Hours	Participants	Number of Employee	Average Training Hours
Employee Gender	Female	23,235	11,188	4,002	9.75
	Male	39,035	18,266	2,875	8.08
Employee Category	Direct	15,257	12,983	4,996	3.05
	Indirect	47,013	16,471	1,881	24.99
All Employees	Managerial Level	4,438	2,263	301	14.75
	Non-Managerial Level	57,832	27,191	6,576	8.79
Annual Average Training Hour:		9.05 hours			

> Ratio of Standard Salary to Local Minimum Wage

In 2025, the salary of entry-level employees is determined based on their educational qualifications, without any gender-based differences. The following table shows the comparison of basic-level employees' salaries to the statutory minimum wage and the gender ratio of general employees and mid-to-senior-level managers' table.

Year	Category	Average Starting Salary for Fresh Graduates	Comparison of Starting Salary to Statutory Minimum Wage in 2025	Remarks
2025	Direct Staff	34,600	1.21	Calculated based on G1-3 technician position: basic salary + job allowance + transportation allowance + meal allowance + day and night shift allowance.
	Indirect Staff	29,600	1.04	Calculated based on G1-3 administrative assistant (8 hours): basic salary + job allowance + transportation allowance + meal allowance.

Note The above data apply to local employees in Taiwan. The statutory minimum monthly wage in Taiwan was NT\$28,590 in 2025.

Appendix 1: ESG Performance Data

Appendix 2: GRI Standards (2021) Corresponding Index

Appendix 3: SASB Index

Appendix 4: ESG Disclosure Topics – Semiconductor Industry

Appendix 5: Climate-Related Disclosure

Appendix 6: Independent Assurance Statement

Salary Grade-Job Level	Year 2025			
	Gender	General Employees	Middle-Level Managers	Senior Executives
Base Salary	Male	1.00	1.00	1.00
	Female	0.91	1.00	0.93
Average Salary	Male	1.00	1.00	1.00
	Female	0.89	0.99	0.93

Data Source: HR Department, Kinsus Interconnect Technology Corp.

Note Average Salary” includes basic salary, job allowance, transportation allowance, technical allowance, meal allowance, shift allowance, tax-exempt overtime, and taxable overtime.

> Compensation Information for Full-Time Employees Not Holding Managerial Positions

Year	2023	2024	2025
Number of Full-Time Employees Not in Managerial Roles	5,352	5,356	6,101
Average Salary (NTD thousand)	680	736	779
Median Salary (NTD thousand)	568	634	658

- Note**
- 1.Full-time employees not in managerial positions refer to all employees excluding managers, directors concurrently serving as employees, overseas branch employees, and part-time employees.
 - 2.The salary calculation is based on employee compensation attributable to the reporting year, in accordance with the accrual basis of accounting.
 - 3.Disclosures are made in accordance with the “Rules Governing the Preparation and Filing of Corporate Social Responsibility Reports by TWSE Listed Companies” issued by the Taiwan Stock Exchange. All data has been certified by an independent accountant and disclosed on the Market Observation Post System (MOPS).

> Occupational Accident Statistics

Analysis of the ratio of working days and hours lost due to occupational accidents in the last three years:

Item	Year 2023		Year 2024		Year 2025	
	Female	Male	Female	Male	Female	Male
Total Working Days	557,475	819,062	574,818	833,078	645,176	904,542
Total Hours Worked	4459,800	6,552,496	4,598,550	6,664,620	6,419,007	8,066,819
Total Hours of Absence (Note 5)	173,147	130,241.5	199,034	154,740	469,063	551,288
Number of Disabled People	5	13	3	17	7	12
Total Disabling Injury Lost Days	110	99	6	512	38	119
Work Fatalities	0	0	0	0	0	0

Appendix 1: ESG Performance Data

Appendix 2: GRI Standards (2021) Corresponding Index

Appendix 3: SASB Index

Appendix 4: ESG Disclosure Topics – Semiconductor Industry

Appendix 5: Climate-Related Disclosure

Appendix 6: Independent Assurance Statement

➤ **Disclaimer:** Kinsus Interconnect Technology Corp. references the GRI Guidelines for reporting (reporting period: January 1 to December 31, 2025).

➤ **Using GRI 1 Universal Standards 2021**

➤ **Applicable GRI Industry Guidelines:** N/A

Appendix 2: GRI Standards (2021) Corresponding Index

GRI STANDARD		2025 ESG Corresponding Chapter	Page CH-Page (Note)	Remark
GRI 2: General Disclosure 2021 (2-1~2-30)				
1. Organization and Reporting	2-1 Organization details	2.1 Organization Details	29	
	2-2 Entities included in the organization's sustainability reporting	• Summary and Scope of the Report • Coverage	5 5	
	2-3 Report period, frequency and contact window	• Report Period • Publication Frequency • Contact Window	5 6 6	
	2-4 Restatements of information	No Restatements of information	5	
	2-5 External assurance	• Ensuring the accuracy of disclosed information • External assurance	6 6	
2. Activities and Employees	2-6 Activities, value chain and other business relationships	3.1 Operational Performance and Challenges 3.3 Customer Relationship Management	59 63	
	2-7 Employees a. Report the total number of employees, and a breakdown of this total by gender and by region b. Report the total number of different categories of employees	6.2 Human Resources Structure • Workforce Composition	129	
	2-8 Workers who are not employees	6.2 Human Resources Structure (3) Non-Employee Workforce Engagement	129 132	

Appendix 1: ESG Performance Data

Appendix 2: GRI Standards (2021) Corresponding Index

Appendix 3: SASB Index

Appendix 4: ESG Disclosure Topics – Semiconductor Industry

Appendix 5: Climate-Related Disclosure

Appendix 6: Independent Assurance Statement

GRI STANDARD		2025 ESG Corresponding Chapter	Page CH-Page (Note)	Remark
3. Governance	2-9 Governance structure and composition	2.2 Corporate Governance 2.1.2 Board of Directors Organizational Structure 2.2.2 Governance Department	32 31 33	The ESG Committee of our company is not a functional committee under the Board of Directors. It is authorized by the Chairman and led by the Vice Chief Sustainability Officer, who is appointed by the CEO.
	2-10 Nomination and selection of the highest governance body	2.2 Corporate Governance • Annual shareholders' meeting 2.2.2 Governance Department • Board of Directors	32 33	Director elections follow a candidate nomination system.
	2-11 Chair of the highest governance body	2.2.2 Governance Department • Board of Directors	33	The Chairman of the Board also serves as the Deputy Chief Strategy Officer, leveraging their extensive industry experience to enhance the company's operational efficiency. Major proposals are discussed and reviewed by the Board of Directors, who possess professional knowledge and extensive industry experience, enabling effective oversight.
	2-12 Role of the highest governance body in overseeing the management of impacts a. Describe the role of the highest governance body and senior executives in developing, approving, and updating the organization's purpose, values or vision, strategies, policies, and sustainability-related objectives. b. Describe the role of the highest governance body in overseeing the organization's due diligence processes and other procedures for identifying and managing the organization's impacts on the economy, environment, and people.	2.2.2 Governance Department • Board of Directors 2.3 Integrity Management 2.4 Business Philosophy, Ethics and Compliance 2.1.2 Board of Directors Organizational Structure	33 38 40 31	An annual report is submitted to the Board of Directors regarding stakeholder engagement, including communications with shareholders, employees, customers, local communities, regulatory authorities, and suppliers.
	2-13 Delegation of responsibility for managing impacts a. Describe how the highest governance body delegates responsibility for managing the organization's impacts on the economy, environment, and people. b. Describe the process and frequency by which senior executives or other employees report to the highest governance body on the management of the organization's impacts on the economy, environment, and people.	2.1.2 Board of Directors Organizational Structure 2.7 Risk Management System	31 53	The Chairman of the ESG Committee is authorized by the Chairman of the Board and appointed by the CEO, with the Vice Chief Sustainability Officer serving as the chairperson. Each department is responsible for relevant content and promotion of their respective business areas. Our company's risk management process includes risk identification, risk analysis, risk assessment, risk response, risk monitoring and review, and risk reporting and disclosure. Each department evaluates and discusses potential and emerging risks related to environmental, social, and corporate governance issues, considering the frequency of occurrence, impact level, and degree of control.
	2-14 Role of the highest governance body in sustainability reporting a. Report whether the highest governance body is responsible for reviewing and approving the reported information, including the organization's material topics. b. If the highest governance body is not responsible for reviewing and approving the reported information, including the organization's material topics, explain the reason for this.	2.2.2 Governance Department • Board of Directors 1.1.1 ESG Organization and Responsibilities	33 8	The Board of Directors serves as the strategic planning unit for ESG, with the Sustainability Management Office overseeing the management, and the ESG Committee responsible for implementing the Code of Conduct for listed companies.
	2-15 Conflicts of interest a. Describe the processes for the highest governance body to ensure that conflicts of interest is prevented and mitigated. b. Report whether conflicts of interest are disclosed to stakeholders.	2.3 Integrity management 2.3.2 Implementation Results	38 39	The Code of Conduct for Listed Company integrity management.

Appendix 1: ESG Performance Data

Appendix 2: GRI Standards (2021) Corresponding Index

Appendix 3: SASB Index

Appendix 4: ESG Disclosure Topics – Semiconductor Industry

Appendix 5: Climate-Related Disclosure

Appendix 6: Independent Assurance Statement

GRI STANDARD		2025 ESG Corresponding Chapter	Page CH-Page (Note)	Remark
3. Governance	2-16 Communication of critical concerns a. Describe whether and how critical concerns are communicated to the highest governance body.	2.2.2 Governance Department • Board of Directors 1.1.1.1 ESG Organization and Responsibilities	33 8	We formulate risk management policies for significant risk issues and control risk changes through regular review meetings. This ensures the effectiveness of risk management plans and related operations while identifying business opportunities associated with these risks. These insights are used to develop the company's strategic development plans, and regular reports on operations are presented to the Board of Directors.
	2-17 Collective knowledge of the highest governance body a. Report measures taken to advance the collective knowledge, skills, and experience of the highest governance body on sustainable development.	2.2.2 Governance Department • Board of Directors • Board Diversity and Concurrent Positions Held in Other Companies	33	Training status of Board of Directors members.
	2-18 Evaluation of the performance of the highest governance body a. Describe the processes for evaluating the performance of the highest governance body in overseeing the management of the organization's impacts on the economy, environment, and people.	2.2.2 Governance Department • Board of Directors • Performance Evaluation 1.1.1.1 ESG Organization and Responsibilities	33 8	The Company conducts an annual Board of Directors performance evaluation in accordance with the "Board of Directors and Functional Committees Performance Evaluation Procedures."
	2-19 Compensation policies	2.2.2 Governance Department • Board of Directors Director Remuneration	33 137	Compensation and Benefits Policy: Competitive compensation and benefits to attract and retain talent.
	2-20 Process to determine compensation a. Describe the process for designing its compensation policies and for determining compensation.	2.2.2 Governance Department • Board of Directors • Director's Compensation • Compensation Committee 6.4.1 Compensation and Benefits Policy and Performance	34 137	
	2-21 Annual total compensation ratio	-	-	Pursuant to the Company's salary confidentiality policy, this information is not disclosed at this time.
4. Practice of Strategy and Policy	2-22 Statement on sustainable development strategy a. Report a statement from the highest governance body or most senior executive of the organization about the relevance of sustainable development to the organization and its strategy for contributing to sustainable development.	Message from Top Management	3	
	2-23 Policy commitments a. Describe its policy commitments for responsible business conduct. b. Describe its specific policy commitment to respect human rights.	6.1 Talent Policy and Commitment • Sustainable Business Development Policy	127	Commitment to implement eight human rights policies.

GRI STANDARD		2025 ESG Corresponding Chapter	Page CH-Page (Note)	Remark
4. Practice of Strategy and Policy	2-24 Embedding policy commitments a. Describe how it embeds each of its policy commitments for responsible business conduct throughout its activities and business relationships	2.3.1 Integrity Management Business Operations 6.1 Talent Cultivation Policy and Commitment	38 127	
	2-25 Processes to remediate negative impacts a. Describe its commitments to provide for or cooperate in the remediation of negative impacts that the organization identifies it has caused or contributed to. b. Describe its approach to identify and address grievances, including the grievance mechanisms that the organization has established or participates in.	6.5 Human Right Protection: Listen to Our Employees 6.5.6 Diverse Communication Channels 6.5.7 Employee Whistleblowing/Complaint Mechanism	143 146 147	
	2-26 Mechanisms for seeking advice and raising concerns	1.1.3 Communication Channels for Major Stakeholders	12	Communication channels for stakeholders.
	2-27 Compliance with laws and regulations a. Report the total number of significant instances of non-compliance with laws and regulations during the reporting period	2.4.3 Compliance Appendix 1: ESG Performance Data	42 195	
	2-28 Membership associations	7.2 Participation in External Organizations	186	
5. Stakeholder Engagement	2-29 Approach to stakeholder engagement a. Describe its approach to engaging with stakeholders	1.1.2 Identification of Major Stakeholders 1.2 Communication and Analysis of Issues of Concern to Stakeholders and Process to Determine Material Topics	11 13	Communication channels for stakeholders.
	2-30 Collective bargaining agreements a. Report the percentage of total employees covered by collective bargaining agreements	6.5.7 Employee Whistleblowing/Complaint Mechanism 6.5.4 Freedom of Association	147 146	No collective agreements, but labor-management meetings.
GRI 3: Material Topics 2021	• Material Topics 3-1 Process to determine material topics	1.2 Communication and Analysis of Issues of Concern to Stakeholders and Process to Determine Material Topics 1.2.1 Identification and Direct Impact Analysis of Stakeholders' Concerns 1.3 Sorting and Response after Identification of Material Topics	13 16 17	
	3-2 List of material topics a. List its material topics. b. Report changes to the list of material topics compared to the previous reporting period.	1. Practice 1.2 Communication and Analysis of Issues of Concern to Stakeholders and Process to Determine Material Topics 1.2.1 Identification and Direct Impact Analysis of Stakeholders' Concerns • Summary and Scope of the Report	7 13 16 5	
	3-3 Management of Material Topics	1.3.1 Responses to Material Issues 1.4.1 Risk Management of Material Topics (Impact Analysis)	19 21	

Appendix 1: ESG Performance Data

Appendix 2: GRI Standards (2021) Corresponding Index

Appendix 3: SASB Index

Appendix 4: ESG Disclosure Topics – Semiconductor Industry

Appendix 5: Climate-Related Disclosure

Appendix 6: Independent Assurance Statement

GRI 200: Economic Topics (★ Indicates Standards Related to Material Topics)

Disclosure Item and Number		GRI Standards	Sustainability Report Section / Response	Chapter-Page
201 Economic Performance 2016	201-1★	Direct economic value generated and distributed	Appendix 1: ESG Performance Data 7.3 Social Welfare Activities	195 187
	201-2★	Financial implications and other risks and opportunities due to climate change	5.1 Climate Action	87
	201-3	Defined benefit plan obligations and other retirement plans	6.4.3 Retirement Benefits 6.4.4 Diverse Welfare and Benefit System	138 139
202 Market Presence 2016	202-1	Ratios of standard entry level wage by gender compared to local minimum wage	Appendix 1: ESG Performance Data	195
204 Procurement Practices 2016	204-1	Proportion of spending on local suppliers	4.3 Supplier Composition and Categories Local Purchases	77 82
205 Anti-Corruption 2016	205-1★	Operations assessed for risks related to corruption	2.3 Integrity management 2.4.2 Ethics and Compliance	38 40
	205-2★	Communication and training about anti-corruption policies and procedures	2.3 Integrity management 2.4.2 Ethics and Compliance Appendix 1: ESG Performance Data	38 40 195
	205-3★	Confirmed incidents of corruption and actions taken	2.3 Integrity management 2.4.2 Ethics and Compliance	38 40
206 Anti-competitive Behavior 2016	206-1★	Legal actions for anticompetitive behavior, anti-trust, and monop-oly practices	2.4.3 Compliance Kinsus has not been involved in any investigations related to violations of fair competition laws or regulations.	42

GRI 300: Environmental Topics (★ Indicates Standards Related to Material Topics)

Disclosure Item and Number		GRI Standards	Sustainability Report Section / Response	Chapter-Page
302 Energy 2016	302-1	Energy consumption within the organization	5.3 Greenhouse Gas Emissions and Energy Resource Management	102
	302-3	Energy intensity	5.3 Greenhouse Gas Emissions and Energy Resource Management	102
	302-4	Reduce energy consumption	5.3 Greenhouse Gas Emissions and Energy Resource Management	102

Disclosure Item and Number		GRI Standards	Sustainability Report Section / Response	Chapter-Page
303 Water and Effluents 2018	303-1	Interactions with water as a shared resource	5.5 Water Resource Management	107
	303-2	Management of water dis-charge-related impacts	5.5 Water Resource Management	107
	303-3	Water withdrawal	5.5 Water Resource Management	107
	303-4	Effluent discharge	5.5 Water Resource Management	107
	303-5	Water consumption	5.5 Water Resource Management	107
305 Emissions 2016	305-1★	305-1 direct/scope 1 GHG emis-sions	5.3 Greenhouse Gas Emissions and Energy Resource Management	102
	305-2★	Energy indirect (scope 2) GHG emissions	5.3 Greenhouse Gas Emissions and Energy Resource Management	102
	305-3	Other indirect (scope 3) GHG emissions	5.3 Greenhouse Gas Emissions and Energy Resource Management	102
	305-4★	Intensity of GHG emissions	5.3 Greenhouse Gas Emissions and Energy Resource Management	102
	305-5★	Reduction of GHG emissions	5.3 Greenhouse Gas Emissions and Energy Resource Management	102
306 Waste 2020	306-1	Waste generation and significant waste-related impacts	5.6 Waste Management	113
	306-2	Management of significant waste-related impacts	5.6 Waste Management	113
	306-3	Waste generated	5.6 Waste Management	113
	306-4	Waste diverted from disposal	5.6 Waste Management	113
	306-5	Waste directed to disposal	5.6 Waste Management	113
308 Supplier Environ-mental Assessment 2016	308-1★	New suppliers that were screened using environmental criteria	4.3 Supplier Composition and Categories	77
	308-2★	Negative environmental impacts in the supply chain and actions taken	4.3 Supplier Composition and Categories	77

Appendix 1: ESG Performance Data

Appendix 2: GRI Standards (2021) Corresponding Index

Appendix 3: SASB Index

Appendix 4: ESG Disclosure Topics – Semiconductor Industry

Appendix 5: Climate-Related Disclosure

Appendix 6: Independent Assurance Statement

GGRI 300: Environmental Topics (★ Indicates Standards Related to Material Topics)

Disclosure Item and Number		GRI Standards	Sustainability Report Section / Response	Chapter-Page
401 Employment 2016	401-1★	New employee hires and em-mployee turnover	6.2.1 Talent Recruitment and Mobility	133
	401-2★	Benefits provided to fulltime employees that are not provided to temporary or part-time em-employees	6.4.4 Diverse Welfare and Benefit System	139
	401-3★	Parental leave	Appendix 1: ESG Performance Data	195
402 Labor/Management Relations 2016	402-1★	Minimum notice periods re-garding operational changes	6.5.5 Shortest Notice Period for Operational Changes	146
403 Occupational Safety and Health 2018	403-1★	Occupational safety and health management system	6.6.1 Health and Safety Policy, Risk Assessment and Accident Investigation	152
	403-2★	Hazard identification, risk as-sessment, and incident inves-tigation	6.6.1 Health and Safety Policy, Risk Assessment and Accident Investigation	152
	403-3★	Occupational health services	6.7.1 Dedicated Medical Care, Comprehensive Protection	173
	403-4★	Worker participation, consulta-tion, and communication on occupational safety and health	6.6.2 Worker Participation, Consultation, and Communication on Occupational Safety and Health	157
	403-5★	Worker training on occupational safety and health	6.6.2 Worker Participation, Consultation, and Communication on Occupational Safety and Health	157
	403-6★	Promotion of worker health	6.6.2 Worker Participation, Consultation, and Communication on Occupational Safety and Health	157
	403-7★	Prevent and mitigate occupa-tional safety and health impacts that are directly linked by business relationships	6.6.2 Worker Participation, Consultation, and Communication on Occupational Safety and Health	157
	403-8★	Workers covered by an occupa-tional health and safety man-agement system	6.6.2 Worker Participation, Consultation, and Communication on Occupational Safety and Health	157
	403-9★	Work-related injuries	6.6.4 Occupational Accident Statistics	160
	403-10★	Work-related ill health	6.6.4 Occupational Accident Statistics	160
404 Training and Edu- cation 2016	404-1★	Average hours of training per year per employee	Appendix 1: ESG Performance Data	195
	404-2	Programs for upgrading em-mployee skills and transition assistance programs	6.3.1 Performance Management and Employee Development	136
405 Diversity and Equal Opportunity 2016	405-1★	Diversity of governance bodies and employees	1.1.1 ESG Organization and Responsibilities 6.2 Human Resource Structure	8 129
	405-2★	Ratio of basic salary and com-pensation of female to male	Appendix 1: ESG Performance Data	195

Appendix 1: ESG Performance Data

Appendix 2: GRI Standards (2021) Corresponding Index

Appendix 3: SASB Index

Appendix 4: ESG Disclosure Topics – Semiconductor Industry

Appendix 5: Climate-Related Disclosure

Appendix 6: Independent Assurance Statement

Disclosure Item and Number		GRI Standards	Sustainability Report Section / Response	Chapter-Page
406 Non-discrimination 2016	406-1	Incidents of discrimination and corrective actions taken	6.5.2 Human Rights and AntiDiscrimination	145
407 Freedom of Association and Collective Bargaining 2016	407-1	Operations and suppliers in which the right to freedom of association and collective bargaining may be at risk	6.5.4 Freedom of Association	146
408 Child Labor 2016	408-1	Operations and suppliers at significant risk for incidents of child labor	As described in Section 4.3 Supplier Management – Key Supplier Performance Evaluation Criteria of this Sustainability Report, Kinsus requires its supplier partners to comply with the Responsible Business Alliance (RBA) Code of Conduct and to sign the Supplier Corporate Social Responsibility Code of Conduct, committing that all business activities comply with applicable laws and ethical standards. Through the Supplier Social Responsibility Evaluation Form, medium- and high-risk suppliers are required to conduct self-assessments. Suppliers identified with potential risks are subject to continuous improvement requirements and follow-up management. The Company conducts RBA-based audits of high-risk suppliers and has confirmed that there is no risk of child labor at any of its operating sites.	77
409 Forced or Compulsory Labor 2016	409-1	Operations and suppliers at significant risk for incidents of forced or compulsory labor	As described in Section 4.3 Supplier Management – Key Supplier Performance Evaluation Criteria of this Sustainability Report, Kinsus requires its supplier partners to comply with the Responsible Business Alliance (RBA) Code of Conduct and to sign the Supplier Corporate Social Responsibility Code of Conduct, committing that all business activities comply with applicable laws and ethical standards, including the rights of workers to freedom of association and collective bargaining. Through the Supplier Social Responsibility Evaluation Form, medium- and high-risk suppliers are required to conduct self-assessments. Suppliers identified with potential risks are subject to continuous improvement requirements and follow-up management. The Company conducts RBA-based audits of high-risk suppliers and has confirmed that there are no significant risks related to incidents of forced or compulsory labor at any of its operating sites.	77
414 Supplier Social Assessment 2016	414-1★	New suppliers that were screened using social criteria	4.3 Supplier Composition and Categories	77
	414-2★	Negative social impacts in the supply chain and actions taken	4.3 Supplier Composition and Categories	77
416 Customer Health and Safety 2016	416-1★	Assessment of the health and safety impacts of product and service categories	3.5 Product Quality	66
	416-2★	Incidents of non-compliance concerning the health and safety impacts of products and services	3.5 Product Quality	66
418 Customer Privacy 2016	418-1★	Substantiated complaints concerning breaches of customer privacy and losses of customer data	3.4 Customer Privacy No incidents of customer privacy violations or data loss that compromised customer rights	65

Appendix 3: SASB Index

Hardware Manufacturing Industry: Sustainable Development Topics and Accounting Metrics with Corresponding 2025 ESG Report Sections

Topic	Metric Code	Accounting Metric	Nature	Unit of Measurement	Chapter/Page
Product Safety	TC-HW-230a.1	Description of product data security risk identification and management methods	Discussion and Analysis	Not Applicable	2.6 Information Security/CH2-P21
Employee Diversity and Inclusion	TC-HW-330a.1	Percentage of global employees in (1) management, (2) technical roles, and (3) all other employees by gender and race	Quantitative	Percentage (%)	6.2 Human Resource Structure/CH6-P5 2025 Workforce Composition: (1) Direct Employees – Female/Male Ratio: 13.86% / 20.32% (2) Indirect Employees (including managerial staff) – Female/Male Ratio: 7.48%/17.68% (3) Foreign Workers – Female/Male Ratio: 20.48% / 19.64%
Product Lifecycle Management	TC-HW-410a.1	Products containing IEC 62474 declarable substances (based on revenue)	Quantitative	Percentage (%)	Not Applicable
	TC-HW-410a.2	Percentage of products that comply with EPEAT or equivalent requirements (based on revenue)	Quantitative	Percentage (%)	Not Applicable
	TC-HW-410a.3	Percentage of products that comply with Energy Star or equivalent standards (based on revenue)	Quantitative	Percentage (%)	Not Applicable
	TC-HW-410a.4	Percentage of end-of-life products and e-waste recycled (by weight)	Quantitative	Tonne Percentage (%)	Not Applicable
Supply Chain Management	TC-HW-430a.1	First-tier supplier RBA audit (Validated Audit Process, VAP) or equivalent audit completion rate and percentage of suppliers (a) all suppliers and (b) high-risk suppliers	Quantitative	Percentage (%)	VAP audits have not been implemented. Instead, the Company dispatches personnel to conduct supplier audits in accordance with RBA standards.
	TC-HW-430a.2	Percentage of first-tier suppliers (1) not passing RBA VAP or equivalent audits and (2) audit results improvement rates for (a) critical deficiencies and (b) other deficiencies	Quantitative	Percentage (%)	4.3 Supplier Composition and Categories/CH4-P4 For medium-risk suppliers, a social responsibility self-assessment was conducted. In 2025, Kinsus completed assessments for 23 suppliers, with a completion rate of 79.31%. All identified deficiencies found during
Material Sourcing	TC-HW-440a.1	Description of the management of risks associated with the use of critical hazardous materials	Discussion and Analysis	Not Applicable	4.4 Ethical Procurement / CH4-P13 • No use of hazardous substances • Responsible mineral sourcing

Appendix 1: ESG Performance Data

Appendix 2: GRI Standards (2021) Corresponding Index

Appendix 3: SASB Index

Appendix 4: ESG Disclosure Topics – Semiconductor Industry

Appendix 5: Climate-Related Disclosure

Appendix 6: Independent Assurance Statement

Topic	Metric Code	Accounting Metric	Nature	Unit of Measurement	Chapter/Page
Table 2: Activity Metrics					
Product Lifecycle Management	TC-HW-000.A	Percentage of revenue by product category (based on production quantity)	Quantitative	Quantity	Appendix/P4 · Corporate Governance Data Revenue Contribution of Major Products over the Past Three Years (Output volume is for reference only, as it is affected by product mix)
	TC-HW-000.B	Area of manufacturing facilities	Quantitative	Square meters (m ²)	Not Disclosed
	TC-HW-000.C	Percentage of production from owned facilities	Quantitative	Percentage (%)	Not Disclosed

Appendix 1: ESG Performance Data

Appendix 2: GRI Standards (2021) Corresponding Index

Appendix 3: SASB Index

Appendix 4: ESG Disclosure Topics – Semiconductor Industry

Appendix 5: Climate-Related Disclosure

Appendix 6: Independent Assurance Statement

Appendix 4: ESG Disclosure Topics – Semiconductor Industry

No.	Indicator	Indicator Type	Annual Disclosure Status	Unit	Remark
1	Total Energy Consumption, Percentage of Pur-chased Electricity, and Renewable Energy Usage Rate	Quantitative	Total Energy Consumption: 2,137,620.1929 (GJ) Percentage of Purchased Electricity:100%	Billion Joules (GJ) Percentage (%)	
2	Total Water Withdrawal and Consumption	Quantitative	Total Water Withdrawal: 7,790 thousand cubic meters Total Water Consumption:1,113 thousand cubic meters	Thousand Cubic Meters (1000m ³)	
3	Weight and Recycling Percentage of Hazardous Waste Generated	Quantitative	Total weight: 8,166.7800 metric tons; Recycling rate: 90.51%	Metric Tons (t) Percentage (%)	
4	Description of Occupational Injury Types, Num-bers, and Rates	Quantitative	Refer to 6.6.4 Occupational Accident Statistics	Percentage (%), Quantity	
5	Disclosure of Product Lifecycle Management: In-cluding the Weight of Scrapped Products and E-waste, and Recycling Percentage (Note 1)	Quantitative	Not Applicable	Metric Tons (t), Percentage (%)	
6	Description of Risk Management Related to the Use of Critical Materials	Qualitative Description	Refer to 4.2 Industrial Supply Chain		
7	Total Financial Loss Due to Legal Proceedings Related to Anti-Competitive Behavior	Quantitative	0	Reporting Currency	
8	Main Product Output by Product Category	Quantitative	Appendix 1: ESG Performance Data • Corporate Governance Data • Revenue contribution by major product categories over the past three years	Varies by product type	

Note Includes offcut material sold or otherwise recovered; relevant explanations should be provided.

Appendix 5: Climate-Related Disclosure

Item	Implementation Status
1. Describe the Board of Directors' and management's oversight and governance of climate-related risks and opportunities.	The Board of Directors serves as the highest supervisory body for climate-related risks and opportunities within the Company, while the Sustainability Office is responsible for coordinating and implementing climate risk management initiatives. The Company has established an ESG Committee, which integrates representatives from various operating units and functional departments to jointly identify, assess, and manage climate-related issues. The ESG Committee convenes regularly to review the management of climate-related risks and opportunities and reports material issues to the Board of Directors for discussion and oversight. The Company continues to strengthen its climate governance framework and management mechanisms in accordance with the recommendations of the Task Force on Climate-related Financial Disclosures (TCFD) issued by the Financial Stability Board (FSB). The ESG Committee reports to the Board of Directors at least once annually on the management outcomes of climate-related risks and opportunities, as well as the implementation progress of climate strategies. This reporting mechanism helps ensure alignment between the Company's climate governance practices and its sustainable development strategy.
2. Describe how identified climate risks and opportunities affect the Company's business, strategy, and financial planning over the short, medium, and long term.	The Company identifies climate-related risks and opportunities in accordance with the TCFD framework through the ESG Committee, which integrates both internal and external information, including international climate policy trends, industry developments, regulatory changes, and stakeholder concerns. This process enables the Company to identify climate-related risks and opportunities relevant to its operations. To prioritize climate-related risks, the Company evaluates both the potential financial impact and the likelihood of occurrence. Climate-related issues are categorized into short-term (within 2 years), medium-term (3-6 years), and long-term (more than 6 years) horizons to assess their potential impacts on business strategies and financial performance. In 2025, the Company further incorporated climate scenario analysis and quantitative financial assessments into its climate risk management process. Analyses were conducted on transition risks, such as customer decarbonization requirements and investments in low-carbon technologies, as well as physical risks, including increased energy demand resulting from rising temperatures. At the same time, the Company assessed climate-related opportunities associated with energy efficiency improvements, renewable energy adoption, and enhanced resource efficiency. The results of these assessments serve as important references for the Company's long-term business strategy and sustainable development planning.
3. Describe the financial impacts of extreme climate events and transition-related actions.	The Company assesses the potential impacts of extreme climate events on its supply chain, manufacturing operations, and customer demand, including scenarios such as earthquakes, floods, typhoons, water shortages, and power shortages. Through its climate risk identification and management mechanisms, the Company evaluates the potential operational and financial impacts associated with these events. In 2025, the Company further conducted climate scenario analysis and quantitative financial assessments in accordance with the TCFD framework. The analysis covered both climate transition risks and physical risks, including market risks arising from customer decarbonization requirements, increasing investment needs for low-carbon transformation, and higher energy costs resulting from rising temperatures. In addition, the Company continues to implement energy-saving and carbon reduction initiatives, expand the adoption of renewable energy, and strengthen supply chain decarbonization management. These efforts are intended to mitigate the potential operational and financial impacts of climate change on the Company.
4. Explain how the processes for identifying, assessing, and managing climate risks are integrated into the overall risk management system.	The Company has incorporated climate-related risks into its overall risk management framework. In accordance with the Company's risk management policy, the ESG Committee collaborates with relevant departments to identify and assess climate-related risks, including policy and regulatory risks, market risks, technology risks, and physical risks. Through a cross-functional risk assessment mechanism, the Company regularly reviews internal and external sources of climate-related risks and evaluates them based on the likelihood of occurrence and potential impact. Climate risks are prioritized accordingly, and appropriate response strategies and management measures are developed for material climate-related risks. In addition, the Company conducts regular reviews and monitors the implementation of mitigation measures to ensure that climate risk management is effectively integrated into the overall enterprise risk management framework and aligned with the Company's business strategy.

Appendix 1: ESG Performance Data

Appendix 2: GRI Standards (2021) Corresponding Index

Appendix 3: SASB Index

Appendix 4: ESG Disclosure Topics – Semiconductor Industry

Appendix 5: Climate-Related Disclosure

Appendix 6: Independent Assurance Statement

Item	Implementation Status
5. If scenario analysis is used to assess climate resilience, describe the scenarios, parameters, assumptions, analytical factors, and key financial impacts.	The Company has adopted climate scenario analysis in accordance with the recommendations of the TCFD framework to assess the potential operational and financial impacts under different climate scenarios. The analysis process references climate scenarios published by the International Energy Agency (IEA) and relevant government climate policy information. Assumptions and parameters are established based on the Company's operational characteristics and industry conditions. The scenario analysis covers both transition risks and physical risks, including market risks arising from customer decarbonization requirements, increasing investment needs associated with low-carbon transformation, and higher energy demand resulting from climate change. Based on the results of the scenario analysis, the Company evaluates the potential impacts on revenue, operating costs, and capital expenditures under different climate scenarios and develops corresponding response strategies.
6. If there are transition plans to manage climate-related risks, describe the content of the plans, as well as the indicators and targets used to identify and manage physical and transition risks.	The Company has established a low-carbon supply chain transformation plan and continues to promote energy conservation, carbon reduction initiatives, and energy management practices to reduce greenhouse gas emissions generated throughout its operations. Through measures such as improving energy efficiency, optimizing manufacturing processes, and increasing the use of renewable energy, the Company is gradually reducing energy consumption and carbon emission intensity. At the same time, the Company continues to strengthen supply chain management and collaborates with suppliers to enhance their carbon reduction capabilities. In addition, the Company continues to implement the ISO 50001 Energy Management System and promote various energy-saving projects to improve energy efficiency and mitigate the potential impacts of climate-related risks on business operations.
7. If internal carbon pricing is used as a planning tool, specify the basis for price setting.	The Company has not yet formally adopted an internal carbon pricing mechanism. However, it continues to monitor international developments in carbon pricing and government carbon fee policies while evaluating the feasibility of implementing an internal carbon pricing system in the future. Such a mechanism would serve as a reference for climate risk management and low-carbon investment decision-making.
8. If climate-related targets are established, describe the covered activities, GHG emission scopes, planning timelines, and annual progress. If carbon offsets or Renewable Energy Certificates (RECs) are used to meet the targets, state the source and quantity of the offsets or RECs.	The Company has established a greenhouse gas reduction target of using 2022 as the base year, with a goal of achieving a 20% reduction in greenhouse gas emission intensity by 2030, while pursuing a long-term vision of achieving net-zero emissions by 2050. To achieve these objectives, the Company continues to promote energy conservation and carbon reduction initiatives, as well as the adoption of renewable energy, with a focus on improving energy efficiency and reducing carbon emission intensity across its operations. The Company has completed the execution of renewable electricity procurement agreements and continues to increase the proportion of renewable energy usage. In 2025, renewable electricity generation reached 5.35 million kWh per year. In addition, the Company continues to improve energy efficiency through energy-saving projects, equipment upgrades and replacements, and process optimization initiatives, thereby supporting the achievement of its long-term decarbonization goals.
9. Greenhouse gas inventory and assurance status, as well as emission reduction targets, strategies, and concrete action plans.	The Company continues to conduct greenhouse gas (GHG) inventories and has established a greenhouse gas emissions management system in accordance with relevant standards. Emission performance is reviewed regularly, and carbon reduction strategies are developed and updated accordingly. Through the implementation of energy-saving measures, the use of renewable energy, and process optimization initiatives, the Company continuously reduces carbon emissions and promotes energy management and decarbonization action plans. These efforts are aimed at improving energy efficiency and reducing greenhouse gas emissions throughout its operations. For further information regarding the Company's greenhouse gas inventory and assurance status, reduction targets, strategies, and specific action plans, please refer to Table 1-1 and Table 1-2.

1-1 Greenhouse Gas (GHG) Inventory and Assurance in the Past Two Years

1-1-1 GHG Inventory Information

Description of GHG emissions (metric tons CO₂e), emission intensity (metric tons CO₂e per NT\$ million), and data coverage over the past two years.

Parent Company Assurance Provider Explanation of Assurance Status		Total Emissions (metric tons CO ₂ e)	Emission Intensity (metric tons CO ₂ e/NT\$)	Assurance Provider	Explanation of Assurance Status
Scope 1	2024	23,492.9887	0.769	DNV	The inventory follows ISO 14064-1, issued by the International Organization for Standardization (ISO).
	2025	14,994.1581	0.381	DNV	
Scope 2	2024	240,295.8168	7.870	DNV	
	2025	274,547.0445	6.987	DNV	
Scope 3	2024	134,382.3282	4.401	DNV	
	2025	171,252.1013	4.352	DNV	

Note 1.Scope 1 – Direct emissions from sources owned or controlled by the company; Scope 2 – Indirect emissions from the generation of purchased electricity, heat, or steam; Scope 3 – Other indirect emissions resulting from company activities, originating from sources not owned or controlled by the company.
 2.GHG inventory standards: Greenhouse Gas Protocol (GHG Protocol) or ISO 14064-1 issued by the International Organization for Standardization (ISO).
 3.Emission intensity may be calculated per unit of product, service, or revenue. However, it is required to disclose at least revenue-based intensity (per NT\$ million).

1-2 GHG Reduction Targets, Strategies, and Action Plans

I. GHG Reduction Targets

The Company is committed to implementing climate change governance. To strengthen sustainability management, a dedicated Sustainability Office and the ESG Committee were established on July 1, 2022. The Board of Directors serves as the highest supervisory body for the Company's sustainable development, overseeing the implementation of sustainability policies, strategies, and targets. Kinsus has established a clear net-zero transition pathway, using 2022 as the base year and targeting a 20% reduction in greenhouse gas (GHG) emission intensity by 2030, while pursuing the long-term vision of achieving net-zero emissions by 2050. Through the implementation of ISO management systems and the recommendations of the TCFD framework, the Company integrates carbon reduction performance into its core business strategy and combines smart manufacturing with green energy transformation to advance sustainable development across the value chain.

Note GHG emission intensity = (Scope 1 + Scope 2 GHG emissions in metric tons CO₂e) / NT\$ million revenues

II. Carbon Reduction Strategies and Actions

(I) Enhancing Energy Efficiency

- 1. Energy-Efficient Equipment Optimization:** Continue replacing high-energy-consuming equipment, such as air compressors and chillers, and introduce variable frequency drive (VFD) control systems to achieve an annual electricity-saving target of more than 1%.
- 2. Smart Manufacturing and EAP Implementation:** Deploy an Equipment Automation Program (EAP) platform and intelligent power monitoring systems to optimize production scheduling and energy allocation through big data analytics, thereby reducing energy consumption per unit of product.

(II) Low-Carbon / Green Energy Transition

- 1. On-site Solar Power Generation:** Install rooftop solar photovoltaic systems at the Youth Factory to increase the proportion of self-generated and self-consumed renewable electricity.
- 2.** Increase the proportion of renewable electricity procurement to more than 10% through the purchase of Taiwan Renewable Energy Certificates (T-RECs) and/or the execution of Power Purchase Agreements (PPAs).

(III) Green Supply Chain

- 1. Local Procurement and Low-Carbon Materials:** Promote localized procurement, with a long-term target of exceeding 60% of total procurement value, to reduce transportation-related carbon emissions, and collaborate with suppliers to introduce low-carbon materials.
- 2. RBA Audits and Water Resource Management:** Conduct regular Responsible Business Alliance (RBA) social responsibility audits of suppliers and promote wastewater recycling and reuse initiatives to achieve water conservation targets.
- 3. Resource Circularity (SRF):** Convert manufacturing waste into Refuse-Derived Fuel (SRF) to recover energy from waste streams and reduce carbon emissions associated with conventional waste incineration.

III. Monitoring and Evaluation

(I) International Standards and Certifications

Kinsus has established a comprehensive management system and obtained certifications for ISO 9001 (Quality Management), ISO 14001 (Environmental Management), and ISO 45001 (Occupational Safety and Health Management). To strengthen carbon management, the Company conducts annual greenhouse gas inventories in accordance with ISO 14064-1 and obtains third-party verification of product carbon footprints under ISO 14067.

(II) Participation in CDP and TCFD

- 1. CDP Disclosure:** Kinsus participates annually in the CDP Climate Change Questionnaire to publicly disclose its carbon emissions data and climate governance performance. In 2025, the Company received a “B” rating in both the Climate Change and Water Security categories.
- 2. TCFD Analysis:** The Company identifies material climate-related risks, such as rising average temperatures and the low-carbon transition, as well as climate-related opportunities, including improvements in resource efficiency. Potential financial impacts are assessed and quantified to support strategic decision-making.

(III) Internal Audits and Transparency

- 1. Internal Control Audits:** The internal audit function regularly reviews the implementation of ESG objectives and reports the achievement of key performance indicators (KPIs) to the Board of Directors.
- 2. Sustainability Report:** The Company publishes an annual Sustainability Report in accordance with the GRI Standards and SASB Standards, addressing material topics of concern to stakeholders.

Appendix 6: Independent Assurance Statement



INDEPENDENT ASSURANCE OPINION STATEMENT KINSUS 2025 Sustainability Report

The British Standards Institution is independent to KINSUS Interconnect Technology Corp. (hereafter referred to as KINSUS in this statement) and has no financial interest in the operation of KINSUS other than for the assessment and verification of the sustainability statements contained in this report.

This independent assurance opinion statement has been prepared for the stakeholders of KINSUS only for the purpose of assuring its statements relating to its sustainability report, more particularly described in the Scope below. It was not prepared for any other purpose. The British Standards Institution will not, in providing this independent assurance opinion statement, accept or assume responsibility (legal or otherwise) or accept liability for or in connection with any other purpose for which it may be used, or to any person by whom the independent assurance opinion statement may be read.

This independent assurance opinion statement is prepared on the basis of review by the British Standards Institution of information presented to it by KINSUS. The review does not extend beyond such information and is solely based on it. In performing such review, the British Standards Institution has assumed that all such information is complete and accurate.

Any queries that may arise by virtue of this independent assurance opinion statement or matters relating to it should be addressed to KINSUS only.

Scope

The scope of engagement agreed upon with KINSUS includes the following:

1. The assurance scope is consistent with the description of KINSUS 2025 Sustainability Report.
2. The evaluation of the nature and extent of the KINSUS's adherence to AA1000 AccountAbility Principles (2018) in this report as conducted in accordance with type 1 of AA1000AS v3 sustainability assurance engagement and therefore, the information/data disclosed in the report is not verified through the verification process.

This statement was prepared in English and translated into Chinese for reference only.

Opinion Statement

We conclude that the KINSUS 2025 Sustainability Report provides a fair view of the KINSUS sustainability programmes and performances during 2025. The sustainability report subject to assurance is free from material misstatement based upon testing within the limitations of the scope of the assurance, the information and data provided by the KINSUS and the sample taken. We believe that the performance information of Environment, Social and Governance (ESG) are fairly represented. The sustainability performance information disclosed in the report demonstrate KINSUS's efforts recognized by its stakeholders.

Our work was carried out by a team of sustainability report assurers in accordance with the AA1000AS v3. We planned and performed this part of our work to obtain the necessary information and explanations we considered to provide sufficient evidence that KINSUS's description of their approach to AA1000AS v3 and their self-declaration in accordance with GRI Standards were fairly stated.

Methodology

Our work was designed to gather evidence on which to base our conclusion. We undertook the following activities:

- a top level review of issues raised by external parties that could be relevant to KINSUS's policies to provide a check on the appropriateness of statements made in the report.
- discussion with managers on approach to stakeholder engagement. However, we had no direct contact with external stakeholders.
- 21 interviews with staffs involved in sustainability management, report preparation and provision of report information were carried out.
- review of key organizational developments.
- review of the findings of internal audits.
- review of supporting evidence for claims made in the reports.
- an assessment of the organization's reporting and management processes concerning this reporting against the principles of Inclusivity, Materiality, Responsiveness, and Impact as described in the AA1000AP (2018).

Conclusions

A detailed review against the Inclusivity, Materiality, Responsiveness, and Impact of AA1000AP (2018) and GRI Standards is set out below:

Inclusivity

This report has reflected a fact that KINSUS has continually sought the engagement of its stakeholders and established material sustainability topics, as the participation of stakeholders has been conducted in developing and achieving an accountable and strategic response to sustainability. There are fair reporting and disclosures for the information of Environment, Social and Governance (ESG) in this report, so that appropriate planning and target-setting can be supported. In our professional opinion the report covers the KINSUS's inclusivity issues.

Materiality

KINSUS publishes material topics that will substantively influence and impact the assessments, decisions, actions and performance of KINSUS and its stakeholders. The sustainability information disclosed enables its stakeholders to make informed judgements about the KINSUS's management and performance. In our professional opinion the report covers the KINSUS's material issues.

Responsiveness

KINSUS has implemented the practice to respond to the expectations and perceptions of its stakeholders. An Ethical Policy for KINSUS is developed and continually provides the opportunity to further enhance KINSUS's responsiveness to stakeholder concerns. Topics that stakeholder concern about have been responded timely. In our professional opinion the report covers the KINSUS's responsiveness issues.

Impact

KINSUS has identified and fairly represented impacts that were measured and disclosed in probably balanced and effective way. KINSUS has established processes to monitor, measure, evaluate, and manage impacts that lead to more effective decision-making and results-based management within the organization. In our professional opinion the report covers the KINSUS's impact issues.

GRI Sustainability Reporting Standards (GRI Standards)

KINSUS provided us with their self-declaration of in accordance with GRI Standards 2021 (For each material topic covered in the applicable GRI Sector Standard and relevant GRI Topic Standard, comply with all reporting requirements for disclosures). Based on our review, we confirm that sustainable development disclosures with reference to GRI Standards' disclosures are reported, partially reported, or omitted. In our professional opinion the self-declaration covers the KINSUS's sustainability topics. However, the future report will be improved by the following areas:

- It is encouraged not to use "confidentiality constraints" as a reason for omitting the disclosure of GRI 2-21 annual total compensation ratio. The organization should consider referring to international peer practices to respond to the requirements of the standards and increase the credibility and transparency of the sustainability report.

Assurance level

The moderate level assurance provided is in accordance with AA1000AS v3 in our review, as defined by the scope and methodology described in this statement.

Responsibility

The sustainability report is the responsibility of the KINSUS's chairman as declared in his responsibility letter. Our responsibility is to provide an independent assurance opinion statement to stakeholders giving our professional opinion based on the scope and methodology described.

Competency and Independence

The assurance team was composed of auditors experienced in relevant sectors, and trained in a range of sustainability, environmental and social standards including AA1000AS, ISO 14001, ISO 45001, ISO 14064, and ISO 9001. BSI is a leading global standards and assessment body founded in 1901. The assurance is carried out in line with the BSI Fair Trading Code of Practice.

For and on behalf of BSI:

Joe Hsieh

Joe Hsieh, Managing Director Northeast Asia, APAC Assurance



Statement No: SRA-TW-822707
2026-06-03

Taiwan Headquarters: 2nd Floor, No. 37, Ji-Hua Rd., Nei-Hu Dist., Taipei 114, Taiwan, R.O.C.

BSI Taiwan is a subsidiary of British Standards Institution.

...making excellence a habit.™